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The European Bathroom & Kitchen Product Markets

- 2021 Edition -



Czech
Republic

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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CZECH REPUBLIC

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

The Czech Republic (*Ceská Republika*) is a landlocked state in central Europe, bordered by Germany to the west and north-west, Austria to the south, Slovakia to the east and Poland to the north-east. The country, together with Slovakia, was previously known as Czechoslovakia, but was dissolved into the Czech Republic and Slovakia in the early 1990s. The Czech Republic's total land area is 78,864 km², smaller than Hungary (93,000 km²) and even Austria (83,000 km²). Water covers only 2% of the total land area.

The Czech Republic has a continental climate; due to its landlocked position in the centre of Europe, the temperature difference between seasons is high, with cold, snowy winters and hot summers. The temperature can also vary greatly within a single day, beginning at a low level in the morning and rising steeply during the day, before dropping once again in the evening. The coldest month of the year is January, and the warmest is July.

Administratively, the country is divided into 14 regions, or *kraje* – including the capital, Prague, which is a region in its own right. These 14 regions are subdivided into 85 administrative districts, formerly 76 districts, or *okresy*. Historically, the western part of the country is known as Bohemia, the eastern part, Moravia, and the north-eastern part, Silesia. According to the most recent census (2011), the majority of inhabitants of the Czech Republic are Czechs (just under 64%), followed by Moravians (4.9%), Slovaks (1.4%), and Poles (0.4%).

The official language of the Czech Republic is Czech, which is spoken by over 96% of the population in the country and closely related to Slovak. A proportion of the older population also speak Russian and German. Czech is a Slavic language, a language group that also includes Polish, Russian, Slovak, Slovenian and Serbo-Croatian.

The Czech Republic is considered a highly-developed country, with an advanced economy and good living standards. It ranks as the 11th-most peaceful nation in the world, the 8th-most peaceful in Europe. The Czech Republic joined the European Union in May 2004, followed by the Schengen Area in 2009. Prior to 2002, the Czech Republic was divided between eight regions.

A comparison of the 2011 census data with the results from 2003 shows that the overall population is ageing, as the number of people older than 65 years is now greater than the number of inhabitants under 14 years of age. In terms of regional population distribution, the capital Prague holds 12% of the total population, with the next-largest concentrations being in South Moravia (19.9%) and North Moravia (19.1%). In total, the Czech Republic has 133 towns that have more than 10,000 people. It is estimated that about 73.5% of the Czech population now lives in urban areas.

The official currency is the Czech Crown (Czech *koruna* – CZK), in circulation since February 1993 when it replaced the former currency of Czechoslovakia, the Czechoslovak koruna, following the dissolution of the old country. The Czech Republic has been a member of the EU since 2004, and there are plans to adopt the euro in the future, although the majority of the Czech population remain in opposition to changing currency.

Macroeconomic Overview

The Czech Republic has one of the most developed economies in Central and Eastern Europe, and it grew particularly strongly upon the country becoming a member of the European Union (EU) in 2004. The country has come a long way since the collapse of communism in the late 1980s. From 2004 onwards, the Czech economy benefited from the inflow of foreign investments as well as access to EU structural funds to further develop various fields and regions. Today, the industry sector (e.g. automotive, electronics and food and beverages) accounts for around 40% of GDP per annum, with the largest part coming from the service sector. The country's annual economy performance is closely linked to that of other EU member states, such as Germany, Slovakia, Poland, France and Italy, as these countries are the most important trade partners of the Czech Republic.

Since the dissolution of the former Czechoslovakia, the Czech Republic has generally experienced strong – although at times uneven – growth. Growth was stimulated by opening markets, foreign investment, strong local industry, and the country's favourable location in the centre of Europe. The global financial crisis, however, led to economic decline and several years of recession, followed by a return to growth in 2015 and the ensuing years, largely stimulated by high levels of public investment.

The Czech economy experienced a decline in 2020 after several years of good growth with 2017 being the peak of economic performance in the last decade. The onset of the COVID-19 crisis brought about lockdown measures that in turn resulted in a drop in trade and investment, especially in the second quarter of the year. Fiscal support from the government helped to alleviate household consumption, but manufacturing and investments are likely to take longer to rebound. The proportion of state debt to GDP stood in Q4 of 2020 at 38.4% which is a sharp increase in comparison to the same period in previous year. The automobile industry remains the largest single industry in the country, and together with its upstream suppliers it accounts for more than a quarter of total Czech manufacturing. Due to the temporary closures of factories as well as lowered external demand caused by the pandemic, the output of the automobile industry declined by almost 20% in 2020. Although this could be considered a major hit to the commerce, actual decline was behind the initial projections in March of 2020.

Despite the pandemic, the Czech Republic holds one of the lowest unemployment rates in the EU, as well as one of the lowest poverty rates. According to the latest available data from the Czech Statistical Bureau, the unemployment rate rose to

3.3% in February 2021, which is a 1% increase in comparison to the same period in 2020, largely attributed to the COVID-19 crisis as some small to medium independent firms had to downsize. The ageing of the population poses a risk to the future labour market supply, as the long-term reduction in the Czech birth rate has led to a decline in the working age population. Indeed, although immigration has helped in sustaining population growth, the Czech Republic has one of the lowest birth rates in the world. The annual inflation rate in the country increased to 2.9% for 2020. This acceleration of inflation should not hamper the prospects going forward, as the country is supported by the overall economic growth and an increase in wages.

After the recession in 2020, the economy is anticipated to rebound in 2021 as domestic and foreign demand recover and fiscal and monetary governmental measures provide further support. However, such positive outlook is based on the presumption that COVID-19 will not re-emerge and further lockdown measures will not be enacted, as well as successful wide vaccination of the population. Other risks for the foreseeable future of the Czech economy are that the highly-open economy could be particularly vulnerable to lower-than-expected world or euro area demand. Another factor is the quickly rising housing prices, particularly in large cities such as Prague or Brno. Indeed, housing prices in the Czech Republic rose 8.7% year on year in 2018 (according to EUROSTAT), a rate well over the 4.3% average across the whole EU; a trend that is anticipated to continue further.

Residential Construction

Overview

Before the start of the global economic crisis in 2008, the Czech construction market for both flats and houses boomed, with Prague and the other larger cities dominating the market. The Czech construction market enjoyed relatively stable growth during the 1990s and 2000s, despite a slight decline in 2001 and 2003, and the industry retained a prominent place in the economic growth of the country. The favourable economic situation at that time (which showed good growth), low mortgage rates (3-5%), and the proposed changes in VAT rates helped the residential construction market to grow strongly in this period. Market developments, however, turned around from mid-2008, due to the effects of the economic crisis: lower disposable incomes, higher unemployment rates and uncertainties have negatively affected the demand for new dwellings. However, as in many European countries, declines in new build and renovation have petered out, and the construction segment has returned to growth – in line with the country's improved macroeconomic outlook. According to the Czech Statistical Office, 2019 was the peak year for housing completions during the last ten years, but further increase in housing completions is anticipated post-2020.

A major factor affecting the performance of residential construction in Czech Republic is the length of the building permit process caused by overly bureaucratic laws. According to the World Bank, this process alone is on average 246 days long, which makes it one of the 40 slowest building permit processes in the world. In the

case of larger projects, the average length of construction is 5.4 years. This of course impedes the development of the industry and significant reforms are needed. The government prepared a new Building Act which aims to streamline the whole procedure and might be enacted in 2021, gradually taking on efficiency by 2023.

New Housing

After favourable development of new housing construction in the past five years, the overall number of completions decreased in 2020. This was in part due to the onset of the COVID-19 crisis that resulted in slowdown of construction as well as postponement of some larger projects, particularly for apartment buildings. Indeed, although sharp decline was seen in the total number of completions of apartments, family houses remained relatively stable that year. An important part of new family houses is built by smaller companies as well as individuals and, due to the nature of construction, only minor setbacks were seen throughout the year. Apartment complexes, on the other hand, often rely on further investments and funds from the developers and, given the recession, quite a few of these larger projects were halted, especially during Q2 of 2020.

In general, the Czech construction market benefits from usually low interest rates for mortgages, which result in strong demand for both apartments and family houses. The latest figures, however, have shown the share of flats increase within the total number of dwelling completions. The average mortgage interest rate fell to a record minimum of 1.77% at the end of 2016, and reached 3.13% in March of 2021. The Czech National Bank (CNB) is trying to reduce the share of the value of the property that can be borrowed and thus lower the possible risk for banks, and this could result in an additional increase of mortgage interest rates in the near future.

The demand for both apartments and family houses remains at a high level and the offer in the capital and large cities is not enough to satisfy it, which has led to the exponential growth in housing prices as well as rents. This situation is especially complex in Prague. The number of housing starts and building permits remained relatively stable in 2020, and the total number of new housing completions, therefore, is expected to recover gradually over the forecast period.

Housing RMI

The Czech housing RMI segment suffered over the course of the global financial crisis. Both private renovations and state-organised modernisation work fell from 2011, due to VAT rate increases and a general lack of confidence and growth in both the Czech and the wider European economy. However, much like the new housing segment, overall RMI activity rebounded from late 2015 and has continued to perform well until 2020, in line with changes in VAT rates and rising consumer confidence and levels of disposable income, stimulated in turn by the Czech Republic's high level of employment.

The RMI segment is also strongly influenced by the government-funded schemes. Under the Ministry of Environment's patronage, the *Zelená Úsporám* programme (2009) – continuing since 2013 under the name *Nová Zelená Úsporám* – supports energy-saving reconstructions and utilising renewable energy sources. The programme is being extended annually so far and is planned to run until 2023. Total financial means should be at least CZK 21 billion, and the current round is scheduled to end by December 2021. Another residential scheme is offered through state funds for housing development (under the Ministry of Regional Development) that support young families, reconstructions after natural disasters, the construction of rental houses, reconstructions of panel houses, and the modernisation of the municipal dwelling stock.

The overall RMI segment saw a decrease in expenditure in 2020 largely due to the decline in housing transactions caused by the COVID-19 crisis. As recession loomed, many residential consumers were wary of larger investments and postponed their decision. The situation was somewhat offset in Q3 and Q4 as an increase in transactions was noted during this period. Additionally, the lockdown and social distance restrictions which barred consumers from traveling meant that many existing homeowners decided to renovate their apartments and family houses, which somewhat balanced the drop in total expenditure and prevented further decline.

There are about 1.6 million inhabited family houses in the Czech Republic, and just about a quarter of them have been renovated, while the number of multi-dwelling buildings is around 200 thousand and about 40% are renovated. This represents a significant potential for the future growth of this sector over the forecast.

Non-Residential Construction

Developments in the Czech non-residential construction market have been somewhat volatile over the last few years, although this sector has clearly outperformed the residential construction market in the years after the global financial crisis. However, it must be noted that the overall performance of the non-residential construction market is increasingly being driven by new non-residential construction activity, rather than renovation work. As the non-housing market is characterised by a mix of public and private investments, the output of some industries within the segment is strongly tied to the subsidies flowing from EU funds and governmental support.

After the positive development in the last three years, the overall non-residential construction contracted significantly in 2020, being the most affected by the COVID-19 crisis and resulting lockdowns and social distance measures. The recession had the greatest impact on the hotel and retail industries as the government declared a state of emergency in the middle of March 2020 and practically all shops, services, restaurants and accommodation facilities were closed for a period of several weeks. A similar situation was repeated during the second wave in October. This, of course, not only significantly hampered the

revenue of such companies but additionally also prevented many from investing in further expansions, renovations or construction. Postponements of projects were also not uncommon in the public sector as municipal and regional governments had to prioritise austerity measures and necessary projects.

Although the healthcare sector sees steady governmental investments, part of the plan to invest EUR 2.85 billion in this sector by 2030, the overall healthcare declined in 2020 largely due to the effects of the COVID-19 crisis. Hospitals and medical facilities have been affected financially as they lost a significant part of their income from patients and insurance companies. This in turn hampered the previously planned renovations in many hospitals.

Due to the growing trend of the home-office and hybrid office model, which was significantly accelerated by the pandemic, interest in new office space declined markedly in 2020. Many companies are trying to solve excess capacity by secondary leasing to cut down on costs or have moved to smaller office space. Despite this, quite a few office projects are planned or underway which should stabilise the overall construction in the mid to long term.

The Czech Republic is the current leader of Central Europe in the area of commercial buildings, with over 800,000 m² of shopping parks and more than 30 new shopping centres under construction or being planned. The COVID-19 crisis slowed down this evolution significantly, with many of these projects being postponed or halted. Some of the major retail areas planned in the near future are the Santovka Olomouc (expansion of 23,300 m²), Savarin complex in Prague (39,000 m²), Ameside in Pilsen (65,000 m²), Fabrika in Zlin (30,000 m²) and NC Kralovo Pole extension (30,500 m²).

Given the likely continuation of lukewarm private investments and constrained public resources, the overall non-housing sector is anticipated to drop further in 2021, albeit at a slower pace, before returning to growth in 2022. Although private investment levels will remain a key contributor to non-housing construction growth, a steady release of EU funds should ensure that public investments will also grow at a steady pace in the long term.

II.2 Key Figures

CZ - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

CZ - MACROECONOMIC KEY INDICATORS

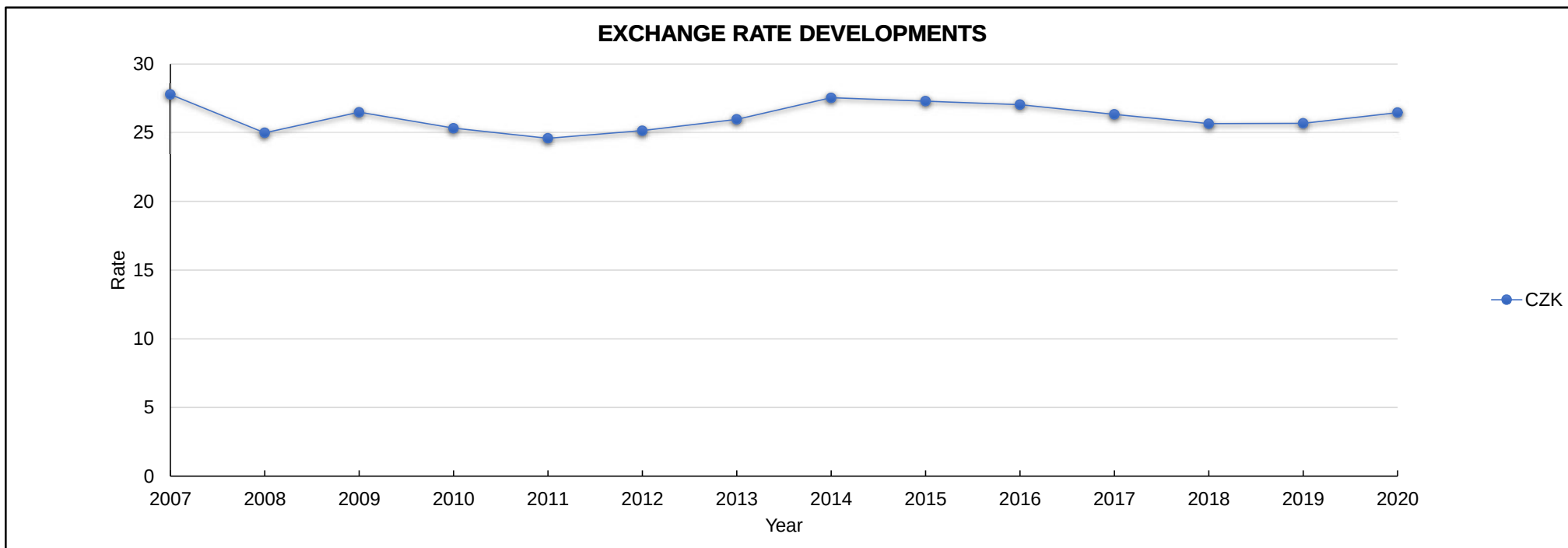
Value	Year																			
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2024	2025	
Consumer Price Index(% change)	2.26	1.72	5.44	3.67	0.99	2.30	2.35	2.40	1.43	0.10	0.00	2.01	2.37	2.02	3.21	2.68	2.27	2.00	2.00	
GDP (% change)	6.60	6.77	5.57	2.69	- 4.66	2.44	1.76	- 0.79	- 0.05	2.26	5.39	2.54	5.17	3.20	2.31	- 5.56	4.22	3.23	2.92	
Government Balance (% of GDP)	- 2.97	- 2.16	- 0.65	- 1.97	- 5.42	- 4.16	- 2.71	- 3.90	- 1.23	- 2.08	- 0.61	0.71	1.50	0.91	0.27	- 5.93	- 7.76	- 5.08	- 4.55	
Household Saving Rate (% of Disposable Income)	5.66	6.98	8.43	7.62	6.85	8.73	7.91	6.51	6.80	6.25	7.40	7.04	6.28	7.00	7.45	7.63	8.07	0.00	0.00	
Private Consumption (% change)	3.58	3.75	4.14	2.99	- 0.47	1.36	0.39	- 1.08	0.91	1.41	3.87	3.78	4.04	3.51	3.04	- 5.16	0.00	0.00	0.00	
Unemployment Rate(%)	7.93	7.13	5.31	4.38	6.70	7.28	6.71	6.98	6.95	6.11	5.02	3.95	2.89	2.24	2.00	2.70	3.40	2.80	2.80	

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years.

II.4

Historical and Current Exchange Rates

CZ - EXCHANGE RATES : HISTORICAL AND CURRENT



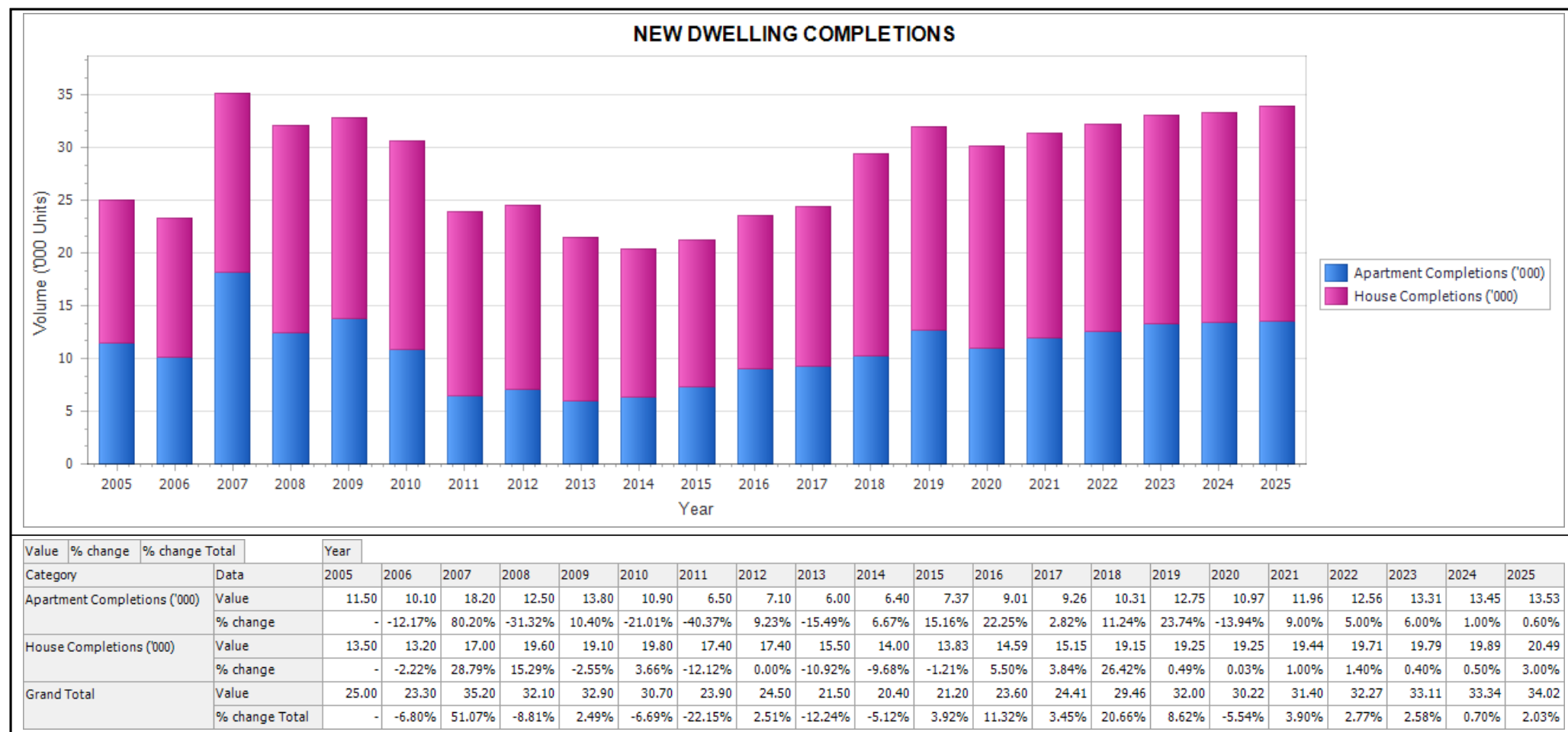
Local Currency	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
EUR / CZK	27.78	24.99	26.48	25.32	24.58	25.14	25.97	27.53	27.28	27.03	26.32	25.65	25.67	26.45
% change		-10.05%	5.95%	-4.37%	-2.92%	2.26%	3.30%	6.04%	-0.90%	-0.92%	-2.62%	-2.58%	0.09%	3.04%

Source: OANDA

The Czech Koruny (CZK) is the Currency of Czech Republic. The Exchange Rates Shown are the EUR to the CZK.

II.5 New Dwelling Construction

CZ - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

II.6 Dwelling Stock by Type and Tenure
CZ - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments (%)	56.11
	Apartments ('000)	2 767.97
	Houses : Rural (%)	33.96
	Houses : Rural ('000)	1 675.25
	Houses : Urban (%)	9.93
	Houses : Urban ('000)	490.00
Dwelling Stock by Tenure	Primary Owned (%)	63.78
	Primary Owned ('000)	3 146.22
	Primary Rented : Private (%)	14.13
	Primary Rented : Private ('000)	697.00
	Primary Rented : Public (%)	6.49
	Primary Rented : Public ('000)	320.00
	Secondary (%)	3.63
	Secondary ('000)	179.00
	Vacant (%)	11.98
	Vacant ('000)	591.00

Source: BRG based on Country Statistics.

CZECH REPUBLIC

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The Czech distribution sector increasingly resembles its Western European counterparts, with major wholesalers and large DIY channels dominating the market. Under state control until 1989, the sector is now entirely privatised and relatively consolidated. The development of the wholesale channel in the 1990s saw both the establishment of local wholesalers and the entry of large German players into the Czech market. This channel tends to be favoured by Czech plumbers and installers. The Czech DIY channel developed quickly from the early 2000s, as a response to consumer demand for low-priced products. Leading bathroom brands have since built key distribution partnerships with leading DIY retailers, in order to take advantage of consumer preference for this channel. Most bathroom product manufacturers distribute their wares through the wholesaler and DIY channels, rather than employ multi-channel strategies.

The dominance of wholesalers and DIY retailers on the Czech bathroom market has led the distribution of bathroom products to primarily follow a 'three-or-more step' distribution chain – *odborný velkoobchod* in Czech – which comprises both sales from manufacturers/importers to specialist wholesalers, and sales from manufacturers/importers to wholesalers, which then supply DIY stores. This form of distribution, which comprises the majority of bathroom product distribution, is concentrated in the principal economic zones of the Czech Republic. This includes metropolitan cities such as Usti nad Labem and Plzen in the west, and Brno and Ostrava in the east, as well as the capital Prague, around which many warehouses and distribution centres are based, making it the distribution hub of the country.

The remainder of bathroom product distribution, seen in smaller towns and rural areas, is markedly more fragmented. Although in larger towns DIY chains and wholesaler retail outlets are still predominant, the remote areas of the Czech Republic are supplied by local, independent retailers (*domaci potreby*). These stores are typically supplied by regional wholesalers, and offer a more diverse range of products than the bathroom retailers found in metropolitan areas, ranging from bathroom products to electrical and white goods. There are also individual specialist shops, which sell sanitary ware with small showrooms, scattered around the country.

Following the end of state-controlled distribution and the emergence of the wholesale and DIY channels, distribution trends on the Czech bathroom products market have remained fairly constant. Due to the overall importance of the wholesale and DIY channels, direct sales of bathroom products (from manufacturers to installers) are marginal. The proportion of direct supply has in fact decreased over the past decade, and is mainly comprised of small, specialist manufacturers that concentrate on working directly with customers to produce bespoke solutions or artisan products to order. Certain manufacturers will also supply products directly to hypermarkets, although this practice remains marginal. Likewise, the penetration of the internet channel in the Czech Republic has, thus

far, mainly affected fast-moving consumer goods and, as a result, has only had a limited impact on the bathroom market.

Wholesale Level

Today, the wholesale trade, together with the retail sector, is considered to be one of the most important sectors of the Czech economy. The wholesale sector struggled after the financial crisis of 2009/2010, but started to recover from 2013 onwards, as did the economy of the Czech Republic, which indicates that the two are indeed entwined. In more recent years, consolidation in the wholesale level could be seen as the market share of the major companies continued to increase with companies such as PTACEK and RAAB KARCHER STAVIVA seeing steady expansion throughout the country with new warehouses and retail stores being open.

The wholesale channel is a key segment of the Czech bathroom product distribution sector, and is dominated by several key players. The largest building products' wholesaler, RAAB KARCHER STAVIVA (part of SAINT GOBAIN) operates on the Czech market through 50 stores nationwide. The other main wholesaler chains present on the Czech bathroom market include RICHTER & FRENZEL, PTACEK, SAPHO (part of UBC), GIENGER (part of the GC GROUP), VIHAMIJ and LIKOST.

The distribution of sanitary and bathroom products tends to be separated from the distribution of building materials. Thus, the leading wholesalers in the Czech bathroom market tend to specialise in bathroom product distribution and hold exclusive stocking deals with several leading brands. For instance, RICHTER & FRENZEL has distribution agreements with more than 30 bathroom manufacturers, including all major brands present in Western countries. Likewise, PTACEK specialises in the distribution of sanitary ware, shower walls, bathroom accessories and taps and mixers. It holds a large portfolio of foreign brands (including HÜPPE, HANSA, HANSGROHE, GEBERIT, GROHE, ROCA, VILLEROY & BOCH and IDEAL STANDARD) and regional brands such as RAVAK and ROLTECHNIK.

The consolidation of the Czech wholesale segment is further emphasised by the presence of the ASOCIACE ODBORNÝCH VELKOOBCHODU (AOV), an association comprising leading manufacturers and distributors on the Czech bathroom market. The AOV association includes manufacturers such as HANSGROHE, KORADO, ROCA and GEBERIT, as well as some of the largest wholesaler chains in the Czech Republic, namely PTACEK, the GIENGER GROUP (part of the German GC GROUP) and INTERCOM BOHEMIA, a significant importer/distributor of bathroom products.

The distribution of bathroom products within the Czech wholesale channel tends to follow traditional routes, with the leading wholesalers selling through stores and showrooms. The exception is RAAB KARCHER STAVIVA, which also distributes products online via STAVMAT STAVEBNINY (www.staviva.cz). It is anticipated that

a greater number of wholesalers will establish web shops or offer products through recognised online retailers, as the growth in popularity of the internet channel gathers pace.

Retail Level

Since the fall of communism at the end of the 1980s, the retail landscape of the Czech Republic has seen drastic changes. The predominant trend has been the shift away from traditional small-format independent stores towards large-format retailers, most of which are owned by foreign multinational groups. In addition, since the mid-2000s the Czech retail market has been characterised by a high level of modernisation, stimulated by rising household incomes and increased retail sales. Despite the slowdown seen between 2009 and 2014, the number of retail stores has continued to grow almost consistently over the past decade.

As a result, the Czech retail segment is shifting strongly in favour of DIY (do-it-yourself) stores and hypermarkets, negatively affecting the number of independent and small retail stores. These large retail outlets are favoured for their wide product offering, lower prices (due to economies of scale) and extended opening hours. These include, for example, the Swedish IKEA and the German OBI, HORNBACH and BAUMAX (now owned by the Polish MERKURY MARKET), which have opened many stores throughout the country, mostly in the Prague region. This trend is largely the result of the privatisation of the Czech market following the fall of communism; prior to 1989, all commercial distribution was under state control, which favoured the growth of small, independent retail stores.

The presence of retailers varies greatly between the larger cities, smaller towns and rural areas. Most retailers are located in and around the capital, Prague, and in cities such as Usti nad Labem and Plzen in the west and Ostrava and Brno in the east. In larger cities, the DIY stores and retail outlets of some of the wholesalers (such as SIKO) tend to lead the way, while small retail shops run by local entrepreneurs (often called *domaci potreby*) service less-populated areas. These local shops are usually supplied by a regional wholesaler and offer a wide range of products, from water heaters to taps and mixers to white goods. Another important thing to note, is that many of these retailers now offer also online retail and share of online sales is believed to increase steadily y-o-y. Companies such as SIKO and HORNBACH have especially invested in their online portal in the last two years.

DIY Retailers

DIY stores are popular in the Czech Republic, and the number of stores has risen rapidly since the early 2000s. Today, overall, there are more than 100 DIY stores in the country, of which the majority are located in the Prague and Central Bohemia regions. These two regions are also the most populated regions in the country. Although the economic crisis has led to the decrease in the growth in the number of DIY stores, this number has continued to grow throughout the crisis and the expectation is that more new stores will open in the coming years. A number of DIY retailers have announced their intentions to either open new stores or expand their

existing stores.

In the Czech Republic there are currently six main DIY chains active on the market, with the majority being either German or Austrian (OBI, BAUMAX, BAUHAUS, GLOBUS BAUMARKT and HORNBACH). The one exception is MOUNTFIELD, which is a domestic DIY retailer with the highest number of stores in the country. MOUNTFIELD was also the first DIY retailer in the country, which explains its success, and it opened its first stores in the early 1990s. It operates various types of stores, ranging from large retail units on the outskirts of regional cities to smaller formats in the local centres. MOUNTFIELD, however, cannot be classified as a typical DIY retailer because it mostly specialises in gardening tools and machinery.

The German-owned retailer OBI (belonging to the TENGELMANN GROUP) dominates the Czech DIY retail market. The company was the first foreign DIY chain to enter the Czech market; it expanded rapidly, from four stores in Prague in 1998 to over 30 stores by 2016. Following the closure of a number of stores in Italy and Austria, OBI has also closed some stores in the Czech Republic over the last five years. Nevertheless, it remains the second-largest player after MOUNTFIELD.

After the bankruptcy of BAUMAX in 2016, the Polish MERKURY MARKET acquired stores in the Czech Republic under the subsidiary company BM CESKO. Instead of rebranding the stores, MERKURY MARKET decided to keep the name of BAUMAX for all its stores as this brand is quite reputable amongst local consumers. The chain currently has 18 stores in the country, covering all major cities such as Praha, Olomouc, Plzeň, among others.

The German GLOBUS BAUMARKT had 18 outlets in 2020, located all over the country, with three stores situated in the capital Prague.

HORNBACH now has 10 stores after opening a third outlet in Cestlice, near Prague, joining the existing stores in Brno, Hradec Králové, Olomouc, Ostrava Svinov, Ostrava Vítkovice, and Plzeň. As noted earlier, HORNBACH has invested in a new online portal, which helped to increase their revenue in the past few years.

The German BAUHAUS has eight stores, in Prague (three), Brno (two), Liberec, eské Budejovice and Plzeň, with a total surface area of 55,000 m².

Specialist/Other Retailers

While 'essential' bathroom products, such as baths and shower trays, sanitary ware and taps and mixers, tend to be sold to installers via merchants, wholesalers and occasionally DIY retailers, discretionary products such as bathroom accessories and furniture are typically purchased by consumers, who source products from specialist retailers, in addition to DIY and online stores.

Over the past few years, bathroom specialist retailers have gained in popularity and are often referred to as 'specialist bath studios'. They provide individual and competent advice on the selection of all bathroom products, three-dimensional

computerised bathroom planning, and the installation of all bathroom products.

The Swedish chain IKEA, the specialist retailer of furniture and home accessories, has steadily gained in popularity in the Czech Republic. The chain offers a wide range of bathroom products such as shower and bathroom accessories and bathroom furniture, sourced from various producers worldwide. As a rapidly growing convenience store offering a whole range of products for the home, it has gained a significant share of the retail market, to the detriment of traditional furniture retailers.

Another significant specialist retailer is SIKO, which supplies the Czech market with various bathroom products and brands such as GEBERIT, HANSGROHE, GROHE, ROCA, JIKA, RAVAK, KALE and VITRA. SIKO also sells their own branded products which are believed to be primarily sourced from Poland. SIKO's portfolio primarily consists of baths, shower enclosures, ceramic sanitary ware products, bathroom furniture, and taps and mixers. SIKO operates more than 50 showrooms across the Czech Republic and Slovakia.

In the professional channel, the builders' trade is already quite concentrated, with a few leaders and, also, many smaller companies and individual outlets. The undisputed national leader is RAAB KARCHER STAVIVA (SAINT-GOBAIN), which has 50 depots in almost all the regions of the Czech Republic. Other smaller chains follow behind, such as BIERHANZL STAVEBNINY B+B (which has 11 outlets in central and western Bohemia), KARPEM in south-western Bohemia, STAVOSPOL in Moravia, and WELSTAM in western Bohemia.

Internet Retailers

Although levels of online sales remain below high street sales, e-commerce has grown strongly in the Czech Republic, at an average of over 12% per annum. Online sales have benefited from the Czech Republic's growing number of internet users, better internet connections, and the sharply-rising number of online web shops. Internet retailers also hold an advantage in that they offer products at significantly lower prices than traditional retailers, due to their reduced labour, marketing and overhead costs. With over 137,000 online retailers (in various forms) now operating in the Czech Republic, this channel now poses significant competition for other distributors, as they often work with such low margins that traditional retailers struggle to compete in terms of price.

The COVID-19 pandemic accelerated the growth of e-commerce in 2020, with an increase of almost 20% being seen that year. According to APEK (Association for E-commerce), as of March 2021, the e-commerce now has a share of 13.5% in terms of total retail sales in the country. Although e-commerce is playing a strong and rapidly increasing role on the Czech bathroom market, it is worth noting that 'pure' internet, or 'online-only' sales (through dedicated internet retailers such as AMAZON.COM), remain low. Instead, the most popular internet retailers tend to be web shops run by merchants or retailers that also hold physical stores; the majority of leading Czech wholesalers and retailers now offer consumers the possibility of

purchasing their products online. Internet sales on the Czech bathroom market also comprise sales from manufacturers' own web shops (HOPA and KRAJCAR are among those offering this type of distribution). There is also evidence that Czech consumers prefer to at least view or try a product in store first before purchasing online for the lower price, indicating that physical stores still play an important role in the consumer decision-making process – even when a sale is completed online.

In addition, levels of internet sales are much higher within certain bathroom product categories than others. Products that are difficult and expensive to transport, as well as complex to install (baths, shower trays and ceramic sanitary ware), see a much lower proportion of sales through the internet channel than products that are cheap to transport and can be installed either by the consumer themselves or a hired installer (bathroom furniture, bathroom accessories, shower accessories and even taps and mixers). Indeed, bathroom furniture is particularly sought-after online. One of the largest internet specialists for bathroom products in the Czech Republic is now believed to be SANITINO.CZ. This site was previously known as onlinekoupelny.cz but rebranded to sanitino.cz in 2019. They offer products from all major European and local brands.

The outlook for the internet channel remains positive, as the popularity of online shopping should continue to increase. After the very positive 2020, however, it is likely that growth might slow down as there are already many retailers competing on the market. It is expected, therefore, that in the mid to long term, consolidation of the market will be seen with only the strongest and most reliable e-commerce sites likely to hold their share, as they will represent strong competition for other small players. Lower prices, when compared to high-street retailers, should be the main reason for sales growth in the online channel, although the wider product ranges and improved after-sales service offerings now available from certain online players should also increase demand.

Summary of Leading Distributors
CZ - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)														Buying Group Affiliation
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other			
								Total	Heat	Bath	Plumbing	Vent/ AC	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify		
VIHAMIJ	VIHAMIJ, S.R.O.	Wholesaler/Importer	Heating/ Sanitary/ Plumbing	2016	1.56	8	National	100%	40%	50%			10%									
PROCERAM	PROCERAM, A.S.	Wholesaler/Importer	Sanitary/ Plumbing	2019	24.3	8	National	100%		60%	20%		20%									
WÄRME	WÄRME, S.R.O.	Wholesaler/Importer	Heating/ Sanitary/ Plumbing	2019	3.41	10	Moravia	100%	90%	10%												
STAVMAT	STAVMAT STAVEBNINY A.S.	Specialised Retailer/Wholesaler	Mixed Merchant	2019	173	64	National	25%	10%	10%			5%	75%	30%	30%	15%					
PECHASAN	PECHASAN S.R.O.	Wholesaler/Importer	Heating/ Sanitary/ Plumbing	2019	16.6	5	South and West of Bohemia	100%	10%	90%												
SIKO	SIKO KOUPELNY, A.S.	Specialised Retailer/Wholesaler	Sanitary/ Plumbing	2019	147	41	National	100%	15%	45%			40%									
PTÁČEK	PTÁČEK VELKOBOCHOD, A.S.	Specialised Retailer/Wholesaler	Heating/ Sanitary/ Plumbing	2019	309	76	National	100%	65%	30%			5%									
RICHTER + FRENZEL	RICHTER + FRENZEL S.R.O.	Specialised Merchant	Heating/ Sanitary/ Plumbing	2019	87.1	30	National	100%	55%	28%	17%											
GC GROUP	GIENGER SPOL S.R.O.	Specialised Merchant/Wholesaler	Heating/ Sanitary/ Plumbing	2019	100	75	Natinal	100%	63%	30%	7%											
HORNBACH	HORNBACH-BAUMARKT CS S.R.O.	DIY Retailer	DIY Assortment	2019	349	10	National	80%	18%	36%			26%	5%		5%			15%			
TENGLMANN	OBI. S.R.O.	DIY Retailer	DIY Assortment	2019	296	33	National	45%	15%	25%			5%		10%		5%		40%	Paints, decoration etc.		
BAUHAUS	BAUHAUS K.S.	DIY Retailer	DIY Assortment	2018	157	8	National	45%	10%	30%			5%						55%			
BM CESCO	BAUMAX S.R.O	DIY Retailer	DIY Assortment	2018	118	15	National	60%	25%	35%												
INGKA HOLDING B.V.	IKEA CESKA REPUBLIKA S.R.O.	Specialised Merchant	Sanitary/Furniture	2020	411	5	National	20%		15%			5%	80%					80%			
METRO	MAKRO CASH AND CARRY CR S.R.O	General Retailer	DIY Assortment	2019	1110	13	National	10%	5%	5%				90%					90%	Food		

Source: BRG based on company information and industry interviews

x = marginal activity

xx = substantial activity

xxx = core activity

CZECH REPUBLIC

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Czech bath and shower tray markets can be considered mature, as the majority of Czech dwellings are today equipped with either a bath or a shower tray, if not both. However, when viewed independently, the shower tray market can be considered less mature, due to the later advent of showering technology. Prior to the 1990s, the Czech baths market experienced strong growth, benefiting from levels of new housing construction and a favourable macroeconomic outlook. The pre-fabricated dwellings that accounted for most housing built at the time were generally fitted with a 'standard bathroom', equipped with a 140 or 150 cm bath. Separate showering facilities were a rarity in socialist era homes.

However, following the end of communism the shower trays market experienced strong growth to the detriment of bath sales, due to their lower cost and space-saving benefits, and the increased preference for showering amongst the population. The growing tourist industry also explains the high proportion of shower trays, as it comprises numerous hotels and boarding houses that are typically fitted with a shower rather than a bath. This is particularly the case for lower and medium comfort accommodation, mainly due to space restrictions. The decline in annual bath sales has additionally accelerated due to the increasing popularity of wet rooms, which have also taken a small proportion of share from shower trays.

The market for hydromassage baths was virtually non-existent before growing from a very small base in the 1990s and early 2000s. In general, consumers in the Czech Republic have not enthusiastically embraced these products, and even before the 2008 recession the market appeared to be running out of steam. Sales of hydromassage baths peaked at the beginning of 2000s and have been declining almost every year since then. There is a trend away from this type of product, as a result of the comparatively low quality of hydromassage baths imported from the Far East and the relative saturation of the market.

In terms of product mix, the Czech bath and shower tray markets were both originally dominated by steel products, due to the good reputation and widespread availability of this material. Synthetic baths and shower trays, however, appeared on the market in the early 1990s and rapidly gained share – mainly as cheap replacements for the Czech Republic's historic park of cast iron baths. Synthetic baths and shower trays additionally saw further growth from the early 2000s, representing a cheaper alternative to steel. Ceramic shower trays account for only a small proportion of overall shower tray sales, being sold mainly into niche applications at the upper end of the market.

Recent Market Trends

The overall market for baths and shower trays recorded a sharp decline in sales in 2020 as a result of a drop in demand across all end-uses caused by the COVID-19 crisis and subsequent drop in residential and non-residential activities. Indeed, the

lockdowns in March and October resulted in heavy losses in the retail sector and also slowdown in residential construction. Overall residential completions were down in 2020, largely due to the drop in apartments as many of the projects were delayed, which hampered uptake in new housing. Similar development was also seen in the non-housing sector. It is worth mentioning that while total bath sales decreased at a high rate, demand for shower trays remained relatively stable throughout the year. This was partially caused by the ongoing trend towards showering in the country that resulted in a mild increase in sales of synthetic shower trays, especially within the RMI sector. Although total RMI went down in 2020, many consumers decided to invest in home improvement during the pandemic as they could not travel and a large portion of these renovations were conversions from baths to shower trays or wet rooms.

As such, all bath and shower tray products covered in this report experienced a decrease in sales in 2020, except for the aforementioned synthetic shower trays. Steel and hydromassage baths fared the worst that year. Steel baths rely heavily on developer projects (both in RMI and new housing) where installers prefer such products for their durability and low price, as many large-scale projects were postponed in 2020, this had a negative effect on the number of products sold. In addition, the steel bath market continues to lose share in the overall industry to synthetic products. Synthetic baths and shower trays now have a relatively long tradition in the country; and, in comparison to their steel counterparts, they are known for ease of installation and options for atypical shapes or a wide selection of colours. Hydromassage baths now represent only a niche market in the country and recession seemed to have exacerbated the trend away from these models. These products have always been specialised rather than being a mass-market product and, in addition, consumers increasingly prefer to equip their bathrooms with either a standard bath or a shower tray, and purchase an outdoor hot tub if they are interested in hydrotherapy.

In terms of synthetic materials, acrylic remains to be the one most commonly installed for both baths and shower trays. However, there's a clear distinction in shares between the uptake of mineral cast and/or solid surface for baths and shower trays. The penetration of other materials than acrylic for baths is still relatively low, this is largely due to the fact that unlike shower trays mineral cast or solid surface baths are several times more expensive than their acrylic counterparts and, therefore, are only commonly present in the upper/luxury price segment. The share of mineral cast within the synthetic shower tray sector, on the other hand, is already quite high as local producers (such as RAVAK or ROTH) introduced these models several years ago and heavily marketed them. For example, it is believed that over 50% of shower trays sold by RAVAK were made of mineral cast in 2020.

Although the penetration and annual sales of walk-in showers are low in the Czech Republic, uptake and consumer interest continues to grow, and is likely to accelerate further as levels of new construction and spending recover. Walk-in showers are mainly installed in mid-to-upper price range new build houses and flats, and new non-housing facilities. Walk-in showers are more readily installed in

new dwellings or buildings than in RMI applications, as the requisite drainage needed for these installations can be incorporated easily at the bathroom's design phase. As walk-in showers substitute shower trays, the rising uptake of walk-in showers could potentially hamper the growth of the shower trays market.

Prices and Market Values

The manufacturers' selling prices (MSPs) in CZK for baths and shower trays saw an increase in 2020 across the majority of products with the sole exception of steel baths. Prices for steel baths recorded a decrease that year as the share of economy priced products increased at a higher pace, mirroring the increase in share of lower priced products from Portugal and Poland. The majority of manufacturers increase their prices annually in line with inflation, commodity prices, transport costs and other factors. In this respect, 2020 was no different; however, the COVID-19 crisis created a much more competitive scene in the country which prevented manufacturers from increasing their prices further. Indeed, when looking at the price developments in EUR, prices mostly remained stable or saw a slight decrease, this was largely caused by the weakening local currency in the first three quarters of the year. Despite the pandemic, supply structure and distribution did not see large differences in 2020, such as an influx of cheaper products, which would additionally have a greater effect on the evolution of prices.

In line with the development of sales, total value of the Czech bath and shower tray market decreased in 2020. The strongest proportion of the market value continued to be generated by synthetic baths and shower trays in 2020, thanks to their popularity and strong annual volume sales.

New Housing

The new housing sector remains to be an important driver and indicator of growth for the overall bath and shower tray market. Between 2015 and 2019, the new housing has fared quite well with steady increase of total completions every year which, in turn, benefited sales of bathroom products. In 2020, a reversal of this trend was seen, and demand plummeted largely due to the decrease in completions of apartments. Although construction activities remained largely unaffected by the COVID-19 crisis, the economic uncertainties surrounding the situation resulted in larger projects being paused as investments waned. However, the forecast for the new housing is likely to be positive post-2020 as demand for housing is still strong, particularly in major urban areas. Indeed, the relatively high number of apartment and house starts in 2019-2020, as well as a considerably large number of dwellings being under construction, is expected to guarantee the increase of sales going into this sector over the forecast years.

Despite the trend towards showering, the number of baths sold in new housing remains significant, especially in family houses. The majority of apartments, on the other hand, tend to be installed with showers. In terms of product mix, synthetic products (both baths and shower trays) comprise the bulk of new build installations, as they are favoured by contractors and developers for their low cost, light weight

and the wide range of models available. To a lesser extent, steel baths and shower trays are also installed in this segment, especially in installations in which the contractor is less concerned with initial cost than product lifespan and maintenance costs. Ceramic shower trays nowadays remain relatively rare in new dwellings, due to their high price point. Only a marginal number of hydromassage baths are installed in the new housing sector.

Housing RMI

Due to the high maturity of the Czech baths and shower trays market, the housing RMI segment accounts for the majority of annual sales. The housing RMI segment is clearly the main end-use segment for baths, due to the high number of baths originally installed in *paneláky* (pre-fabricated 'panel houses' built after the Second World War) that require regular replacement and, given that shower trays have been present on the Czech market for several decades now, these also see steady levels of replacement.

Furthermore, the housing RMI segment is also the end-use segment with the most diverse product mix, encompassing both historic like-for-like replacements (steel baths and shower trays, ceramic shower trays and a very small number of cast iron baths) and substitution trends (synthetic baths and shower trays). The housing RMI segment is very likely to remain a key source of bath and shower tray demand, not only due to the maturity of the market but also as this segment sees fewer installations from wet rooms than the new housing and non-housing segments, due to the difficulty and expense associated with retrofitting an existing bathroom with a wet room's required drainage and tiling.

The overall housing RMI uptake of baths declined in 2020 as private consumption and housing transactions were negatively affected by the COVID-19 crisis. Indeed, while lockdowns and the inability to travel motivated many individual house owners to renovate their homes, larger projects (such as full-scale apartment block renovations) were postponed, leading to ultimate decline in this sector. It is, however, worth noting that sales of synthetic shower trays managed to increase slightly in housing RMI, as the trend towards showering continues.

Non-Housing

Baths and shower trays are most commonly installed in hotels in the non-housing sector. The gradual shift towards showering in non-housing, which has been observed in recent years, continued in 2020 and is projected to remain at moderate levels over the forecast period. As mentioned earlier, the non-housing construction (both renovations and new build) was the worst affected end-use segment during the COVID-19 crisis, with the hotel industry particularly taking a hard hit. This in turn resulted in a sharp drop in sales and it is anticipated that levels of investment will remain subdued in 2021. Recovery of sales is likely to start from 2022 as tourism returns. Most of the demand in the non-housing sector is for synthetic models, and it is expected to remain this way in the near future. The non-housing segment is also an important source of demand for hydromassage baths, due to

the installations in hotels, care homes, spas and other wellness facilities.

Supply Structure

The domestic manufacturer RAVAK remained the leading player in the synthetic baths market in 2020, followed by TEIKO, another domestic manufacturer. The Czech wholesaler SIKO also plays an important role on the market with its brand LAGUNA, which is an OEM product imported from Poland. Other synthetic bath suppliers include RIHO and ROTH (formerly ROLTECHNIK). ROLTECHNIK (with its ROLTECHNIK and SANIPRO brands) was acquired by the German ROTH INDUSTRIES in 2016 and at the beginning of 2020 ROLTECHNIK was renamed ROTH CZECH, likewise rebranding all their products to ROTH.

There is no domestic manufacturer of steel baths and shower trays present in the Czech Republic. The supply of steel baths is being led by ROCA with its brands JIKA, ROCA and LAUFEN, which are sourced from BLB and then rebranded for the Czech market, with JIKA being the most commonly found. These products tend to be targeting the economy price segment. Another major supplier is the German KALDEWEI, which targets middle and upper price segments. The remainder of the market is believed to be mainly Polish OEM imports.

The ceramic shower trays market is led by the Italian KERASAN, followed by the local JIKA, part of the ROCA GROUP. Other players include KOLO, HOPA and IDEAL STANDARD. Steel shower trays are supplied mainly by JIKA and KALDEWEI. The Czech HOPA is offering the Italian AZZURRA shower trays.

Local manufacturer RAVAK continued to hold the highest share within the synthetic shower trays market in 2020. The Czech wholesaler SIKO, with its brands MULTI, LAGUNA and SIKO, holds the second largest share and saw its share increase at a relatively high pace over the last 6 years. As with their synthetic baths, the products are believed to be sourced from Poland. ROTH (previously ROLTECHNIK and SANIPRO brands) is the third largest seller in the market. Due to internal restructuring of the company, their shares have decreased over the past few years. The rest of the market is quite fragmented with many players present, such as SANSWISS, RIHO, HOPA and others.

The hydromassage baths market is strongly represented by imports coming from Asian manufacturers. Despite the growing share of mostly cheap imports, there are still some well-established domestic producers in the market, such as SANOTECHNIK, TEIKO, RIHO, ARTTEC and ROTH.

Forecasts

After the slump in sales in 2020, the overall bath and shower trays market is anticipated to resume growth in 2021, although full recovery of lost sales is unlikely. The total number of residential completions is expected to grow for both apartments and family houses, which should in turn ensure steady demand for bathroom products. Private consumption should also rebound, but only to a limited

extent and so housing RMI should see only a mild increase. Current trends in the country should be consistent with those seen in previous years as shower trays continue to take up sales from baths. Indeed, due to this trend, the recovery of sales for baths is projected to be limited to only synthetic models while steel and hydromassage bath sales will continue to drop in 2021. This overall growth of the bath and shower trays market is estimated based upon a relatively positive scenario in regard to vaccination rollout and, therefore, further complications and spread of COVID-19 could again slow down the construction sector in 2021.

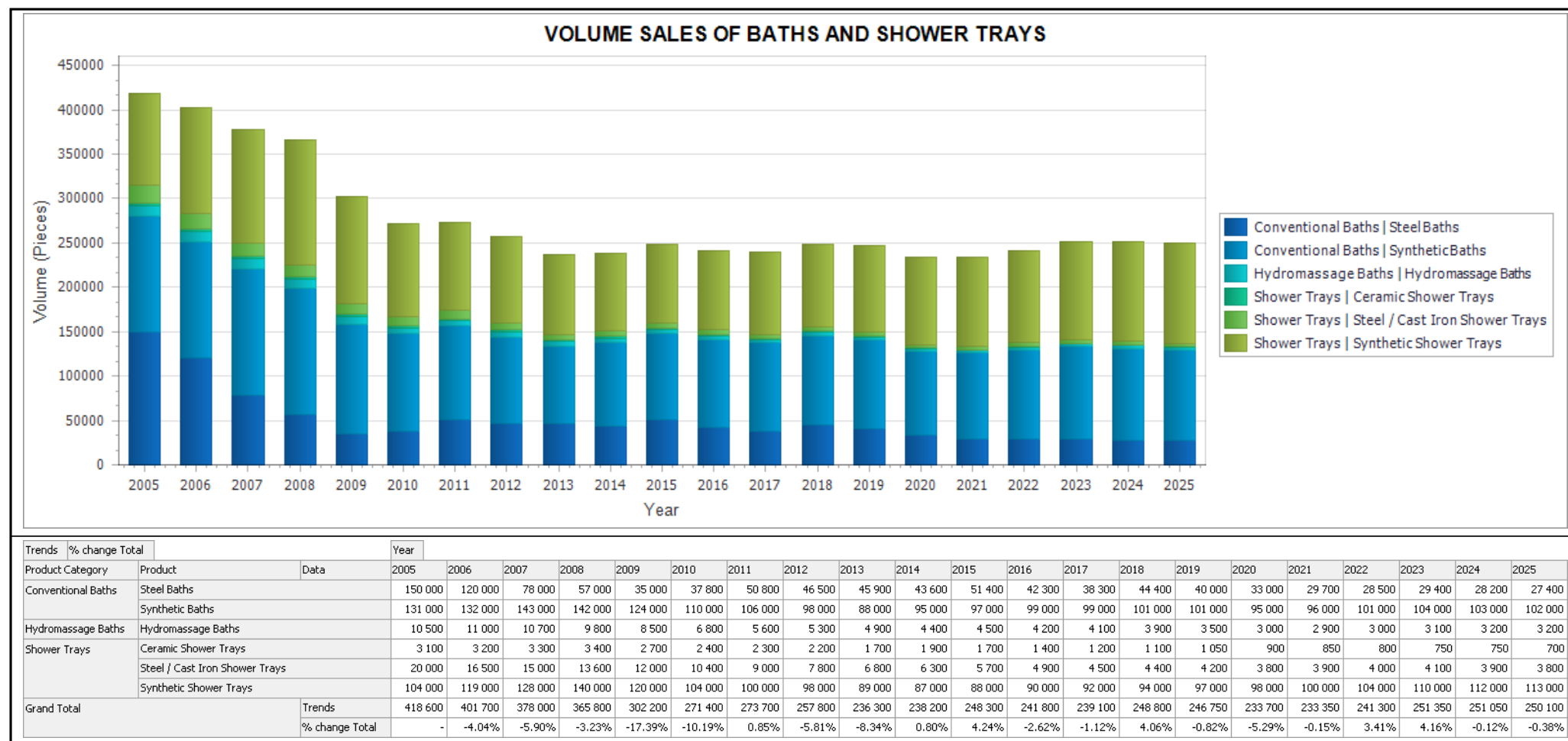
In the mid to long term, shower trays should continue to gain share on the overall market as their penetration within new housing rises and, additionally, conversions from baths to showers in housing RMI (particularly in apartment blocks) continue to accelerate. This should largely boost the sales of synthetic shower trays, while ceramic and steel/cast iron models are likely to remain quite niche in the country. The new housing segment should remain one of the main drivers for the expansion of the market, with apartment completions expected to be growing between 2021 and 2025, which should help further boost shower tray sales. Baths, on the other hand, are likely to rely more on replacement sales in the long term as their total share in new housing and non-housing decreases.

It is worth mentioning that the shower trays market might face tougher competition from wet rooms over the forecast period, mainly in the new housing and non-housing segments, which could potentially hamper their sales. As mentioned before, the recovery of the new housing segment should play an important role in the evolution of the overall baths and shower trays market. However, the great importance of housing RMI is not predicted to be diminished. Indeed, the high number of dwellings in need of renovation, especially in blocks of flats, should ensure steady demand for baths and shower trays alike.

Share of solid surface and especially mineral cast models for both baths and shower trays is expected to rise further over the forecast, with solid surface likely to be the majority of sales for shower trays in the next few years and more and more companies introduce more of these models on the market. The development of the hydromassage baths market over the forecast period is predicted to be largely consistent with that seen in recent years. The overall positive trend that was experienced in the 1990s is unlikely to return over the forecast years, and it is possible that the market has now reached its annual 'base level', with annual sales of around 3,000 pieces.

1.2 Historical Trends and Forecasts

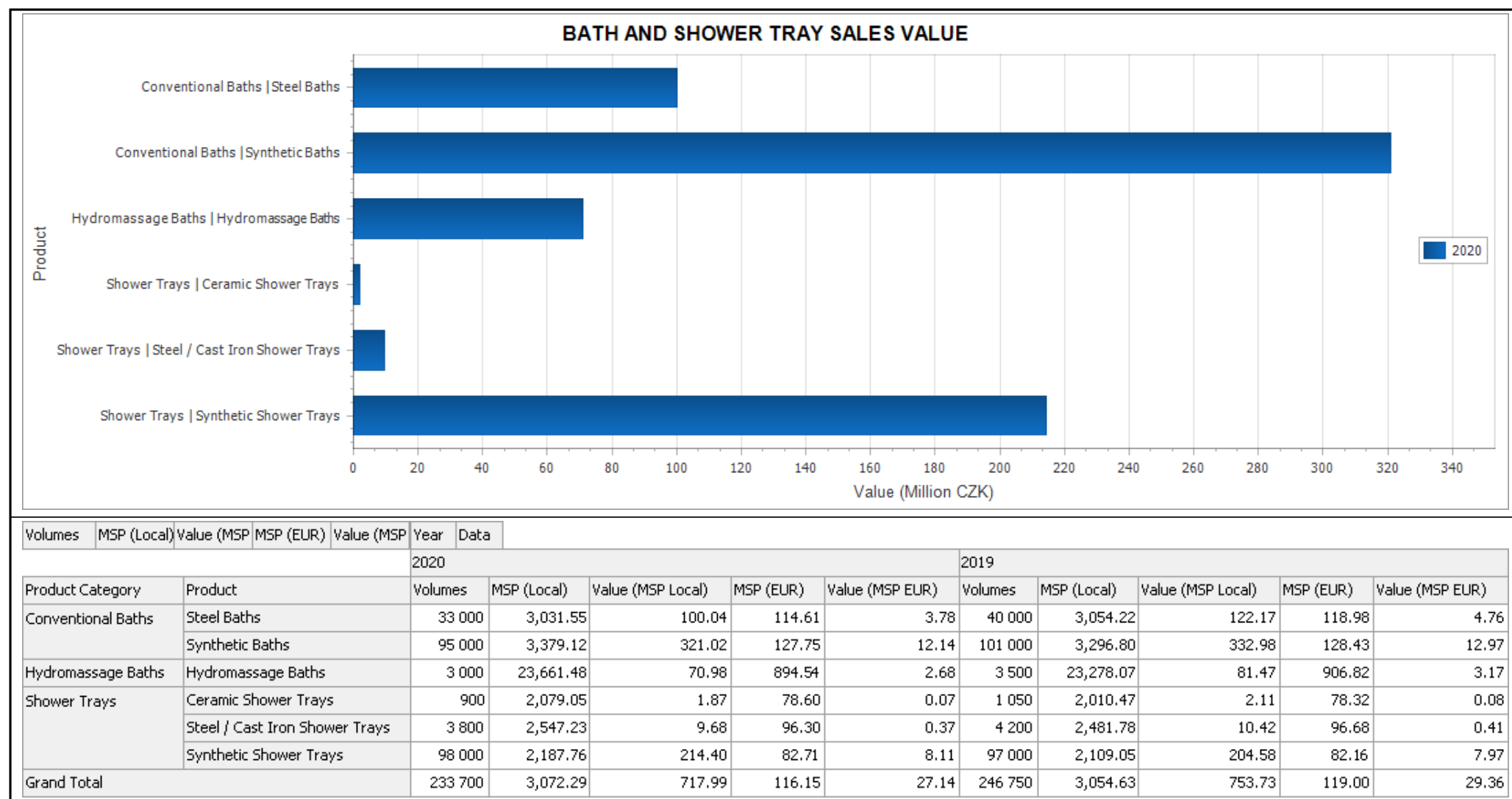
CZ - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

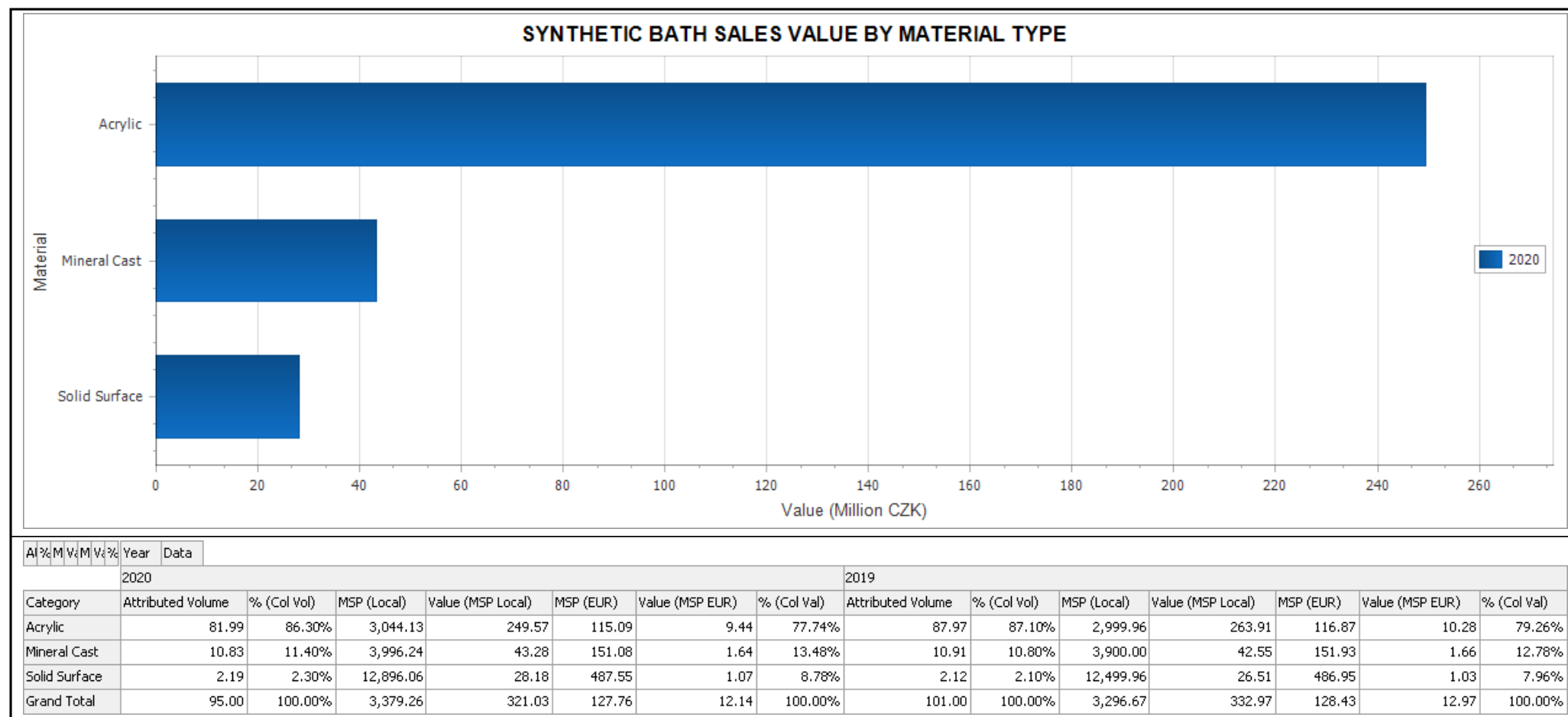
CZ - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices Shown in CZK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.2 Prices and Market Values : Synthetic Baths

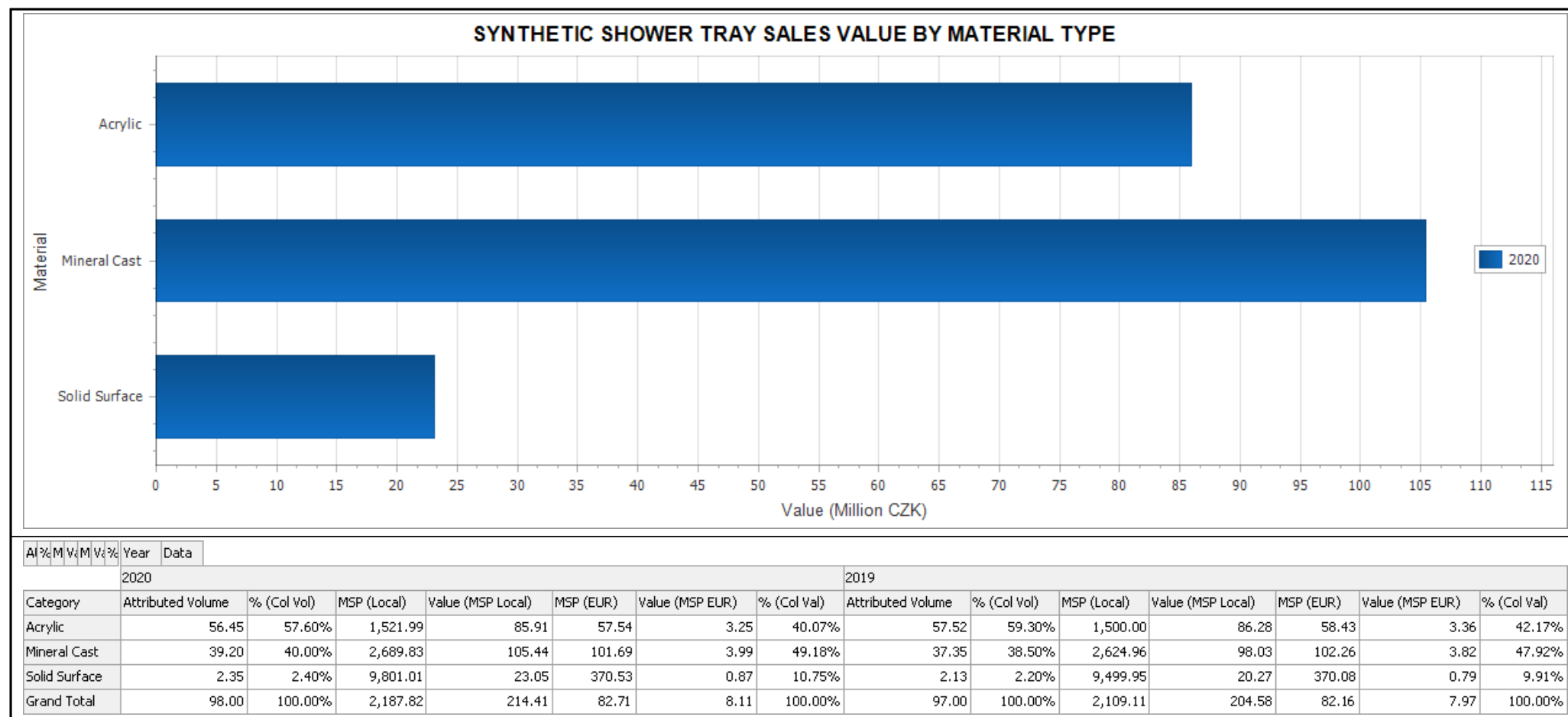
CZ - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CZK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Prices and Market Values : Synthetic Shower Trays

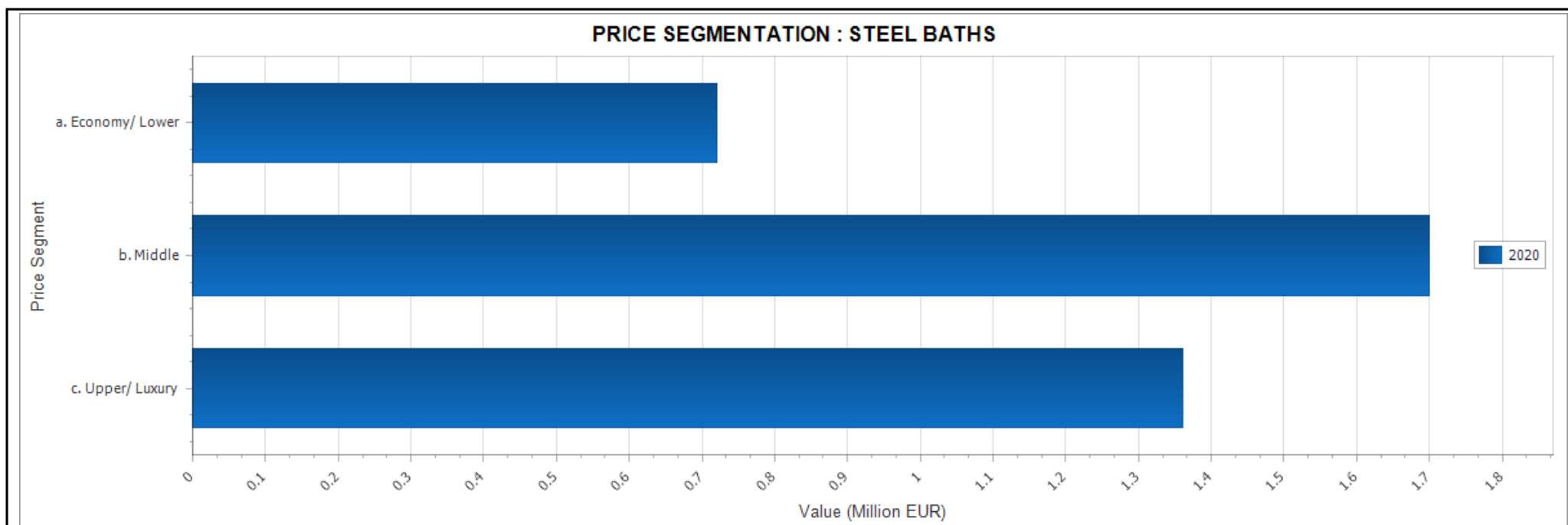
CZ - ESTIMATED VALUES OF THE SYNTHETIC SHOWER TRAYS MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CZK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.4 Price Segmentation : Steel Baths

CZ - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS



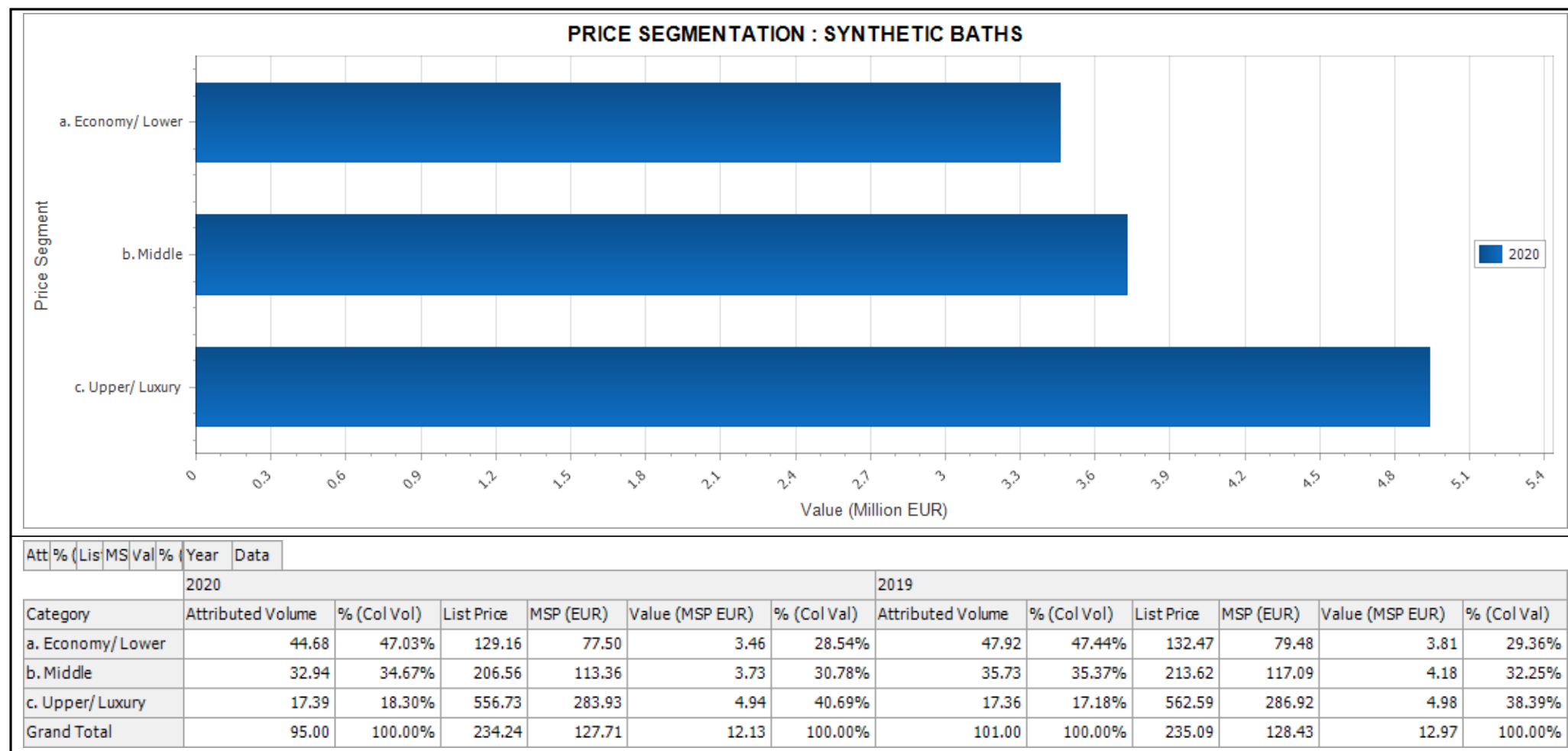
Att	% (List MS)	Val	% (Col Val)	Year	Data								
2020						2019							
Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
a. Economy/ Lower	16.67	50.52%	71.73	43.04	0.72	18.97%	19.42	48.55%	71.09	42.65	0.83	17.40%	
b. Middle	11.94	36.18%	259.05	142.48	1.70	44.97%	14.66	36.66%	259.23	142.58	2.09	43.93%	
c. Upper/ Luxury	4.39	13.30%	609.26	310.72	1.36	36.06%	5.92	14.80%	609.70	310.95	1.84	38.67%	
Grand Total	33.00	100.00%	210.99	114.61	3.78	100.00%	40.00	100.00%	219.75	118.98	4.76	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.5 Price Segmentation : Synthetic Baths

CZ - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

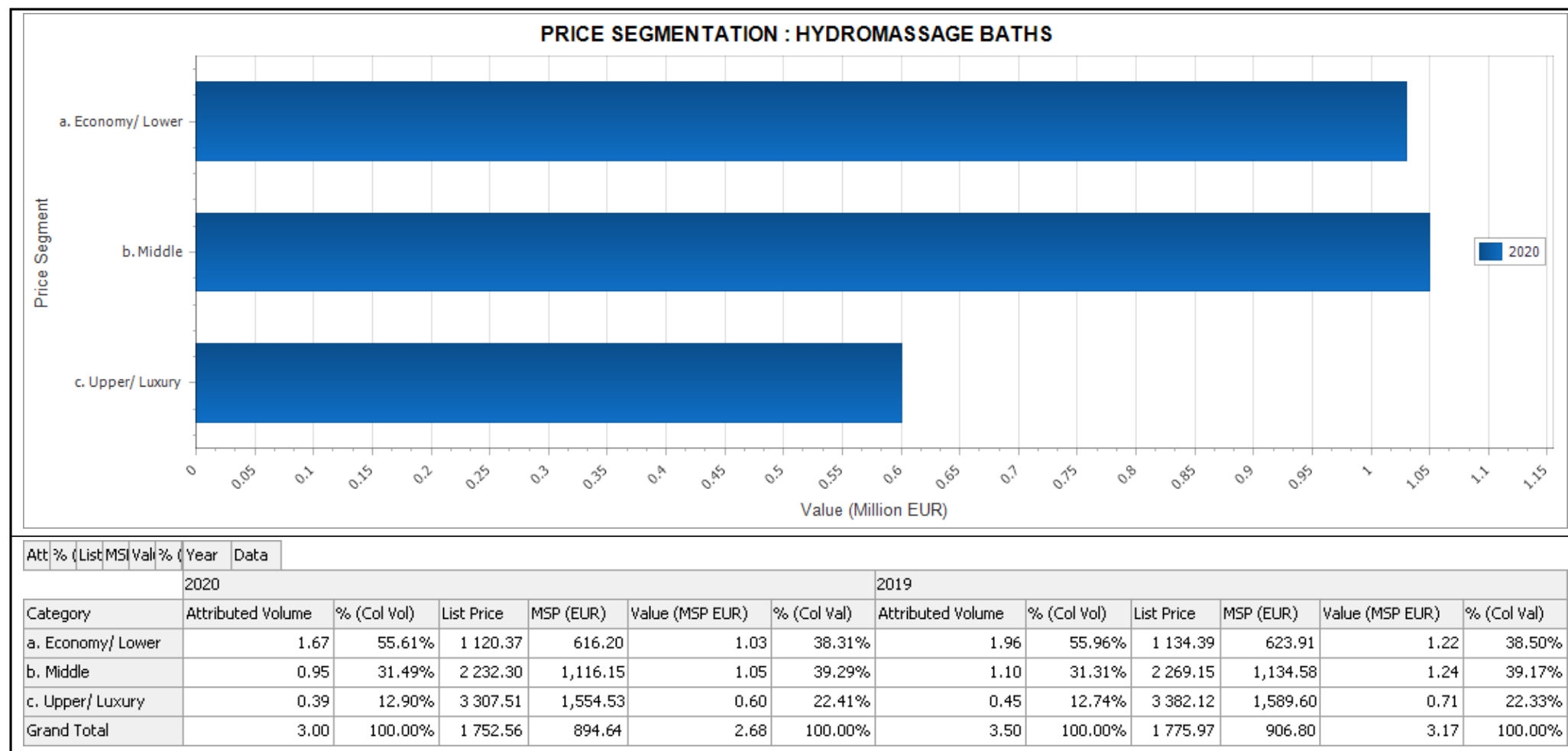


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.6 Price Segmentation : Hydromassage Baths

CZ - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

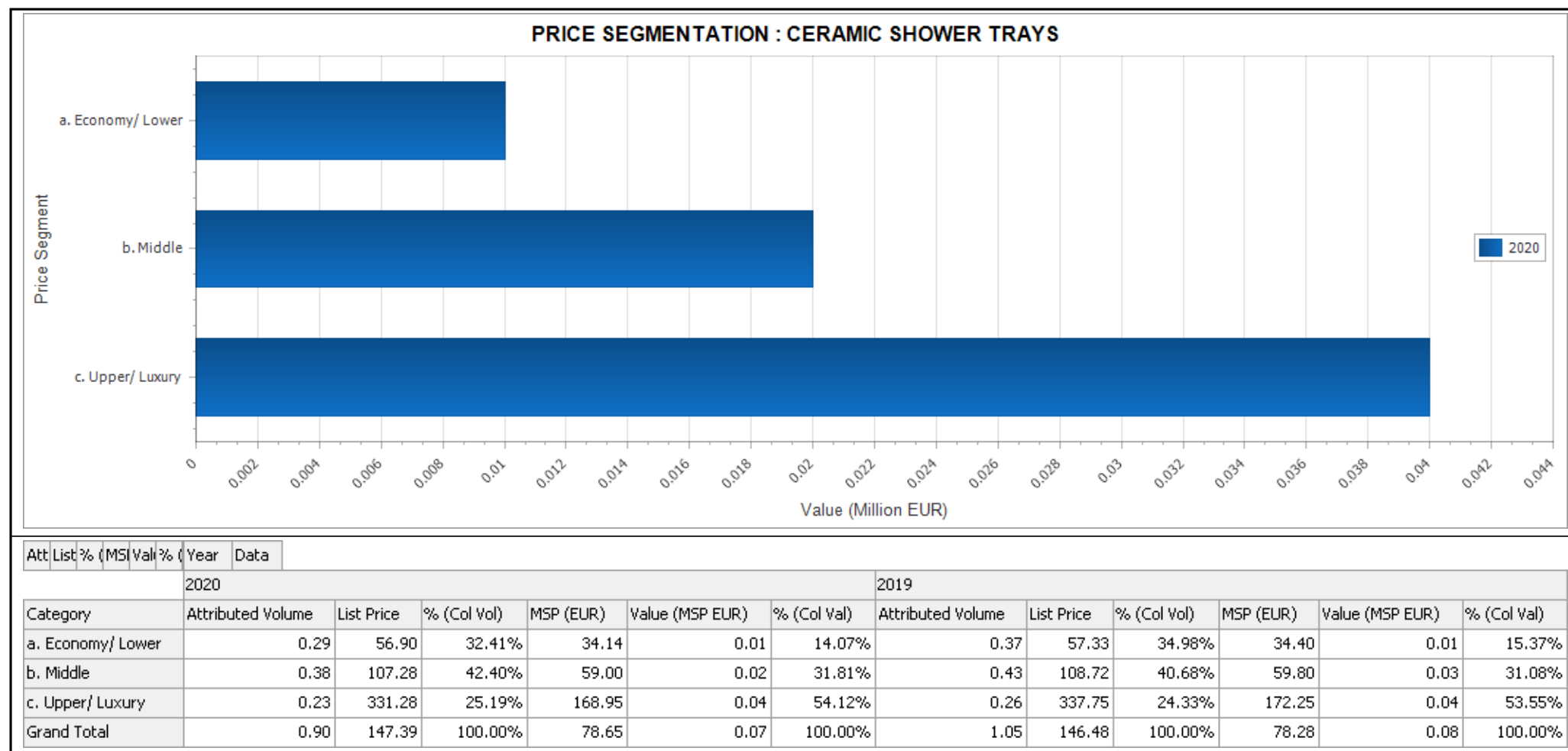


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€700, Middle €700-€1,400, Upper/ Luxury >€1,400

1.3.7 Price Segmentation : Ceramic Shower Trays

CZ - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

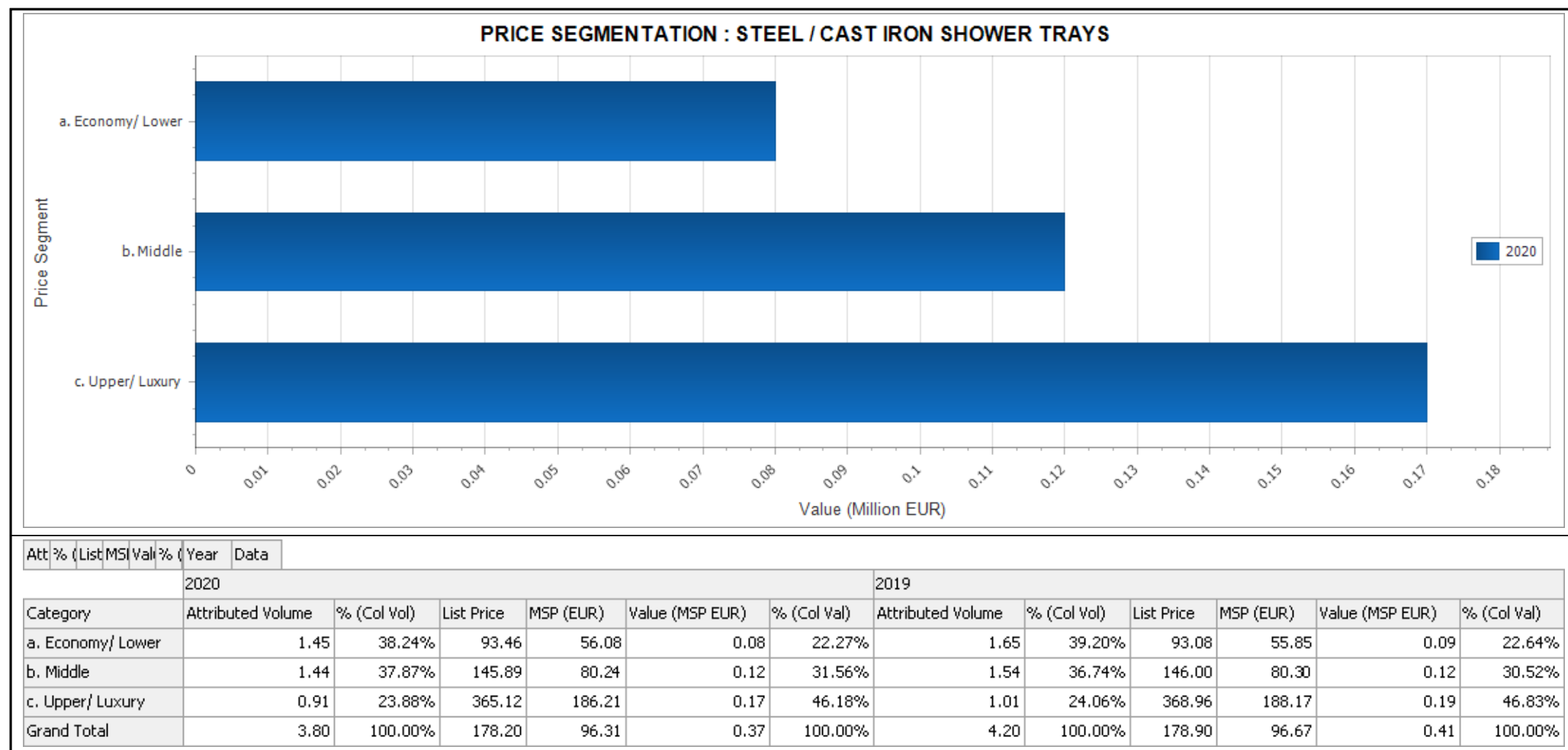


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

1.3.8 Price Segmentation : Steel/ Cast Iron Shower Trays

CZ - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

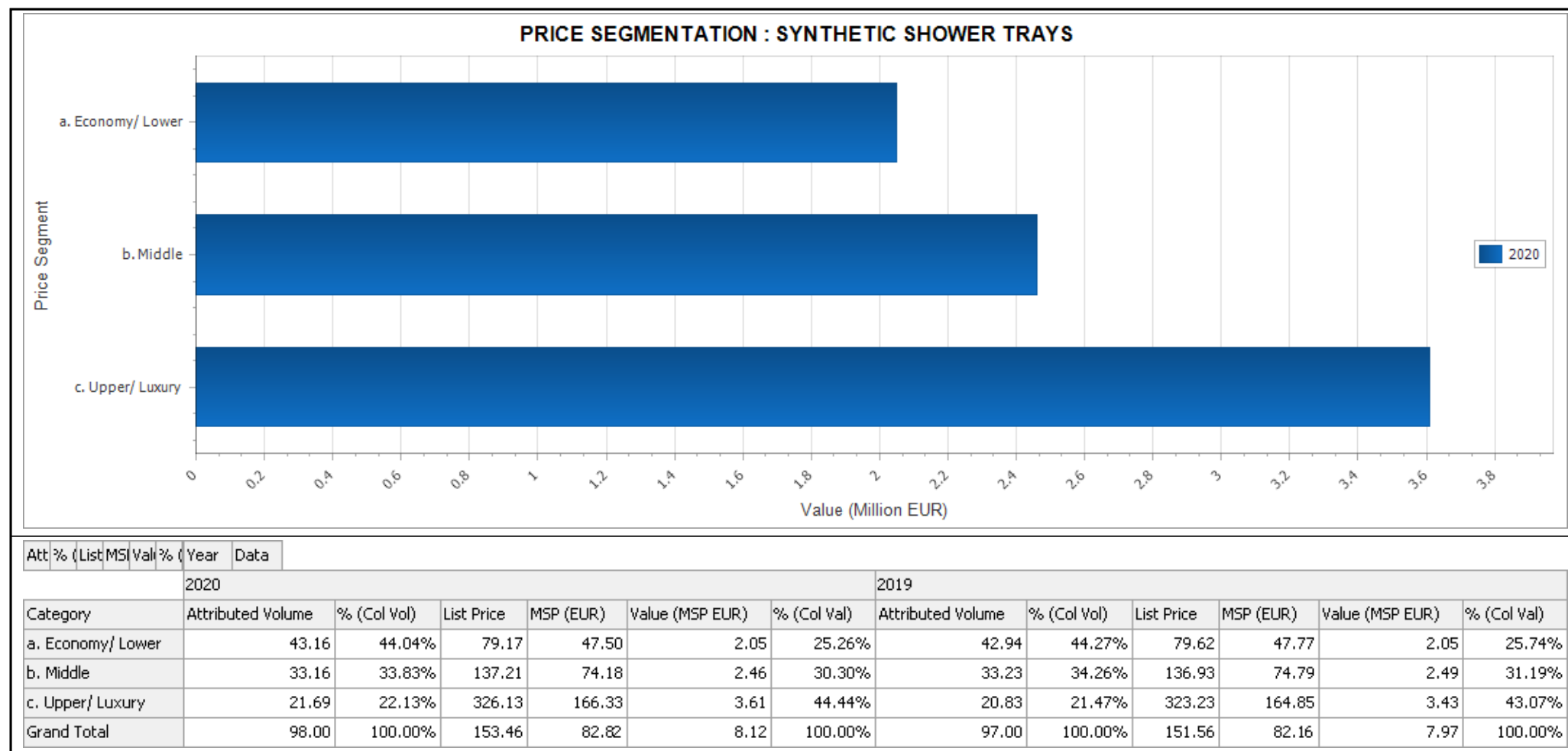


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

1.3.9 Price Segmentation : Synthetic Shower Trays

CZ - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

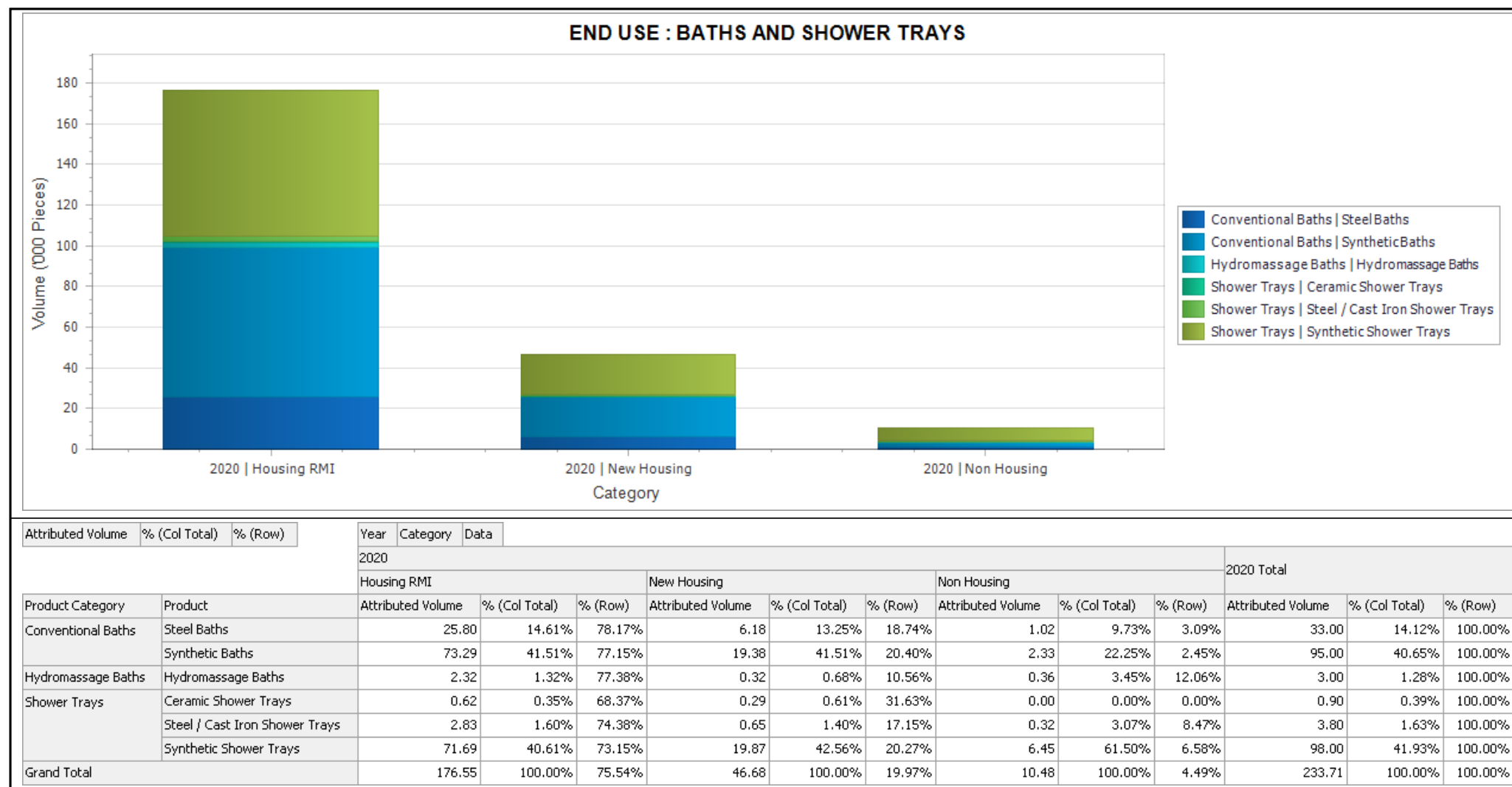


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.4.1 End Use : Base Year

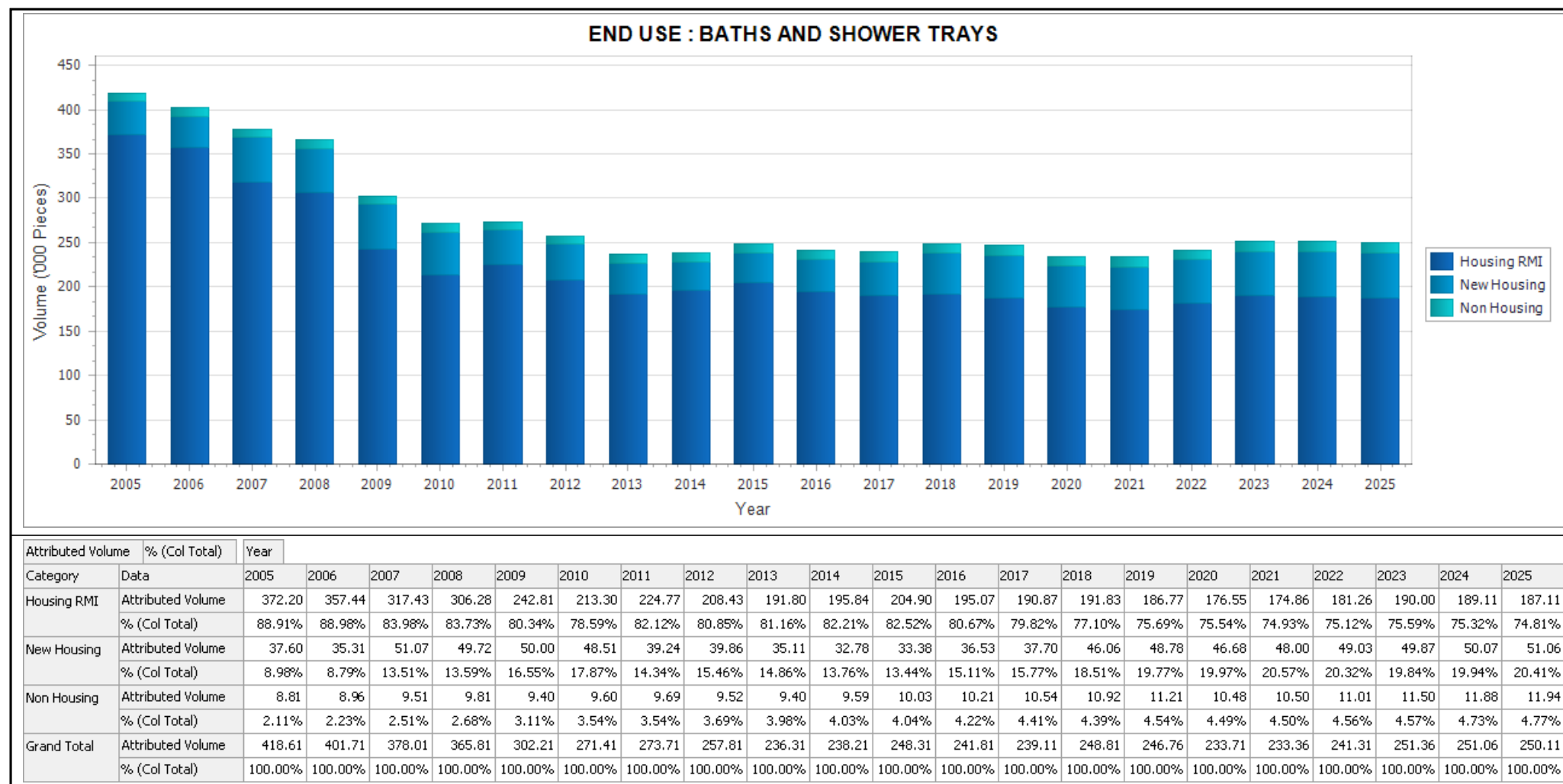
CZ - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

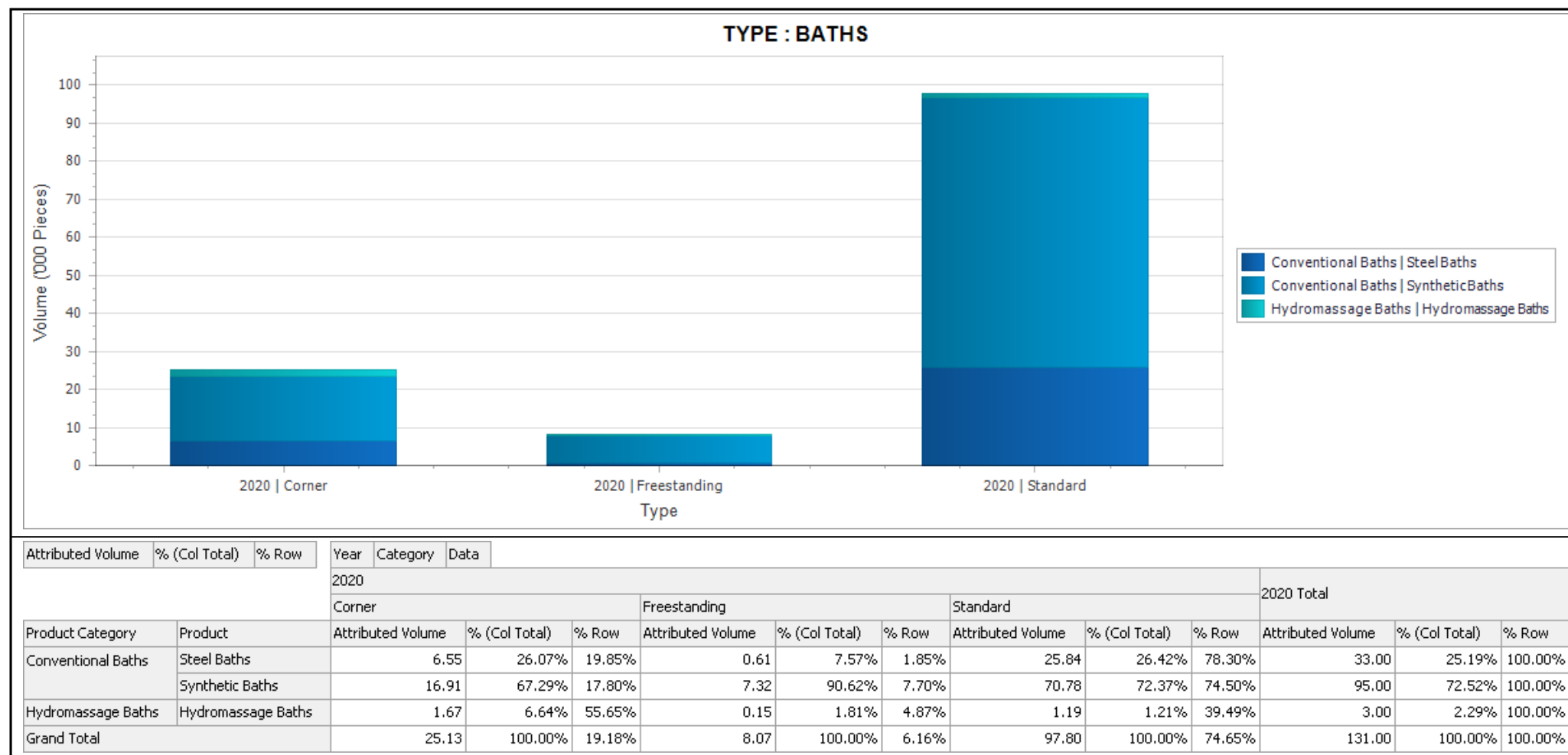
CZ - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

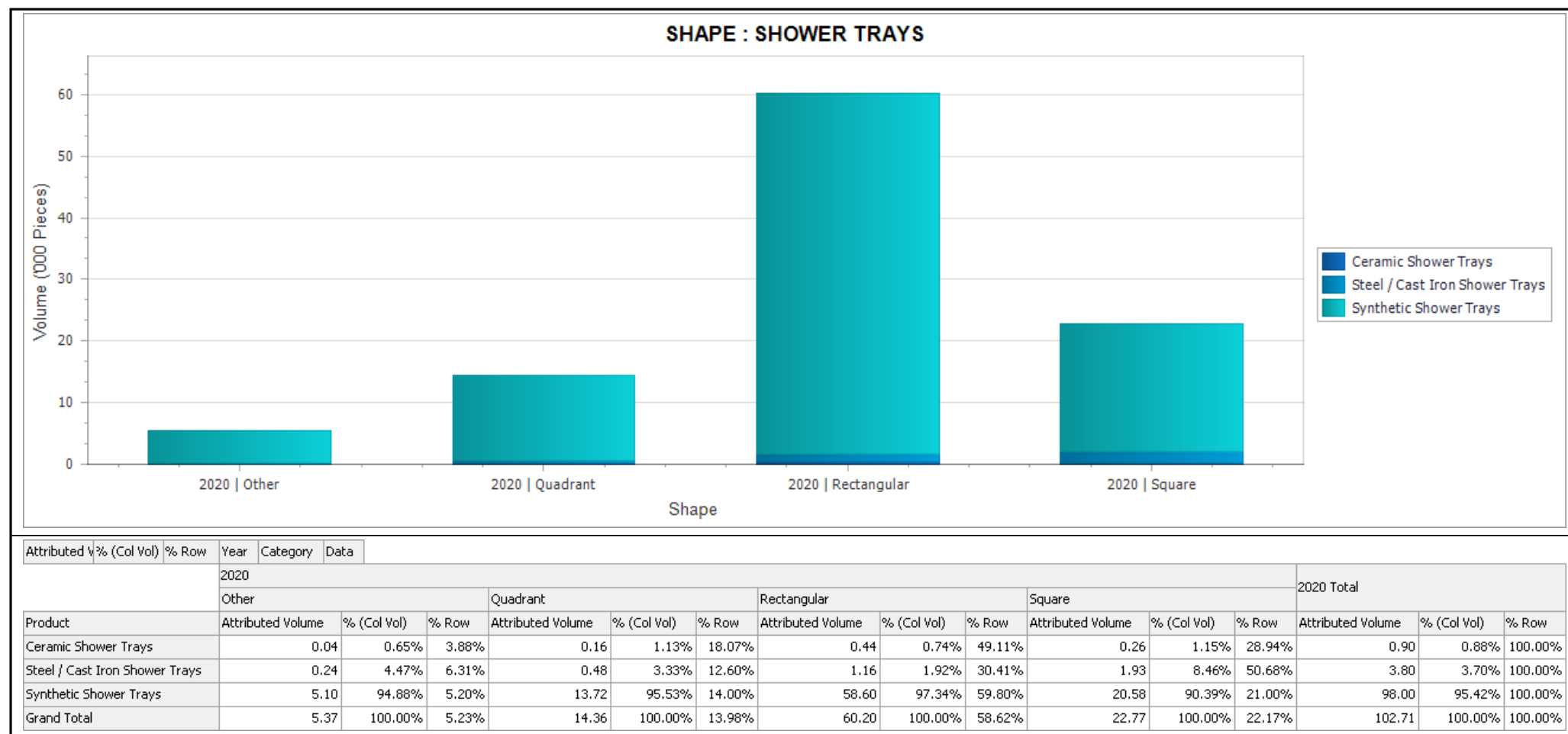
CZ - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

1.4.4 Sales by Shape : Shower Trays

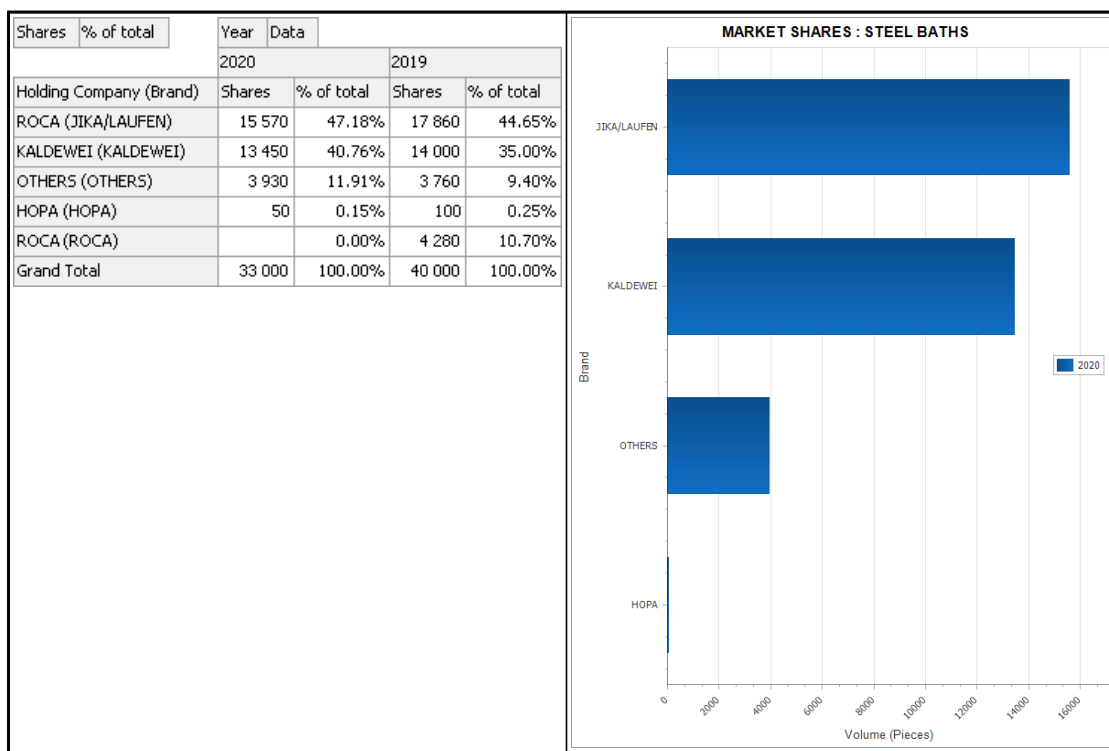
CZ - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

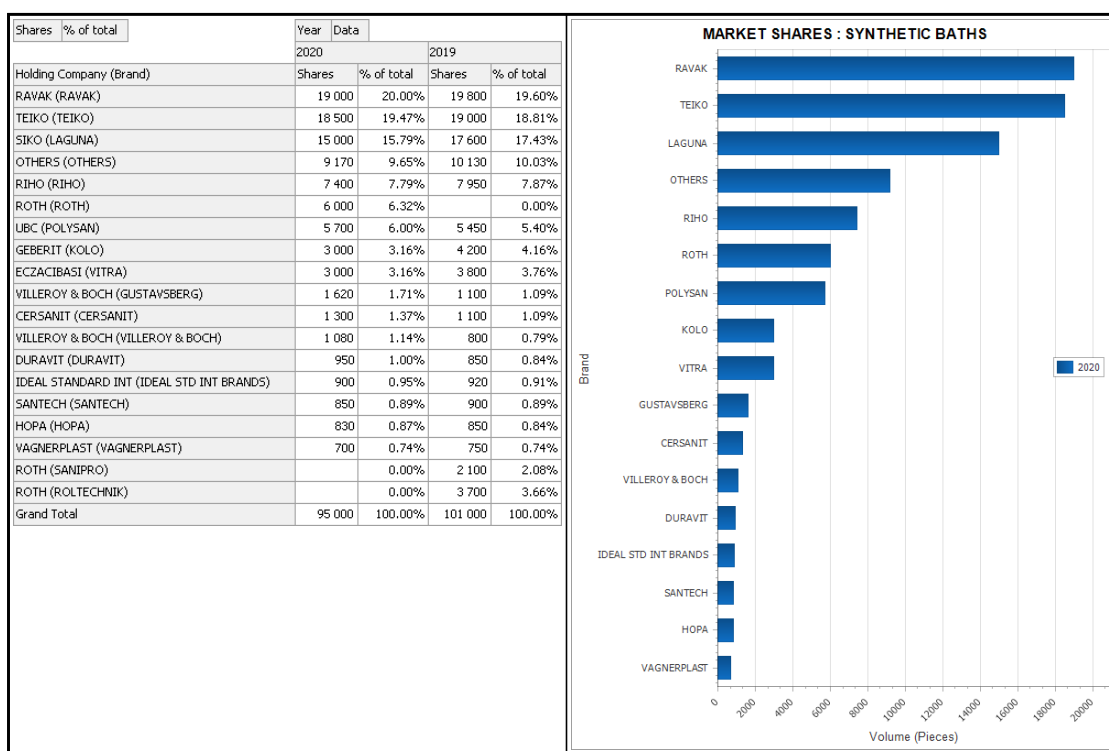
CZ - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

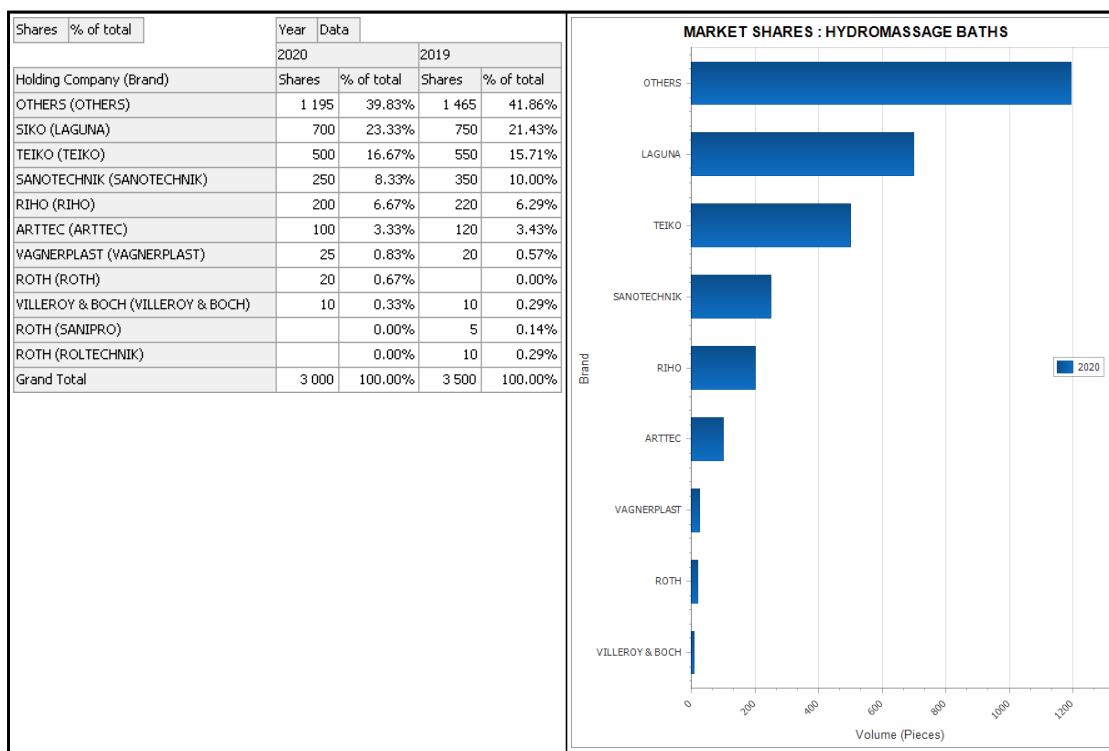
CZ - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

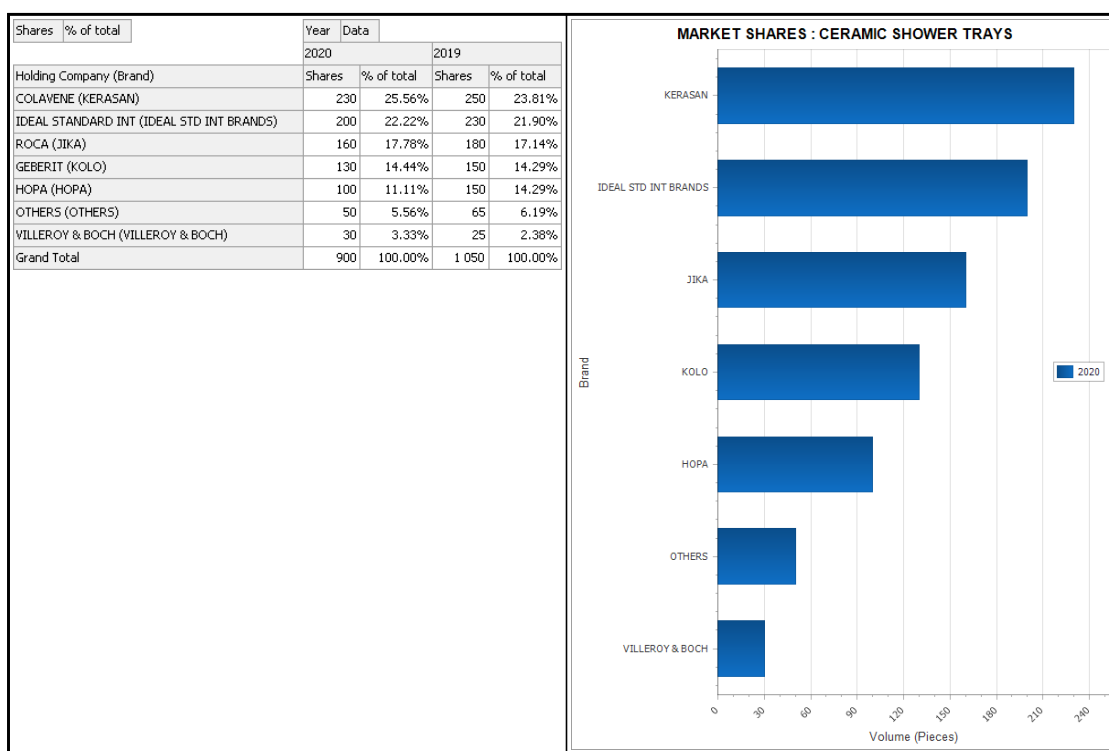
CZ - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Ceramic Shower Trays

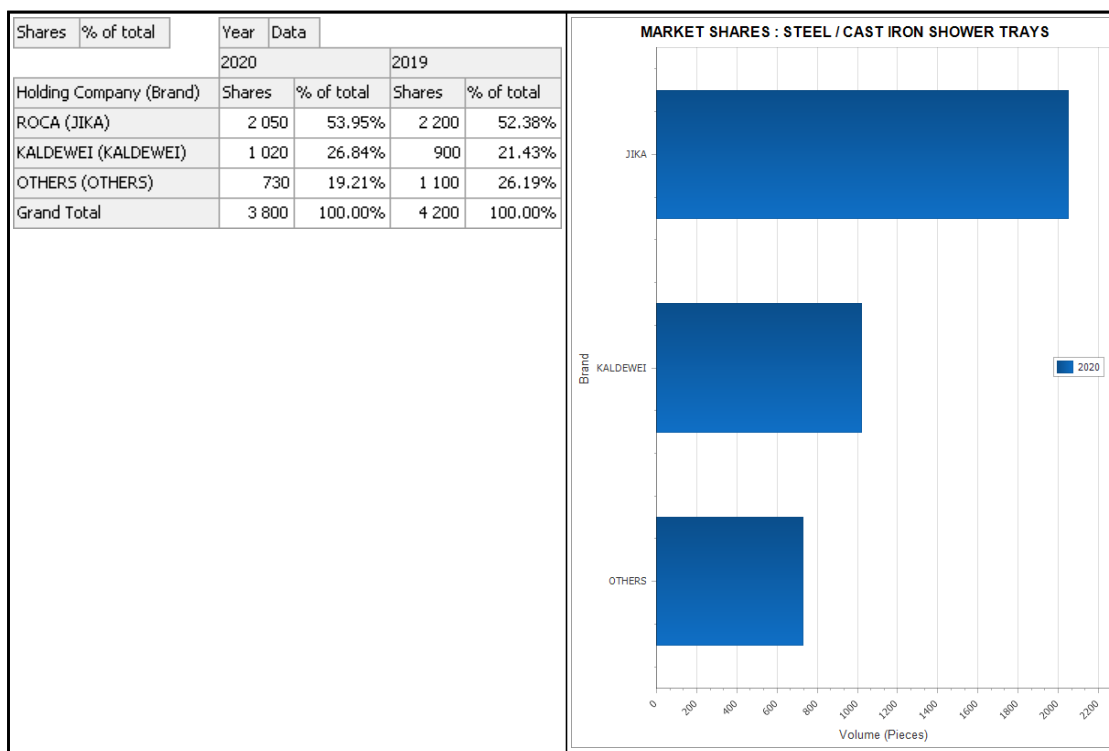
CZ - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.5 Market Shares : Steel / Cast Iron Shower Trays

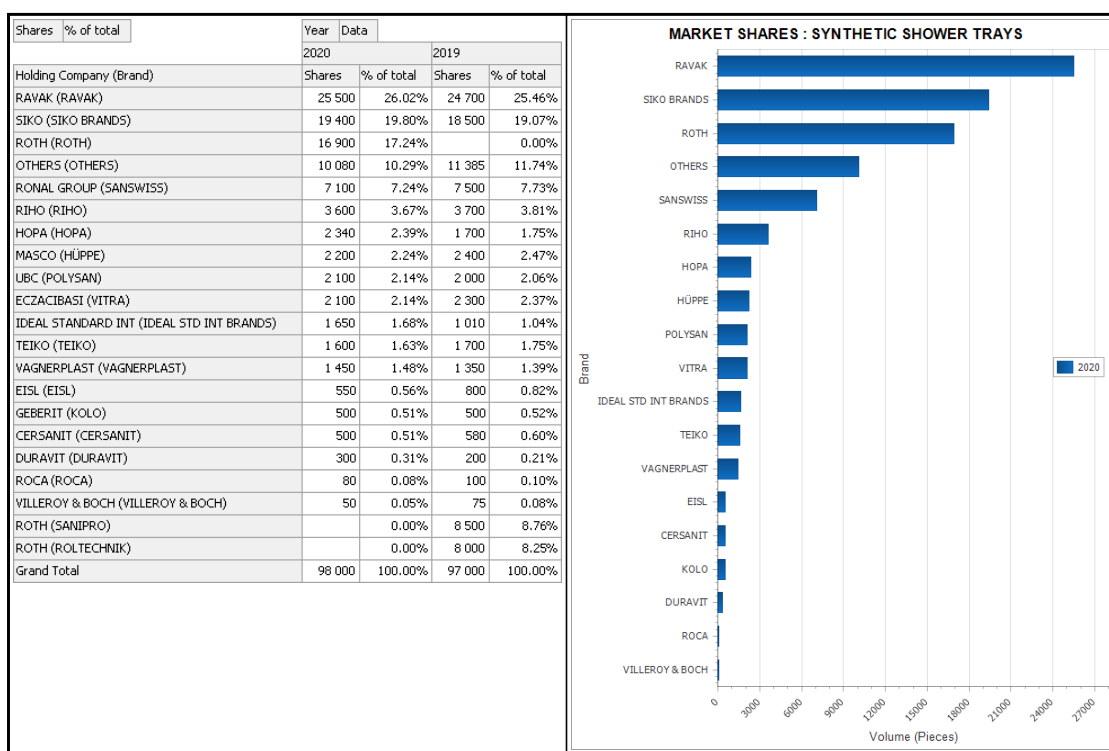
CZ - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.6 Market Shares : Synthetic Shower Trays

CZ - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 CZ - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	95	57.5%	319	73.8%	90	52.5%	305	68.8%
Portugal	65	39.3%	103	23.8%	58	33.4%	87	19.6%
Spain	4	2.3%	7	1.6%	22	12.7%	43	9.7%
OTHERS	1	0.9%	3	0.7%	3	1.5%	8	1.8%
Total	165	100.0%	432	100.0%	172	100.0%	443	100.0%

Source : Trademap

1.6.2 CZ - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Slovakia	48	58.1%	146	71.6%	69	54.5%	195	69.9%
Norway	20	24.2%	30	14.7%	20	16.1%	29	10.4%
Denmark	10	11.7%	21	10.3%	21	16.9%	36	12.9%
Germany	3	3.3%	4	2.0%	0	0.1%	0	0.0%
Hungary	2	2.1%	3	1.5%	1	0.8%	1	0.4%
OTHERS	1	0.7%	0	0.0%	15	11.6%	18	6.5%
Total	82	100.0%	204	100.0%	127	100.0%	279	100.0%

Source : Trademap

1.6.3 CZ - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	329	34.1%	1 654	60.9%	321	30.1%	1 521	56.9%
Portugal	320	33.1%	447	16.5%	367	34.4%	510	19.1%
United Kingdom	167	17.3%	178	6.6%	116	10.9%	122	4.6%
Spain	117	12.1%	267	9.8%	107	10.1%	209	7.8%
Italy	22	2.3%	51	1.9%	23	2.1%	49	1.8%
OTHERS	12	1.2%	119	4.4%	133	12.5%	262	9.8%
Total	966	100.0%	2 716	100.0%	1 067	100.0%	2 673	100.0%

Source : Trademap

1.6.4 CZ - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Slovakia	173	44.1%	443	47.7%	213	49.0%	584	54.8%
Ukraine	69	17.6%	81	8.7%	81	18.6%	105	9.9%
Germany	26	6.6%	132	14.2%	21	4.8%	92	8.6%
Hungary	24	6.0%	65	7.0%	21	4.8%	54	5.1%
Denmark	22	5.7%	42	4.5%	18	4.1%	35	3.3%
China	19	5.0%	41	4.4%	20	4.6%	47	4.4%
Russian Federation	18	4.6%	34	3.7%	21	4.9%	60	5.6%
Croatia	9	2.3%	23	2.5%	2	0.4%	4	0.4%
Cyprus	8	2.2%	31	3.3%	6	1.5%	19	1.8%
Austria	6	1.5%	18	1.9%	4	0.9%	14	1.3%
OTHERS	17	4.3%	18	1.9%	27	6.3%	51	4.8%
Total	391	100.0%	928	100.0%	434	100.0%	1 065	100.0%

Source : Trademap

1.6.5 CZ - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Poland	2 282	55.2%	8 590	42.4%	3 230	29.5%	9 666	50.7%
China	413	10.0%	1 401	6.9%	345	3.2%	1 109	5.8%
Germany	289	7.0%	2 462	12.1%	2 437	22.2%	2 256	11.8%
Slovenia	258	6.2%	1 253	6.2%	38	0.3%	213	1.1%
Hungary	230	5.6%	2 114	10.4%	98	0.9%	978	5.1%
Slovakia	112	2.7%	838	4.1%	3 240	29.6%	534	2.8%
Turkey	97	2.3%	298	1.5%	109	1.0%	356	1.9%
Austria	88	2.1%	343	1.7%	137	1.3%	413	2.2%
Netherlands	84	2.0%	932	4.6%	127	1.2%	1 234	6.5%
Italy	58	1.4%	780	3.8%	840	7.7%	618	3.2%
Serbia	56	1.4%	161	0.8%	47	0.4%	151	0.8%
OTHERS	171	4.1%	1 107	5.5%	308	2.8%	1 548	8.1%
Total	4 137	100.0%	20 279	100.0%	10 957	100.0%	19 076	100.0%

Source : Trademap

1.6.6 CZ - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 050	21.8%	6 382	22.8%	808	17.8%	5 490	21.0%
Hungary	593	12.3%	2 837	10.1%	574	12.6%	2 820	10.8%
Slovakia	575	12.0%	4 462	15.9%	536	11.8%	4 000	15.3%
Netherlands	499	10.4%	1 858	6.6%	412	9.1%	1 486	5.7%
Ukraine	402	8.4%	1 625	5.8%	387	8.5%	1 639	6.3%
Russian Federation	383	8.0%	1 858	6.6%	337	7.4%	1 691	6.5%
Poland	300	6.2%	1 496	5.3%	340	7.5%	1 675	6.4%
United Kingdom	214	4.4%	1 665	5.9%	270	6.0%	1 446	5.5%
Lithuania	197	4.1%	1 178	4.2%	201	4.4%	1 152	4.4%
France	132	2.7%	1 464	5.2%	198	4.4%	1 488	5.7%
Romania	59	1.2%	476	1.7%	53	1.2%	344	1.3%
OTHERS	406	8.4%	2 697	9.6%	421	9.3%	2 939	11.2%
Total	4 810	100.0%	27 998	100.0%	4 537	100.0%	26 170	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
CZ - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

81.4%
Wholesalers / Merchants
81.4%

Retail Level

Manufacturer	Wholesaler
3.0%	4.0%
Internet Retailers	
7.0%	

Manufacturer	Wholesaler
5.5%	13.5%
DIY Retailers	
19.0%	

Manufacturer	Wholesaler
6.0%	6.2%
Specialist Retailers	
12.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.9%	29.0%	2.0%	5.0%	9.4%
Installers				
49.3%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	27.8%	4.4%	13.6%	2.5%	48.9%
Residential					
97.2%					

New Build			Residential RMI		
19.8%			77.4%		
Project	Non-Project		Project	Non-Project	
19.0%	0.8%		15.0%	62.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.9%	0.6%	0.4%	0.3%	0.4%
Non-Residential					
2.8%					

New Build			Non-Residential RMI		
0.6%			2.2%		
Project	Non-Project		Project	Non-Project	
0.6%	0.0%		2.0%	0.2%	

1.7.2

Route to Market: Baths
CZ - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

83.0%
Wholesalers / Merchants
83.0%

Retail Level

Manufacturer	Wholesaler
3.5%	5.0%
Internet Retailers	
8.5%	

Manufacturer	Wholesaler
4.0%	14.0%
DIY Retailers	
18.0%	

Manufacturer	Wholesaler
6.5%	6.8%
Specialist Retailers	
13.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.9%	29.0%	2.3%	4.7%	10.2%
Installers				
49.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	27.3%	5.5%	12.9%	2.8%	48.4%
Residential					
96.9%					

New Build			Residential RMI		
20.0%			76.9%		
Project	Non-Project		Project	Non-Project	
19.1%	0.9%		17.0%	59.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.9%	0.7%	0.4%	0.3%	0.7%
Non-Residential					
3.1%					

New Build			Non-Residential RMI		
1.0%			2.1%		
Project	Non-Project		Project	Non-Project	
1.0%	0.0%		1.8%	0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

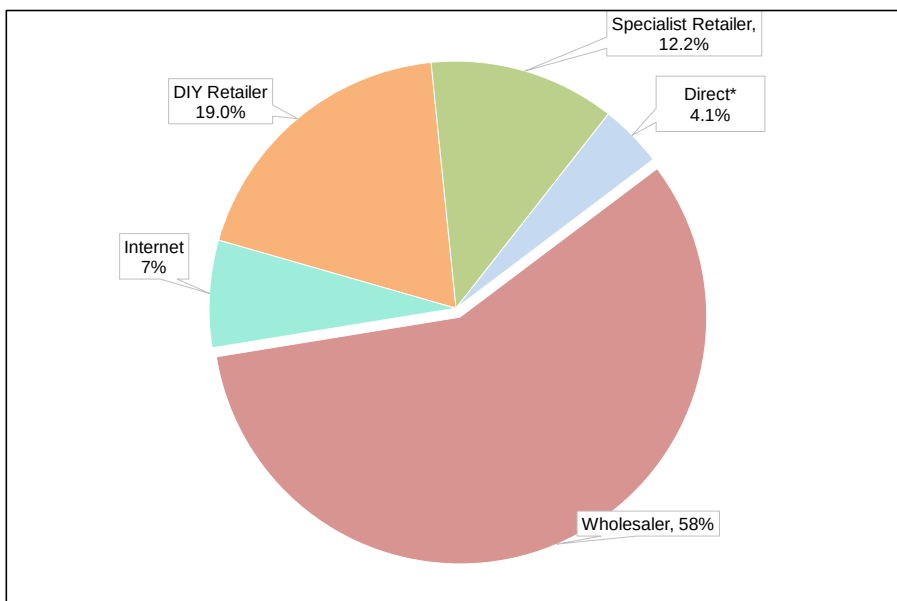
1.7.3 Route to Market - Consolidated View : Baths
CZ - ESTIMATED DISTRIBUTION FOR BATHS : 2020

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
57.7%	7.0%	19.0%	12.2%	4.1%	34.0%	2.6%	63.2%	0.2%
100%					36.6%		63.4%	

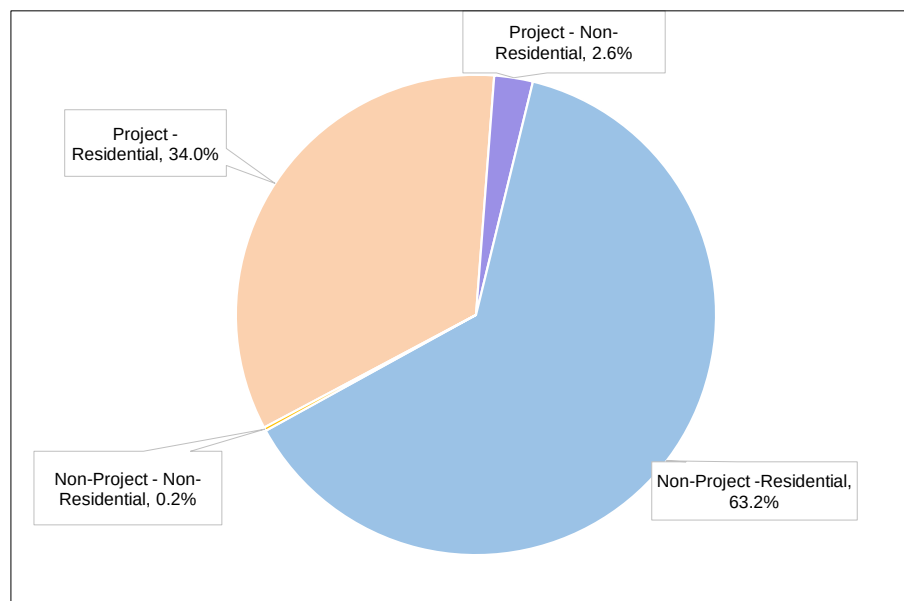
1.7.4 Route to Market - Consolidated View : Baths
CZ - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
57.2%	8.5%	18.0%	13.3%	3.0%	36.1%	2.8%	60.8%	0.3%
100%					38.9%		61.1%	

CZ - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
CZ - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

78.3%
Wholesalers / Merchants
78.3%

Retail Level

Manufacturer	Wholesaler
4.8%	3.6%
Internet Retailers	
8.4%	

Manufacturer	Wholesaler
5.6%	13.0%
DIY Retailers	
18.6%	

Manufacturer	Wholesaler
6.1%	11.0%
Specialist Retailers	
17.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.2%	29.0%	1.7%	5.7%	12.6%
Installers				
54.2%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	20.2%	5.7%	11.0%	4.0%	52.5%
Residential					
93.4%					

New Build		Residential RMI	
20.3%		73.2%	
Project	Non-Project	Project	Non-Project
19.5%	0.8%	19.5%	53.7%

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	1.5%	1.0%	1.9%	0.5%	1.6%
Non-Residential					
6.6%					

New Build		Non-Residential RMI	
1.7%		4.9%	
Project	Non-Project	Project	Non-Project
1.7%	0.0%	4.5%	0.4%

1.7.6

Route to Market: Shower Trays
CZ - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

79.5%
Wholesalers / Merchants
79.5%

Retail Level

Manufacturer	Wholesaler
5.0%	4.2%
Internet Retailers	
9.2%	

Manufacturer	Wholesaler
4.9%	14.0%
DIY Retailers	
18.9%	

Manufacturer	Wholesaler
5.7%	11.0%
Specialist Retailers	
16.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.8%	28.8%	1.9%	5.5%	12.0%
Installers				
53.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	20.3%	6.2%	11.4%	4.2%	51.2%
Residential					
93.4%					

New Build		Residential RMI	
20.9%		72.5%	
Project	Non-Project	Project	Non-Project
20.0%	0.9%	19.0%	53.5%

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	1.2%	1.1%	2.0%	0.5%	1.7%
Non-Residential					
6.6%					

New Build		Non-Residential RMI	
1.8%		4.8%	
Project	Non-Project	Project	Non-Project
1.8%	0.0%	4.4%	0.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

CZ - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

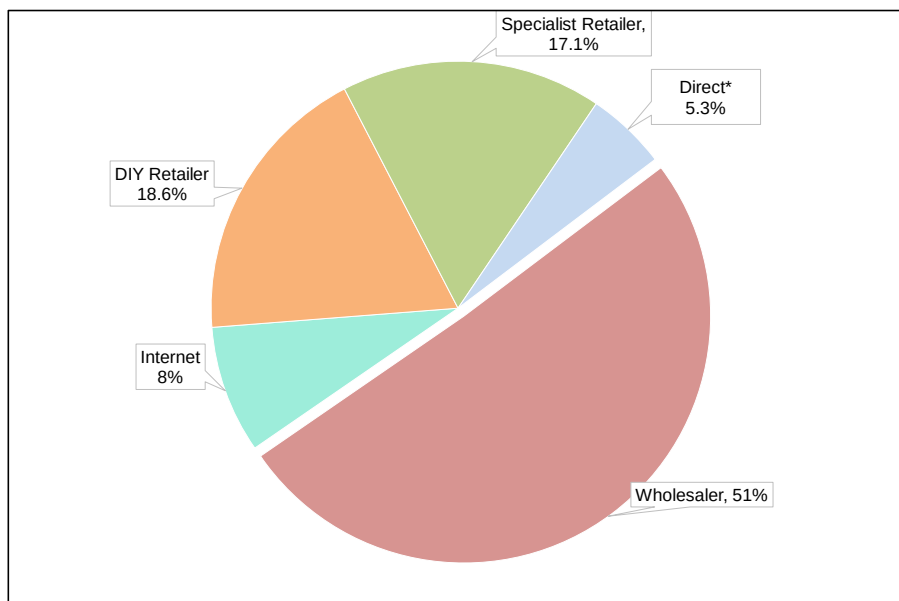
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.7%	8.4%	18.6%	17.1%	5.3%	39.0%	6.2%	54.4%	0.4%
100%					45.2%		54.8%	

1.7.8 Route to Market - Consolidated View : Shower Trays

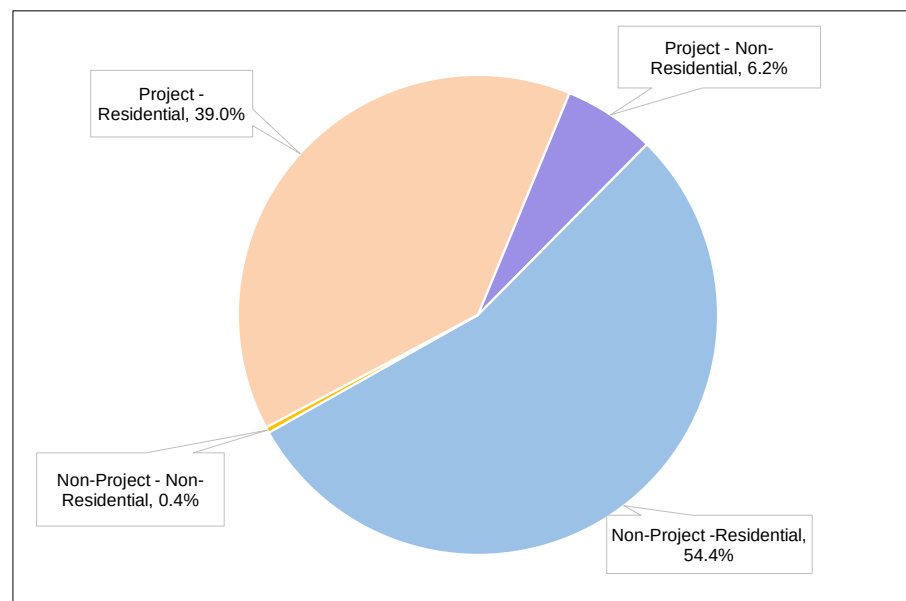
CZ - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.3%	9.2%	18.9%	16.7%	4.9%	39.0%	6.2%	54.4%	0.4%
100%					45.2%		54.8%	

CZ - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



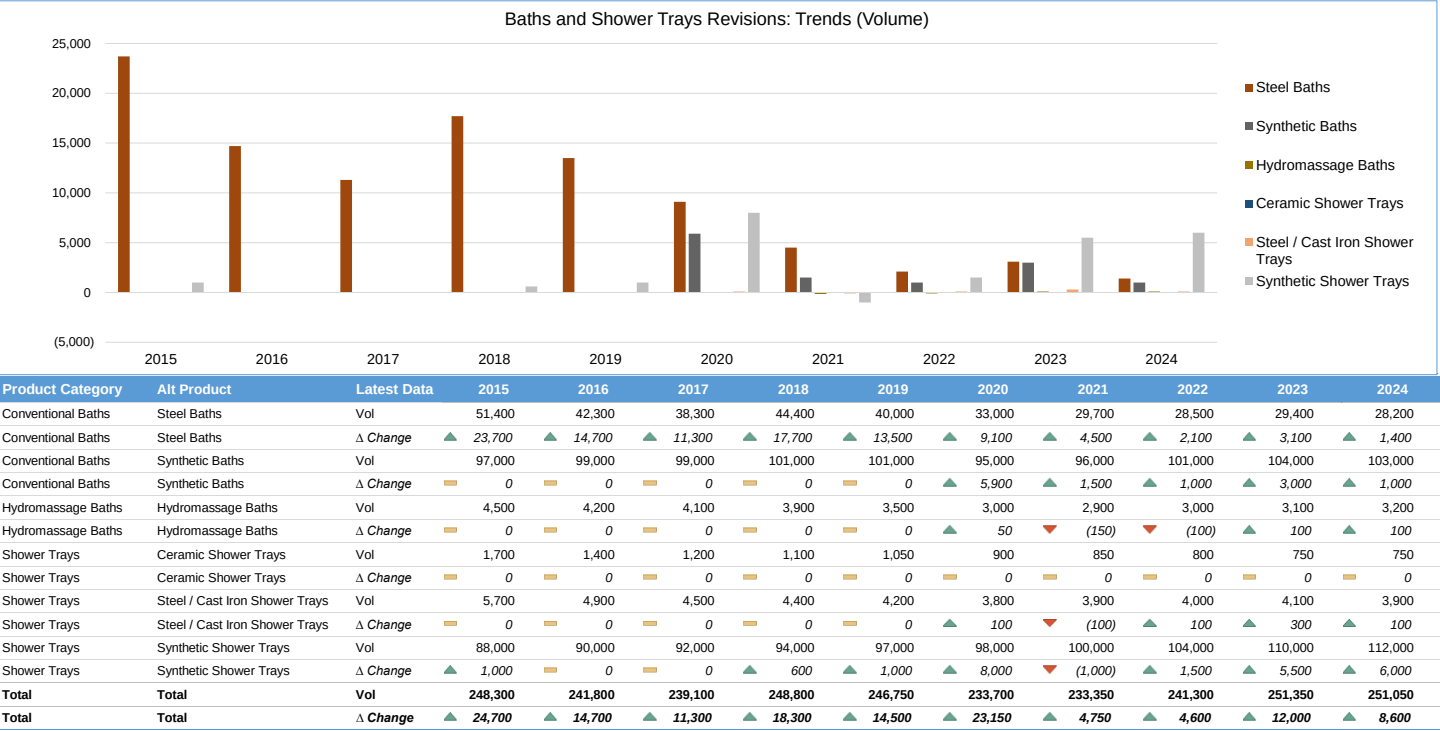
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Czech Baths and Shower Trays Market (April 2021)

CZ - REVISIONS IN THE CZECH BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2020



The overall market sizes for steel baths were revised upwards both historically and for the base year. Further examination of import data and local production statistics revealed an underestimation of Portuguese imports and to a lesser extent, products from Poland as well. Volumes in the 2000s were especially understated previously as steel bath remained relatively common product in the country despite the increasing penetration of synthetic products. This was particularly true for installations in social housing where steel baths are often used.

Slight downward revisions were made to the overall MSPs of steel and synthetic baths. This was largely caused by the changed price segmentation as further analysis and input from manufacturers suggested larger share of economy price products than previously thought.

Marginal changes were made to the historical volumes and values of the shower trays market.

CZECH REPUBLIC

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In volume terms, the Czech ceramic sanitary ware market was already substantial prior to the fall of communism and, therefore, is already mature to some extent. Thus there was no boom in sales that had been seen for other products in the early 1990s, such as baths and shower trays. The Czech ceramic sanitary ware market consists almost exclusively of porcelain products. There is no domestic production of fired clay, and there are not believed to be any imports.

Within the overall product mix, sales of washbasins have grown strongly in share in recent years. Conversely, pedestals and half pedestals are losing share through substitution for bathroom furniture; the market for compact hand washbasins (*umývatka*) is also small in comparison to the countertop washbasin market. Ceramic sinks are a niche market in the Czech Republic, as stainless steel and synthetics sinks dominate; however, JIKA, VILLEROY & BOCH and the Polish KOLO manufacture a few types of ceramic sinks. There are also some imports, mainly from Germany (BLANCO, TEKA and SYSTEMCERAM) and Italy (LUISINA DESIGN).

Wall-hung WCs (water closets) are today standard in new housing projects and increasingly so in renovation. WCs now account for about one third of the total sales of ceramic sanitary ware. In contrast, the bidet market is very small – sales began to grow in the 1990s and the products are becoming more popular in new housing, although they face competition from installations of small bidet showers. Urinals are principally destined for the commercial market and represent an important share of total sales. The ceramic urinal segment is continuing to grow; however, strong competition can be seen from alternative materials such as stainless steel or tiles with drains.

Due to the increasing popularity of wall-hung WCs, which are mostly fitted with concealed cisterns, sales of exposed cisterns have been on a continuous decline for the past decade. The concealed plastic cistern market has grown rapidly since the end of 1990s and continued to increase their penetration within the housing market through the 2000s and 2010s. Additionally, the concealed plastic market has also benefited from the uptake of floor standing WCs installed with a concealed cistern, these are often installed in full scale renovations as their installation is cheaper and less complicated in comparison to wall hung WCs. It is believed that without frame cisterns now account for about a quarter of total sales. Concealed plastic cisterns are sold for new housing, as well as to local authorities and the commercial sector (hotels, restaurants, etc.) as the installation of concealed systems in public places is required by Czech law.

The exposed cisterns market has suffered over the last two decades, but still remains relatively large in volume. This is due to the large share of RMI sales as these products have a shorter lifespan and tend to be replaced relatively often, especially in lower income households that cannot afford to invest in more modern

WC systems. Exposed cisterns are either sold in a close coupled version or as wall mounted above the WC bowl (high-end installation). There is a strong replacement market, as the moving parts (flushing system) contained in the plastic cistern often break. The installed park mostly dates back to socialist times, when the main feature of these products was their low cost and low quality. The replacement volume is also high, as many dwellings in blocks of flats (especially in concrete panel houses) cannot easily have a concealed cistern installed. There are, however, some concealed systems that can be installed in the small bathrooms found in panel blocks of flats.

Recent Market Trends

The overall market for sanitary ware reversed its positive trend seen in previous years and declined in 2020, largely due to the subdued residential and non-residential construction as well as lower private consumption within the housing RMI sector. The COVID-19 crisis had a negative impact on the construction sector both within the residential and commercial setting. On the residential side, larger scale apartment projects were especially affected with many of these being postponed or paused while completions of family houses remained relatively stagnant. Non-housing activity was also quite restrained in 2020 as the tourist industry suffered great losses due to the lockdowns and limited travel, this in turn prevented many companies from carrying out their planned renovation and construction works. Despite these negative factors, the overall sanitary ware market decreased at a lower rate than previously expected, largely thanks to the relatively stable housing RMI sector. With lockdowns and social distance measures preventing homeowners to travel, many of them decided to update their bathrooms with more modern systems. This was particularly true for family houses where consumers opted to upgrade their WCs, most commonly with wall hung bowl and concealed plastic cistern. This in turn was then reflected in total sales of these two products which fared quite well in the crisis-stricken market.

The long-lasting market shift away from exposed plastic cisterns continued in 2020, which further boosted the demand for concealed plastic cisterns. Even like-for-like replacement installations of exposed plastic cisterns did not prevent the market from falling. Concealed cisterns are most commonly paired with wall hung WCs, but an important part is also installed with floor standing bowls. Regardless, the share of wall hung WCs continued to increase in 2020 and now represents more than half of total WC market. The higher share of wall hung models also means that more and more rimless WCs are installed in the Czech Republic, as there aren't as many floor-standing rimless WCs on offer in the market. Residential use of rimless toilets started to be promoted in 2011 and a significant change in their distribution happened between 2013-2015, when several other companies started to offer rimless WCs and more affordable models were introduced. Today, rimless WCs are considered to be a new norm in new housing construction with the exception of social housing units. It is also believed that the COVID-19 crisis somewhat accelerated the uptake of these products in 2020 as the spread of germs became more of a concern. The majority of players on the market now have several models on offer and further demand should be attained by continuous

marketing and promotion of these products.

The share of countertop washbasins continued to increase in line with the trend towards bathroom furniture to the detriment of pedestal and wall hung washbasins. Pedestal washbasins are now considered outdated and not aesthetically pleasing, mostly being installed now in like-for-like replacements. Wall hung washbasins on the other hand still have quite considerable share and are decreasing at a slower rate, these are still popular in lower income households for their price. The share of hand washbasins has been quite stable across the years as these models tend to be installed in the second toilet room. The majority of houses and larger flats will have at least one main bathroom and separate toilet where hand washbasins are preferred for their small size. Undermount and inset basins are predominantly sold within the non-housing segment.

Exposed ceramic cisterns also remain fashionable, although second to concealed plastic cisterns in popularity on the overall cisterns market. On the commercial side, urinal sales continued to comprise a fair share in 2020. Bidets (also installed in some residential applications), however, remain a relatively niche market. The ceramic shower trays market declined slightly in 2020 and this trend is likely to continue, as, although shower trays are taking share from baths, other cheaper shower tray materials are preferred. Demand for ceramic sinks and other products, such as shelving, remains stable. These products comprise only a small proportion of the Czech CSW market, as they are typically installed in higher-value homes and commercial applications. Given that demand for these products is quite niche, these markets are less sensitive to the wider trends (construction and macroeconomic developments) that influence the mass market.

Prices and Market Values

The manufacturers' selling prices (MSPs) in CZK of sanitary ware products in 2020 continued to increase as the majority of manufacturers tend to raise their prices annually to reflect changes in raw material costs, inflation, exchange rate and other factors. The COVID-19 crisis created higher competition within the market which prevented companies from increasing their prices at a higher rate as local currency weakened throughout the year.

Indeed, when looking at the development of prices in EUR, only minor changes were seen across the majority of products with only slight decreases or increases registered. The WC and washbasin prices rose at a faster pace in 2020, largely due to the increasing share of rimless WC bowls as well as countertop washbasins. Additionally, the evolution of prices was also influenced by the increasing share of middle to upper/luxury models within the total market.

New Housing

As mentioned earlier, the total number of completions decreased in 2020, negatively affecting the sales of sanitary ware in this sector. Although countertop washbasins remain very popular, wall hung washbasins and (to a lesser extent)

hand washbasins have experienced some uptake in new dwellings, particularly apartments, which tend to be small and require space saving products. Pedestal washbasins are no longer popular in new housing, for the reasons outlined earlier, as such they have seen their share drop significantly year on year and only a fraction of new build is now installed with such products. This segment is also the main residential end-use segment for wall hung WCs, thus participating in the increase in the share of rimless WCs installed annually. The new housing segment is likely to continue to be an important driver of growth over the forecast period, as the number of starts and projects under construction in 2019-2020 indicates a return to high activity within the next five years.

Housing RMI

Typically for a mature market, the vast majority of sanitary ware sales in the Czech Republic are installed in the housing RMI segment. The main sales of sanitary ware products in this end-use sector consist of pedestals, washbasins and WCs. Furthermore, Czech homes differ from many of their European counterparts in the sense that the WC is often located in a small room that is separate from the main bathroom. While many of these WC rooms include only a WC, in recent years there has been a trend for homeowners to retrofit these rooms with a small hand washbasin, sometimes equipped with a pedestal. This has benefited the hand washbasin market and has additionally increased the average number of CSW pieces installed in existing Czech dwellings.

The share of older dwellings in need of refurbishments within the total dwelling stock remains quite high which should positively affect the housing RMI sales going forward. It is, however, possible that certain saturation will be palpable by the end of the forecast.

Non-Housing

Non-housing was the worst affected sector by the COVID-19 crisis in 2020 and, as such, suffered losses across all product segments that year. Indeed, both new construction and renovations struggled with hotels, offices and healthcare sectors especially seeing a high drop in activity as public and private investments decreased. Further declines are likely for 2021 as well, with the tourism industry expected to be still hampered by the social distance measures in the first half of the year. Rebound of sales is expected from 2022 onwards.

Typically, the non-housing segment is the sole market for commercial products such as urinals and, thus, their uptake is highly correlated to the performance of this segment. Bidets are also quite popular in non-housing applications, although they are present in the residential market as well. This sector is especially strong for WCs and washbasins, as a significant amount of non-housing constructions are office buildings.

Supply Structure

The Czech ceramic sanitary ware market is mainly supplied by multinational companies, including ROCA, GEBERIT (through KOLO), IDEAL STANDARD, VITRA and CERSANIT. The only domestic player on the market is JIKA, ultimately belonging to the Spanish ROCA, which also owns LAUFEN.

JIKA (manufacturing in Bechyne and Znojmo) dominates the market. In addition, imported LAUFEN-branded products are also sold in the Czech Republic. These products are sourced mainly from Austria, Switzerland and Portugal. LAUFEN CZ also imports (and re-exports) Portuguese steel baths and shower trays (BLB). The Turkish ECZACIBASI, with its VITRA brand, is largely imported by SIKO.

In the case of cisterns, the Slovak SLOVPLAST MYJAVA (previously known as SAM HOLDING) dominates the exposed plastic cisterns market, followed by the Czech ALCAPLAST, the Swiss GEBERIT and the German SANIT EISENBERG. Concealed cisterns are mainly supplied by GEBERIT and SANIT EISENBERG; however, ALCAPLAST has successfully developed its position in the domestic market. SLOVPLAST MYJAVA started to manufacture its first line of concealed cisterns during the first quarter of 2019.

Rimless technology was first introduced to the Czech residential market in late 2011 by IDEAL STANDARD, followed by GEBERIT, ROCA, V&B, and CERSANIT two years later and by DURAVIT in 2015. The Czech group UBC, which sells the SAPHO and KERASAN brands, seemed to have failed in launching rimless models via the KERASAN brand, due to its price positioning, and instead decided to reposition in lower price segments via its SAPHO brand.

Forecasts

The overall sanitary ware market is anticipated to return to mild growth in 2021 on the back of higher activity within the residential construction sector, as well as heightened levels of private consumption within the housing RMI setting. Despite these positive factors, the overall volumes sold are unlikely to reach pre-2020 figures as effects of the recession are likely to echo in the first half of the year. The rollout of COVID-19 vaccine in Czech Republic has been quite difficult in the Q1 of 2021 but seemed to have progressed at the beginning of April. Should the health crisis be prolonged and trading with European countries further subdued, the overall bathroom market might be affected negatively, still assuming relative return to norm by the end of Q2, the demand should stabilise and grow further.

New build is anticipated to be largely positive over the forecast which should boost overall demand of bathroom products. In the mid-term, the housing RMI sector is likely to benefit from increasing need for renovations in social housing as well as modernisation of older buildings. However, by 2025 the renovation sector is anticipated to become slightly oversaturated as the majority of large-scale RMI projects should be completed by then. Trends present on the market are projected

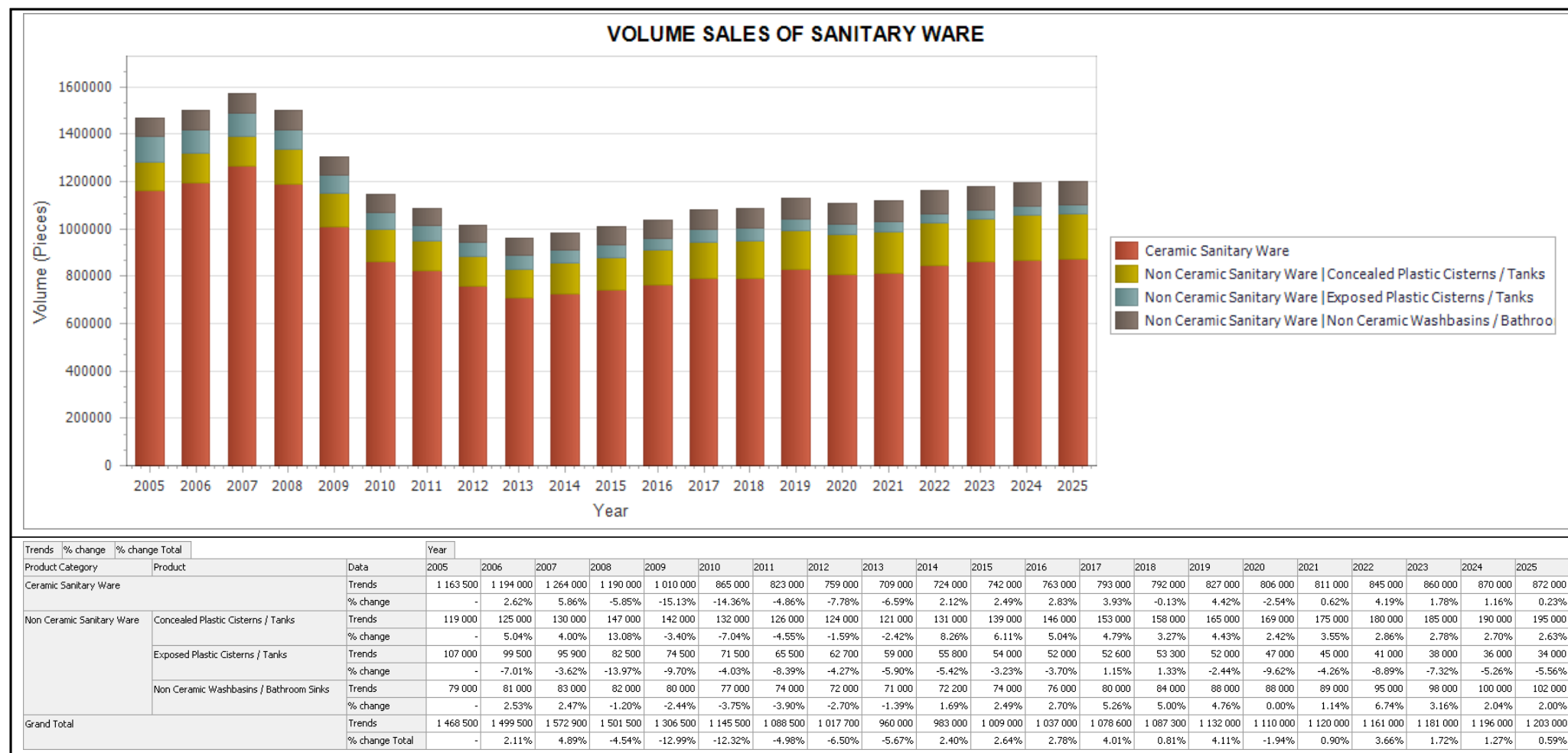
to continue in the near future with countertops gaining share over pedestal and wall-hung washbasins. Hand washbasins should remain relatively stable, driven by their popularity in second bathrooms, en-suites and toilet rooms in smaller urban apartments. The rising popularity of wall hung WCs, especially in the new housing and non-housing segments, should lead to not only a decline in share for floor standing models, but also to a heightened volume of concealed plastic cisterns installed.

Sales of rimless WCs are projected to take up a larger share of total WCs sold in the near future, being also helped by the potential introduction of more affordable models. In addition, this product will also benefit from the already well-established presence of wall hung WCs and their like-for-like replacements, as only a few rimless floor standing WCs are being offered in the country presently.

In line with the overall economy, the sanitary ware market is strongly reliant on development in surrounding countries and its main trade partners. A slowdown of the European or global economy could, therefore, hamper the prospects of the sanitary ware market over the forecast period.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

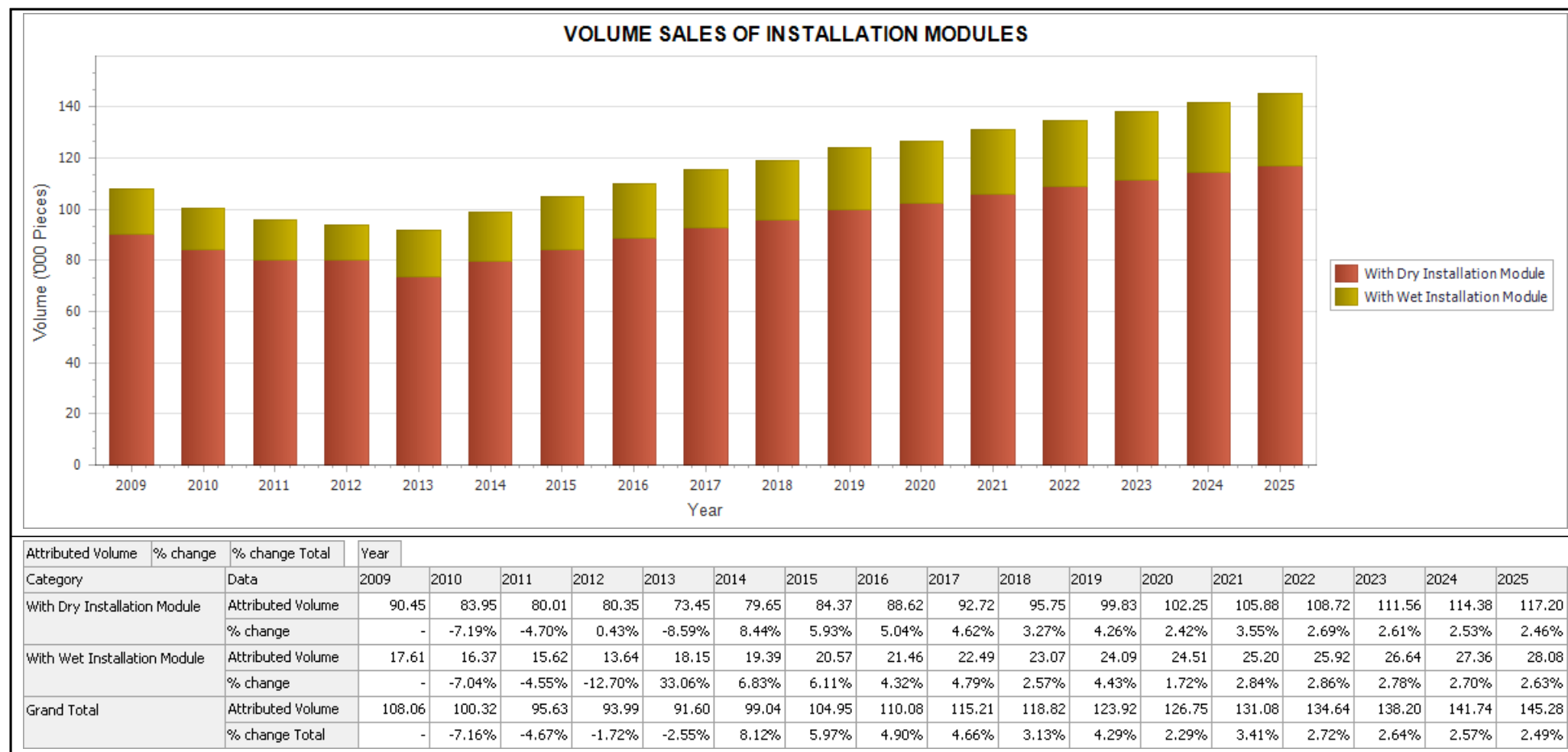
CZ - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

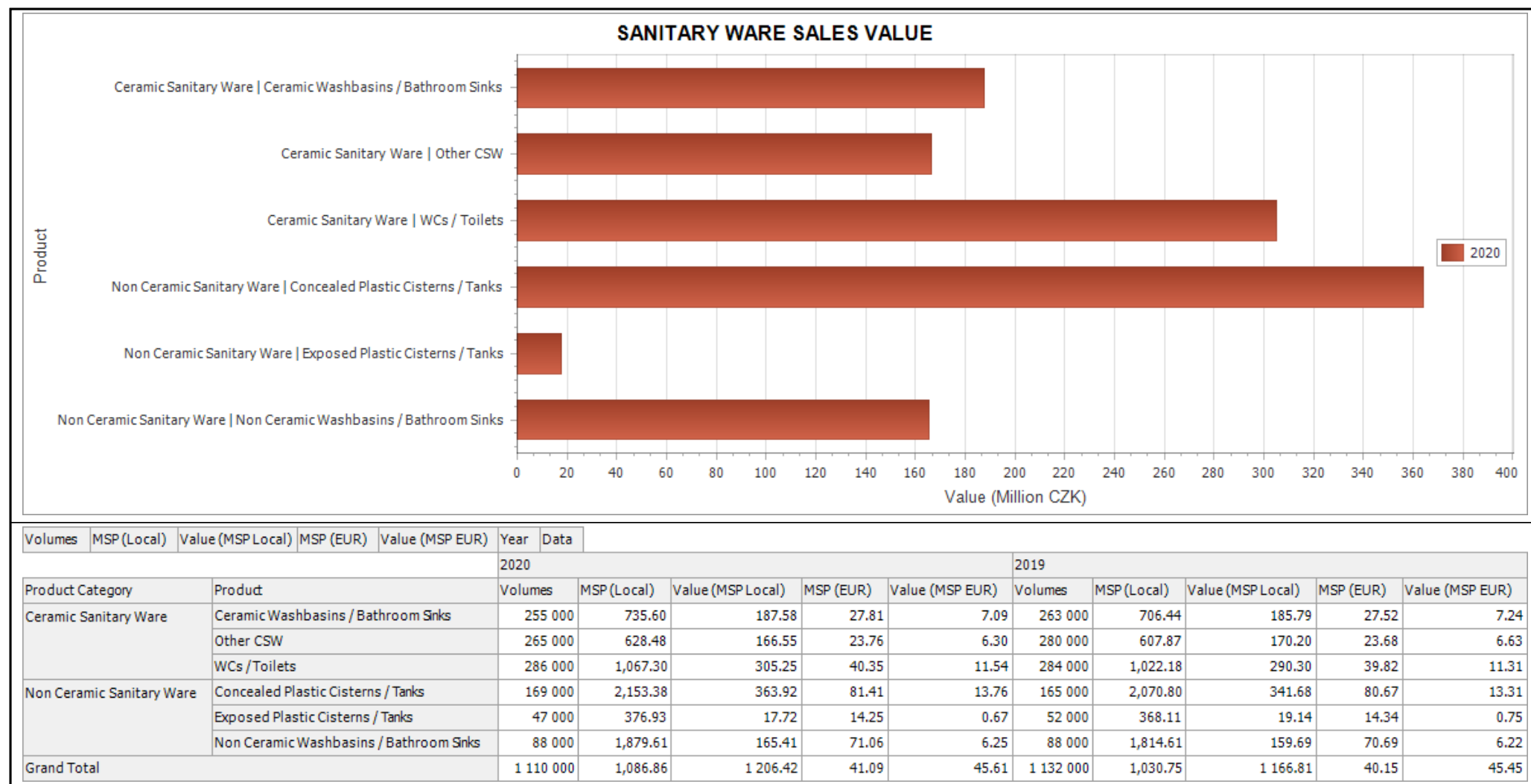
CZ - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

CZ - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in CZK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

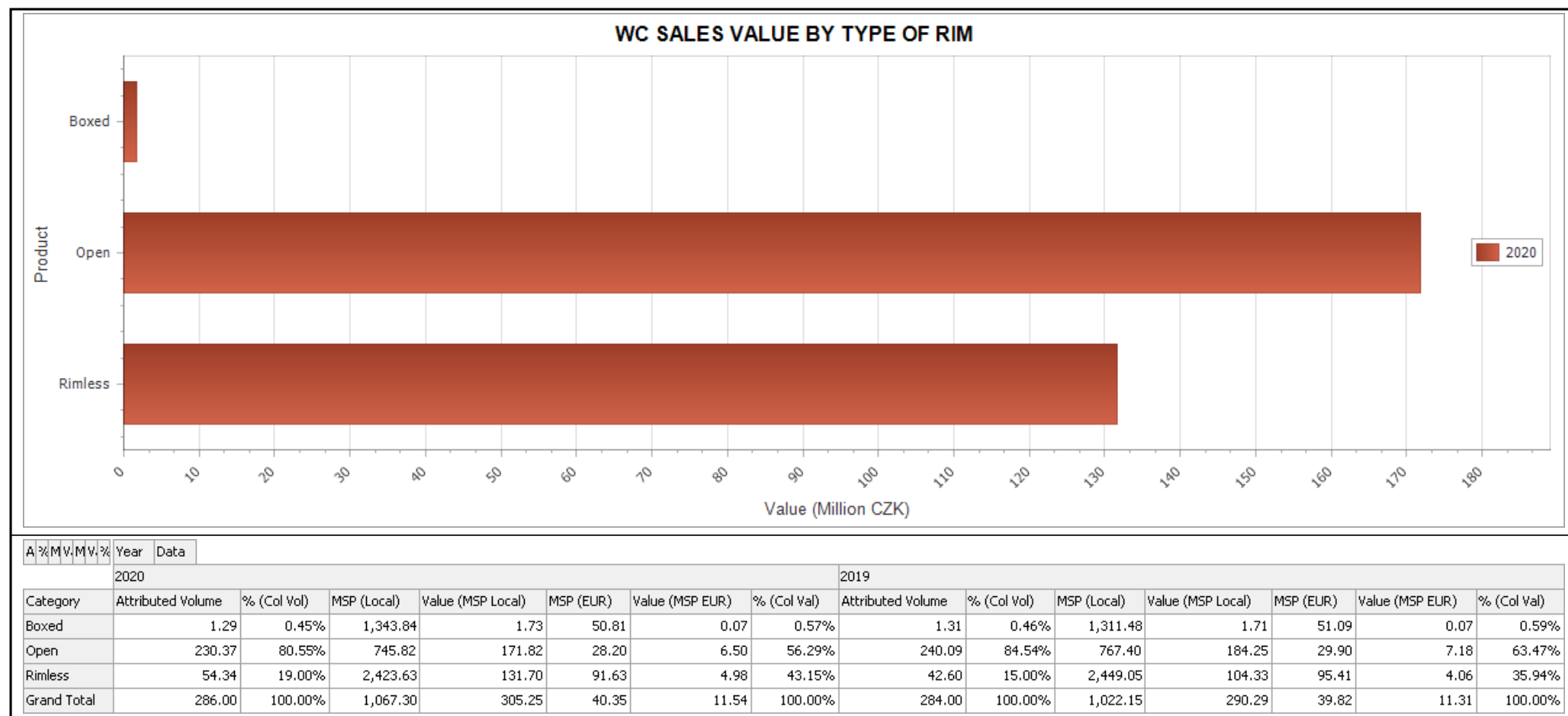
CZ - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attribute	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Val)	Year	Data								
2020									2019							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	73.45	28.80%	1,150.90	84.53	43.51	3.20	45.06%	72.65	27.62%	1,112.26	80.80	43.33	3.15	43.48%	
	Hand Washbasins	39.78	15.60%	407.61	16.21	15.41	0.61	8.64%	41.03	15.60%	399.68	16.40	15.57	0.64	8.82%	
	Inset Washbasins	18.36	7.20%	666.17	12.23	25.19	0.46	6.52%	18.94	7.20%	639.57	12.11	24.92	0.47	6.52%	
	Pedestal Washbasins	36.98	14.50%	491.99	18.19	18.60	0.69	9.70%	39.98	15.20%	484.91	19.38	18.89	0.76	10.43%	
	Semi-Recessed Washbasins	3.06	1.20%	1,011.75	3.10	38.25	0.12	1.65%	3.42	1.30%	982.52	3.36	38.28	0.13	1.81%	
	Undermount Washbasins	12.24	4.80%	1,084.36	13.27	41.00	0.50	7.08%	12.36	4.70%	1,047.98	12.95	40.83	0.50	6.97%	
	Wall Hung Washbasins	71.14	27.90%	563.01	40.05	21.29	1.51	21.35%	74.64	28.38%	546.77	40.81	21.30	1.59	21.96%	
Other CSW	Bidets	10.60	4.00%	1,248.22	13.23	47.19	0.50	7.94%	11.48	4.10%	1,200.59	13.78	46.77	0.54	8.10%	
	Close-Coupled Cistems	166.85	62.96%	356.82	59.53	13.49	2.25	35.75%	174.79	62.43%	348.21	60.86	13.57	2.37	35.77%	
	Others	7.42	2.80%	658.23	4.88	24.89	0.18	2.93%	8.12	2.90%	636.23	5.17	24.79	0.20	3.04%	
	Pedestals & Half Pedestals	39.22	14.80%	228.06	8.94	8.62	0.34	5.37%	42.56	15.20%	221.44	9.42	8.63	0.37	5.54%	
	Shower Trays	0.90	0.34%	2,078.89	1.87	78.59	0.07	1.12%	1.05	0.38%	2,010.52	2.11	78.32	0.08	1.24%	
	Urinals	40.02	15.10%	1,951.20	78.08	73.77	2.95	46.88%	42.00	15.00%	1,876.70	78.82	73.11	3.07	46.32%	
WCs / Toilets	Close-Coupled WC Bowls	99.24	34.70%	859.53	85.30	32.50	3.22	27.94%	99.12	34.90%	838.77	83.14	32.68	3.24	28.64%	
	Floor Standing WC Bowls	35.18	12.30%	805.83	28.35	30.47	1.07	9.29%	35.78	12.60%	771.38	27.60	30.05	1.08	9.51%	
	Wall Hung WC Bowls	151.58	53.00%	1,264.09	191.61	47.79	7.24	62.77%	149.10	52.50%	1,204.31	179.56	46.92	7.00	61.85%	
Grand Total		806.01	100.00%	818.10	659.39	30.93	24.93	100.00%	827.00	100.00%	781.48	646.29	30.44	25.18	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CZK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

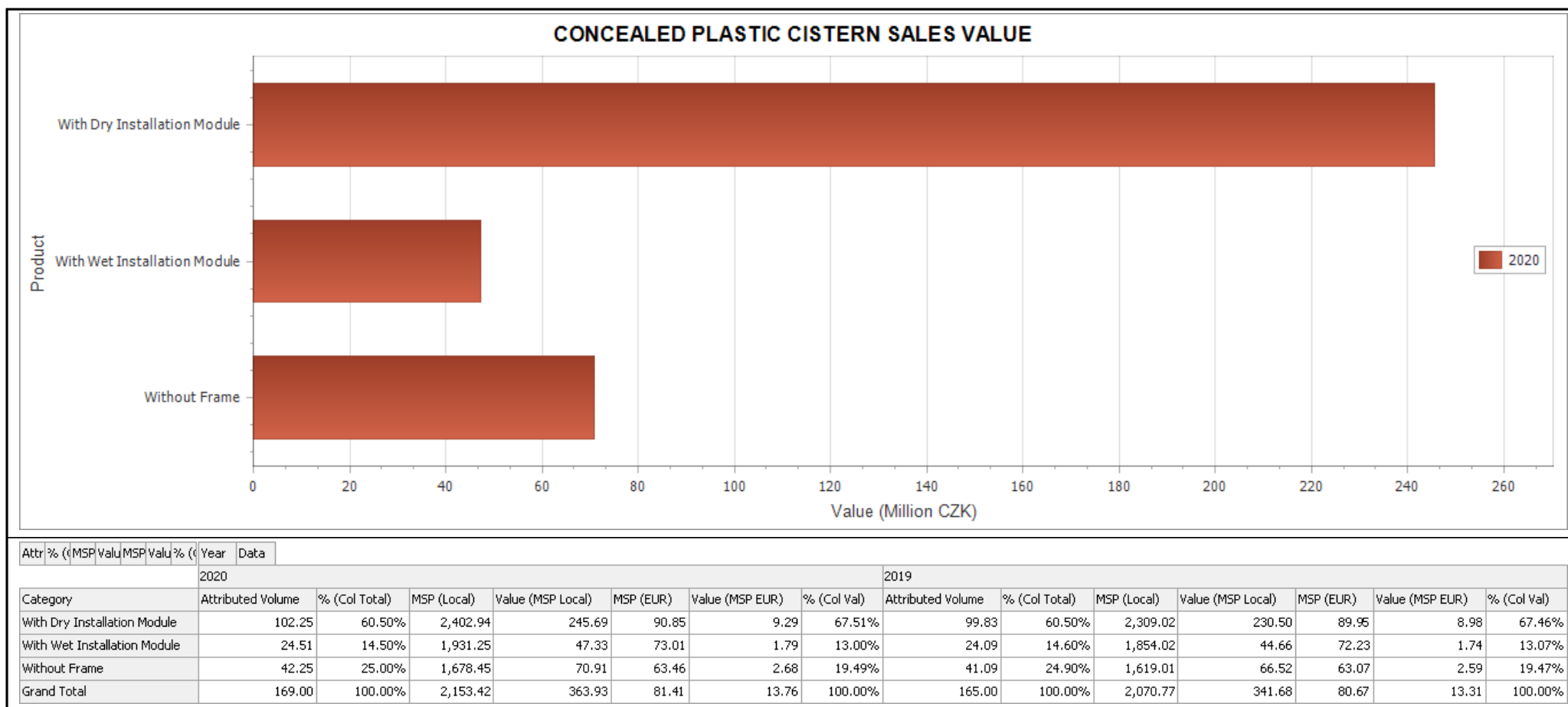
CZ - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CZK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

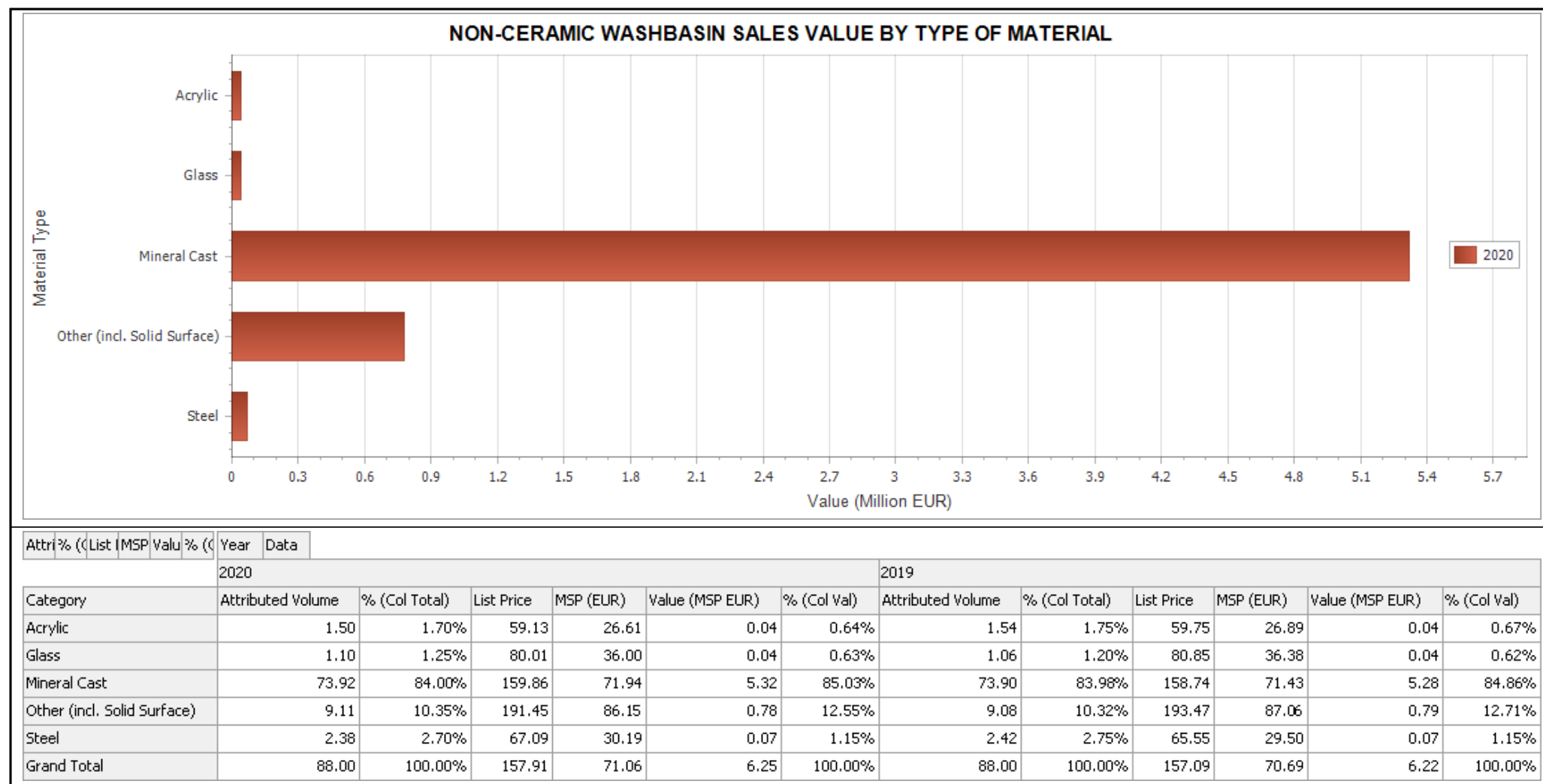
CZ - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CZK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

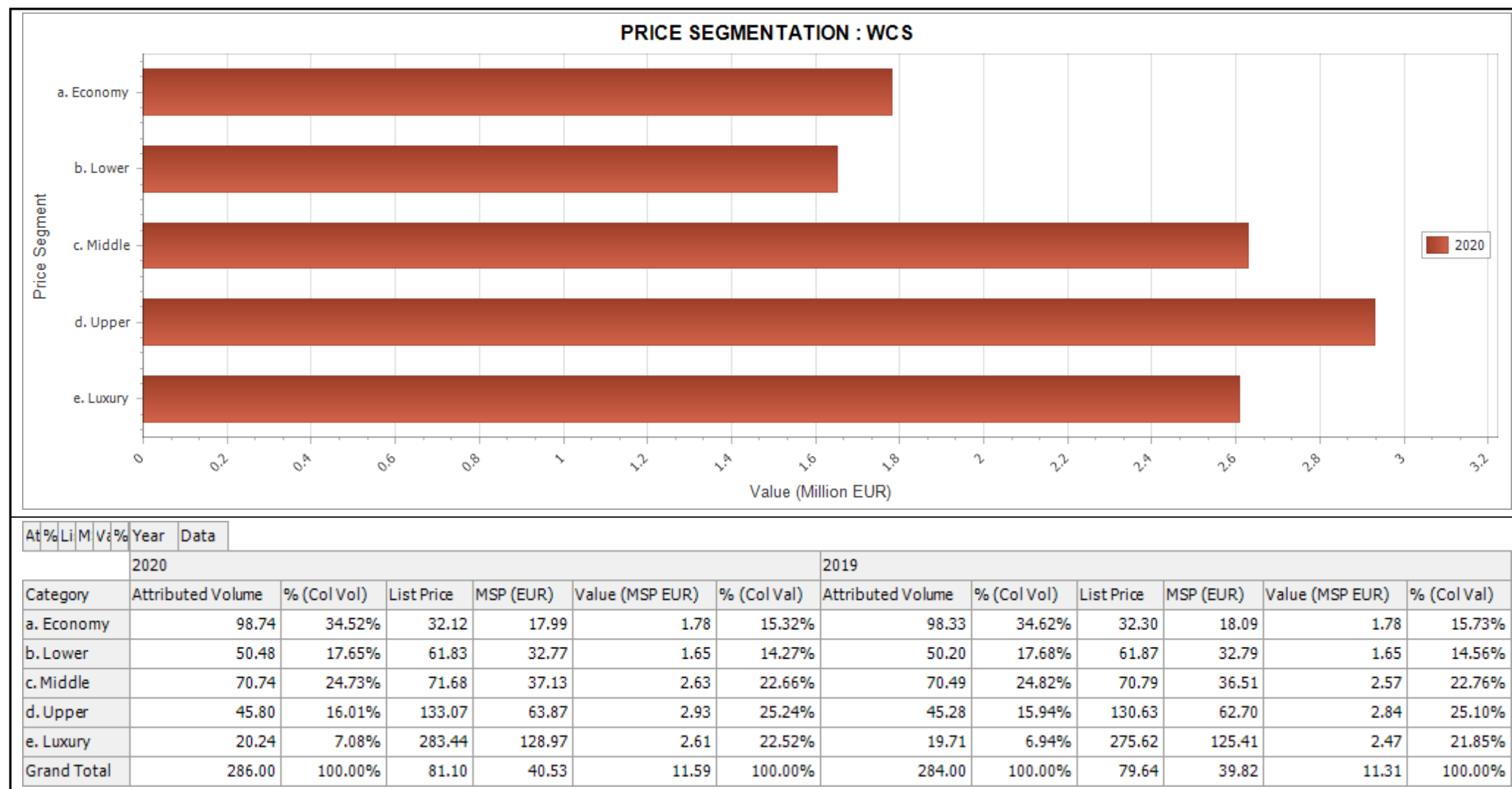
CZ - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

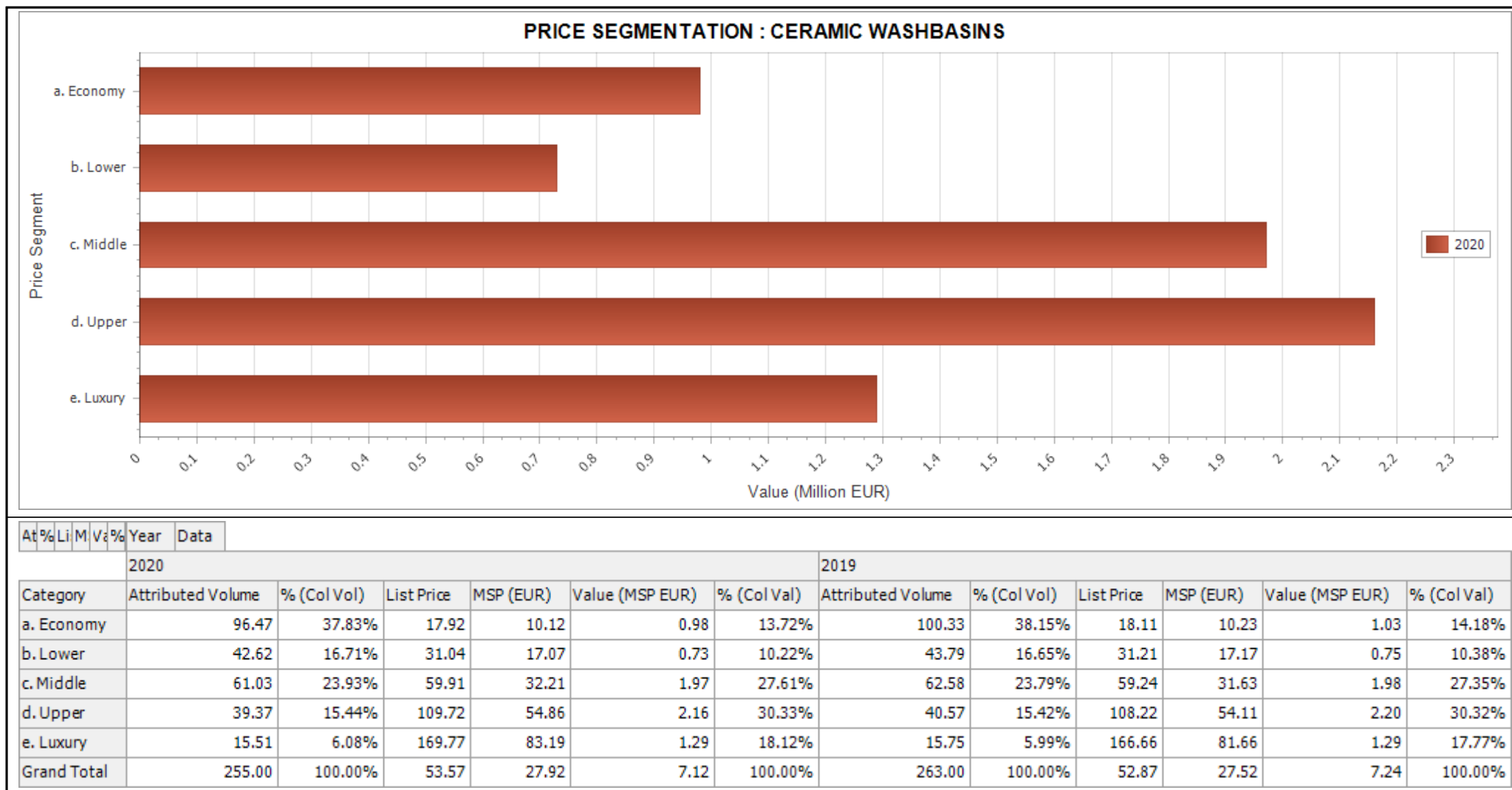
CZ - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€35, Middle €35-€45, Upper >€45-€80, Luxury >€80

2.3.7 Price Segmentation : Ceramic Washbasins

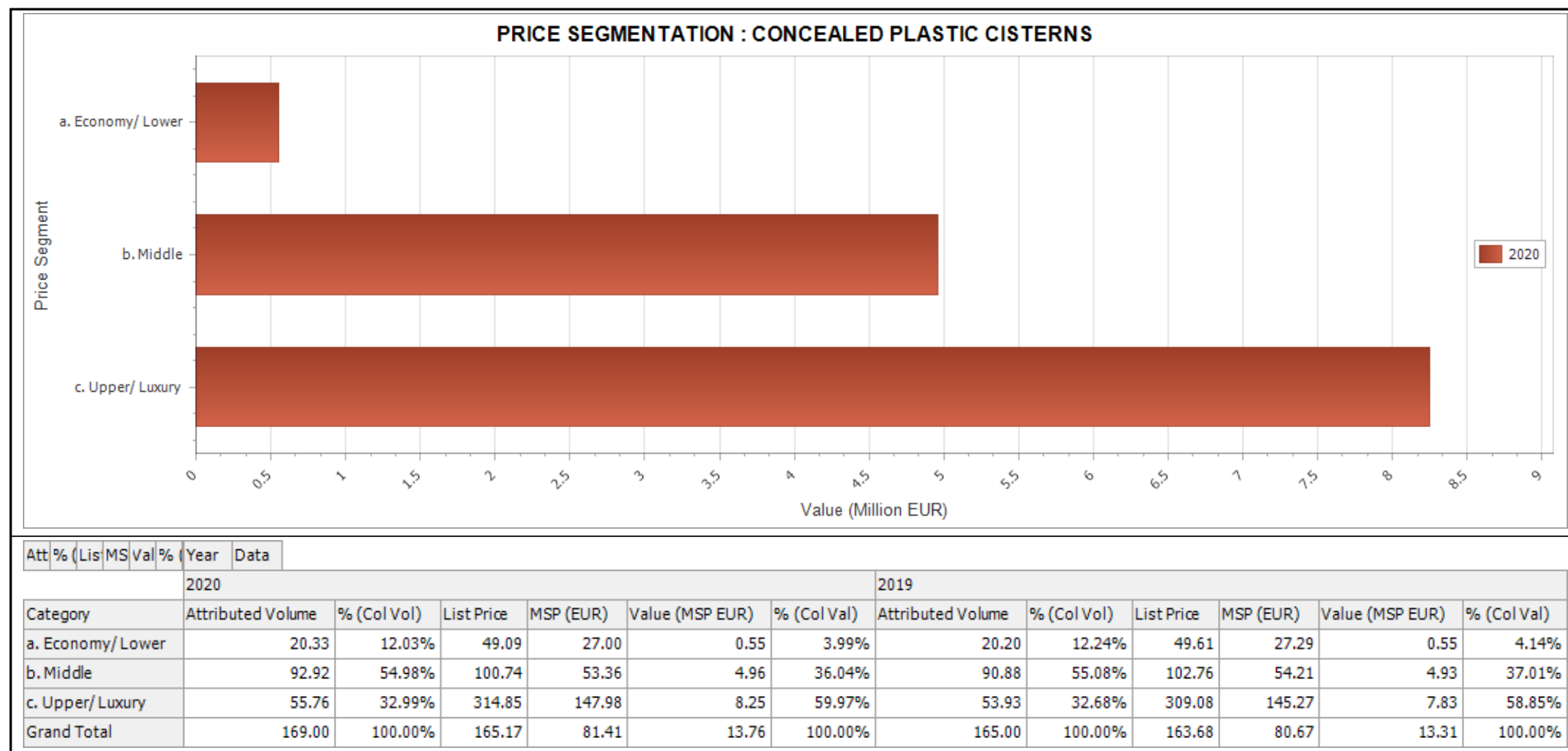
CZ - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€20, Middle €20-€45, Upper €45-€70, Luxury >€70

2.3.8 Price Segmentation : Concealed Plastic Cisterns

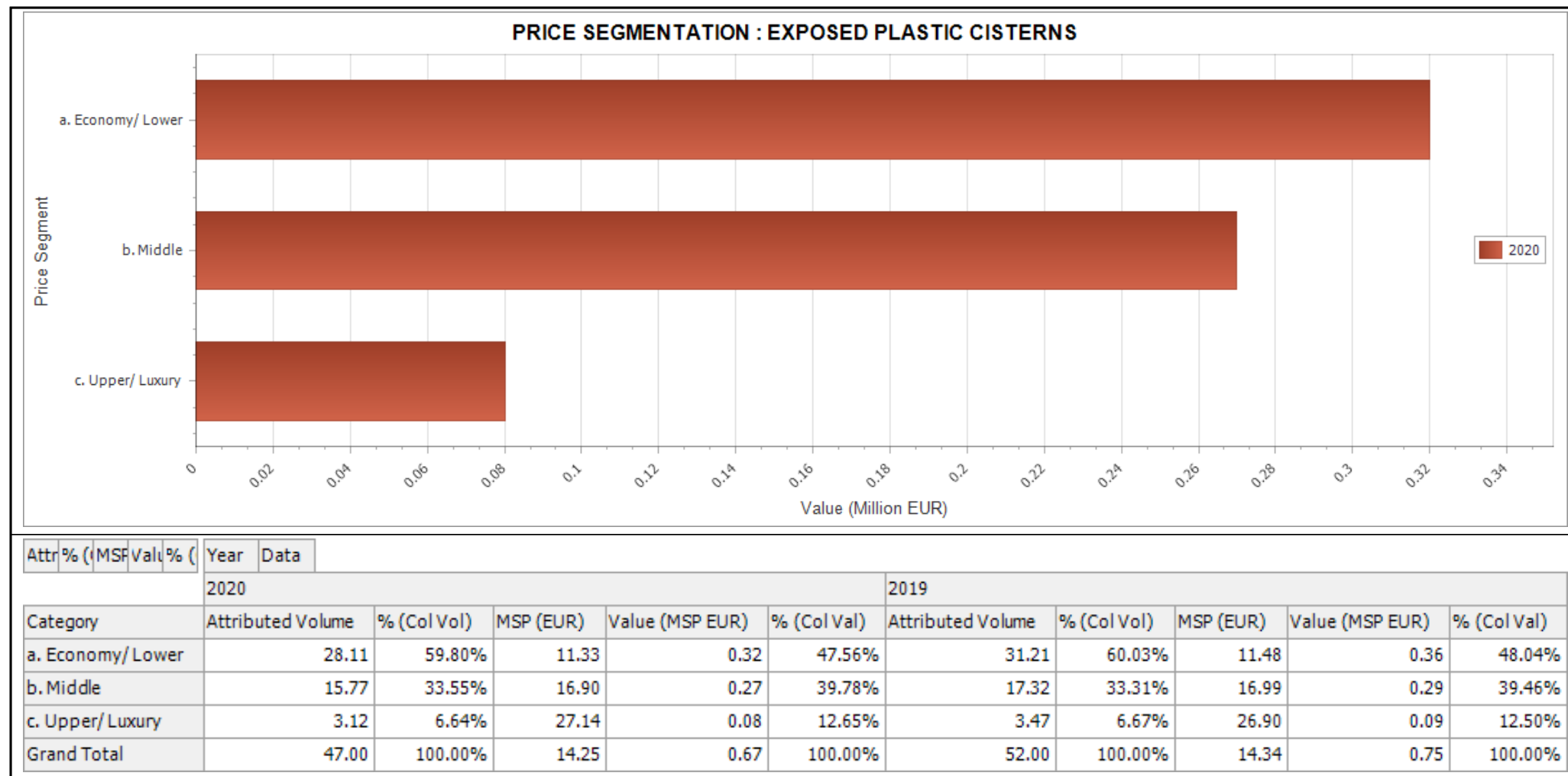
CZ - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

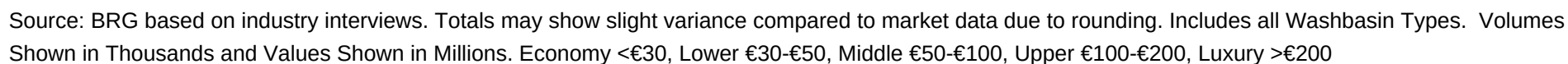
2.3.9 Price Segmentation : Exposed Plastic Cisterns

CZ - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



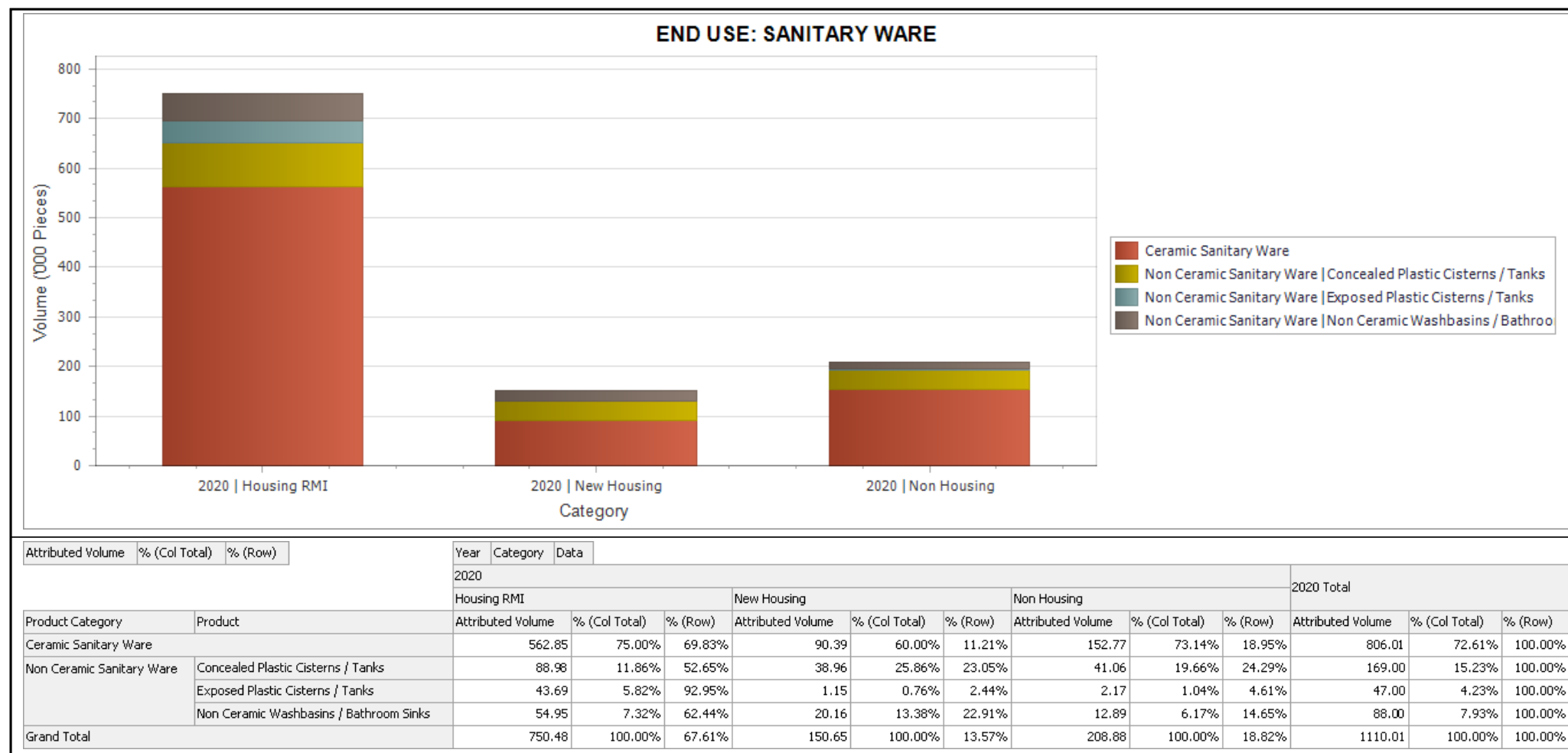
Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€15, Middle €15-€20, Upper/ Luxury >€20

CZ - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



2.4.1 End Use : Base Year

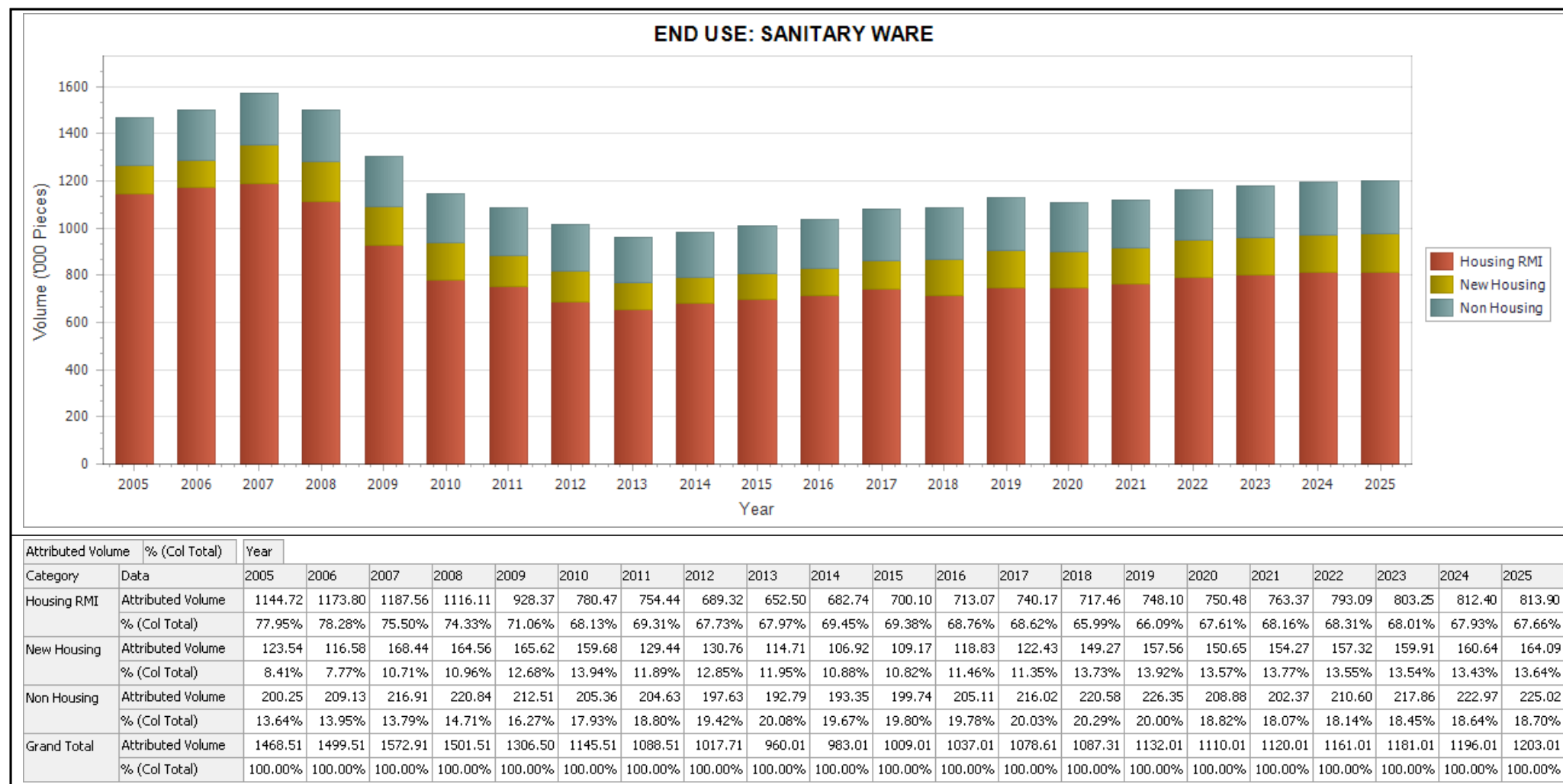
CZ - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

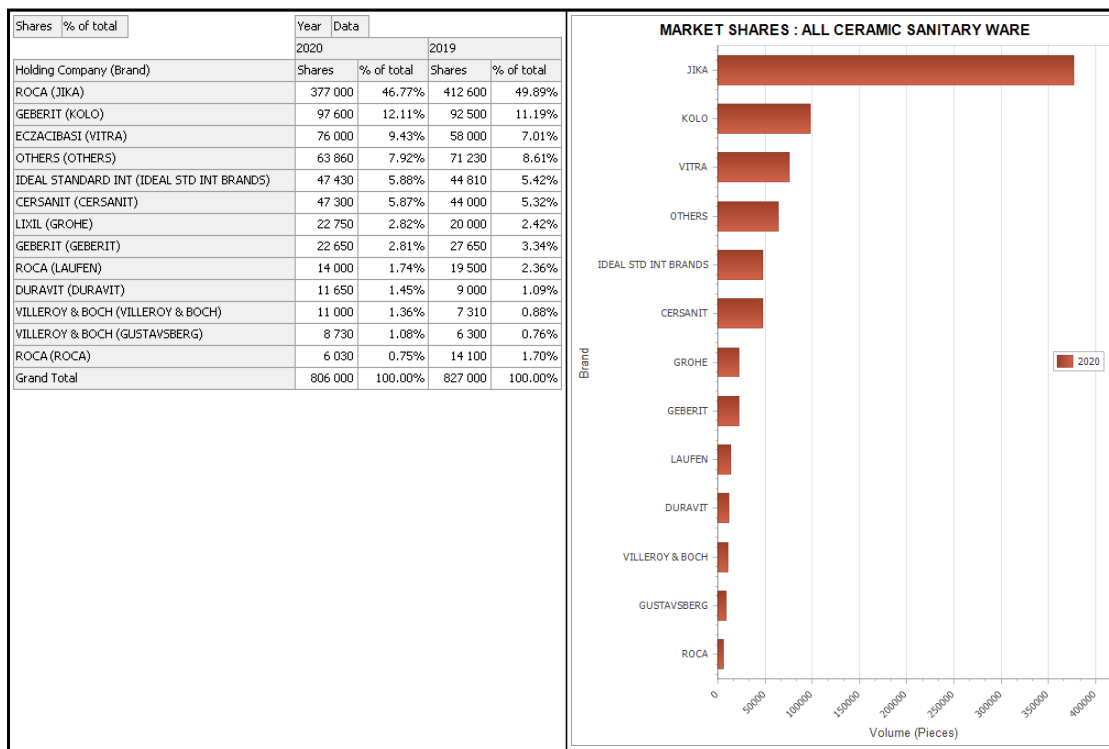
CZ - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

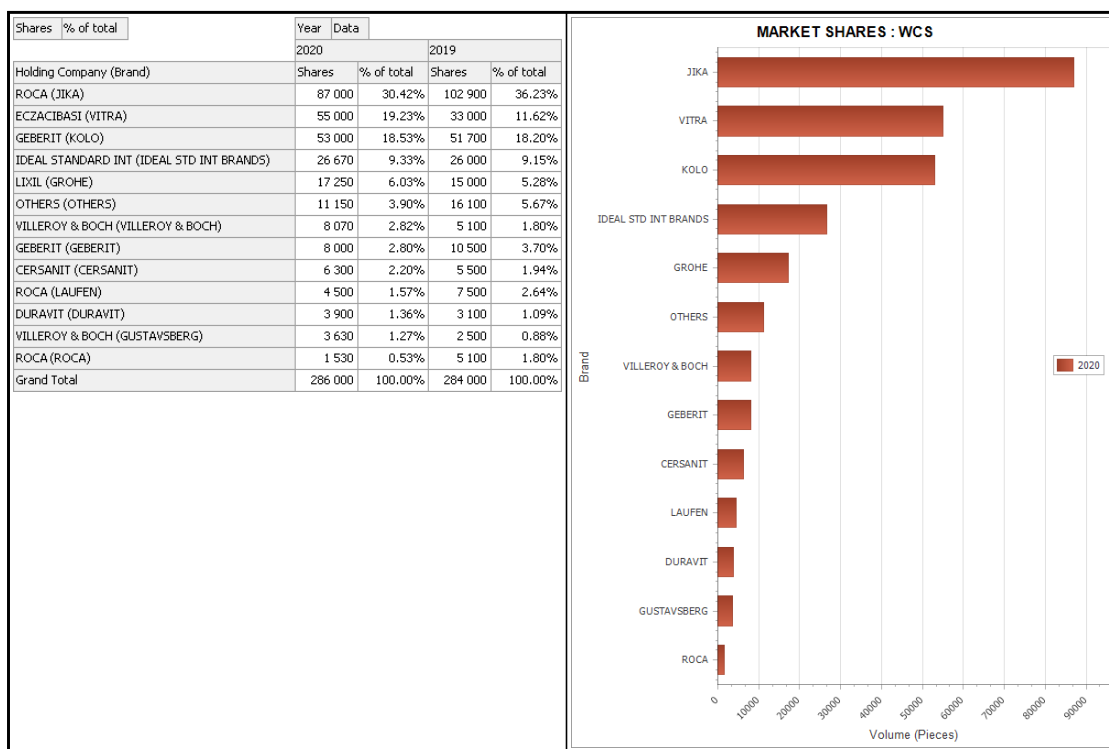
CZ - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

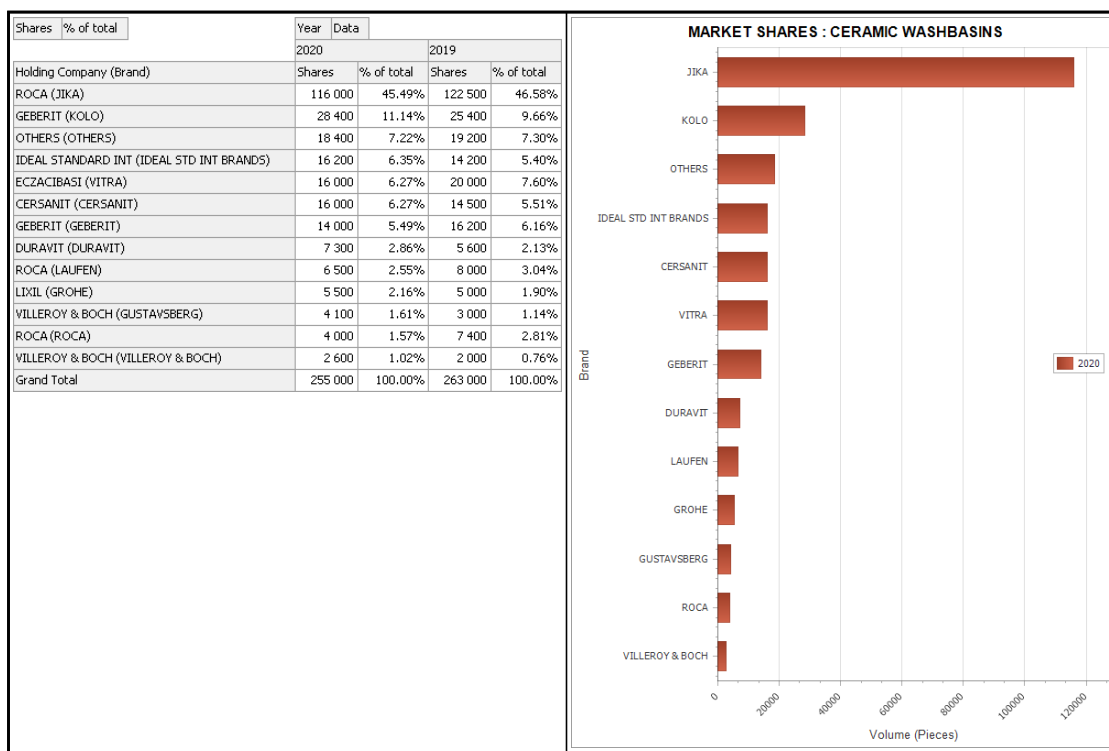
CZ - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

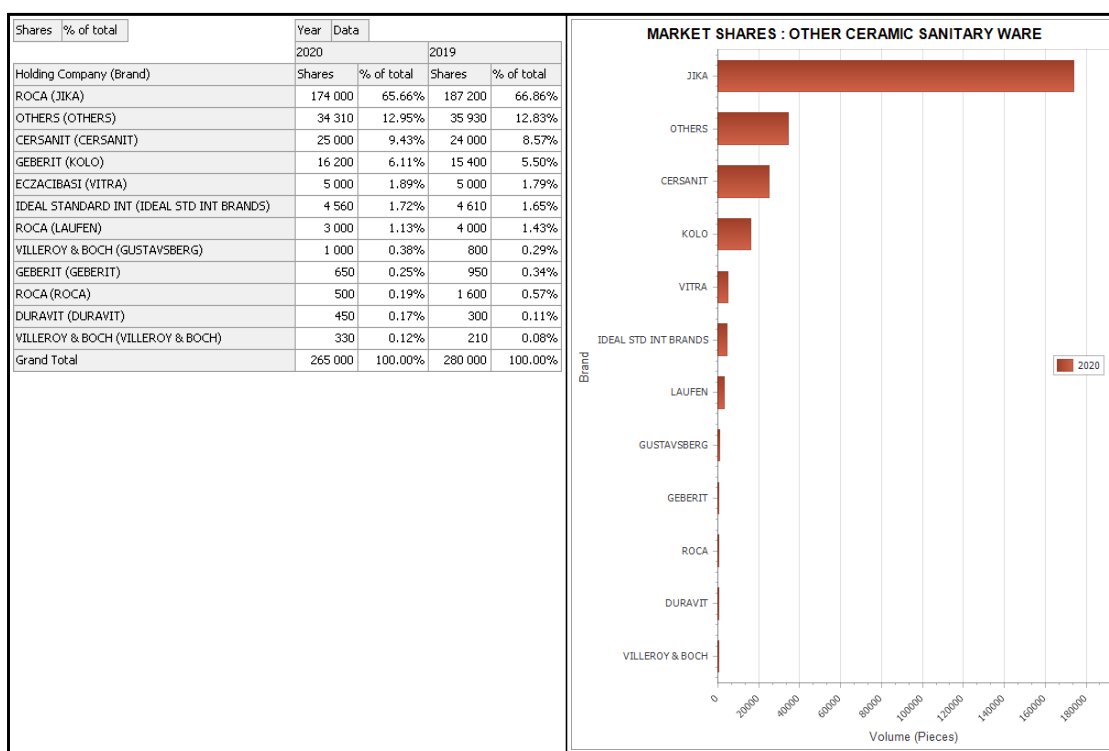
CZ - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

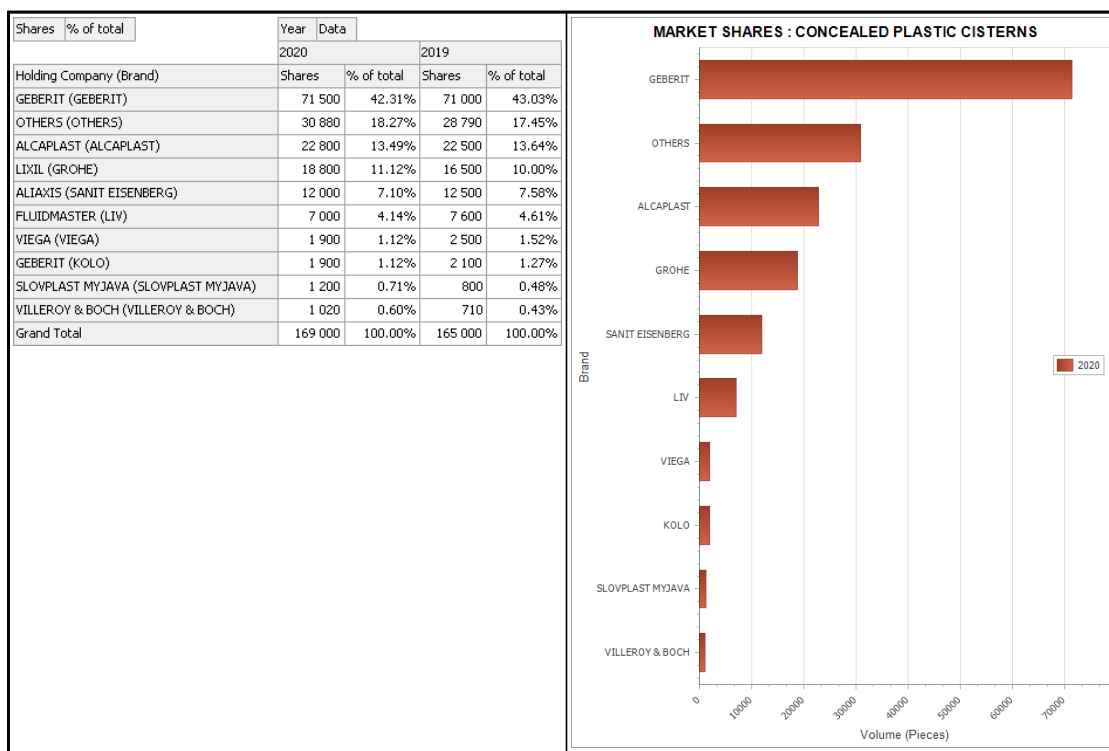
CZ - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

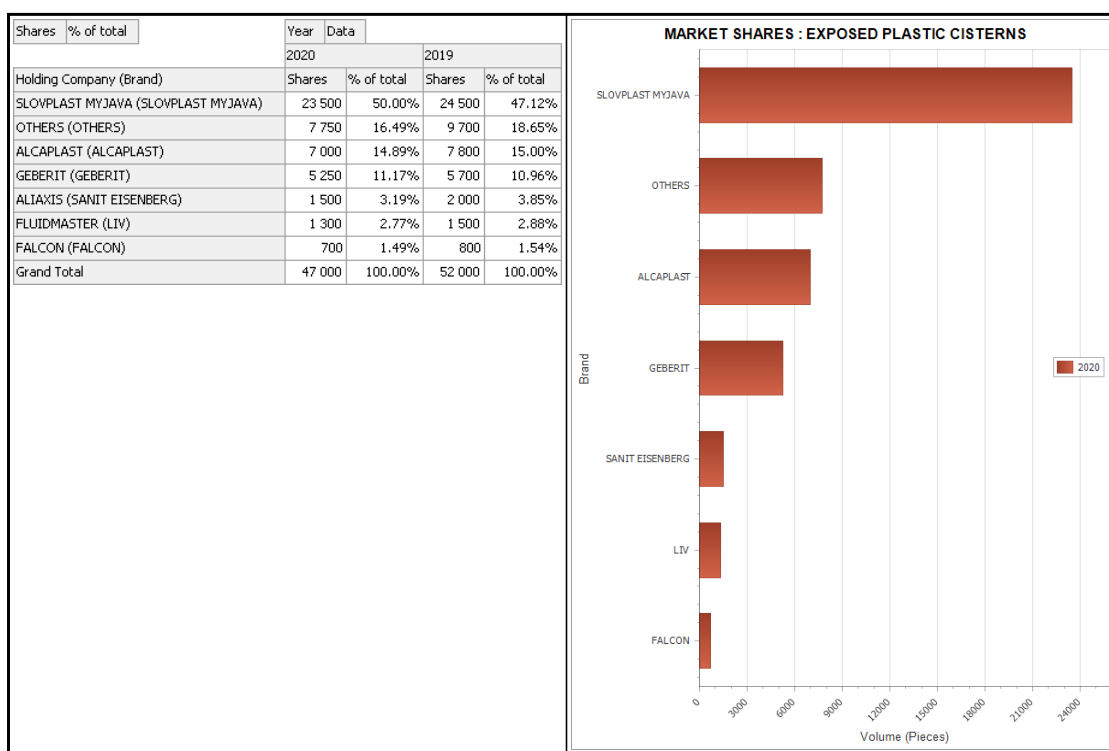
CZ - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

CZ - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 CZ - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Poland	13 585	57.4%	15 550	32.2%	5 784	34.8%	12 367	25.6%
Turkey	3 082	13.0%	5 449	11.3%	2 857	17.2%	5 395	11.2%
Germany	1 331	5.6%	7 881	16.3%	1 764	10.6%	8 554	17.7%
Austria	1 325	5.6%	6 962	14.4%	1 949	11.7%	9 231	19.1%
China	1 223	5.2%	1 882	3.9%	890	5.4%	1 519	3.1%
Switzerland	582	2.5%	3 402	7.0%	727	4.4%	4 167	8.6%
Belarus	555	2.3%	520	1.1%	607	3.7%	558	1.2%
Egypt	409	1.7%	543	1.1%	360	2.2%	441	0.9%
Bulgaria	401	1.7%	573	1.2%	308	1.9%	355	0.7%
Italy	307	1.3%	2 668	5.5%	320	1.9%	2 764	5.7%
OTHERS	865	3.7%	2 876	6.0%	1 053	6.3%	2 906	6.0%
Total	23 665	100.0%	48 306	100.0%	16 619	100.0%	48 257	100.0%

Source : Trademap

2.6.2 CZ - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Slovakia	3 074	10.2%	9 519	11.0%	3 284	9.6%	9 630	9.8%
Germany	3 061	10.2%	8 367	9.7%	5 490	16.1%	14 364	14.6%
United Kingdom	2 961	9.8%	8 744	10.1%	4 456	13.1%	13 508	13.7%
Denmark	2 873	9.5%	7 229	8.4%	2 709	7.9%	6 543	6.6%
Austria	2 278	7.6%	5 182	6.0%	1 929	5.6%	4 034	4.1%
Poland	2 254	7.5%	6 950	8.0%	982	2.9%	3 462	3.5%
Netherlands	1 422	4.7%	3 084	3.6%	1 296	3.8%	2 983	3.0%
China	1 289	4.3%	5 290	6.1%	879	2.6%	4 138	4.2%
Switzerland	1 270	4.2%	2 939	3.4%	1 247	3.7%	2 400	2.4%
France	1 205	4.0%	4 122	4.8%	1 198	3.5%	4 238	4.3%
Russian Federation	1 057	3.5%	2 706	3.1%	982	2.9%	3 109	3.2%
OTHERS	7 340	24.4%	22 334	25.8%	9 695	28.4%	29 996	30.5%
Total	30 084	100.0%	86 466	100.0%	34 149	100.0%	98 405	100.0%

Source : Trademap

2.6.3 CZ - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	2 163	62.4%	18 226	58.7%	1 915	64.2%	15 985	62.6%
Poland	310	9.0%	2 105	6.8%	168	5.6%	1 079	4.2%
Slovakia	243	7.0%	1 851	6.0%	86	2.9%	1 297	5.1%
China	212	6.1%	1 201	3.9%	242	8.1%	1 615	6.3%
Turkey	136	3.9%	753	2.4%	48	1.6%	246	1.0%
Slovenia	72	2.1%	362	1.2%	44	1.5%	214	0.8%
Switzerland	71	2.0%	939	3.0%	73	2.4%	922	3.6%
Austria	54	1.6%	1 080	3.5%	55	1.9%	1 134	4.4%
Italy	54	1.5%	582	1.9%	76	2.6%	808	3.2%
OTHERS	149	4.3%	3 975	12.8%	276	9.2%	2 253	8.8%
Total	3 464	100.0%	31 074	100.0%	2 983	100.0%	25 553	100.0%

Source : Trademap

2.6.4 CZ - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	810	16.6%	7 661	17.1%	774	18.5%	6 671	16.8%
Russian Federation	684	14.0%	7 417	16.6%	525	12.5%	6 014	15.2%
Slovakia	577	11.8%	6 295	14.1%	441	10.5%	5 505	13.9%
Poland	523	10.7%	4 373	9.8%	553	13.2%	4 417	11.1%
Hungary	317	6.5%	2 896	6.5%	293	7.0%	2 901	7.3%
Romania	294	6.0%	2 961	6.6%	235	5.6%	2 215	5.6%
France	189	3.9%	1 320	2.9%	18	0.4%	307	0.8%
Israel	176	3.6%	885	2.0%	123	2.9%	716	1.8%
Belarus	89	1.8%	615	1.4%	71	1.7%	484	1.2%
Austria	87	1.8%	853	1.9%	93	2.2%	1 138	2.9%
Spain	85	1.7%	411	0.9%	72	1.7%	574	1.4%
OTHERS	1 052	21.6%	9 064	20.3%	988	23.6%	8 733	22.0%
Total	4 881	100.0%	44 751	100.0%	4 185	100.0%	39 675	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
CZ - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																											
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Wholesale Level	<table><tr><td colspan="5">73.3%</td></tr><tr><td colspan="5">Wholesalers / Merchants</td></tr><tr><td colspan="5">73.3%</td></tr></table>					73.3%					Wholesalers / Merchants					73.3%																																						
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End Use Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.0%</td><td>23.0%</td><td>3.0%</td><td>14.2%</td><td>7.3%</td><td>33.6%</td></tr><tr><td colspan="6">Residential</td></tr><tr><td colspan="6">81.0%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.0%	23.0%	3.0%	14.2%	7.3%	33.6%	Residential						81.0%						<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.0%</td><td>5.5%</td><td>0.7%</td><td>2.3%</td><td>4.0%</td><td>6.5%</td></tr><tr><td colspan="6">Non-Residential</td></tr><tr><td colspan="6">19.0%</td></tr></table>	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.0%	5.5%	0.7%	2.3%	4.0%	6.5%	Non-Residential						19.0%					
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																	
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<table><tr><td colspan="2">New Build</td><td colspan="2">Residential RMI</td></tr><tr><td colspan="2">11.2%</td><td colspan="2">69.8%</td></tr><tr><td>Project</td><td>Non-Project</td><td>Project</td><td>Non-Project</td></tr><tr><td>10.5%</td><td>0.7%</td><td>20.0%</td><td>49.8%</td></tr></table>			New Build		Residential RMI		11.2%		69.8%		Project	Non-Project	Project	Non-Project	10.5%	0.7%	20.0%	49.8%	<table><tr><td colspan="2">New Build</td><td colspan="2">Non-Residential RMI</td></tr><tr><td colspan="2">6.0%</td><td colspan="2">13.0%</td></tr><tr><td>Project</td><td>Non-Project</td><td>Project</td><td>Non-Project</td></tr><tr><td>6.0%</td><td>0.0%</td><td>12.1%</td><td>0.9%</td></tr></table>			New Build		Non-Residential RMI		6.0%		13.0%		Project	Non-Project	Project	Non-Project	6.0%	0.0%	12.1%	0.9%																	
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10.5%	0.7%	20.0%	49.8%																																																			
New Build		Non-Residential RMI																																																				
6.0%		13.0%																																																				
Project	Non-Project	Project	Non-Project																																																			
6.0%	0.0%	12.1%	0.9%																																																			

2.7.2 Route to Market: Ceramic Sanitary Ware
CZ - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer	Manufacturers / Importers					
	100.0%					
Wholesale Level	74.0%					
	Wholesalers / Merchants					
	74.0%					
Retail Level	Manufacturer		Wholesaler			
	2.2%		3.8%			
	Internet Retailers					
	6.0%					
	Manufacturer		Wholesaler			
	13.0%		14.0%			
	DIY Retailers					
	27.0%					
	Manufacturer		Wholesaler			
	8.9%		17.0%			
	Specialist Retailers					
	25.9%					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

CZ - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

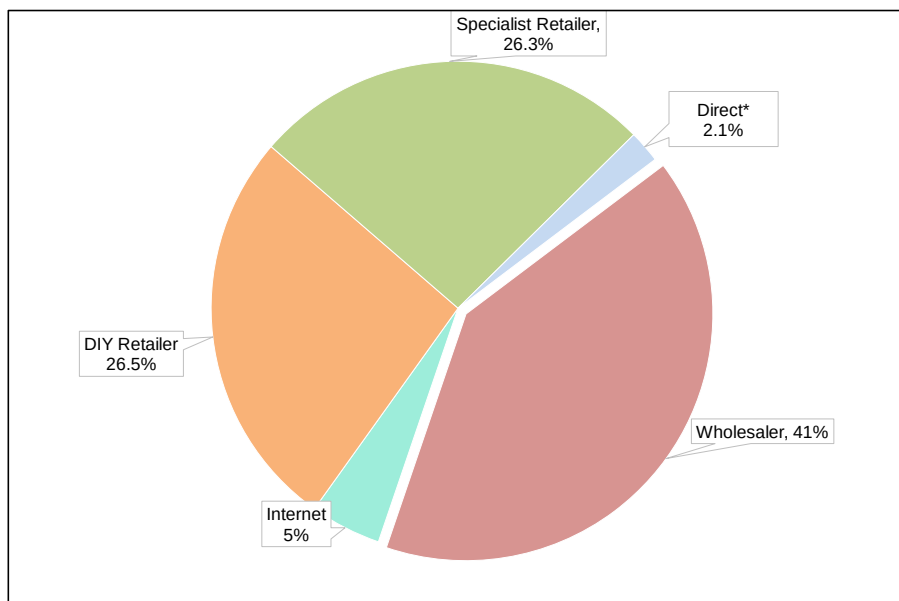
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
40.5%	4.7%	26.5%	26.3%	2.1%	30.5%	18.1%	50.5%	0.9%
100%					48.6%		51.4%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

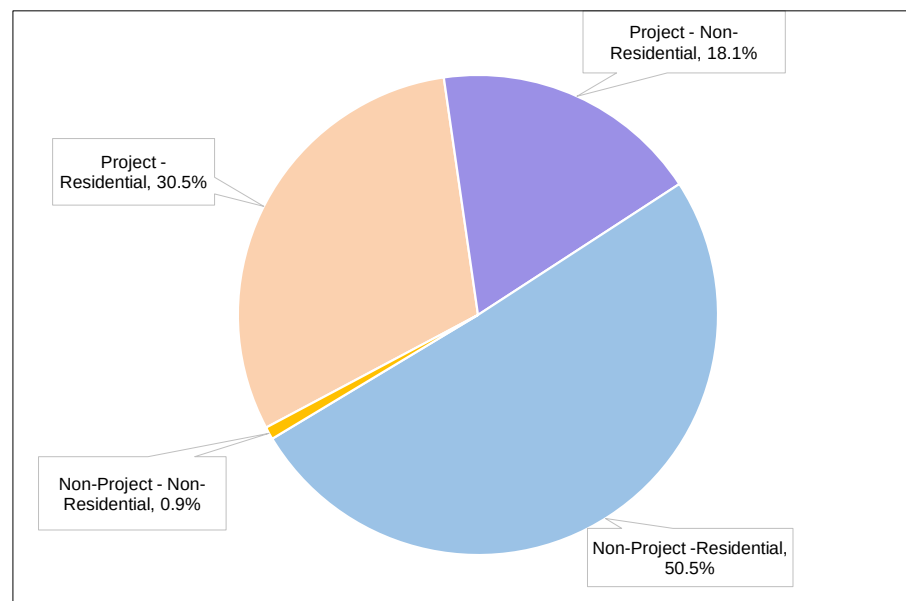
CZ - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
39.2%	6.0%	27.0%	25.9%	1.9%	30.0%	17.9%	51.3%	0.8%
100%					47.9%		52.1%	

CZ - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
CZ - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	80.6%
	Wholesalers / Merchants
	80.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.9%	4.5%	5.1%	18.5%	8.9%	13.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.4%		23.6%		22.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.2%	17.0%	1.1%	6.8%	4.1%
Installers				
32.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	20.6%	4.0%	14.5%	14.5%	26.5%	0.5%	6.5%	1.3%	2.3%	3.8%	5.7%
	Residential						Non-Residential					
	80.0%						20.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	18.6%			61.4%			8.0%			12.0%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	15.5%		3.1%	18.0%		43.4%	7.0%		1.0%	8.0%		4.0%

2.7.6 Route to Market: Plastic Cisterns
CZ - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.0%
	Wholesalers / Merchants
	79.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.8%	5.8%	4.5%	20.0%	9.5%	12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.6%		24.5%		21.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.5%	16.5%	1.3%	6.9%	4.2%
Installers				
32.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	18.3%	5.8%	15.2%	13.8%	26.3%	0.7%	6.4%	1.5%	2.4%	3.5%	6.1%
	Residential						Non-Residential					
	79.4%						20.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	20.0%			59.5%			9.1%			11.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	15.8%		4.2%	16.2%		43.3%	8.2%		0.9%	8.1%		3.4%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

CZ - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

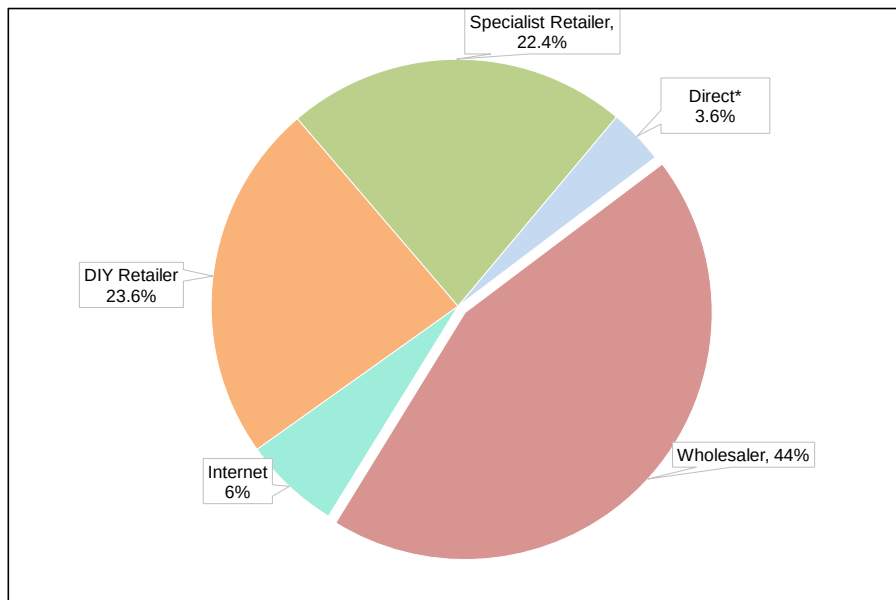
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
44.1%	6.4%	23.6%	22.4%	3.6%	33.5%	15.0%	46.5%	5.0%
100%					48.5%		51.5%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

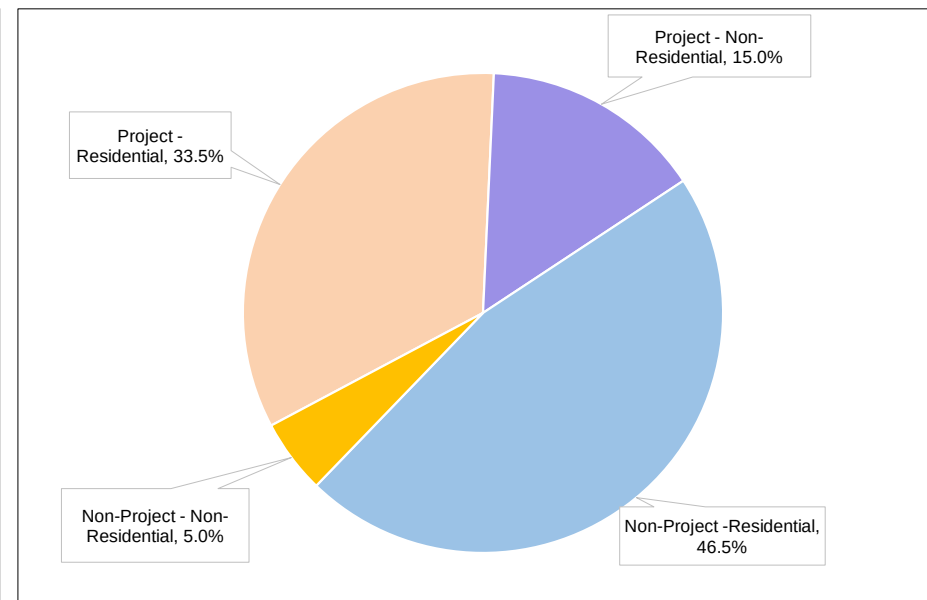
CZ - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
41.2%	8.6%	24.5%	21.5%	4.2%	32.0%	16.3%	47.4%	4.3%
100%					48.3%		51.7%	

CZ - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Czech Sanitary Ware Market (April 2021)

CZ - REVISIONS IN THE CZECH SANITARY WARE MARKET

Data Comparison: April 2020



No changes have been made to historical volumes for this market.

The overall MSPs for concealed plastic cisterns were revised downwards for all years. This was largely caused by the changes made to the split by installation type. According to industry sources the share of products without frame was previously understated and as such products are on average much cheaper than dry or wet installations, the overall prices were brought down.

The overall MSPs for Other CSW were revised upwards for all years. This was largely caused by the changes made to the product mix with share of urinals being increased while share pedestals were decreased. According to interviews with manufacturers, installations of pedestals declined at higher rate during the last 10 years than previously thought and at the same time the overall market for urinals was understated, leading to higher prices on average.

Only minor changes were made to the values of other sanitary ware products.

CZECH REPUBLIC

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Czech tap and mixer market showed strong underlying growth, driven by rocketing construction, renovation and replacement activity, from the early 1990s up to 2007 – when the market started to be affected by slow economic growth and low construction output. In 2007, sales were some 2.4 times higher than 1993 levels; during this same period, ceramic sanitary ware sales had grown by only 16%. Since 2001, the overall tap and mixer market has been boosted by local assemblers such as METALIA and RAF, and low-end Italian and Chinese imports.

Today, one head mixers account for the majority of the market. Pillar taps have dropped to a negligibly low share. One head mixers have seen rapid growth in sales for the last two decades and are expected to remain the most important category in terms of volume. Sales of two head mixers have decreased over the years as a result of the shift towards one head mixers, and to thermostatic mixers to a certain extent. The share of thermostatic mixers, however, is still relatively low but is expected to increase further over the next few years, resulting from a shift towards the middle and upper segments of taps and mixers, and more demand coming from the showers and baths markets. Most bath and washbasin mixers and all bidet mixers are deck mounted, whereas kitchen mixers are mainly freestanding and shower mixers are mainly wall mounted. In terms of finish, the overwhelming majority of taps are chrome. It is believed that over 80% of taps and mixers sold in the market are still chrome. Two other finishes with relatively high share that are present on the market are black and white, which has gained popularity over the last few years thanks to German imports.

Recent Market Trends

The COVID-19 crisis and the subsequent lockdowns in March and October and social distance measures enacted resulted in slowdown of activity across all end-uses. Indeed, the new housing completions declined markedly, largely due to the drop in apartments built and similar development was seen in non-housing. Many large-scale projects were postponed and resumed at a later date which in turn affected the overall demand for taps and mixers. The only application that recorded growth were the shower taps and mixers. Indeed, although overall housing RMI went down, an important number of homeowners decided to improve their bathrooms, in particular conversions from baths to shower trays and/or wet rooms, which boosted otherwise lacklustre sales.

In terms of type of taps and mixers, all models saw a decline in sales with the exception of thermostatic and electronic mixers. While thermostatic mixers benefited from the aforementioned increase in penetration of showers in the total market, electronic mixers saw an increase in demand partially due to the COVID-19 crisis which put higher focus on hygiene. Despite this progress, total sales of electronic mixers still remain niche. Notwithstanding the drop in sales, one head mixers remain to be the most common type in the country.

Although originally installations of thermostatic mixers were concentrated in the non-housing sector, they are now gradually seeing installations in new dwellings as their safety benefits and design can be used as a selling point for contractors. The vast majority of thermostatic models are installed in showers and to a lesser extent also baths; installations in washbasins are quite rare. It is also worth noting that, although sales of thermostatic models in the replacement sector are rising, the progress is somewhat hampered as thermostatic mixers are not suitable to all households, with blocks of flats built during the socialist era, especially, having problems with water pressure that prevent these products from working optimally.

Prices and Market Values

Only minor changes were seen in the developments of the manufacturers' selling prices (MSPs) for taps and mixers in 2020, with most types experiencing a modest price increase in local currency. The increases of MSPs for taps and mixers were caused by several factors. The gradually-increasing trend towards higher quality mixers, continued to push the prices higher, but this was also caused by the general price increases manufacturers tend to incur annually – in line with inflation, changes to the price of commodities and increasing labour costs. Czech consumers generally shy away from extremely cheap imported taps and mixers, as these products gained a very poor reputation during the large influx that occurred during and shortly after the global economic crisis in 2008, only to break quickly and require replacement.

It is worth noting that overall MSPs when presented in EUR saw only very slight changes. This was largely due to the weakening local currency throughout the year. Indeed, the competitive environment in 2020 prevented manufacturers from increasing their prices further. In general, consumers are willing to invest more money in taps and mixers installed in kitchens, showers and baths, while they don't deem washbasin taps and mixers to be as important.

New Housing

The new housing end-use segment accounts for a relatively small proportion of total tap and mixer sales, which is typical for a mature market. With an increased construction output forecast, it is expected that the volume sales of taps and mixers going to new housing over the forecast period should grow steadily. One head mixers dominate this end-use segment, and there is also gradual demand for thermostatic mixers, partly due to their popular design and also to their safety benefits, especially for families with children or elderly people for whom fluctuating water temperatures are a greater risk. Pillar taps are an extremely marginal market and do not feature in this segment; likewise, two head mixers are increasingly rare in new dwellings, with the majority of installations now being in the replacement market.

Housing RMI

Typically for a mature market, housing RMI accounts for the vast majority of annual tap and mixer sales in the Czech Republic. Although there is a high level of distress replacement in the tap and mixer market, taps are also a straightforward aesthetic upgrade to a bathroom or en-suite and, therefore, discretionary sales also constitute a substantial proportion of demand within the RMI sector. The growth rate in sales of taps and mixers in this end-use sector is expected to recover steadily over the forecast period, as the macroeconomic and social conditions of Czech households improve.

As in most end-use segments, one head mixers account for the majority of annual sales, which comprise of both distress like-for-like replacements and a small number of substitutions of two head mixers. Two head mixers are also commonly installed in RMI, although mainly as distress replacements. This segment is also the main market for the Czech Republic's minimal annual sales volumes of pillar taps – products that are rapidly being substituted by the much more popular one head mixer. Thermostatic taps have gained share in the RMI market in recent years; these sales are understood to be predominately substitutions, as the market is relatively young and the level of distress replacement demand, therefore, is low.

Non-Housing

Taps and mixers are essential elements in any occupied building equipped with a bathroom, including non-residential ones. Although sales to the non-housing segment account for a small proportion of the total tap and mixer sales in comparison to the residential segments, it is the main market for commercial tap and mixer models such as self-closing and electronic taps. Thermostatic taps also have a high share in this segment, as they are favoured in healthcare facilities, schools and rest homes. Historically, self-closing taps have dominated the Czech non-housing market, favoured for their low price point and water-saving benefits (as their self-closing function conserves water and lowers the risk of collateral damage to a building through bathroom flooding, due to a tap being left on). This has since shifted somewhat, as electronic taps have seen strong uptake through a greater number of players entering this segment, the release of new models onto the market, and the subsequent marketing efforts of manufacturers.

Sales of taps and mixers into the non-housing sector decreased in 2020, as construction activities fell across the majority of sectors. The hotel and healthcare industries particularly suffered in 2020 due to the COVID-19 crisis and, as a result, the total number of taps and mixers sold plummeted.

Supply Structure

There have been no significant changes in the supply structure of the tap and mixer market. There are only three domestic producers: METALIA, SLEZAK-RAV and RAF, with the dominating company on the market being the Polish FERRO, with its

TITANIA and METALIA brands. The economy segment is represented by SAGITTARIUS, distributed by the wholesaler INTERCOM. SIKO is also importing low-end Chinese products and selling them under their brands. STENO and GEOS ATG are trading companies that are similarly focused on Chinese imports. Moreover, GEOS ATG is the exclusive importer of the Italian GUGLIEMI, PAINI and GABOLI.

Domestic suppliers of flushing valves SANELA, AZP BRNO and SENZOR BOHEMIA are responsible for the majority of overall market sales. They offer both urinal and WC flushing valves. Other foreign suppliers include companies such as SILFRA, PRESTO, GEBERIT, GROHE and SHELL.

In terms of product mix, the Czech Republic's very small market for pillar taps comprises only a handful of players, most of which are domestic manufacturers offering these products as a side-line. The market leader is the overall taps market leader, FERRO (TITANIA). FERRO also leads the one head mixer market (the largest product segment) with its TITANIA and METALIA brands, followed by SAGITTARIUS, favoured for its low prices. FERRO's dominance of the overall Czech taps and mixers market is further demonstrated by the fact that it holds just under half of the total market share – through its TITANIA and METALIA brands.

In contrast to the three above-mentioned markets, dominated by local players, German manufacturers lead the market for thermostatic mixers (particularly GROHE and HANSGROHE). METALIA is also relatively strong, along with IDEAL STANDARD who also have a substantial position. Of the commercial tap products, the self-closing taps market is largely consolidated, dominated by STENO and GEOS, while the electronic taps and mixers market is small and led by GROHE, with other strong manufacturers being S-LINE, SLEZAK RAV and GEOS.

Forecasts

Sales of taps and mixers are anticipated to return to growth in 2021 as the total number of completions are projected to increase and housing RMI demand should recover in the short-term outlook. However, the overall market is likely to be still hampered by the COVID-19 crisis which should prevent non-housing from recording an increase that year, as tourism will most likely continue to be subdued. Additionally, any further increase of sales will depend on smooth roll-out of vaccination as well as easing of restrictions.

In the mid to long term, the demand for taps and mixers should remain positive as residential construction is likely to be positive over the forecast. Shower mixers in general should benefit from the trend away from baths in both new housing and replacement sectors, which in turn should also mean higher uptake of thermostatic mixers. Washbasin and kitchen taps and mixers are expected to also enjoy steady growth over the next few years as sales of basins and kitchens return to normal. Bidet taps and mixers are unlikely to gain significant share and will remain to be a niche market. Bath taps and mixers sales will recover somewhat between 2022 and 2023, before declining again in the following years. This should be largely caused

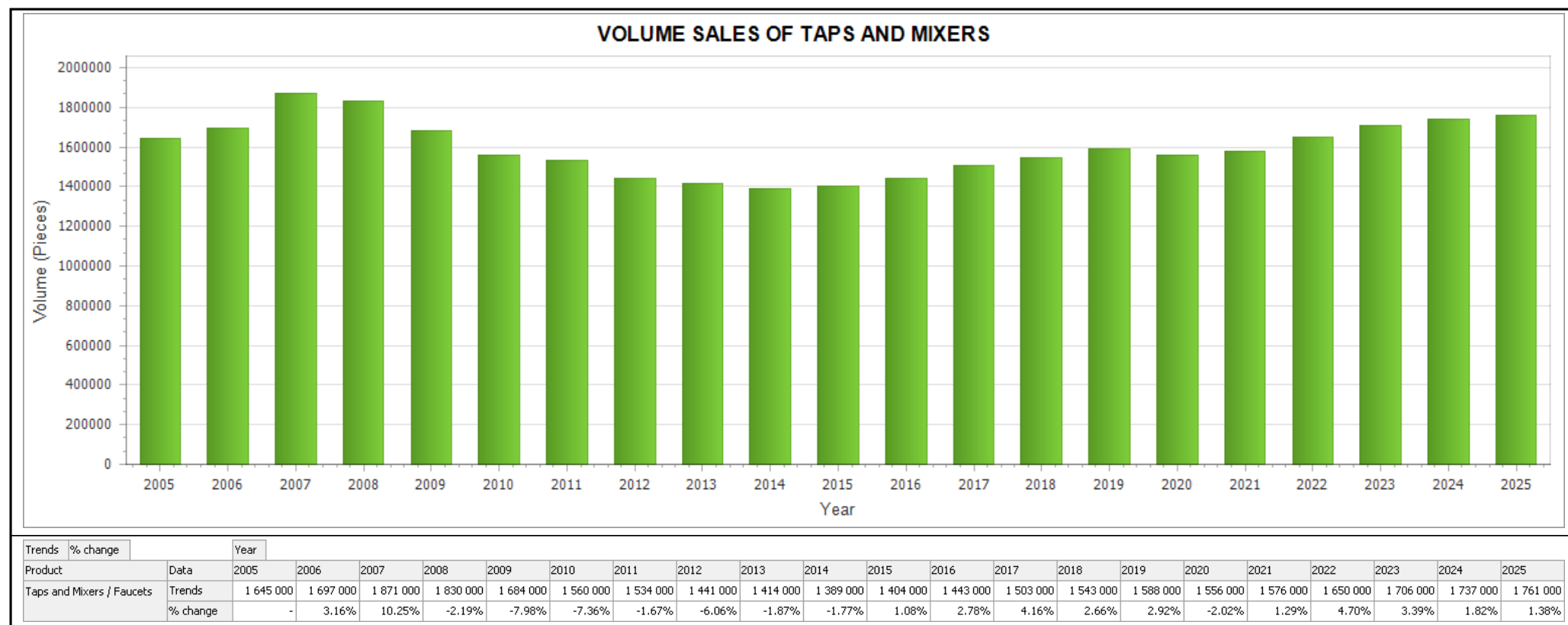
by the aforementioned shift towards showering.

The design and aesthetics of products are anticipated to remain key concerns for manufacturers, with slimline designs and concealed products retaining their popularity. Almost all companies introduced, or are planning to introduce, new models in the market – with different colours and material finishes being one of the main trends continuing throughout the forecast period. It is also likely that these 'new' designs will become increasingly available at lower price points, as the internet channel continues to gain share.

With regards to product mix, BRG predicts that trends seen in previous years are to continue not only in 2021, but also throughout the forecast period. One head mixers should retain their prime spot in the market, while the share of two head mixers and pillar taps should further deteriorate. Thermostatic mixers are expected to become more of a mainstay in the new housing sector, especially in shower applications, and electronic models should continue to take share from self-closing units. Concealed models should become increasingly popular, especially with installations in showers and baths.

3.2 Historical Trends and Forecasts : Taps and Mixers

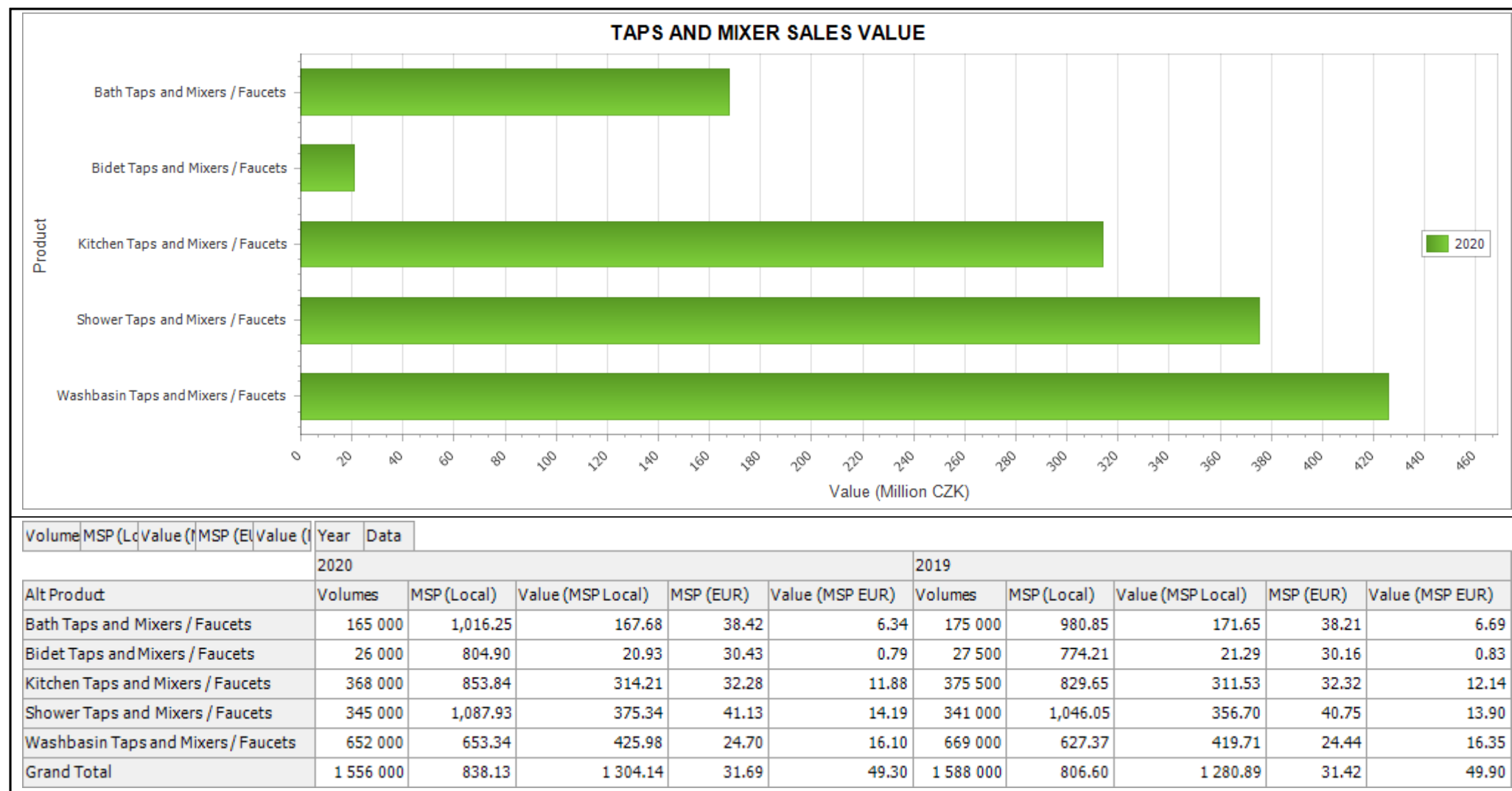
CZ - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

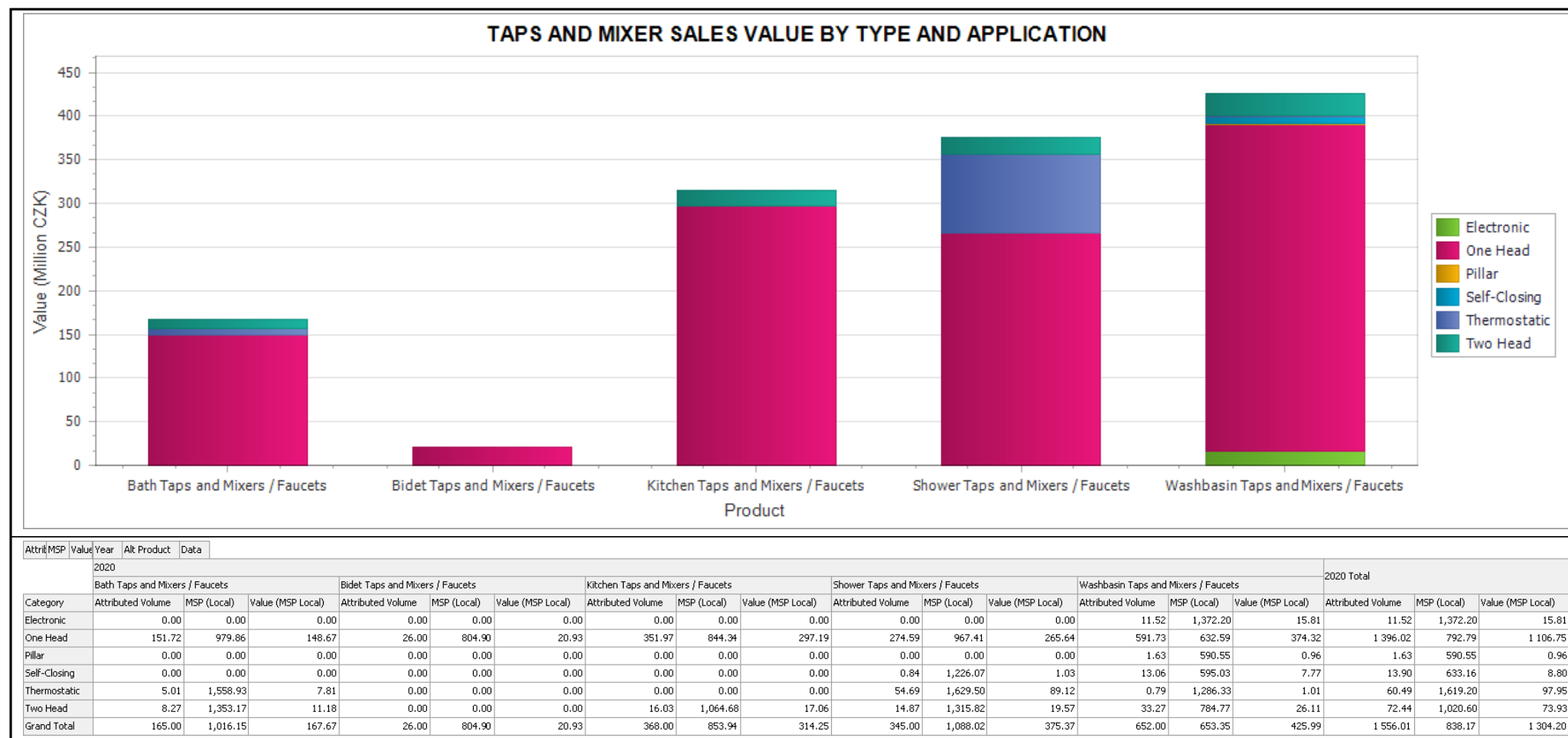
CZ - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in CZK. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

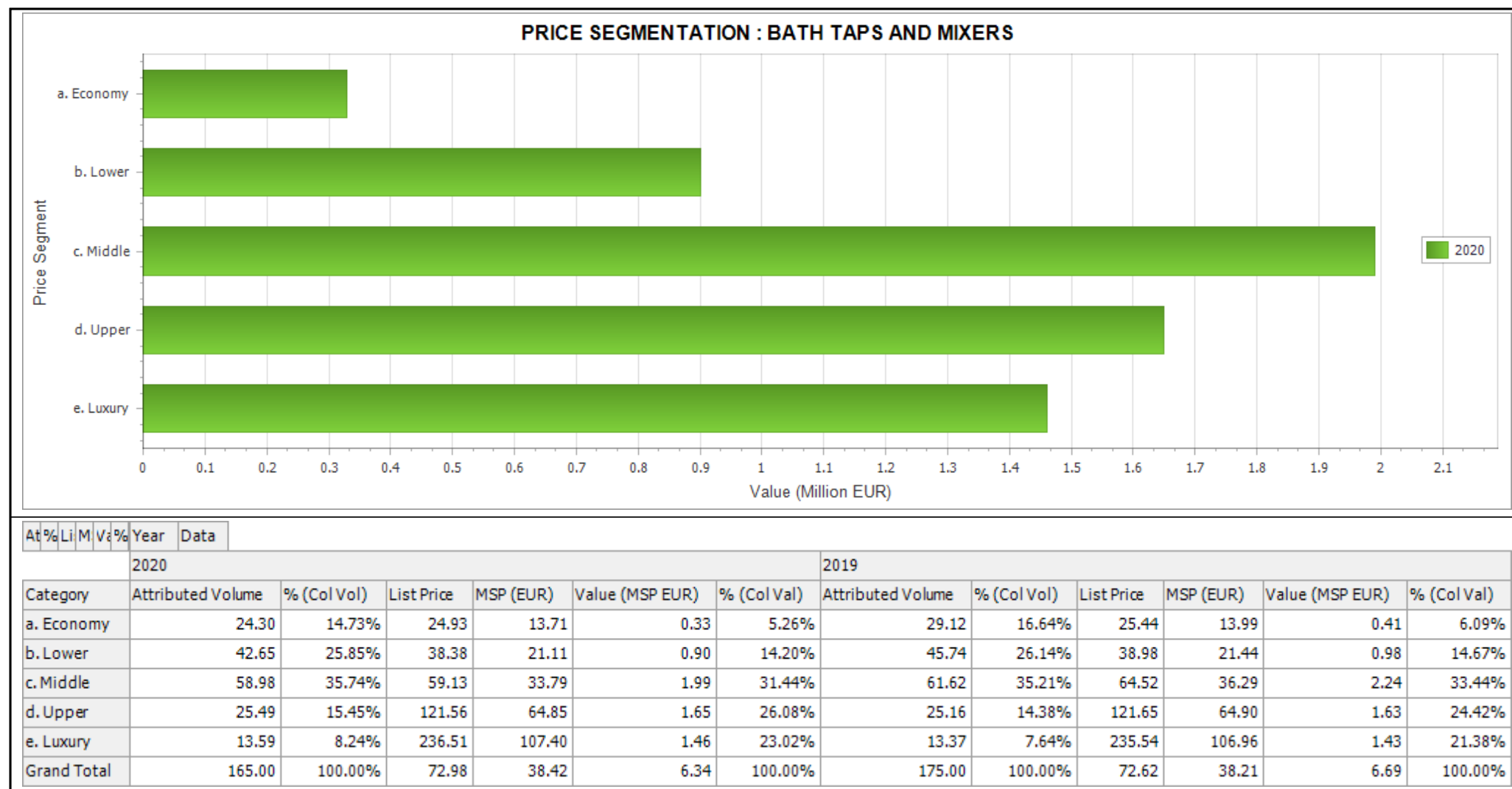
CZ - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CZK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

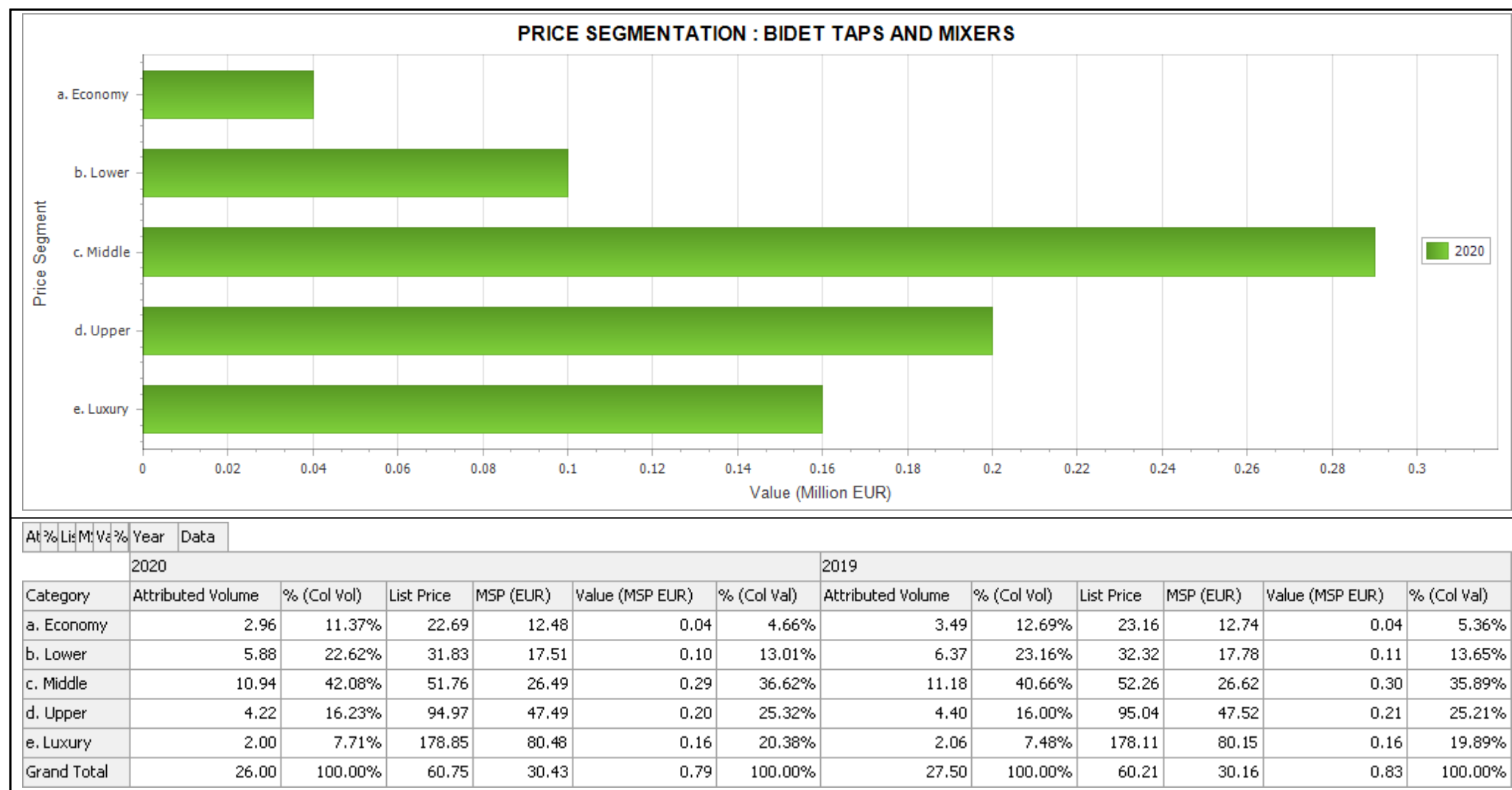
CZ - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.4 Price Segmentation : Bidet Taps and Mixers

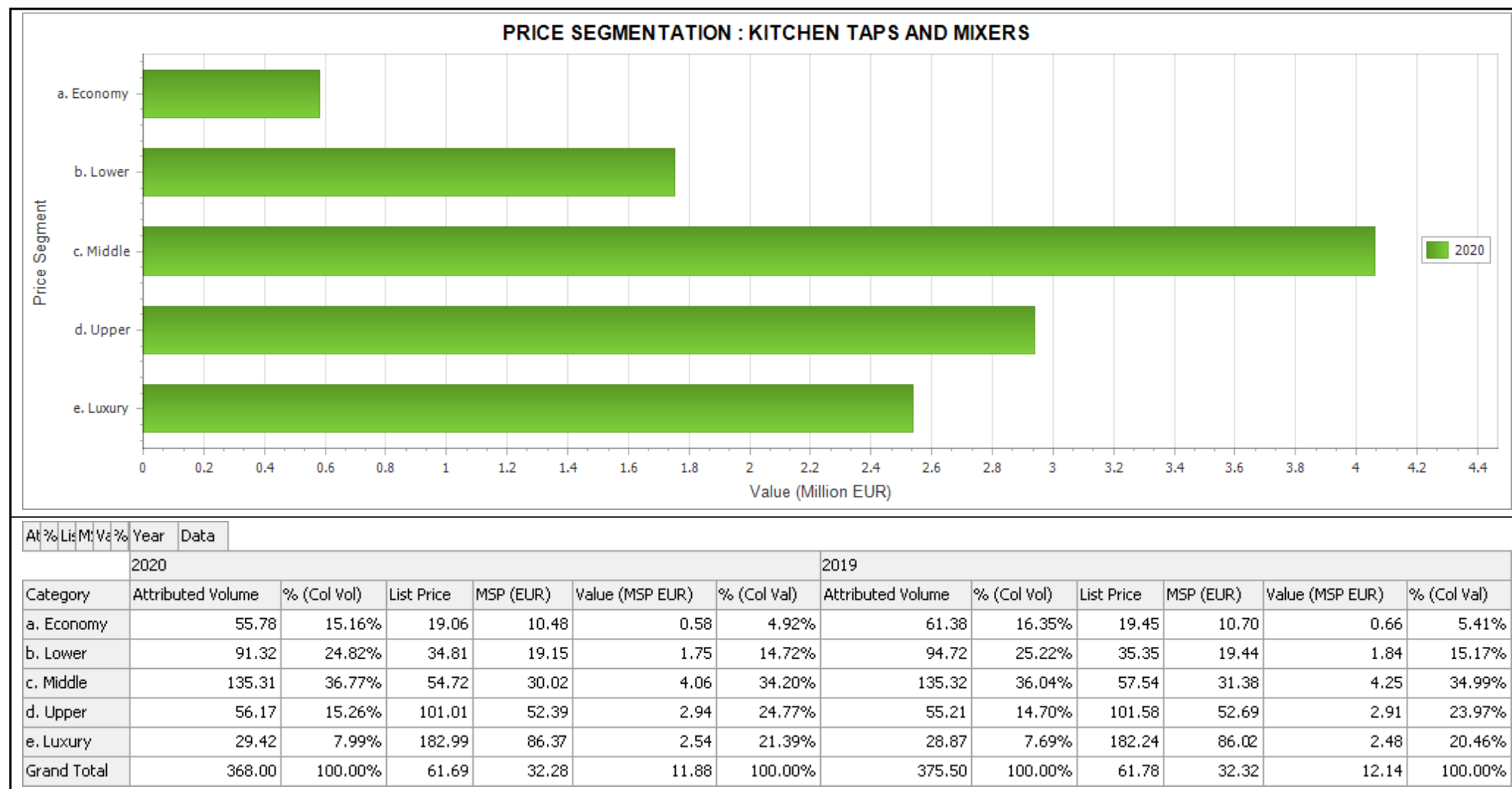
CZ - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.3.5 Price Segmentation : Kitchen Taps and Mixers

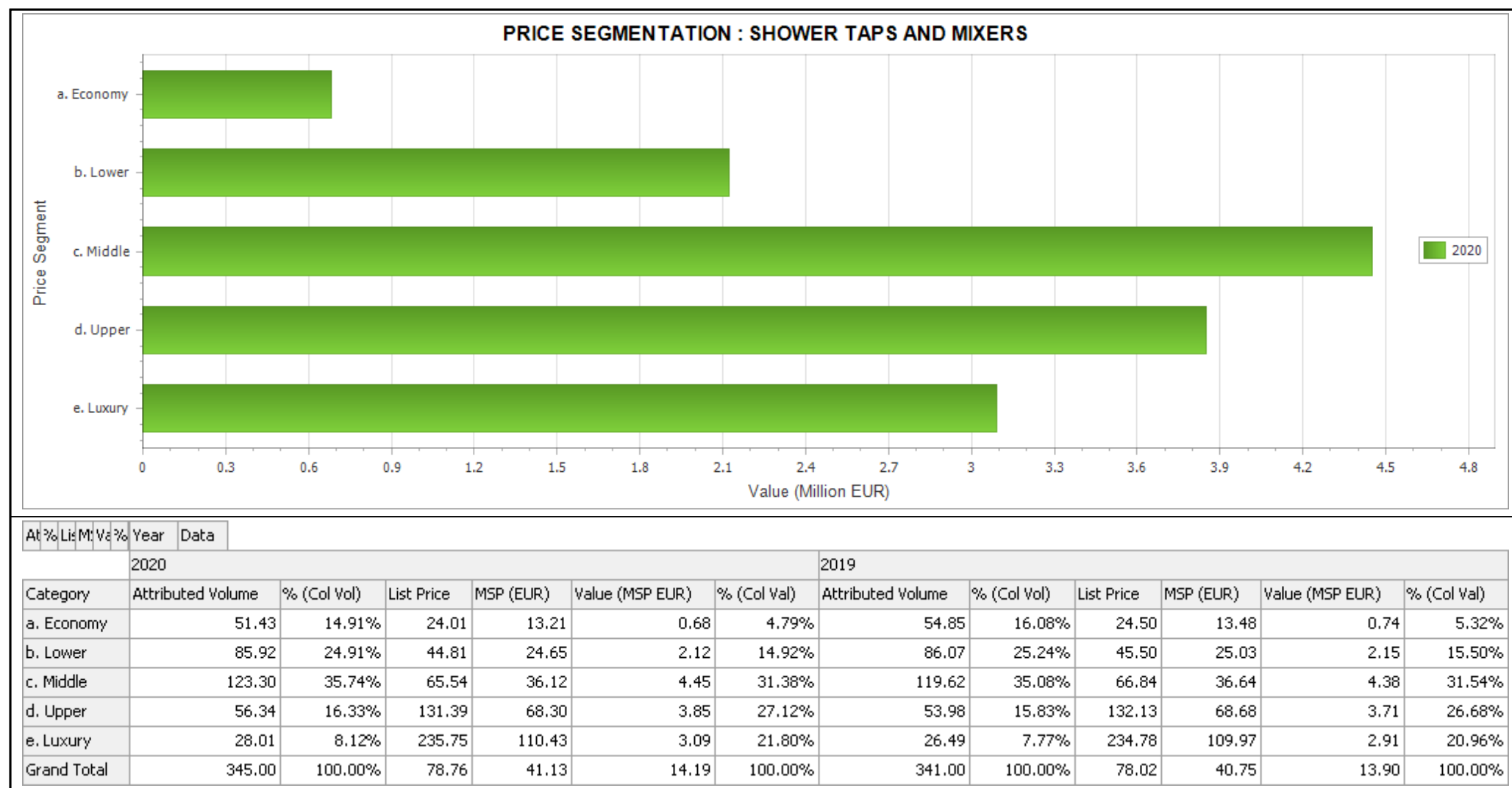
CZ - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

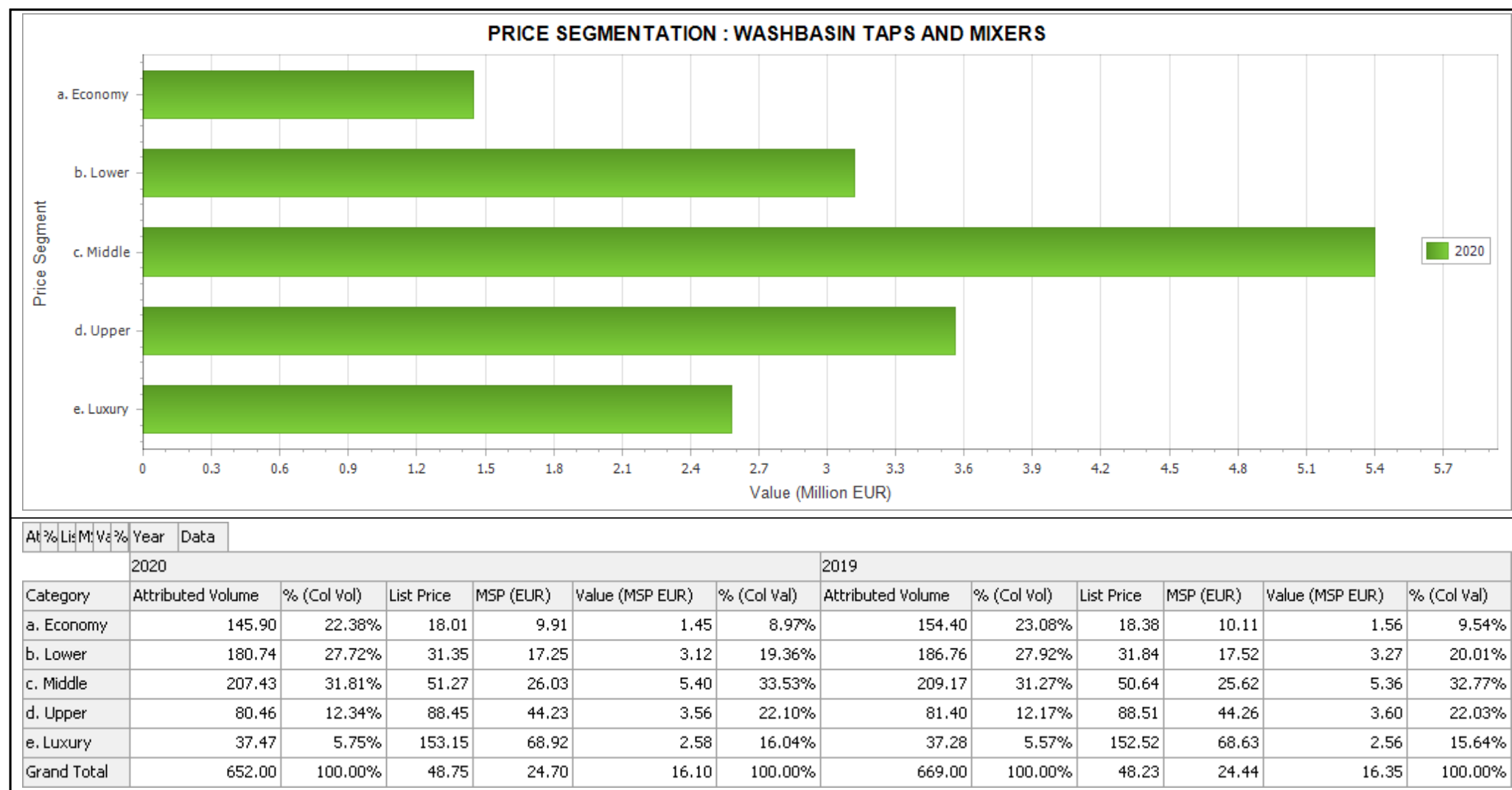
CZ - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.7 Price Segmentation : Washbasin Taps and Mixers

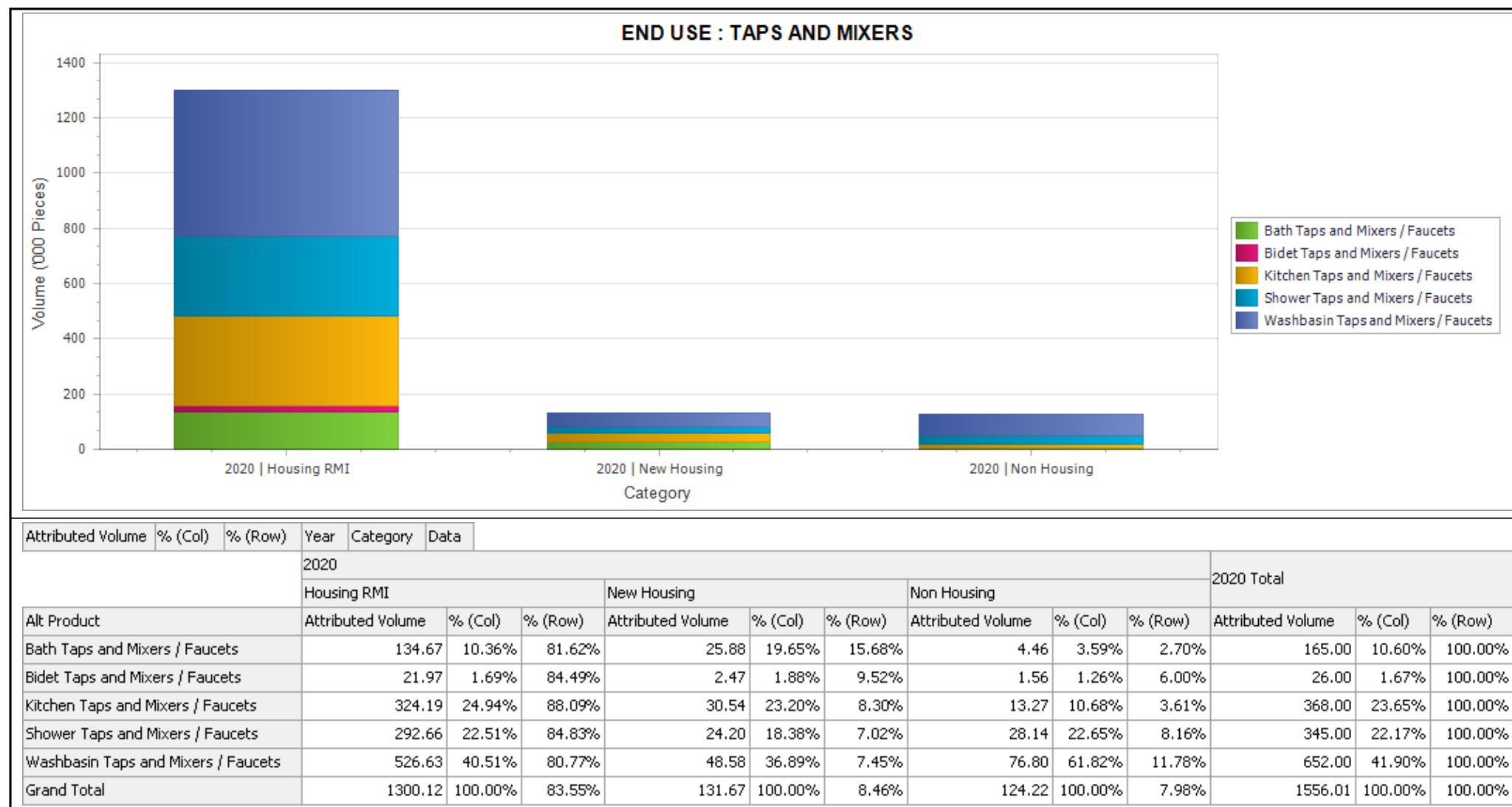
CZ - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.4.1 End Use : Base Year

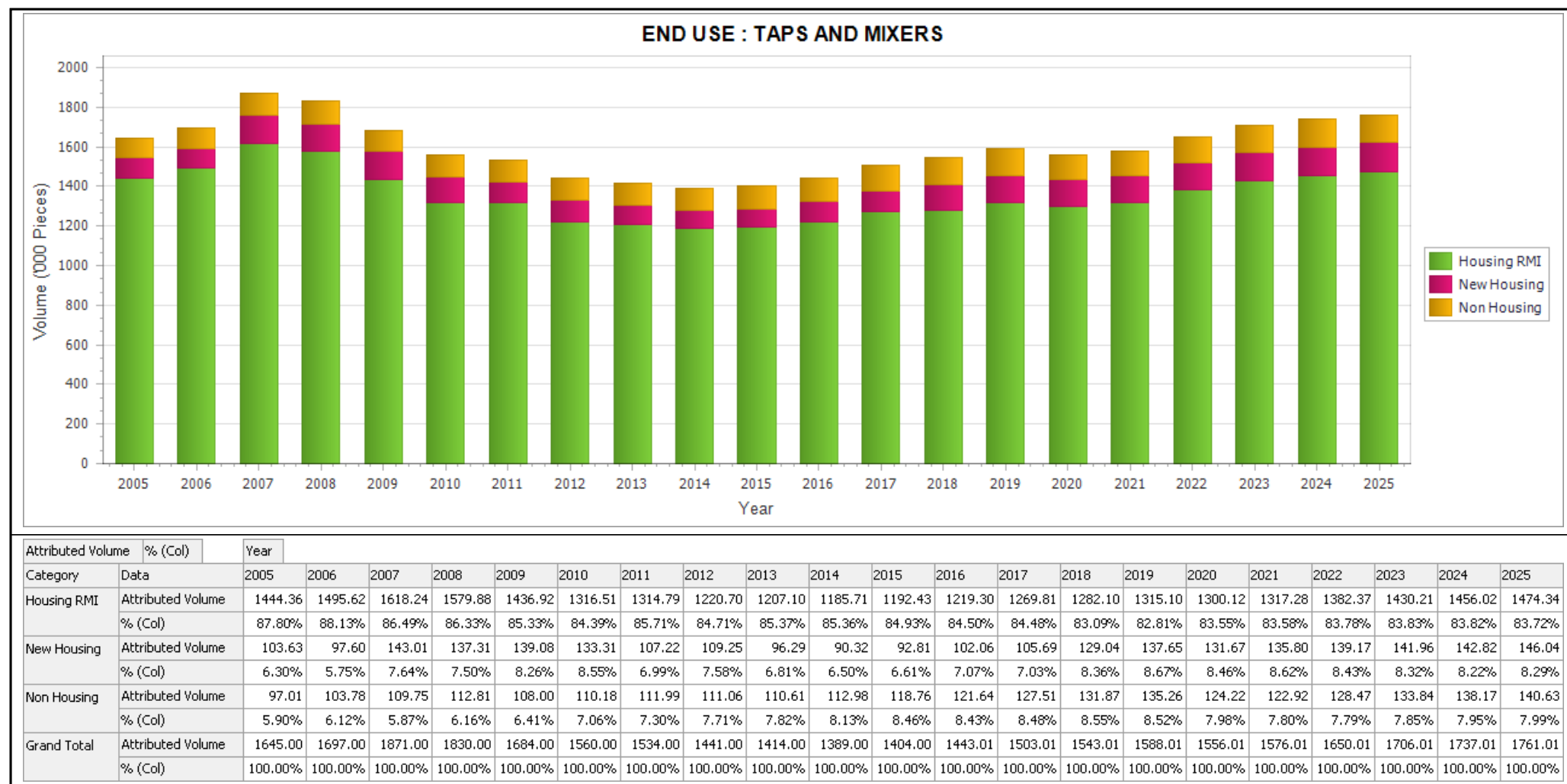
CZ - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

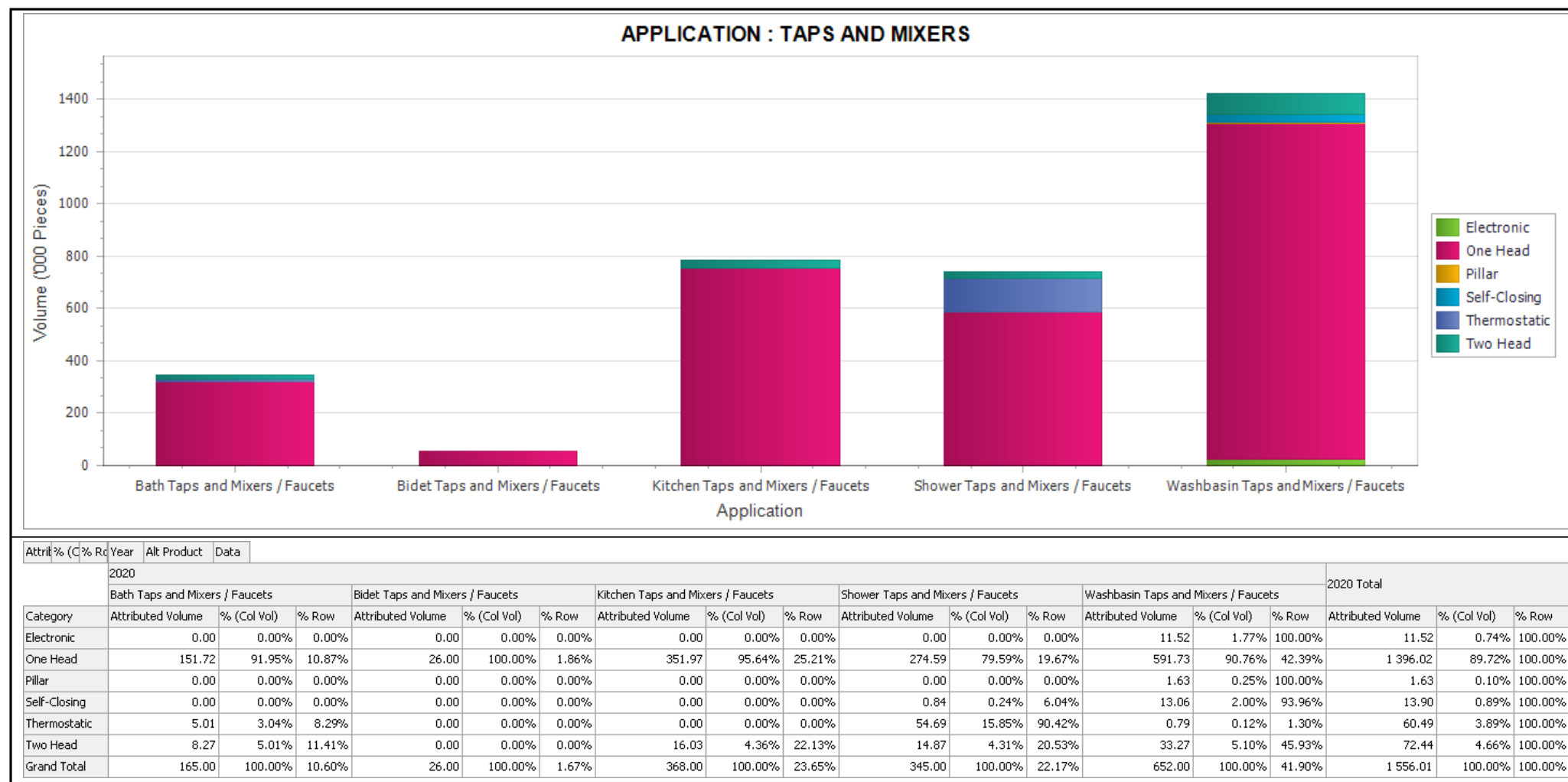
CZ - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

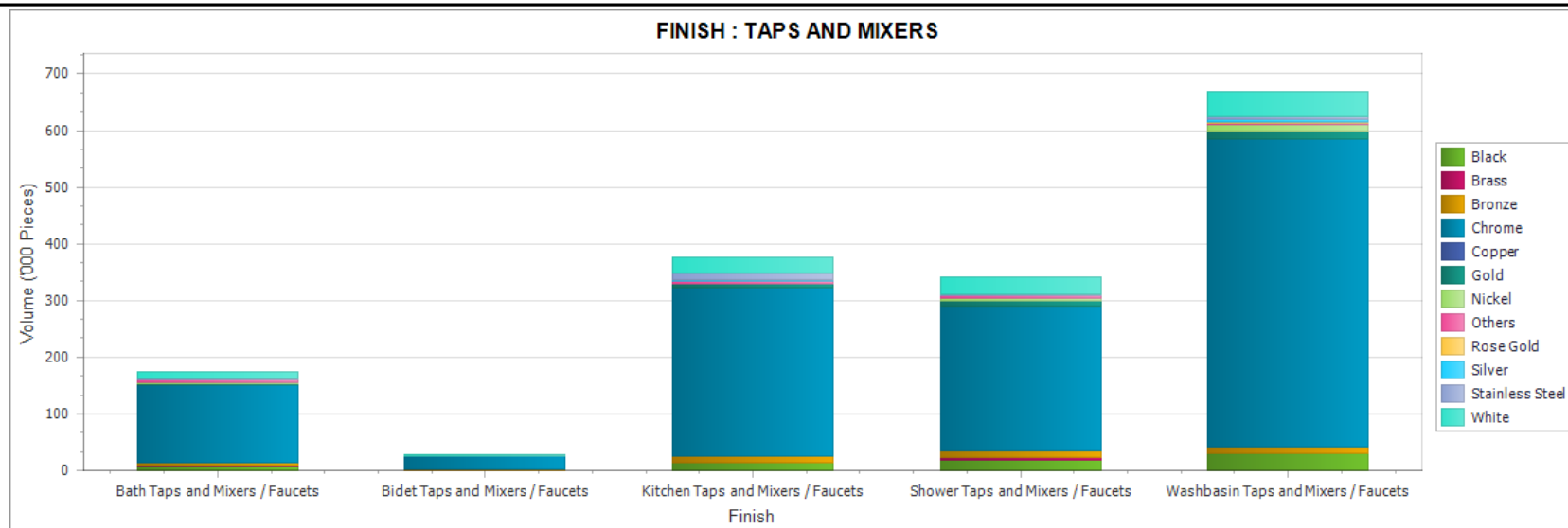
3.4.3 Sales by Type and Application : Taps and Mixers

CZ - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

CZ - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

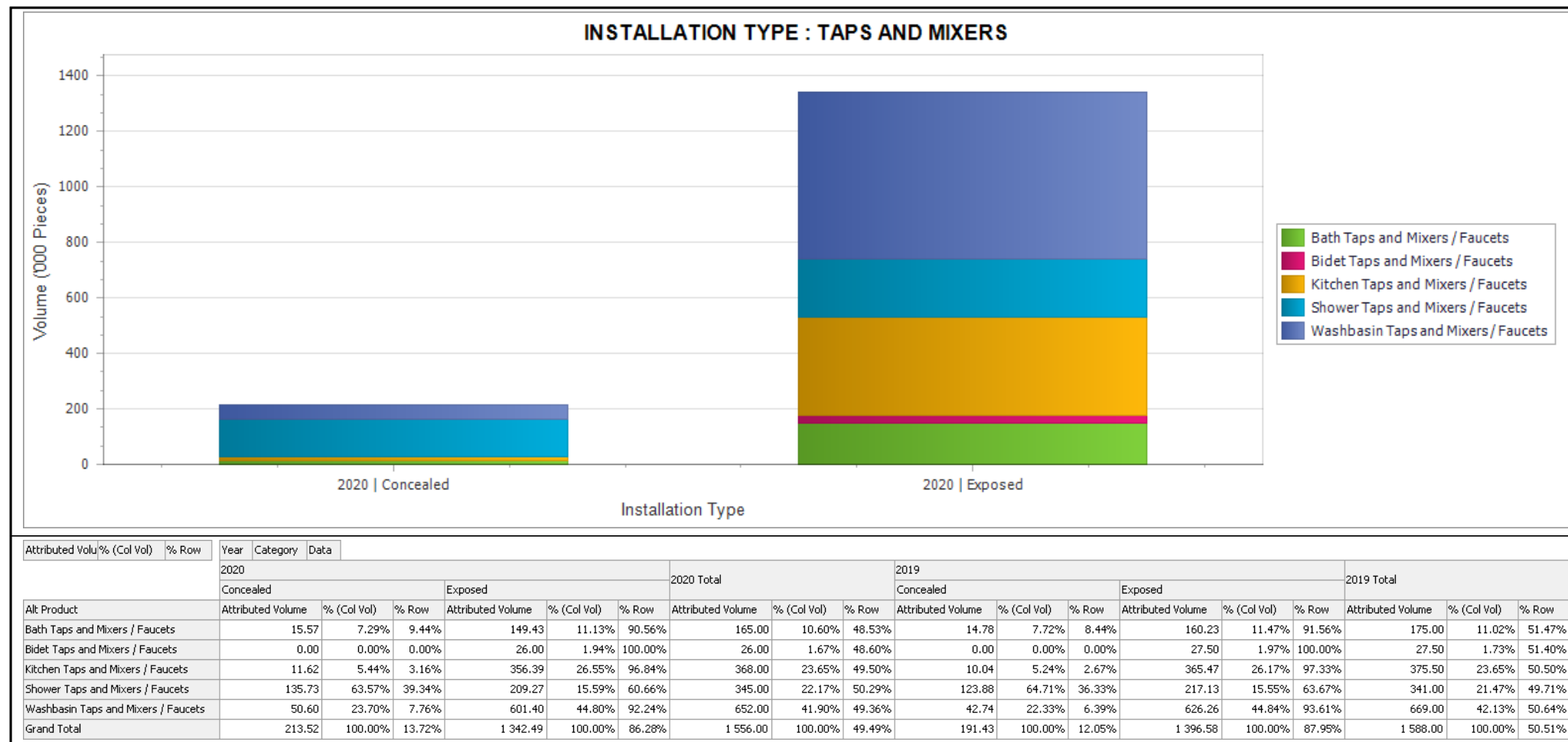


Attribut	% (Col \	Year	Alt Product	Data									
		2020										2020 Total	
		Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucets			
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	
Black	7.26	4.40%	0.57	2.20%	13.25	3.60%	19.32	5.60%	29.99	4.60%	70.40	4.52%	
Brass	2.97	1.80%	0.34	1.30%	0.00	0.00%	4.83	1.40%	0.00	0.00%	8.14	0.52%	
Bronze	3.22	1.95%	0.31	1.17%	11.78	3.20%	11.04	3.20%	13.04	2.00%	39.38	2.53%	
Chrome	129.51	78.49%	22.16	85.21%	290.28	78.88%	257.37	74.60%	528.77	81.10%	1 228.09	78.93%	
Copper	0.00	0.00%	0.18	0.70%	0.74	0.20%	0.00	0.00%	0.00	0.00%	0.92	0.06%	
Gold	1.96	1.19%	0.22	0.85%	6.99	1.90%	9.32	2.70%	13.04	2.00%	31.53	2.03%	
Nickel	0.53	0.32%	0.44	1.70%	0.00	0.00%	5.87	1.70%	9.45	1.45%	16.29	1.05%	
Others	4.95	3.00%	0.55	2.10%	3.68	1.00%	3.45	1.00%	3.91	0.60%	16.54	1.06%	
Rose Gold	0.08	0.05%	0.07	0.25%	0.00	0.00%	0.00	0.00%	1.30	0.20%	1.45	0.09%	
Silver	0.83	0.50%	0.21	0.80%	2.94	0.80%	0.00	0.00%	3.59	0.55%	7.56	0.49%	
Stainless Steel	1.65	1.00%	0.13	0.50%	10.38	2.82%	2.76	0.80%	5.87	0.90%	20.79	1.34%	
White	12.05	7.30%	0.83	3.20%	27.97	7.60%	31.05	9.00%	43.03	6.60%	114.93	7.39%	
Grand Total	165.00	100.00%	26.01	100.00%	368.00	100.00%	345.00	100.00%	652.00	100.00%	1 556.01	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

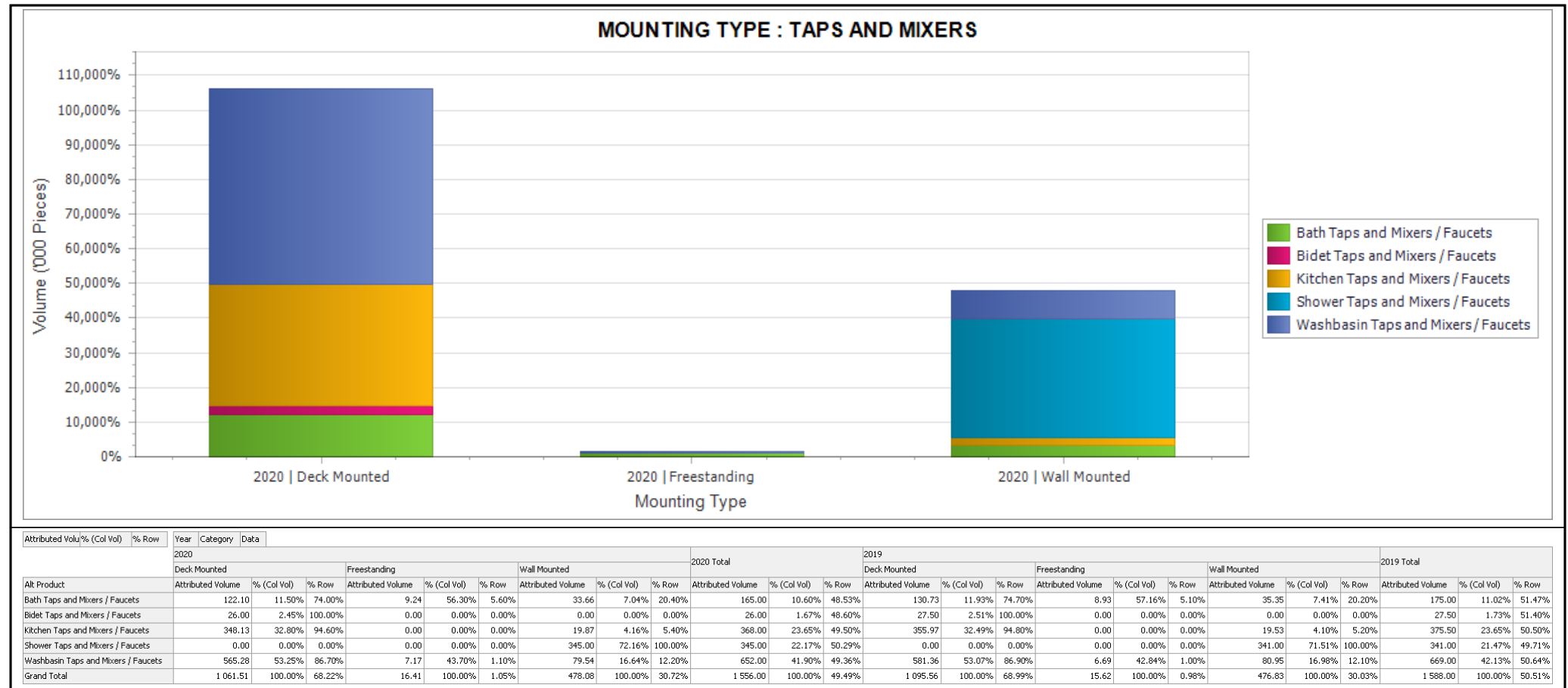
CZ - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

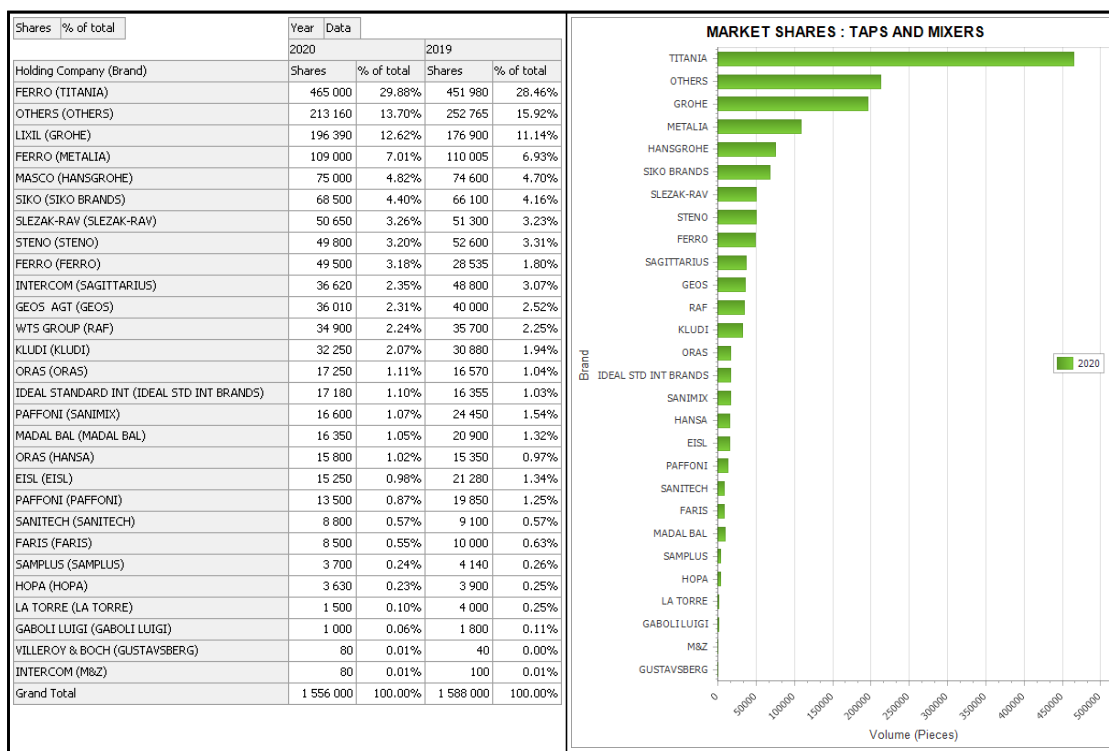
CZ - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

CZ - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 CZ - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	2 268	39.8%	21 510	24.9%	1 913	31.6%	19 712	24.3%
Germany	1 686	29.6%	34 080	39.5%	1 674	27.7%	33 001	40.7%
Poland	631	11.1%	8 455	9.8%	500	8.3%	6 138	7.6%
Italy	368	6.5%	9 775	11.3%	1 048	17.3%	8 403	10.4%
Slovakia	143	2.5%	2 311	2.7%	148	2.4%	2 514	3.1%
Netherlands	111	2.0%	1 202	1.4%	69	1.1%	750	0.9%
France	93	1.6%	694	0.8%	205	3.4%	2 994	3.7%
Spain	83	1.5%	1 244	1.4%	63	1.0%	861	1.1%
Slovenia	80	1.4%	1 013	1.2%	72	1.2%	893	1.1%
Austria	78	1.4%	980	1.1%	219	3.6%	1 320	1.6%
OTHERS	158	2.8%	5 039	5.8%	134	2.2%	4 429	5.5%
Total	5 700	100.0%	86 303	100.0%	6 045	100.0%	81 015	100.0%

Source : Trademap

3.6.2 CZ - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	801	22.7%	12 968	22.1%	601	17.0%	9 535	17.3%
Slovakia	674	19.1%	13 964	23.8%	732	20.7%	13 114	23.8%
Russian Federation	402	11.4%	4 707	8.0%	423	11.9%	4 952	9.0%
Romania	207	5.9%	2 810	4.8%	226	6.4%	3 062	5.5%
Poland	172	4.9%	2 990	5.1%	223	6.3%	3 312	6.0%
Lithuania	165	4.7%	2 570	4.4%	121	3.4%	2 249	4.1%
France	159	4.5%	1 960	3.3%	17	0.5%	907	1.6%
Hungary	127	3.6%	2 357	4.0%	105	3.0%	2 131	3.9%
Switzerland	122	3.5%	3 365	5.7%	132	3.7%	3 643	6.6%
Belarus	97	2.8%	866	1.5%	101	2.8%	855	1.5%
Denmark	86	2.4%	769	1.3%	63	1.8%	738	1.3%
OTHERS	516	14.6%	9 468	16.1%	800	22.6%	10 676	19.3%
Total	3 528	100.0%	58 794	100.0%	3 544	100.0%	55 174	100.0%

Source : Trademap

3.7.1 Route to Market: Taps & Mixers / Faucets
CZ - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	59.9%
	Wholesalers / Merchants
	59.9%

Retail Level	Manufacturer 4.2%	Wholesaler 8.0%	Manufacturer 20.1%	Wholesaler 13.1%	Manufacturer 12.9%	Wholesaler 3.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.2%		33.2%		15.9%	

Manufacturer 2.9%	Wholesaler 23.0%	Internet 1.3%	DIY 10.8%	Specialist 6.4%
Installers				
44.3%				

End Use Level	Manufacturer 0.0%	Wholesaler 10.3%	Internet 9.7%	DIY 21.4%	Specialist 7.7%	Installer 42.9%
	Residential					
	92.0%					
	New Build		Residential RMI			
	8.5%		83.6%			
	Project	Non-Project	Project	Non-Project		
	8.0%	0.5%	15.0%	68.6%		
	Non-Residential					
	8.0%					
	New Build		Non-Residential RMI			
	2.8%		5.2%			
	Project	Non-Project	Project	Non-Project		
	2.5%	0.3%	4.0%	1.2%		

3.7.2 Route to Market: Taps & Mixers / Faucets
CZ - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	61.5%
	Wholesalers / Merchants
	61.5%

Retail Level	Manufacturer 5.0%	Wholesaler 9.0%	Manufacturer 19.0%	Wholesaler 14.5%	Manufacturer 12.0%	Wholesaler 4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	14.0%		33.5%		16.0%	

Manufacturer 2.5%	Wholesaler 23.1%	Internet 1.5%	DIY 10.7%	Specialist 6.7%
Installers				
44.5%				

End Use Level	Manufacturer 0.0%	Wholesaler 8.5%	Internet 11.1%	DIY 21.8%	Specialist 7.6%	Installer 43.0%
	Residential					
	92.0%					
	New Build		Residential RMI			
	8.3%		83.7%			
	Project	Non-Project	Project	Non-Project		
	7.6%	0.7%	14.5%	69.2%		
	Non-Residential					
	8.0%					
	New Build		Non-Residential RMI			
	3.1%		4.9%			
	Project	Non-Project	Project	Non-Project		
	2.7%	0.4%	3.9%	1.0%		

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

CZ - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2020

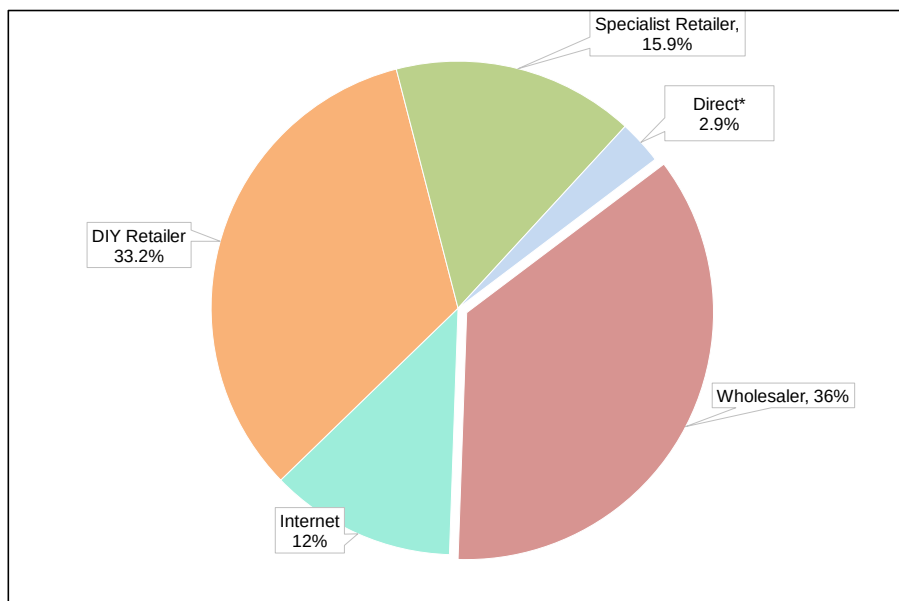
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.8%	12.2%	33.2%	15.9%	2.9%	23.0%	6.5%	69.0%	1.5%
100%					29.5%		70.5%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

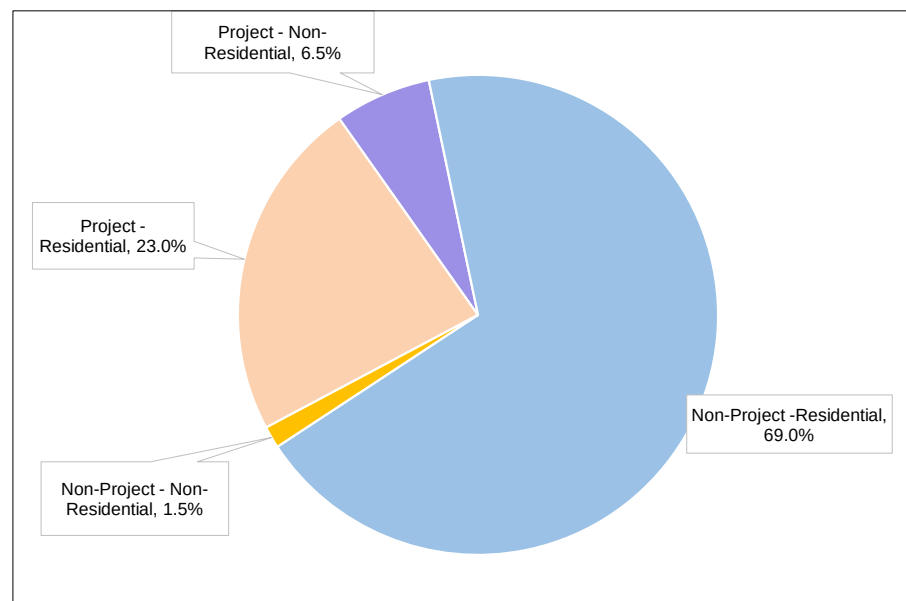
CZ - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.0%	14.0%	33.5%	16.0%	2.5%	22.1%	6.6%	69.9%	1.4%
100%					28.7%		71.3%	

CZ - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



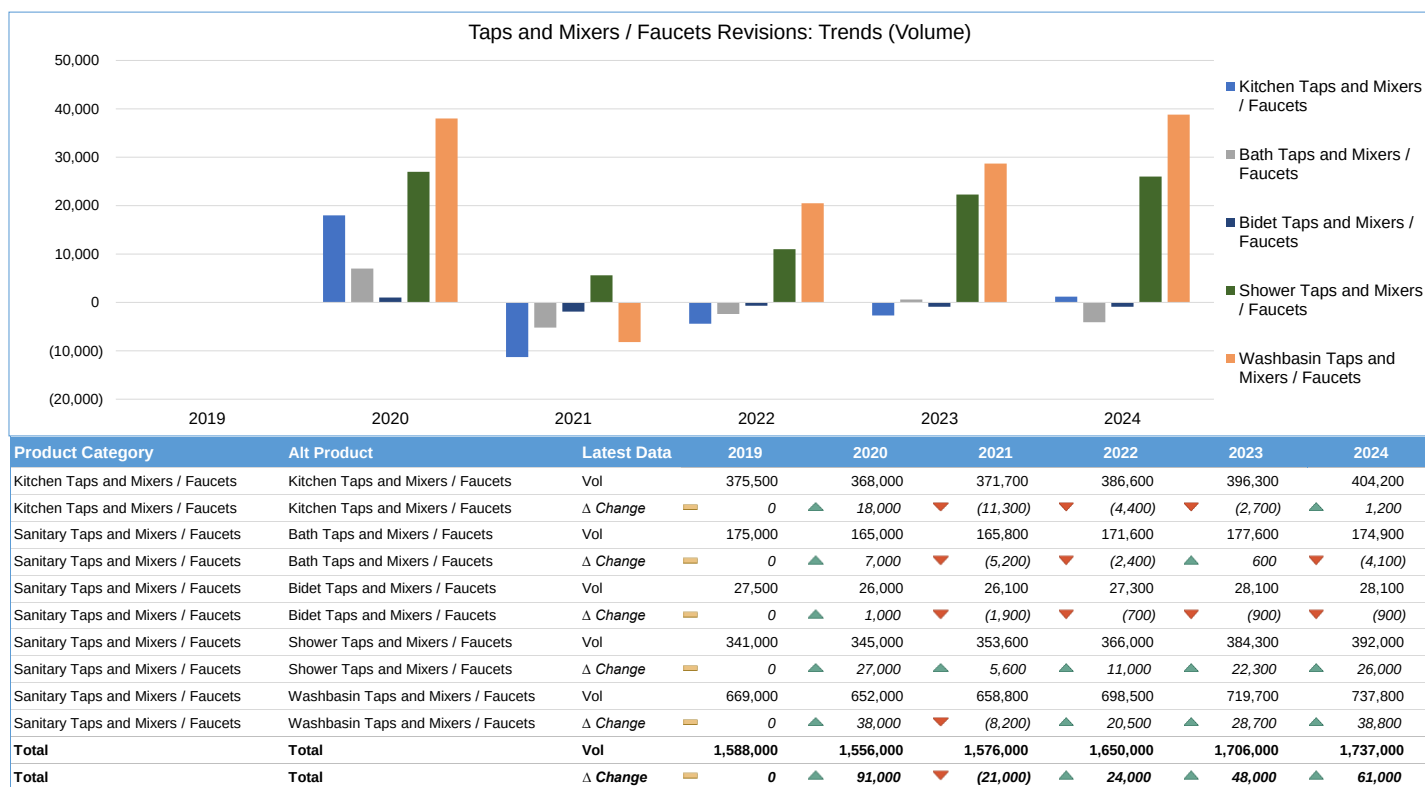
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Czech Taps and Mixers / Faucets Market (April 2021)

CZ - REVISIONS IN THE CZECH TAPS AND MIXERS / FAUCETS MARKET

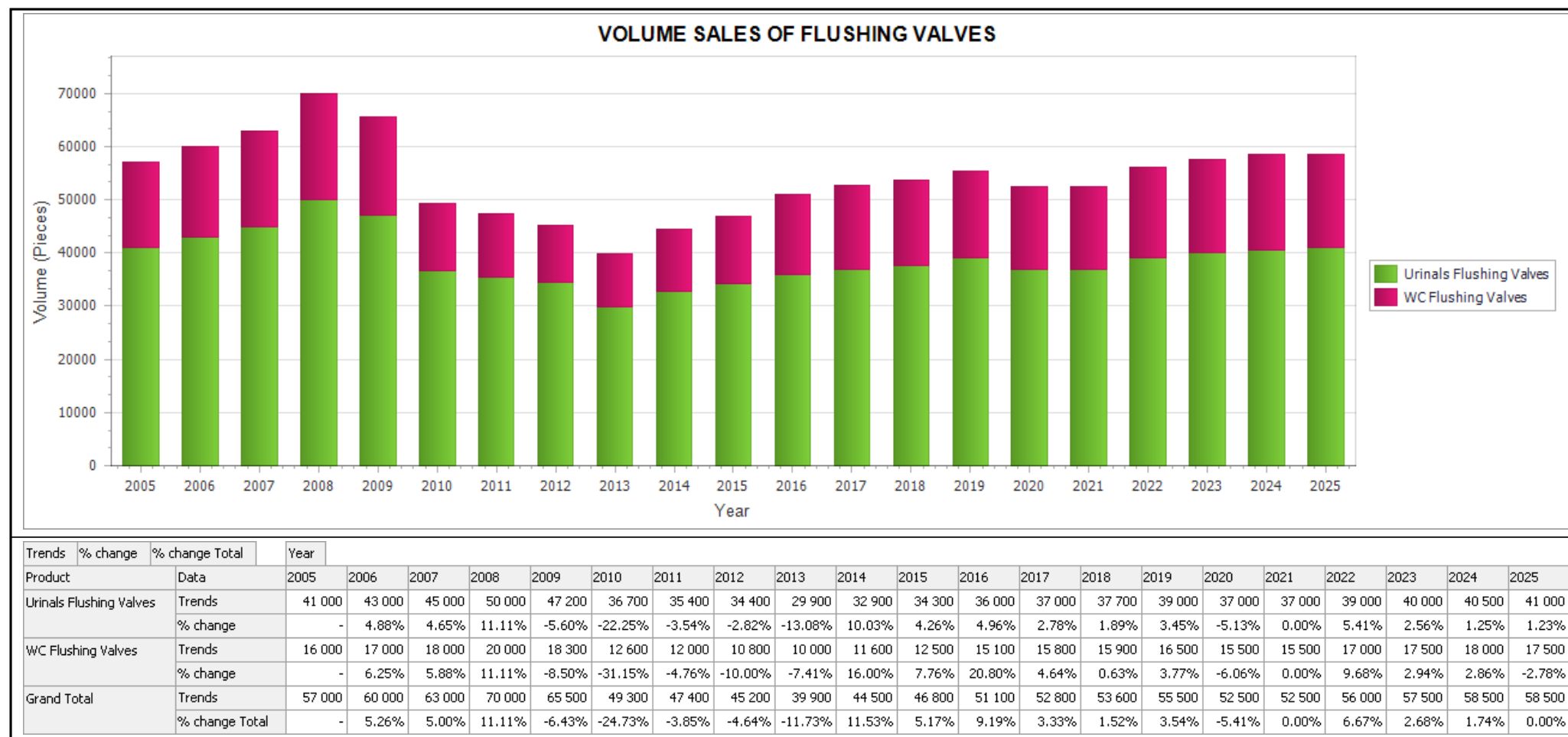
Data Comparison: April 2020



No changes have been made to historical volumes & values for this market.

3.9.1 Historical Trends and Forecasts : Flushing Valves

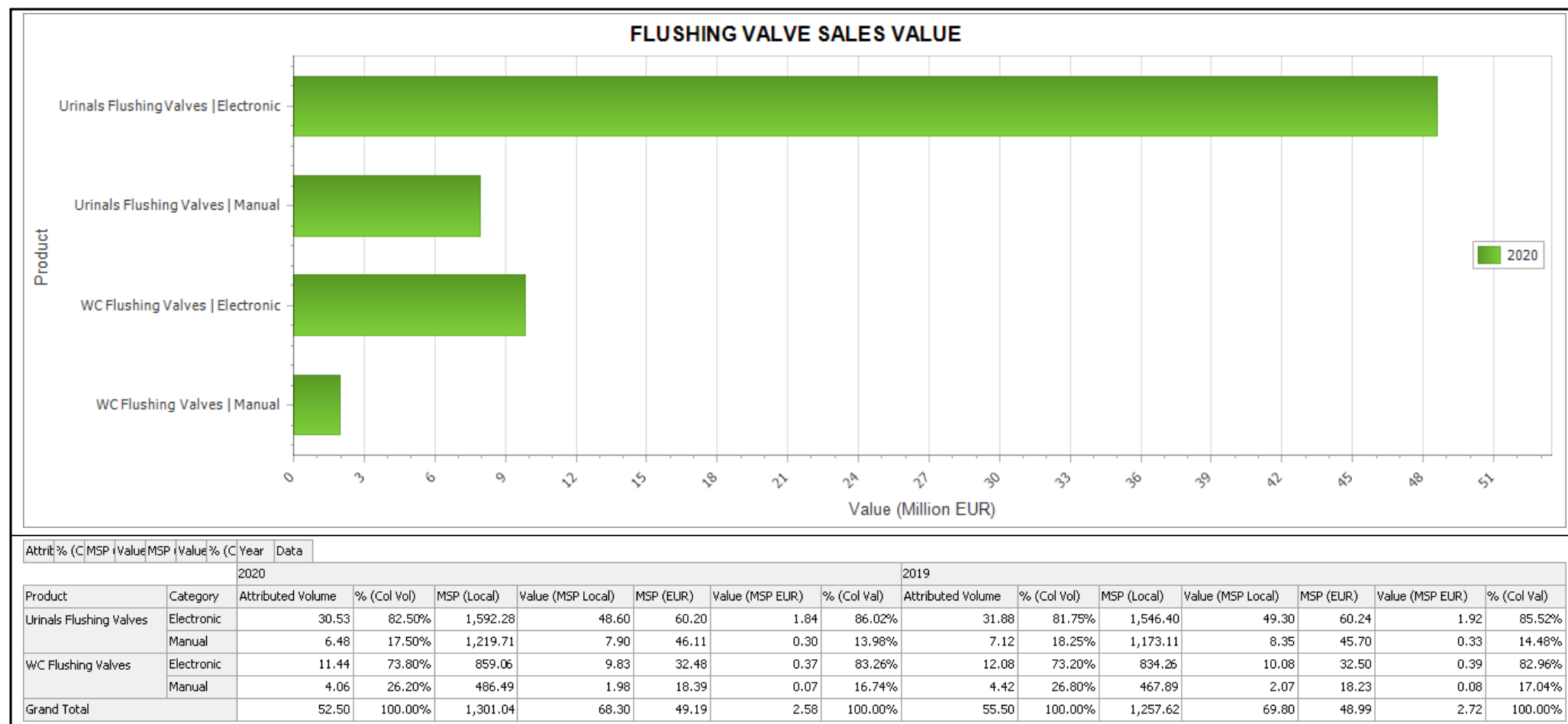
CZ - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

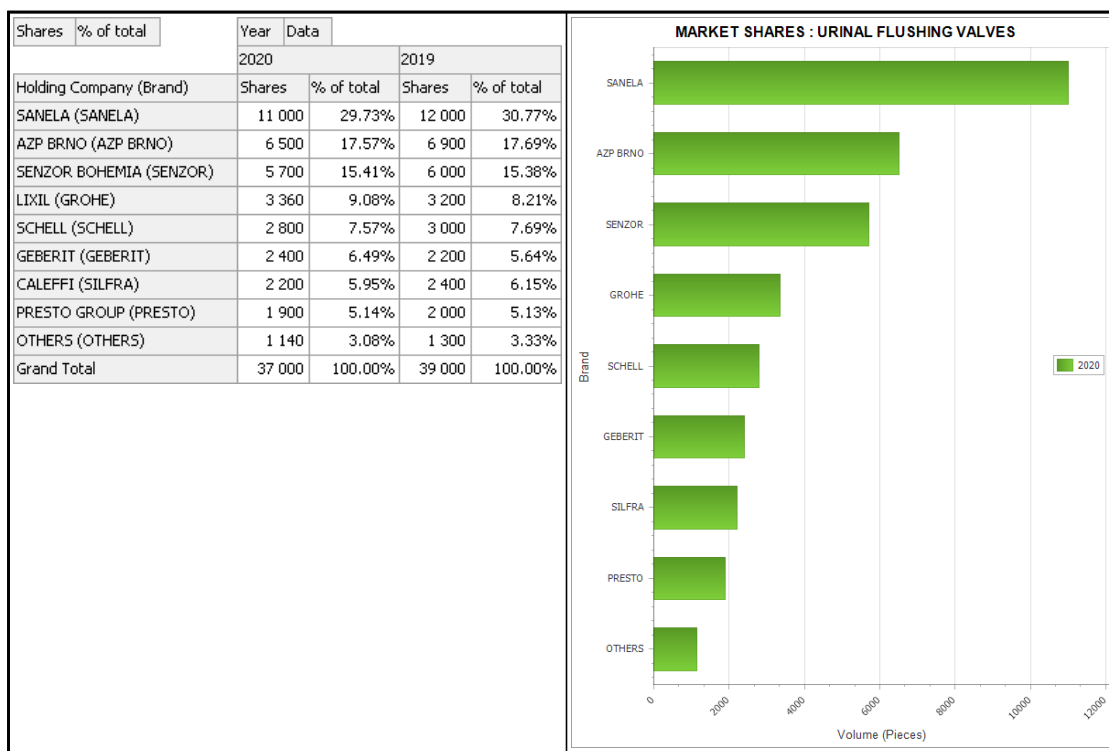
CZ - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CZK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.9.3 Market Shares : Urinal Flushing Valves

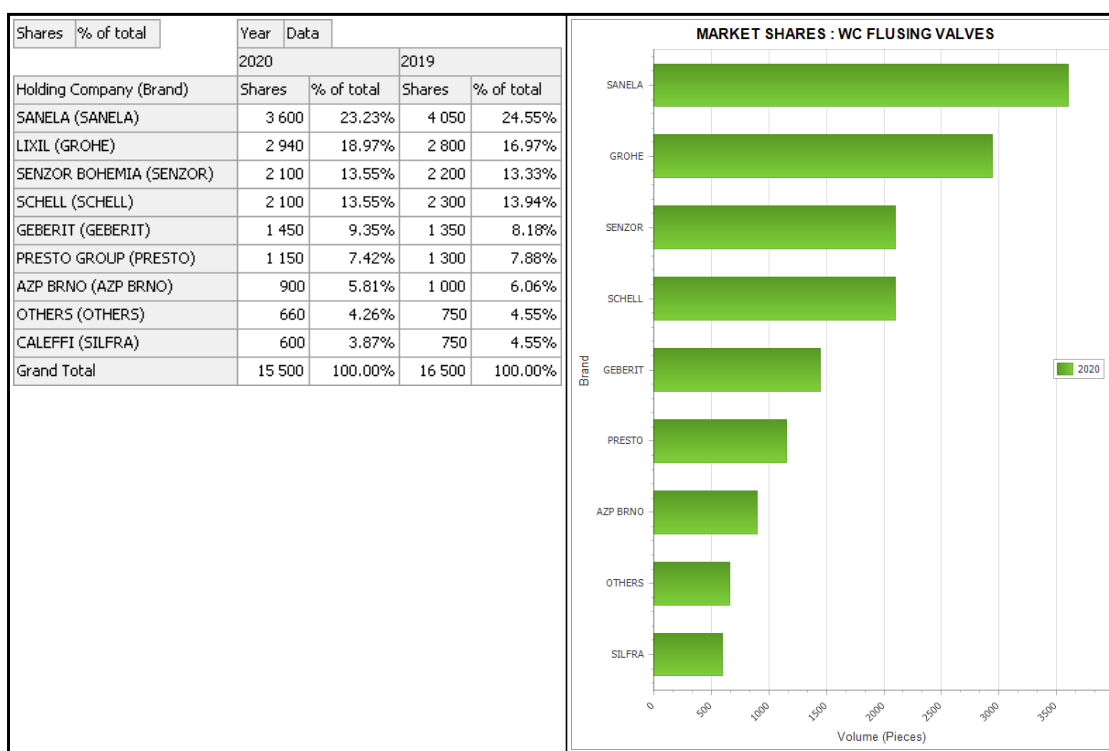
CZ - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

CZ - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

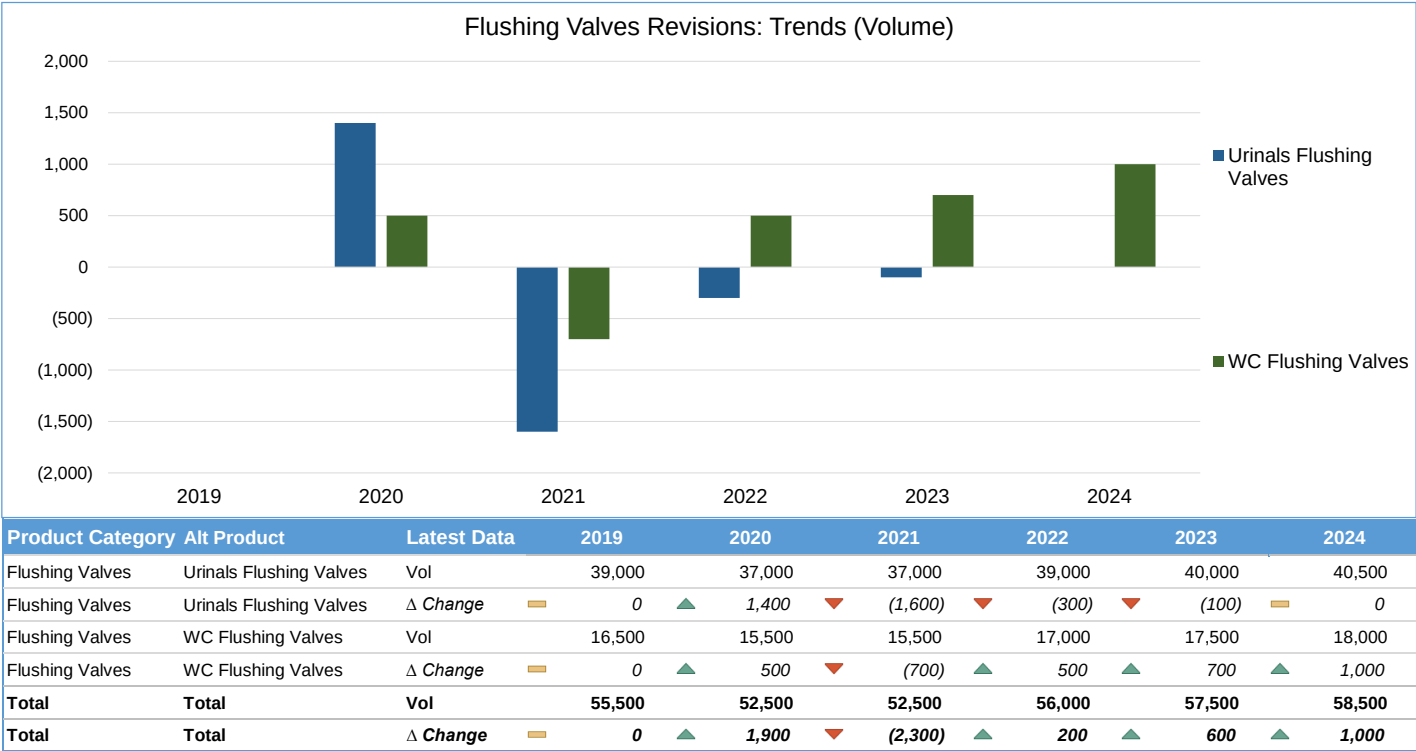


Source: BRG based on industry interviews.

3.10 Revisions in the Czech Flushing Valves Market (April 2021)

CZ - REVISIONS IN THE CZECH FLUSHING VALVES MARKET

Data Comparison: April 2020



No changes have been made to historical volumes for this market.

CZECH REPUBLIC

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Czech shower wall market is fairly young and only started to emerge in the early 1990s, in line with the developments seen in the shower trays market. The market for showers was virtually non-existent until the early 1990s, since most prefabricated dwellings built before then had a standard bathroom, usually with a bath installed. Separate showering facilities were a rarity in socialist era homes. Sales of shower walls grew very rapidly from a low base during the emerging market phase of the 1990s. Growth then slowed but continued at healthy levels, right up to 2008 when it reached a peak.

The market is driven by very successful domestic production. Sales go mainly to renovations, but also to non-housing applications such as the hospitality industry and new housing. The shower enclosures segment is essentially a first time installation market, although it is estimated that over half of completed new dwellings are fitted with a shower today. Shower wall products, in particular shower enclosures, gained share from shower curtains, but also thanks to a shift from baths to showers in new build. Shower enclosures dominate the market, while the demand for bath screens has decreased as a result of decreasing bath sales, which have been losing share to shower enclosure sales. Sales of conventional shower cubicles remain low.

The market for hydrotherapy cubicles grew from a very small base in the 1990s and early 2000s, but, unlike other more accessible products, the demand for hydrotherapy cubicles was never strong. Up to 2008, sales of hydrotherapy cubicles continued to grow as a result of manufacturer initiatives at the lower end of the market (i.e. sales via DIY retailers), only to drop sharply during the recession – and the volume sales of these products have been on a decline since then. The majority of the market belongs to low-end products imported from China, Turkey and Poland.

Historically, the most popular material for shower wall products was plastic, but since the early nineties the share of glass products has significantly accelerated, only being hampered slightly during the global economic downturn as consumers sought cheaper shower wall products or postponed their purchases. Today, glass models have a vast majority of sales across all product segments, with plastics being phased out. In terms of door type, sliding doors represent the highest share of sales, followed by no door (side wall) and hinged. For bath screens, single door type is the most common, followed by sliding type.

Recent Market Trends

Unlike some other bathroom products, the overall shower wall market performed well and increased in 2020, when compared to the 2019 levels, despite the challenging economic conditions in the country due to the COVID-19 crisis. However, this overall growth was exclusively tied to the demand for shower

enclosures as all other products recorded a decrease in sales. Indeed, the trend towards shower trays installed with shower enclosures and to a more limited extent also wet rooms, continued in 2020 with many existing homeowners carrying out conversions from baths to shower trays and/or wet rooms. This in turn boosted the sales of shower enclosures in housing RMI and offset the negative development in other end-uses. Due to the lockdowns and social distance measures enacted, the total number of dwelling completions decreased significantly for apartments as many large-scale projects were halted. Similarly, the non-housing sector suffered as the hotel, office and healthcare industry outputs decreased considerably, whether due to slowdown in works or decrease in investments.

Hydrotherapy and conventional shower cubicles were particularly hit in 2020 as their sales plummeted across all end-uses. These products already weren't very popular in the country, seeing declines in almost every year for the past decade, it is believed that the COVID-19 crisis accelerated this unfavourable trend. Furthermore, conventional shower cubicles are not easily modified, and are thus experiencing significantly less uptake from contractors, who prefer units that can be altered and measured to fit both new and existing dwellings. As mentioned earlier, the trend towards showering is still present and continuing in the country, coupled with the decline in baths, the total sales of bath screens also decreased that year.

Prices and Market Values

Overall manufacturers' selling prices (MSPs) for shower wall products increased once again in 2020 in local currency. This was largely caused by increasing transport costs as well as higher inflation. Additionally, the slight shift towards the higher priced segment continued in 2020 despite the pandemic, which further boosted the overall prices. However, it is worth mentioning that the majority of manufacturers did not raise their prices as much as they wanted to remain competitive.

When expressed in EUR, overall MSPs remained more stable for bath screens and shower enclosures as local currency weakened during the year. Prices for hydrotherapy and conventional shower cubicles increased only slightly in CZK and decreased in EUR. Both products could be seen as declining markets for some time now and manufacturers decided not to raise prices to try to incite consumers. Additionally, the share of cheap Chinese imports has been growing for hydrotherapy shower cubicles especially, which further put pressure on prices.

New Housing

The penetration of shower wall products in new housing is relatively high, due to the rising preference for showering over bathing and the significant number of shower trays and wet rooms installed in new dwellings, the most important products installed in this end-use segment remain shower enclosures. Apartments tend to be equipped with shower trays rather than baths while in family homes the master bathroom still tends to be installed with a bath; most commonly synthetic. However, the penetration of bath screens is still relatively low as developers tend to

keep the costs to a minimum and, therefore, if a bath screen is installed it would be after the homeowner has moved in. Demand for hydrotherapy and conventional shower cubicles continued to be very marginal. Conventional shower cubicles are now seen as outdated and non-flexible products, while hydrotherapy shower cubicles tend to be only installed in some luxury apartments and/or houses.

As mentioned earlier, the overall number of completions decreased in 2020; especially for apartments, negatively affecting the uptake across all shower wall products. Given the relatively high number of house and apartment starts in 2019-2020, the market should recover in the coming years.

Housing RMI

Housing RMI remained to be the most important end-use segment for the overall shower wall market in 2020 and, due to the higher penetration of shower trays/wet rooms as outlined earlier, the sales in this sector managed to increase. There is still a relatively strong demand coming from the replacement market, mainly in prefabricated blocks of flats. The ongoing shift from baths to shower wall products is expected to positively stimulate sales of shower enclosures, as opposed to bath screens, during the forecast period. Overall, BRG expects the volume sales to housing RMI to continue to increase over the next five years. The replacement segment also accounts for the clear majority of hydrotherapy cubicle sales.

Non-Housing

Sales of shower wall products into commercial applications are very specific, with most commercial buildings not requiring a shower unit. As a result, the key markets for these products are hotel and accommodation facilities, which are often equipped with showers rather than baths. Given the slump in hotel industry activity, the sales of shower wall products in this sector declined sharply in 2020. Indeed, due to the COVID-19 crisis many expansions, renovations and constructions of new hotels and other facilities were postponed or halted that year. As works resume in 2021 and onwards, the sales of shower wall products should increase in line with such development. However, stronger increases in the annual growth rate are not anticipated, due to the more limited and specific nature of shower wall non-housing applications in relation to other bathroom product markets. The non-housing segment is still an important destination for hydrotherapy cubicles, thanks to the demand from spas, hotels and other wellness facilities.

Supply Structure

The Czech shower enclosures market is still mainly led by domestic manufacturers; however, as in other bathroom product categories, there is a visible growth of imported Asian products, mainly from China. RAVAK holds the leading market position, with the highest sales volumes, followed by ROTH (previously ROLTECHNIK with SANIPRO and ROLTECHNIK brands), SANSWISS and HÜPPE. The bath screens market is basically an extension of the shower enclosure market and is mainly represented by the aforementioned companies.

Other significant players include suppliers such as the Czech TEIKO, SANSWISS (part of RONAL GROUP) and RIHO.

The supply of conventional shower enclosures consists mainly of economy products channelled via DIY and smaller specialist retailers. The trading company ARTTEC is one of the biggest suppliers of this product category, followed by HOPA and SANOTECHNIK. Domestic production of hydrotherapy cubicles is dominated by ARTTEC, followed by SANOTECHNIK, RIHO and TEIKO, which has production facilities in the Czech Republic.

Forecasts

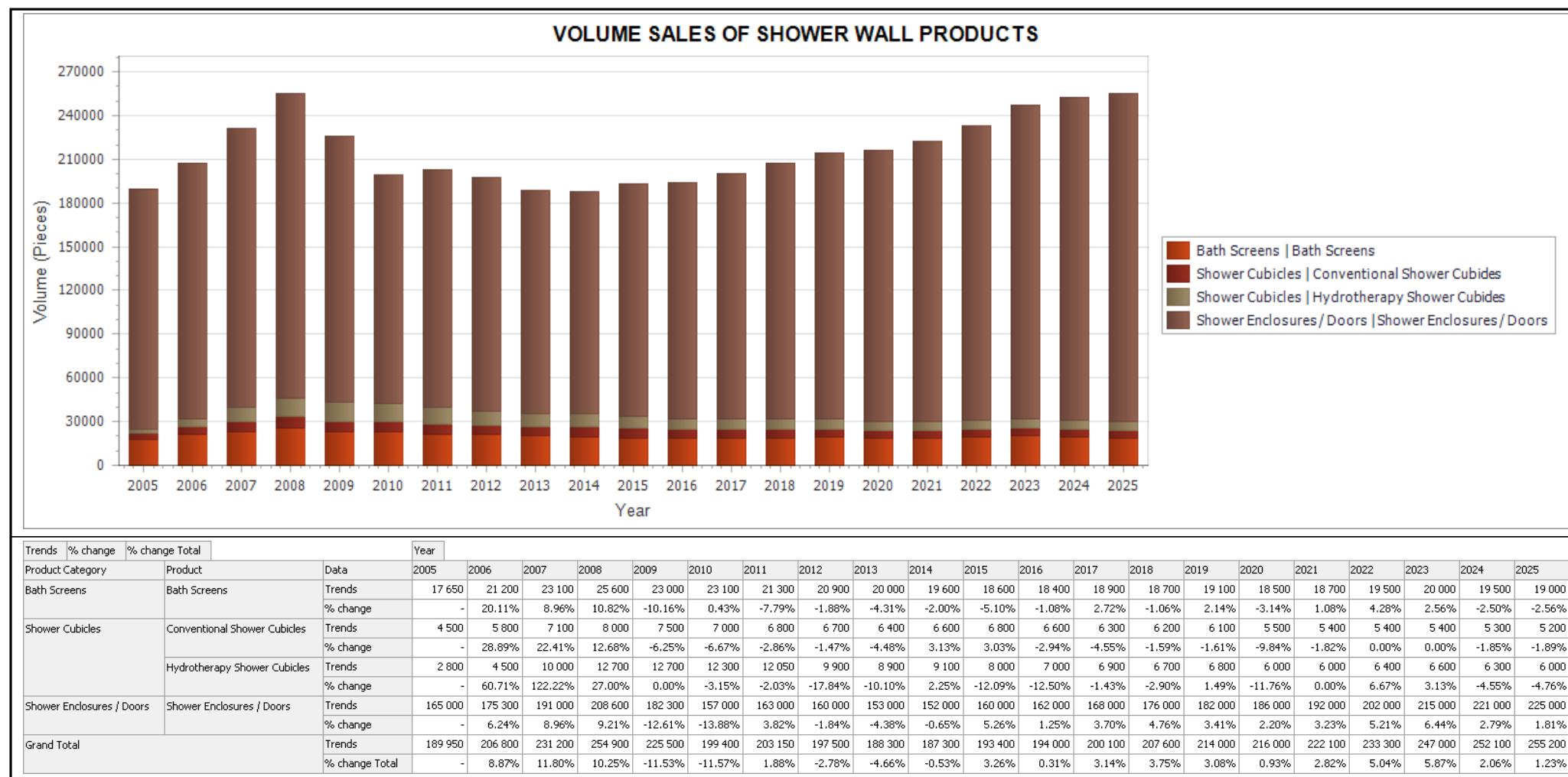
The new housing and non-housing sectors are anticipated to return to growth in 2021, which should boost the overall market sales. Indeed, after the negative 2020, the number of residential completions is projected to increase, largely thanks to the heightened number of apartments. It is worth mentioning, however, that certain doubts hang over the market and much of the development will depend on successful vaccination of the population as well as easing of restrictions. Nevertheless, expansion of the whole market will rely primarily upon the evolution of shower enclosure sales, given the ever-present trend towards showering in the country. Due to the growing importance of new residential construction, contractors are likely to favour manufacturers that produce multiple bathroom products and have the ability to equip an entire bathroom at a bulk discount rate.

Despite the expected stability of the new housing segment over the forecast period, it is believed that housing RMI will remain one of the main drivers of the market growth. This should be especially true for shower enclosures, which should enjoy steady sales growth in the next few years. Sales of bath screens are projected to recover through 2023, only to return to a decline in the two remaining years of the forecast. This is in line with the sales of baths, which are likely to lose share within the new housing and housing RMI sectors over the next few years. Sales of conventional shower cubicles should decline further over the forecast. These products should rely almost solely on like-for-like replacement sales. Demand for hydrotherapy shower cubicles is anticipated to drop further before recovering slightly towards the end of the forecast period, due to the uptake in replacement sales.

Replacement and remodelling sales are also anticipated to shift toward more design-oriented products, as the purchasing power of consumers increases. The increase in internet distribution is likely to enable consumers to purchase higher-quality products at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY. The Czech shower wall market is likely to be highly driven by levels of consumer consumption, real term earnings and other macroeconomic factors.

4.2 Historical Trends and Forecasts : Shower Wall

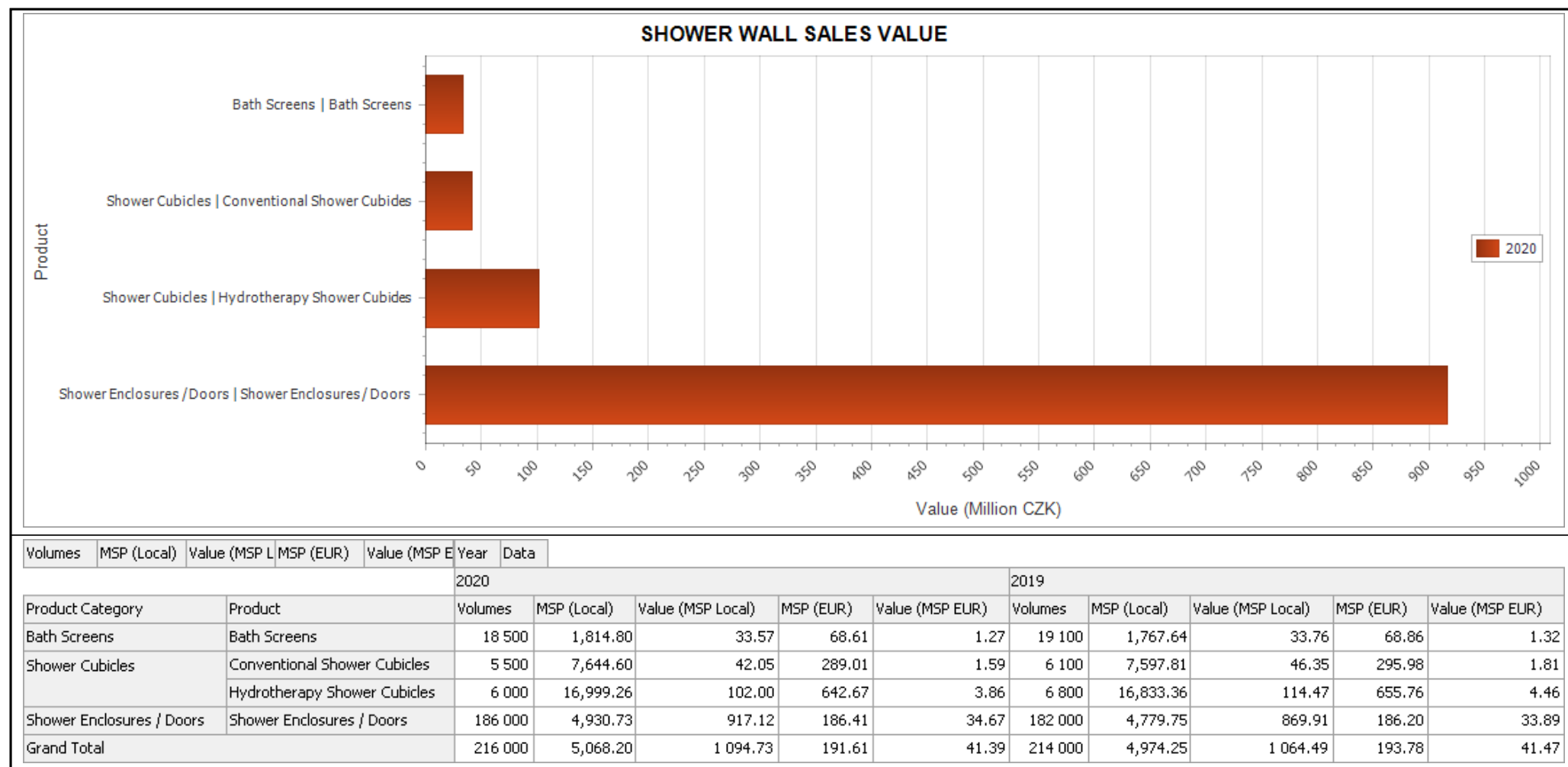
CZ - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

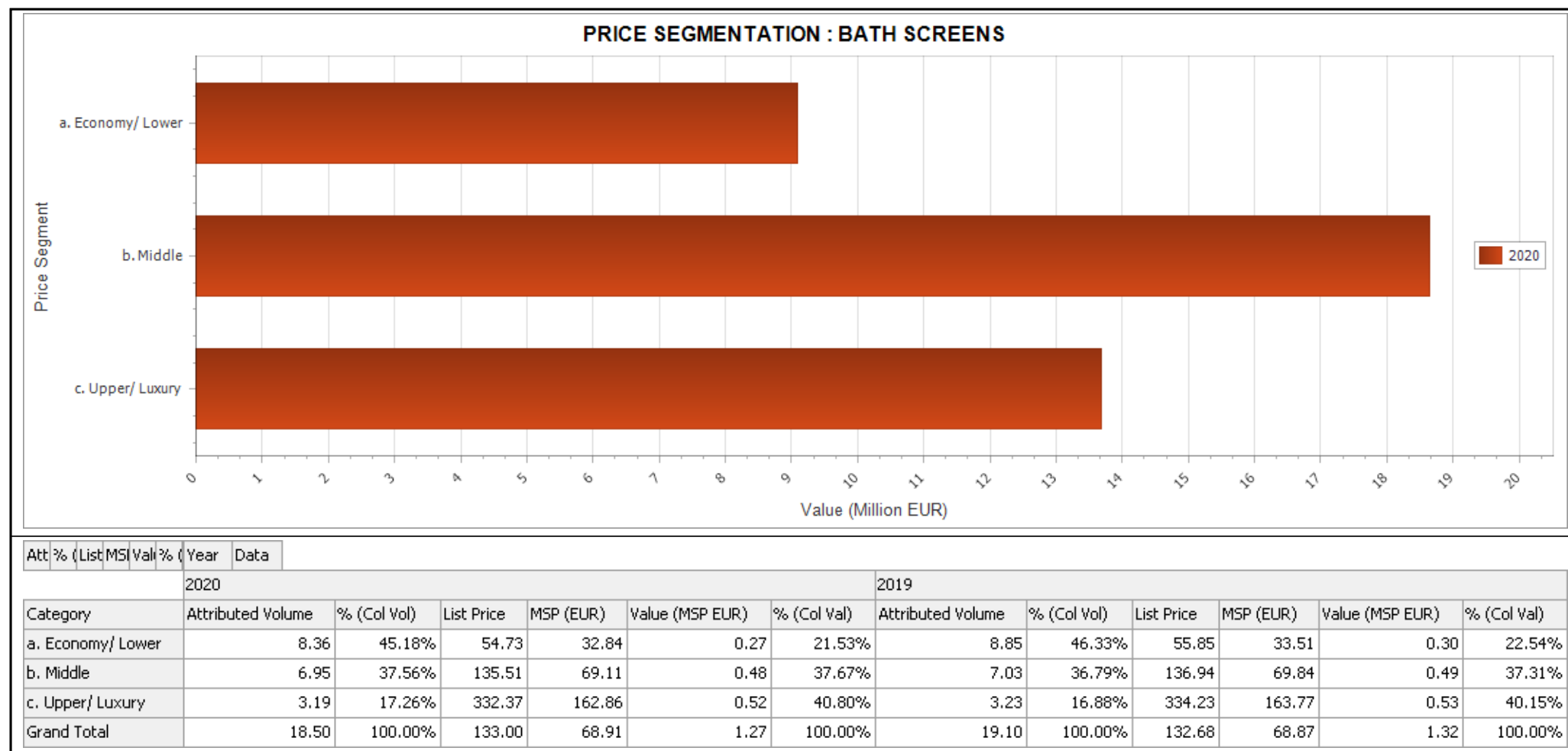
CZ - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in CZK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

CZ - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

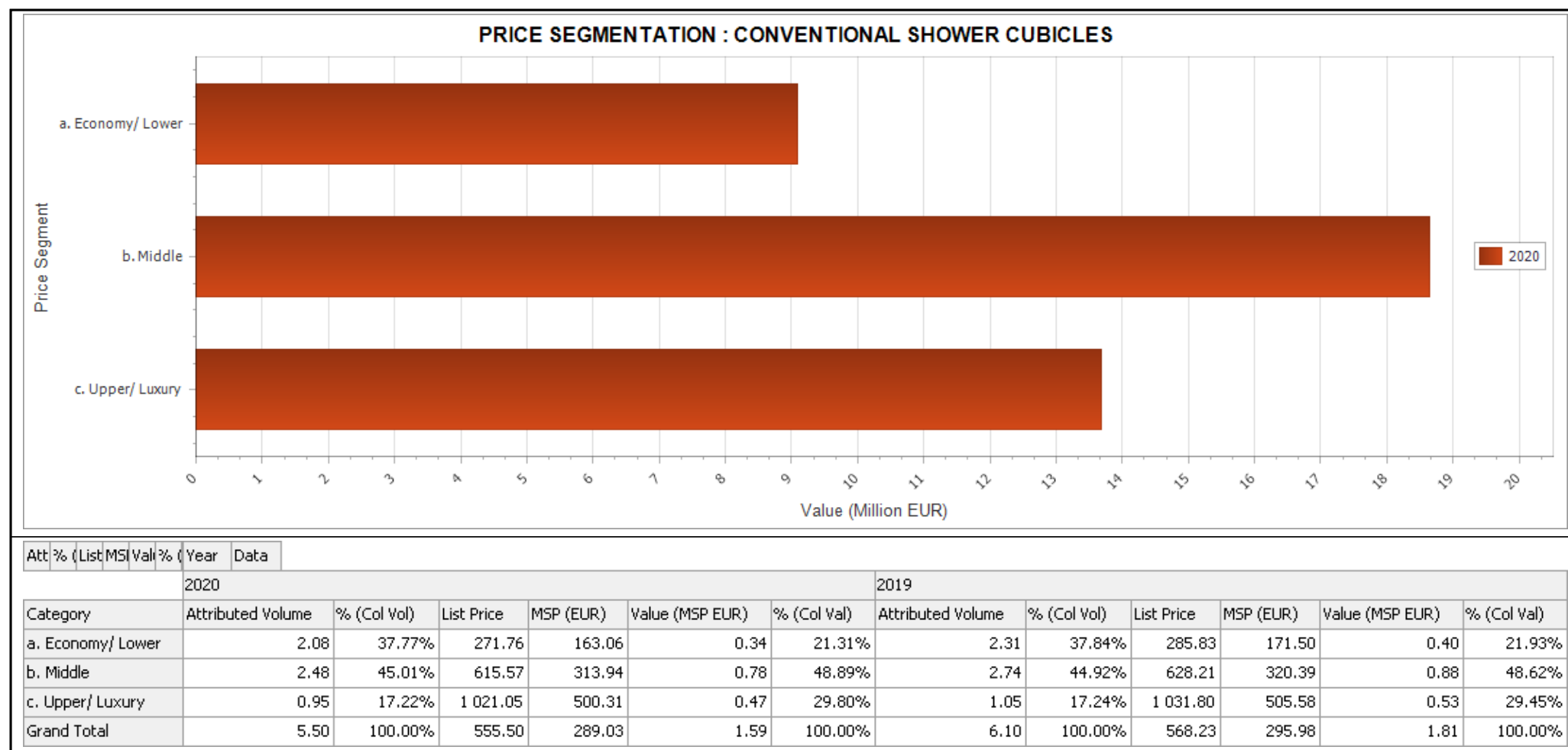


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

CZ - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

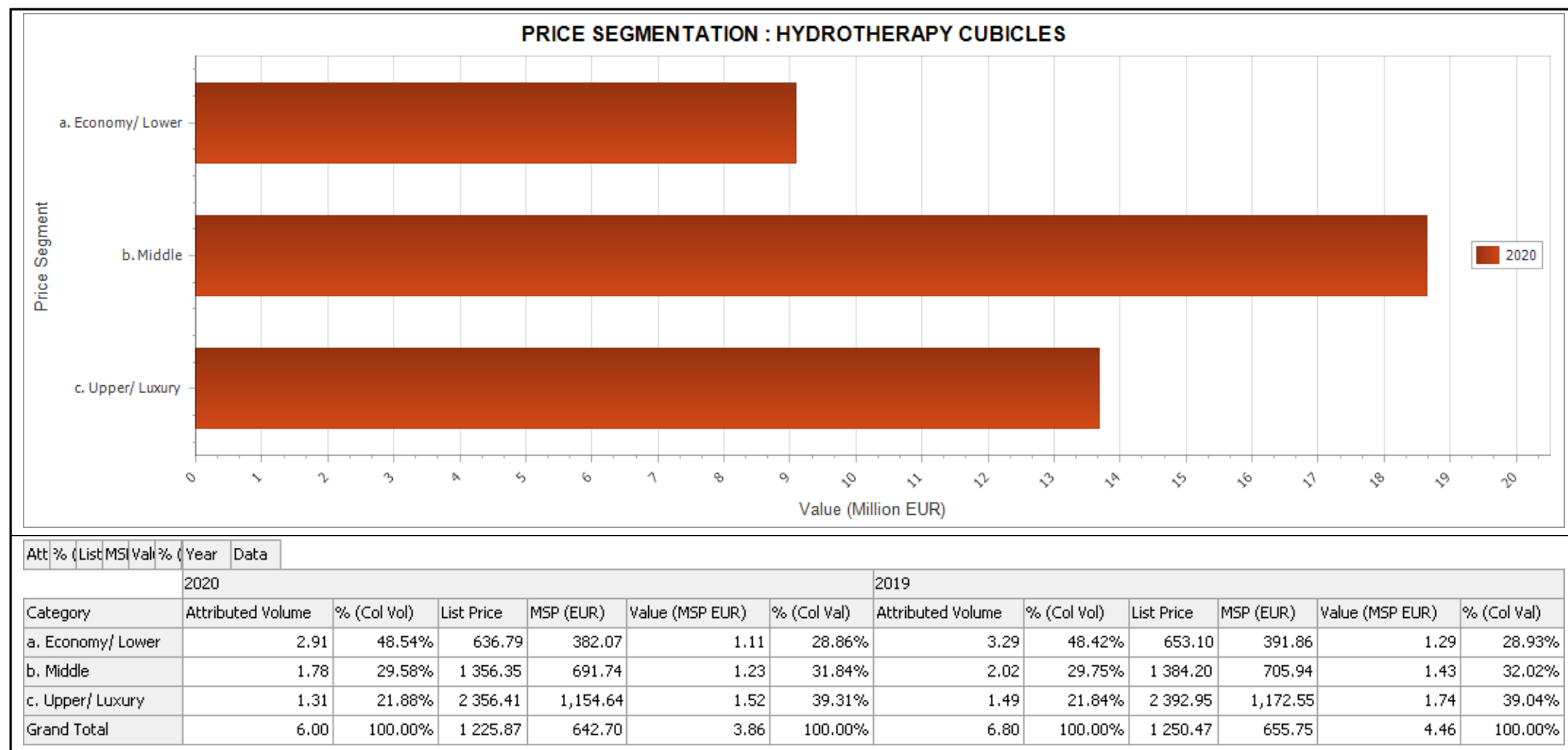


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

CZ - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

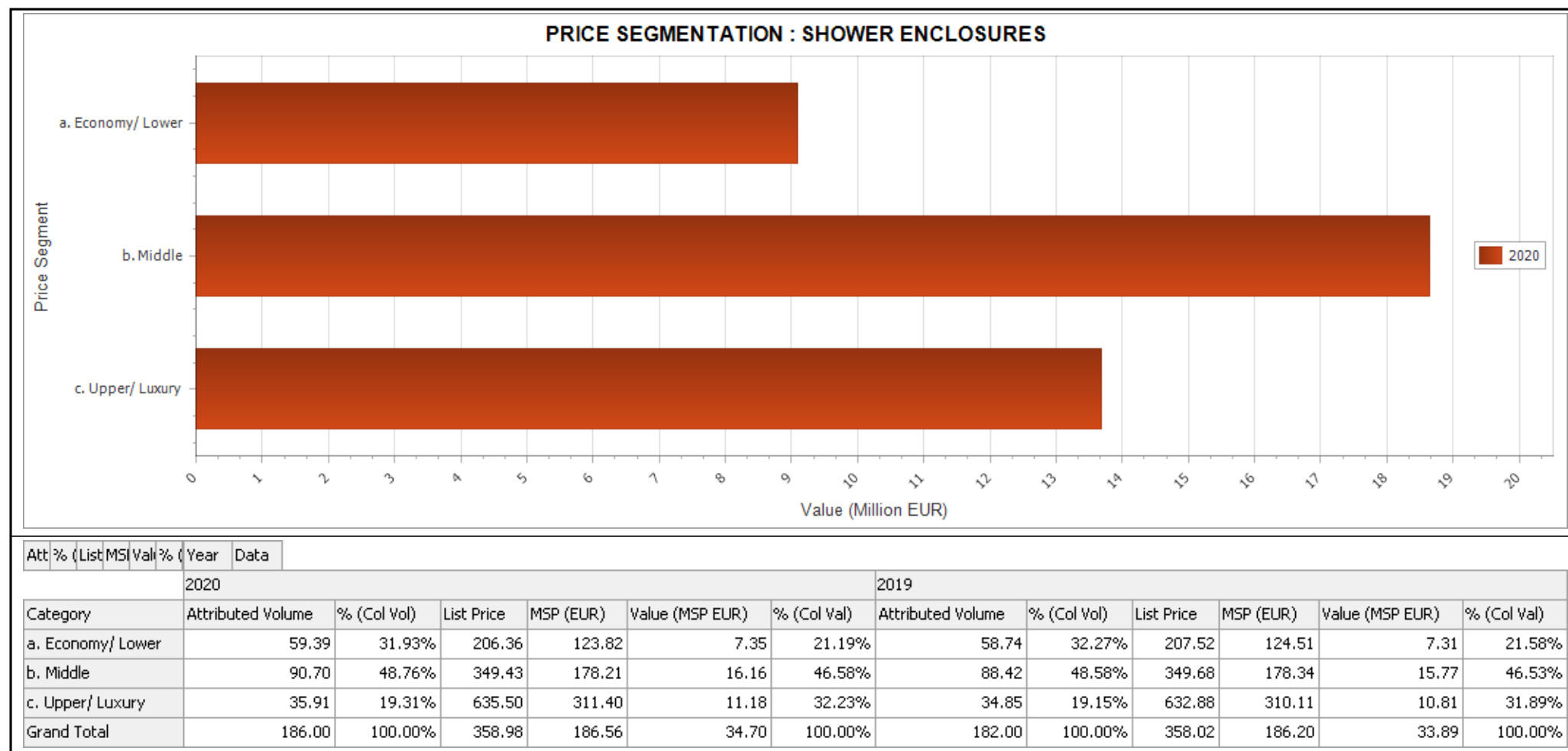


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

4.3.5 Price Segmentation : Shower Enclosures

CZ - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

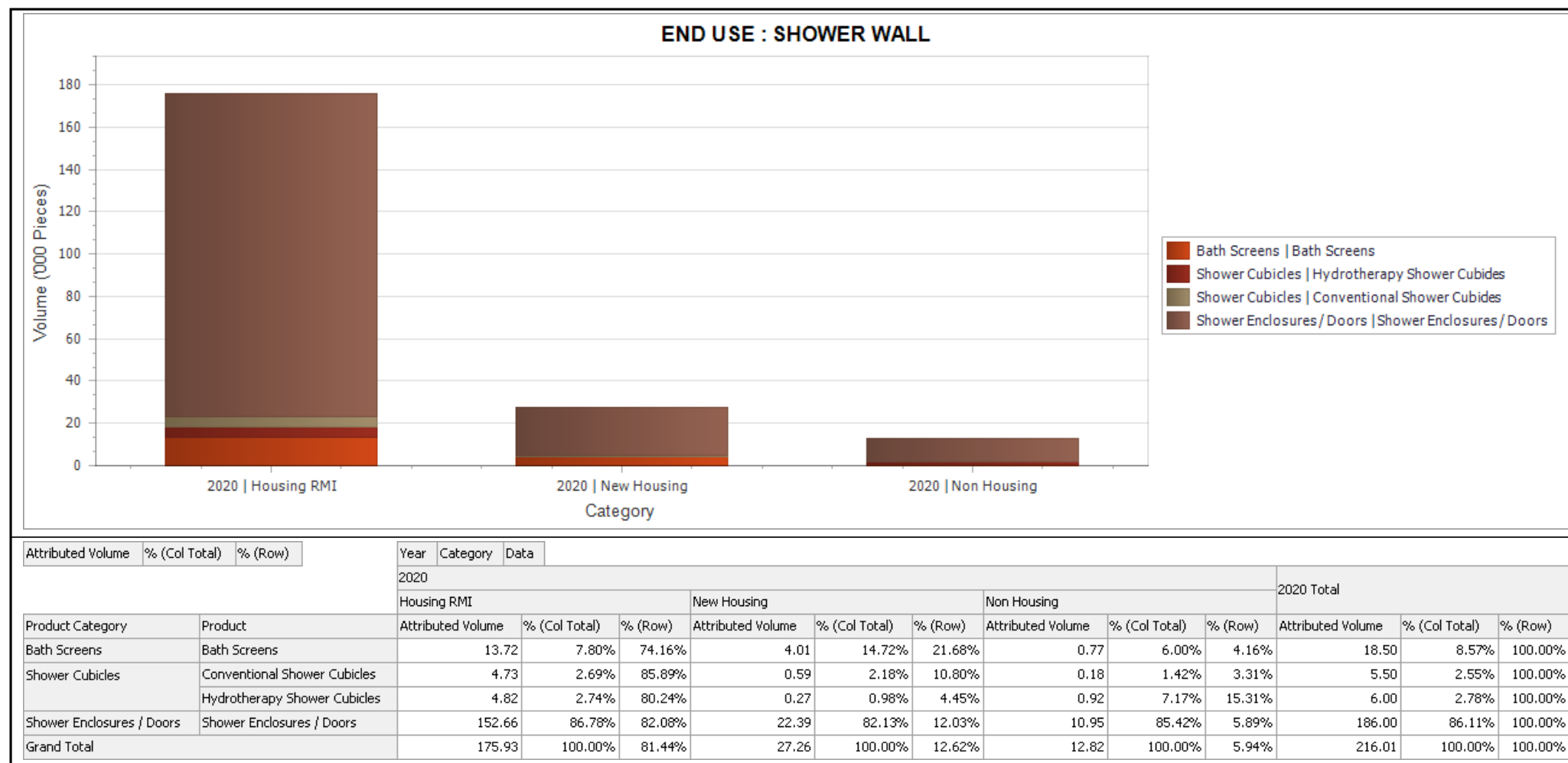


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€250, Upper/ Luxury >€250

4.4.1 End Use : Base Year

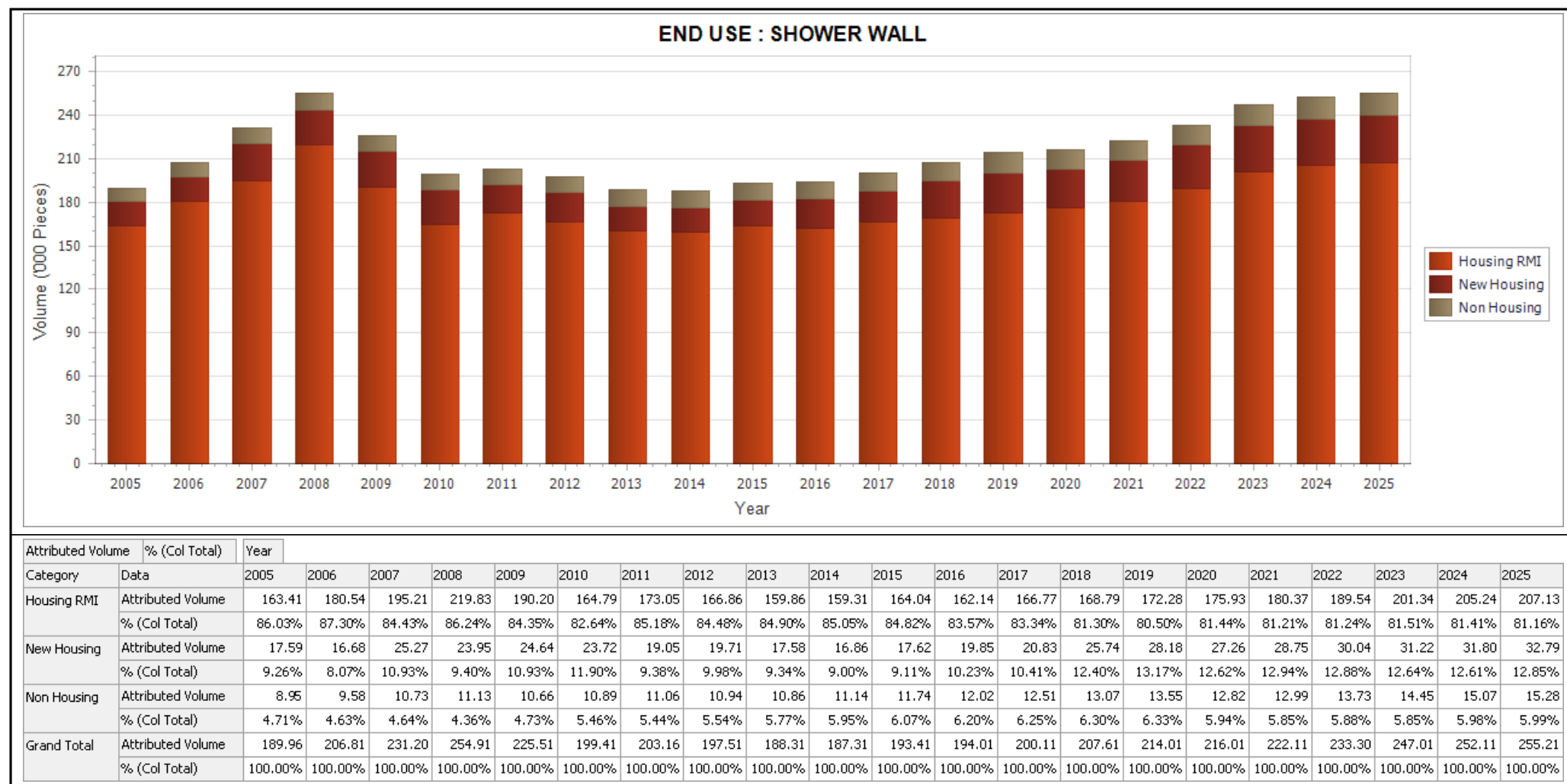
CZ - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

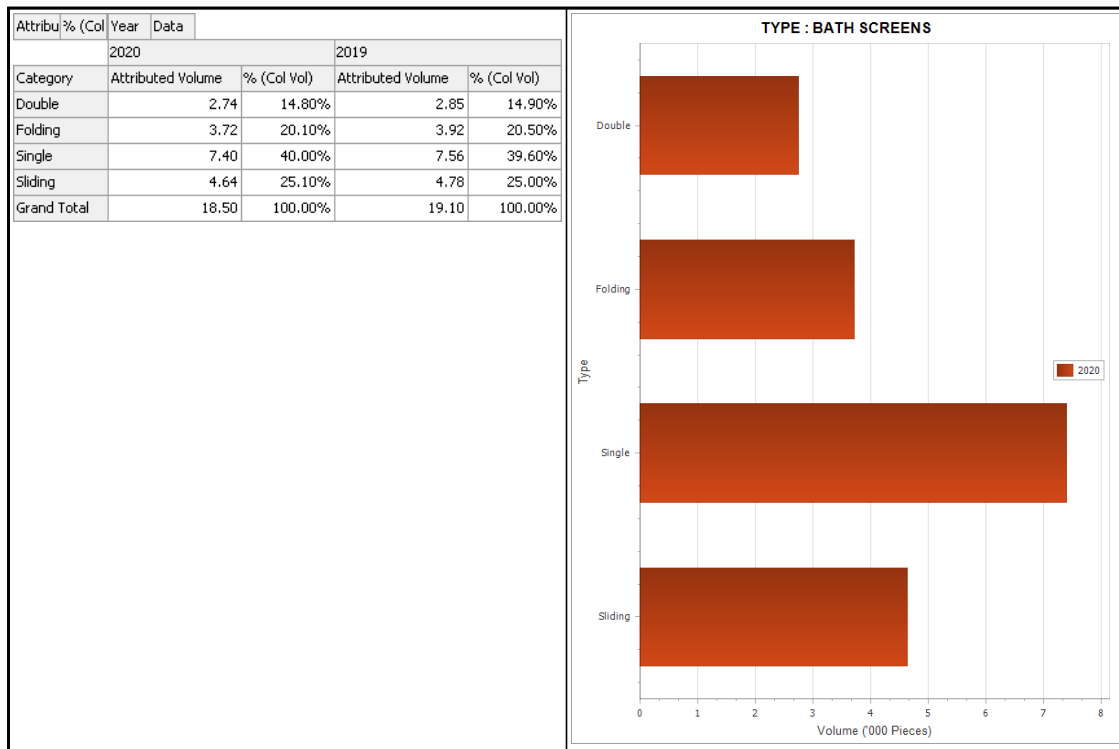
CZ - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

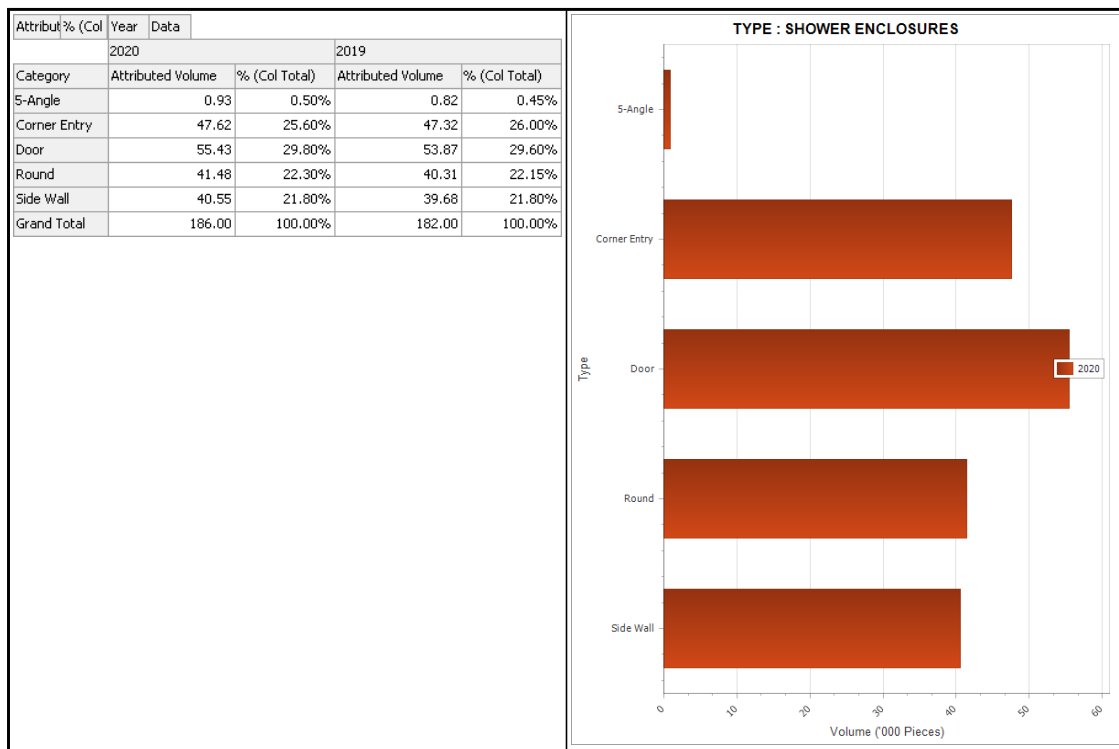
CZ - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

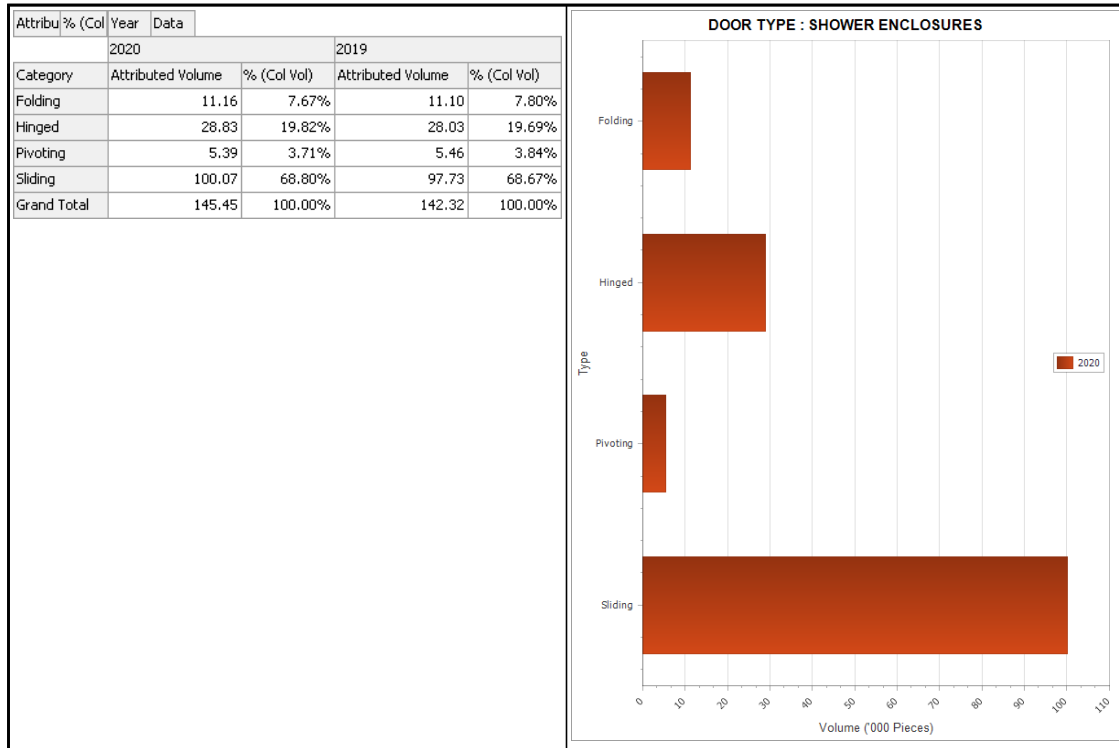
CZ - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

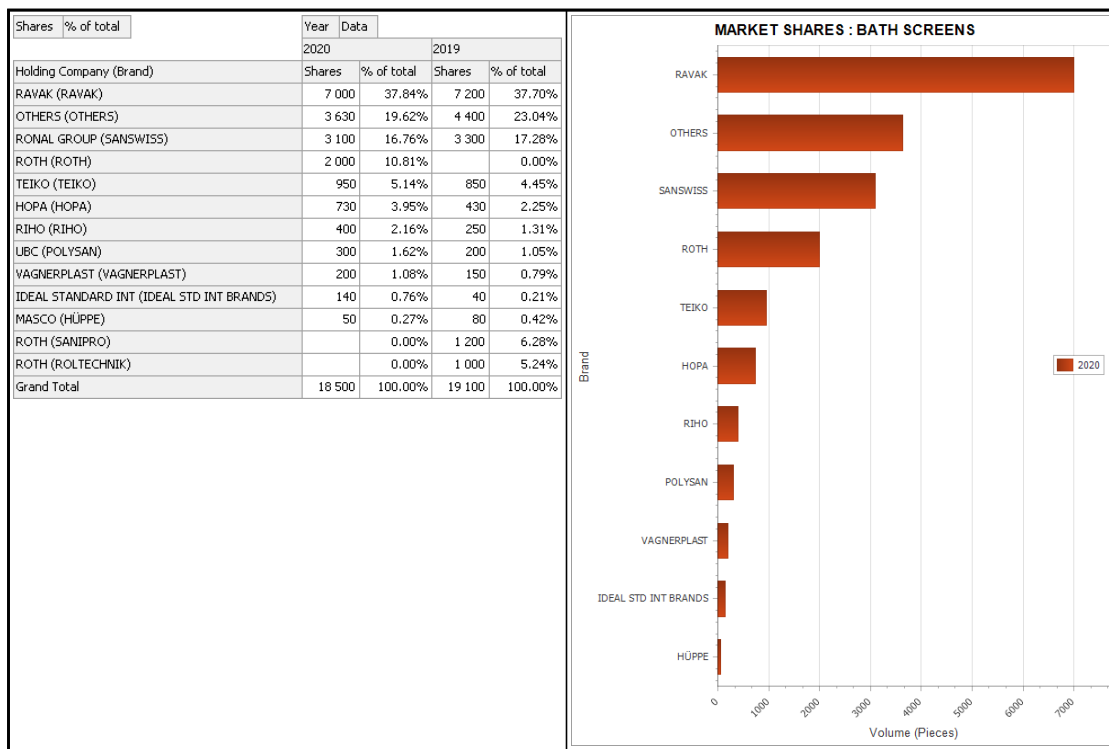
CZ - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

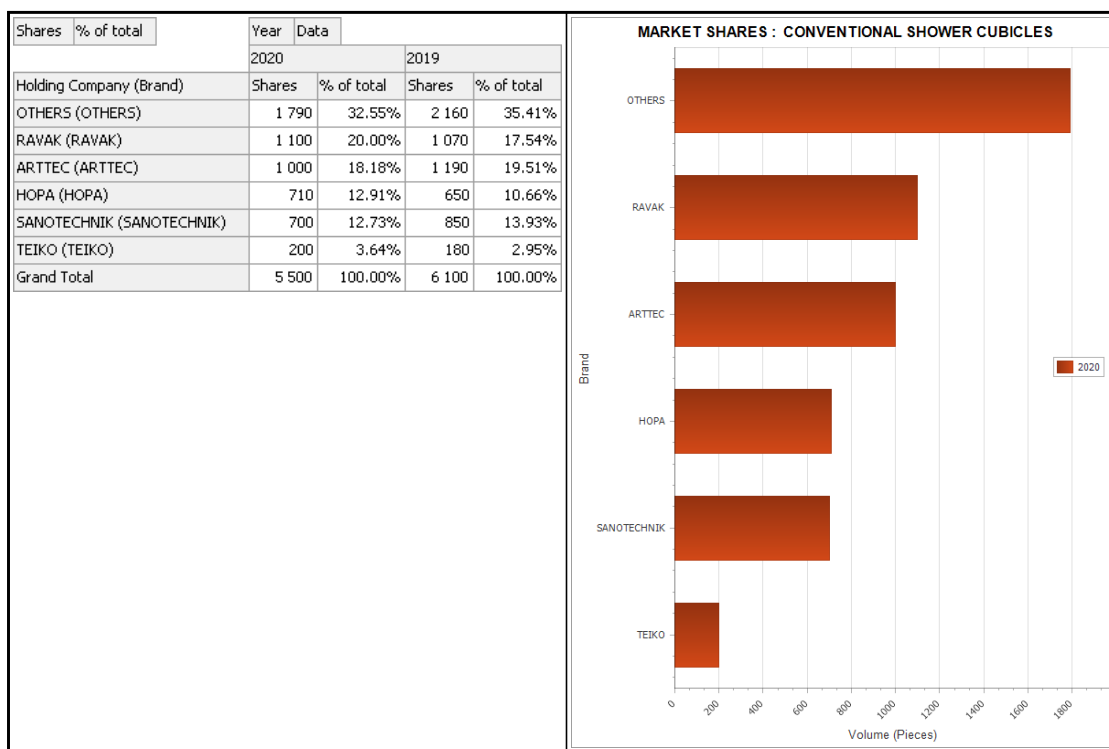
CZ - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

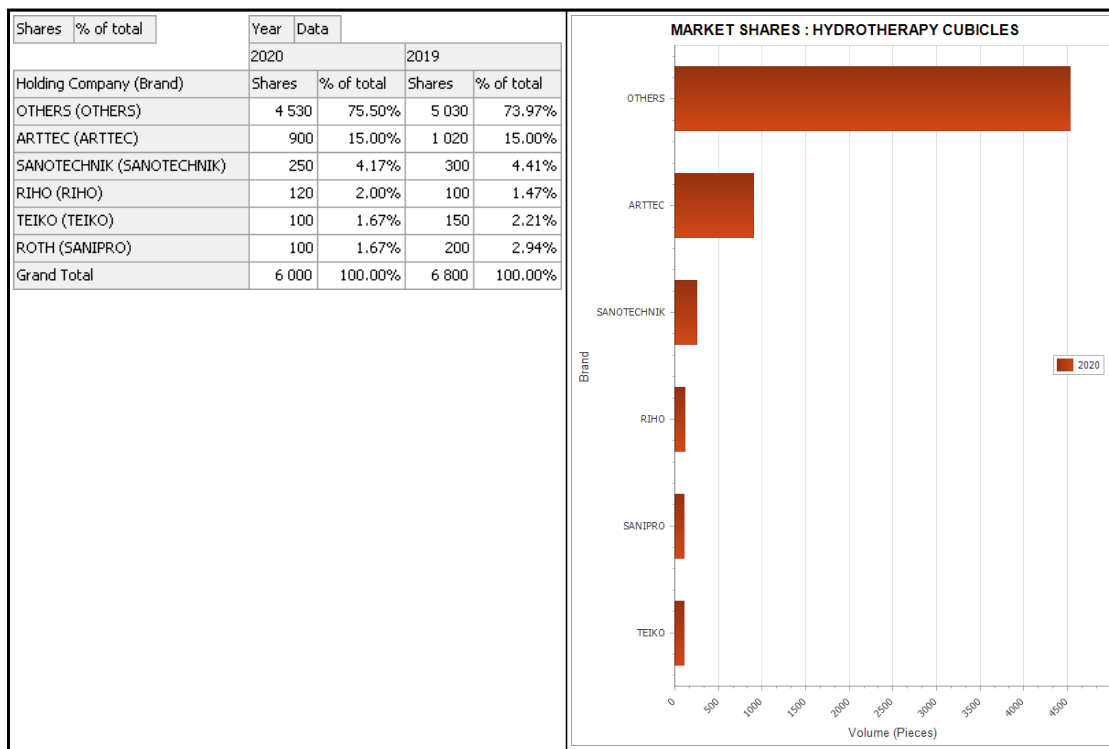
CZ - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

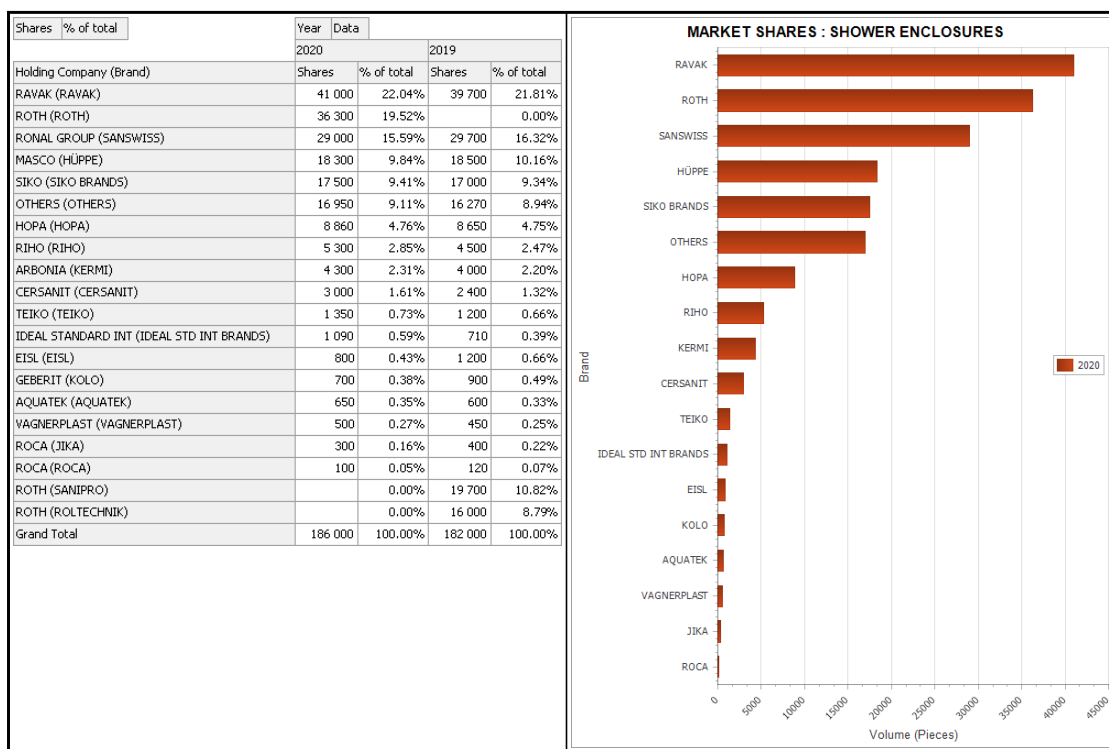
CZ - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

CZ - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
CZ - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	76.8%
	Wholesalers / Merchants
	76.8%

Retail Level	Manufacturer 2.5%	Wholesaler 5.8%	Manufacturer 10.2%	Wholesaler 11.0%	Manufacturer 8.4%	Wholesaler 9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.3%		21.2%		17.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	30.6%	1.2%	1.5%	10.9%
Installers				
45.9%				

End Use Level	Manufacturer 0.0%	Wholesaler 19.0%	Internet 6.5%	DIY 18.4%	Specialist 5.8%	Installer 44.4%
	Residential					
	94.1%					
	New Build		Residential RMI			
	12.6%		81.4%			
	Project	Non-Project	Project	Non-Project		
	12.4%	0.2%	18.0%	63.4%		
	Non-Residential					
	5.9%					
	New Build		Non-Residential RMI			
	1.5%		4.4%			
	Project	Non-Project	Project	Non-Project		
	1.5%	0.0%	4.1%	0.3%		

4.6.2 Route to Market: Shower Wall
CZ - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.5%
	Wholesalers / Merchants
	75.5%

Retail Level	Manufacturer 3.0%	Wholesaler 6.2%	Manufacturer 9.5%	Wholesaler 11.5%	Manufacturer 8.9%	Wholesaler 9.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.2%		21.0%		18.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.5%	30.3%	1.3%	1.4%	11.3%
Installers				
46.8%				

End Use Level	Manufacturer 0.0%	Wholesaler 17.1%	Internet 7.2%	DIY 18.4%	Specialist 6.0%	Installer 45.3%
	Residential					
	94.0%					
	New Build		Residential RMI			
	12.8%		81.2%			
	Project	Non-Project	Project	Non-Project		
	12.3%	0.5%	20.1%	61.1%		
	Non-Residential					
	6.0%					
	New Build		Non-Residential RMI			
	2.0%		4.0%			
	Project	Non-Project	Project	Non-Project		
	2.0%	0.0%	3.7%	0.3%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

CZ - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

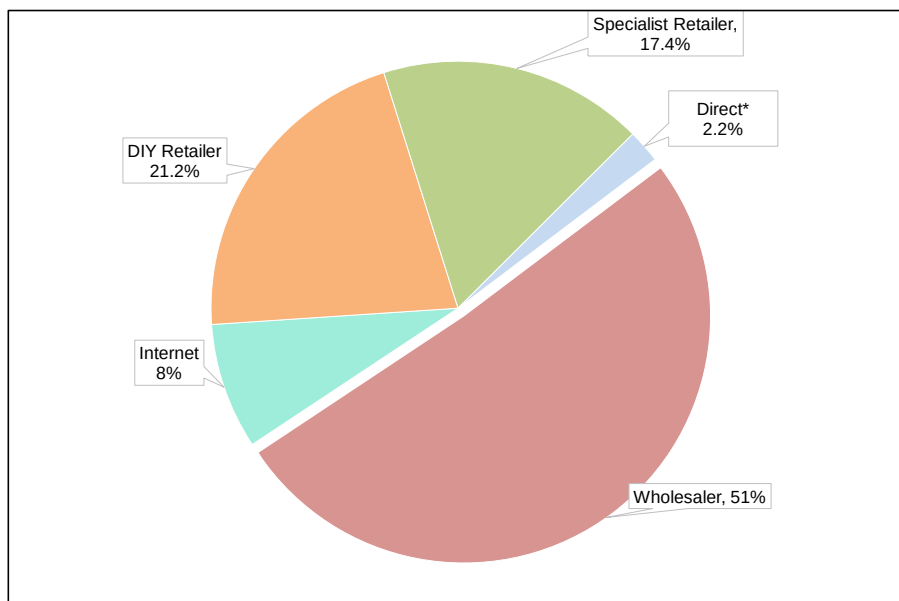
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.0%	8.3%	21.2%	17.4%	2.2%	30.4%	5.6%	63.7%	0.3%
100%					36.0%		64.0%	

4.6.4 Route to Market - Consolidated View : Shower Wall

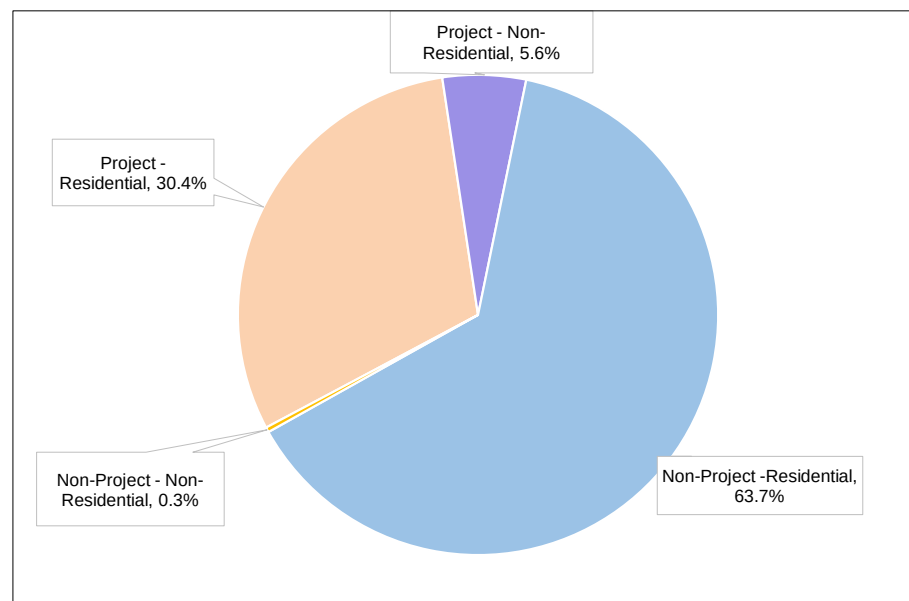
CZ - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.7%	9.2%	21.0%	18.0%	3.1%	32.4%	5.7%	61.6%	0.3%
100%					38.1%		61.9%	

CZ - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Czech Shower Wall Market (April 2021)

CZ - REVISIONS IN THE CZECH SHOWER WALL MARKET

Data Comparison: April 2020



Minor changes have been made to historical volumes for this market.

CZECH REPUBLIC

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Initially small in size, the Czech bathroom furniture market began to develop following the fall of communism, an increase in consumerism and conspicuous consumption, and the entry of foreign manufacturers into the Czech market (which prompted domestic manufacturers to broaden their product ranges). Further growth was stimulated by an increase in both residential and commercial construction throughout the past decade, as well as the refurbishment and modernisation of blocks of flats (*panelaky*) in major cities.

Although the market was adversely affected by the global financial crisis and the resultant lowered spending levels amongst most Czech consumers, sales volumes were sustained and have since recovered as a result of the development of the Czech DIY and online retail sectors, which have additionally boosted the bathroom furniture market over the past decade by offering affordable and desirable products to a widening consumer base.

In terms of product mix, base units are the most popular products in the Czech bathroom furniture market, as is the case in most European countries in which space saving in dwellings remains a concern. Indeed, base units are particularly popular in blocks of small flats and, as a result, small-width units (with countertop widths of 50 by 70 cm) dominate the market. Monobloc units are more popular than countertop units, due to their lower price point. Although ceramic countertops have long dominated base unit countertop sales, this is now shifting due to the presence and increasing share of the Czech cast marble product manufacturer GELCO.

On the other hand, separate cupboard units are the product with the lowest volume of sales in the Czech bathroom furniture market. Due to the limited purchasing power of many customers in recent years and shrinking bathroom sizes, most bathrooms are furnished only with a base unit and mirror cabinet. Given that base units already contain storage space, separate cupboards are often considered unnecessary.

Mirrors and mirror cabinets are typically installed in most Czech bathrooms and, as a result, the market is rather stable, with only competition from cheap, unlit mirrors that can be hung or attached to the wall. Mirror cabinets tend to outnumber lighted mirrors, as the latter are more expensive and perceived as more of a luxury product. In addition, mirror cabinets offer additional storage potential, which is highly beneficial in smaller Czech apartments and houses.

Overall, MDF remains the most popular material used for bathroom furniture due to its low price and lightness, which facilitates ease of movement (a particular benefit in urban areas, where a higher proportion of dwellings are rented and moving home is thus more common). MDF is especially popular on the separate cabinet market, as the vast majority of separate cabinets are wall hung and thus need to be made from lightweight materials. Most bathroom furniture units are sold separately, rather

than as sets or in suites (for example, with sanitary ware). This is due to the fact that most sales of bathroom furniture occur within the RMI segment, when consumers seek to upgrade or update parts of their existing bathrooms.

Recent Market Trends

After several years of growth, the overall market for bathroom furniture recorded a decline in 2020, as demand decreased across all end-uses. The COVID-19 crisis had a negative impact on private consumption as well as construction activity within both residential and non-residential sectors. Lockdowns in March and October as well as social distance measures affected retail sales and caused postponement of many large-scale projects, especially for new build apartments and the hotel industry. This in turn resulted in decreased sales for all bathroom furniture products in 2020. It is worth mentioning, that base unit sales decreased at a lower rate than mirrors and cabinets, largely thanks to less affected renovation sales.

The demand for floor standing cabinets continued to drop, as seen in recent years and, as a result, several manufacturers have discontinued or limited their floor standing ranges to instead focus on the wall hung segment, which comprises the vast majority of the market. The popularity of wall hung furniture has also ensured that relatively cheap and lightweight materials such as MDF, laminate and chipboard have retained their majority in the market. Most common colour finish for separate cabinets and base units remained to be white, with oak, brown and grey also having significant share.

Prices and Market Values

The overall manufacturers' selling prices (MSPs) of bathroom furniture continued to increase in 2020 in CZK. This was caused not only by the annual price increases that manufacturers tend to deploy, but also by the growing trend towards higher quality and higher-price products. Prices in EUR grew at a much lower rate, mostly due to the weakening local currency in 2020.

However, despite this development Czech consumers in general still favour low-cost products and 'bargain hunting' over investment in pricier items. This has been further exacerbated by the growth of e-shops in recent years, as these products are delivered directly to consumers and can be sold at attractively low prices. This has been somewhat counterbalanced by the increase in demand for luxury-price segment models of base units, and also for artisan and bespoke products at the upper end of the Czech bathroom furniture market. Most of the leading manufacturers are now offering customised bathrooms that are tailored to customers' wishes and target wealthier consumers.

New Housing

The new housing sector is still the second-largest segment for bathroom furniture sales, and the main demand in the new build end-use sector is currently moving from larger, more decorative furniture towards custom-designed products. This

segment is an important driver for the overall market, thanks to the rising popularity of installing bathroom furniture in new dwellings to save space and allow for storage. While installation of base units and mirrors is now considered more or less standard in new housing, new housing share for separate cabinets remains relatively low, albeit growing. This is largely due to developers saving on costs during larger projects and, therefore, cabinets tend to be installed after the new homeowner has moved in.

As mentioned earlier, the number of apartment completions decreased significantly in 2020, causing a drop in sales across all bathroom furniture products. With new housing starts and permits on a good level in 2019-2020, the demand should recover over the forecast with bathroom furniture likely to increase their penetration within new dwellings in the near future, with sales reaching the 2019 level in 2023.

Housing RMI

The housing RMI end-use segment continued to generate the highest demand for bathroom furniture products in 2020 and accounted for the vast majority of overall sales. There is a continual trend towards smaller bathrooms, whereby fewer pieces of furniture can be installed – which could hamper the prospects of the segment in the long-term. Nevertheless, sales of bathroom furniture within RMI are anticipated to grow over the forecast period.

Sales into the housing RMI in 2020 were negative, largely due to the drop in private consumption caused by the COVID-19 pandemic. Still, the decline in replacements was at a lower rate than expected, showing the resilience of the market. The forecast period remains positive.

Non-Housing

A large portion of bathroom furniture in the non-housing sector is installed in the hospitality industry. Lockdowns and additional measures to combat the COVID-19 crisis caused many projects to be postponed, ultimately leading to a decline in sales in this sector. Unlike new housing, the construction activity within the commercial setting is unlikely to return to growth in 2021, given the continuous constraint in private investments. It is therefore expected that the non-housing sector will start to recover only at the end of 2021 and start of 2022.

Supply Structure

The Czech bathroom furniture industry is rather fragmented, with over 10 domestic manufacturers and a large number of importers. The specialist domestic manufacturers account for the highest share of total sales on the market. The main bathroom furniture manufacturers are the domestic INTEDOOR, DREVOJAS, KRAJCAR and LE BON. Other producers that are not exclusively producing bathroom furniture include SIKO, RAVAK and RIHO. The main foreign bathroom manufacturers include KOLO (part of GEBERIT), IDEAL STANDARD, the ROCA GROUP and VILLEROY & BOCH.

Forecasts

As mentioned earlier, residential completions are expected to rebound in 2021, particularly for apartments. This, together with a heightened number of replacements and renovations, should ensure steady growth of sales for the overall bathroom furniture market. Only non-housing sales are projected to contract again this year, as private and public investments are likely to remain subdued. Overall recovery of the market will also be reliant on wide vaccination of the population and easing of restrictions.

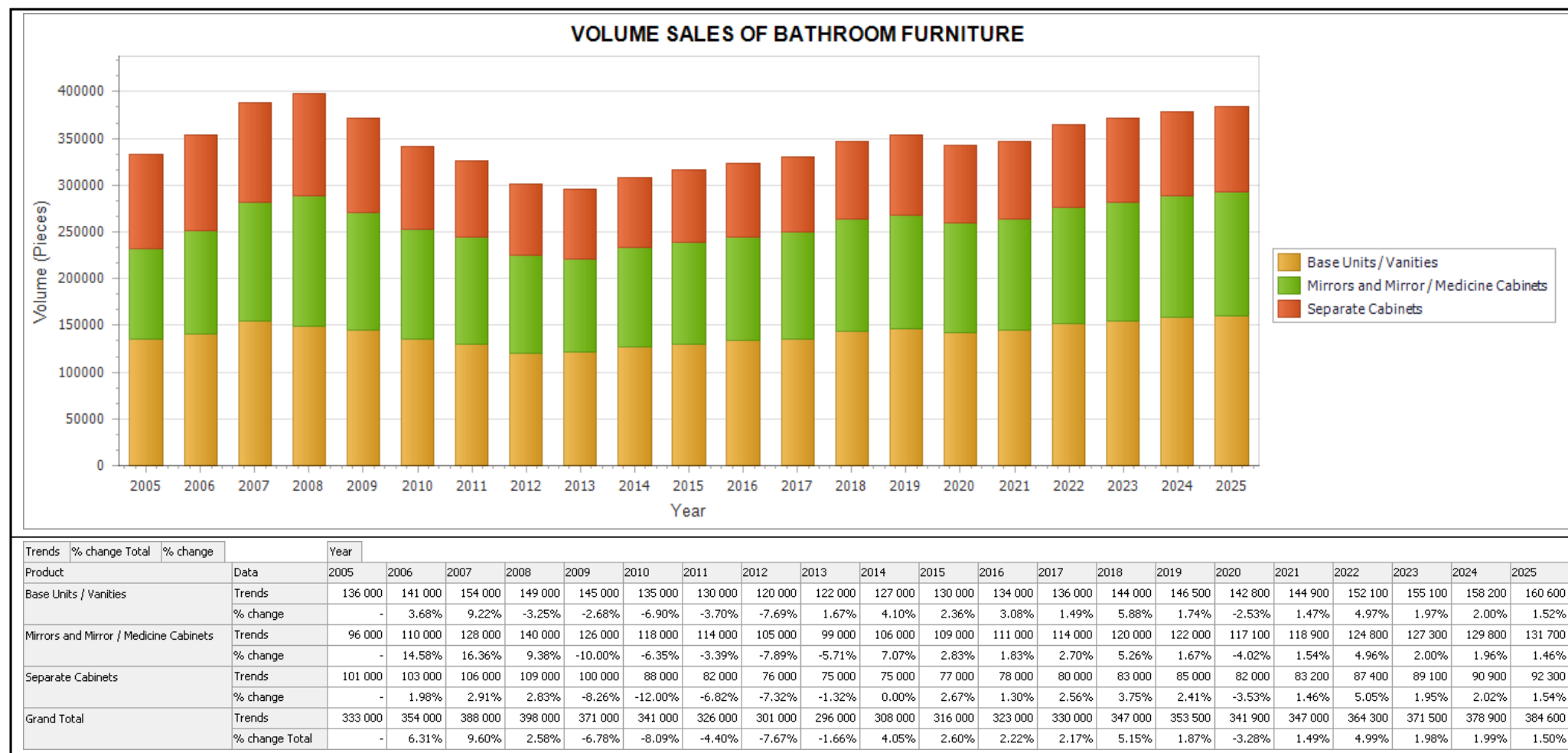
Post 2021, the overall market for bathroom furniture should benefit from recovery in private consumption as well as a positive forecast for residential construction. These increases are anticipated to occur across all product segments, with base units/vanities accounting for the bulk of the market. Base units/vanities should not only account for the highest share in the market, but also record the fastest growth in the next few years as penetration of these products in new housing increases and demand in housing RMI rises.

Floor standing bathroom furniture should continuously lose its share of the market, as the preference for wall hung installations increases. Sales of custom furniture are likely to grow as well, thanks to online design tools that enable end-users to design their own bathrooms without the need for an architect.

It is also worth mentioning that while the Czech market is still considered to be a very price-sensitive one, especially in comparison to its Western neighbours, sales in the middle and luxury price segments are anticipated to increase as discretionary spending becomes more common – thanks to the rises in wages and the subsequent stronger purchasing power of consumers.

5.2 Historical Trends & Forecasts : Bathroom Furniture

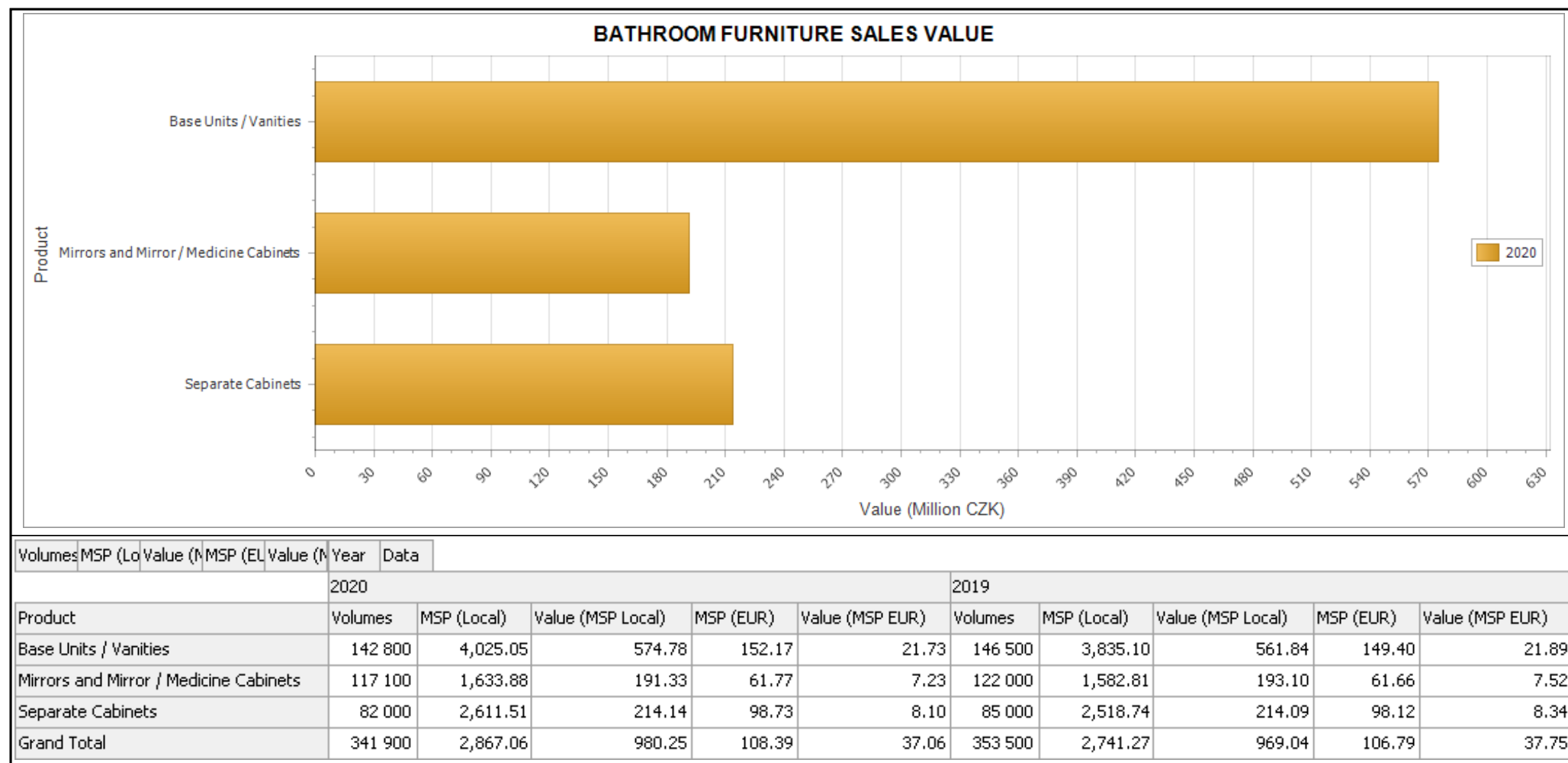
CZ - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

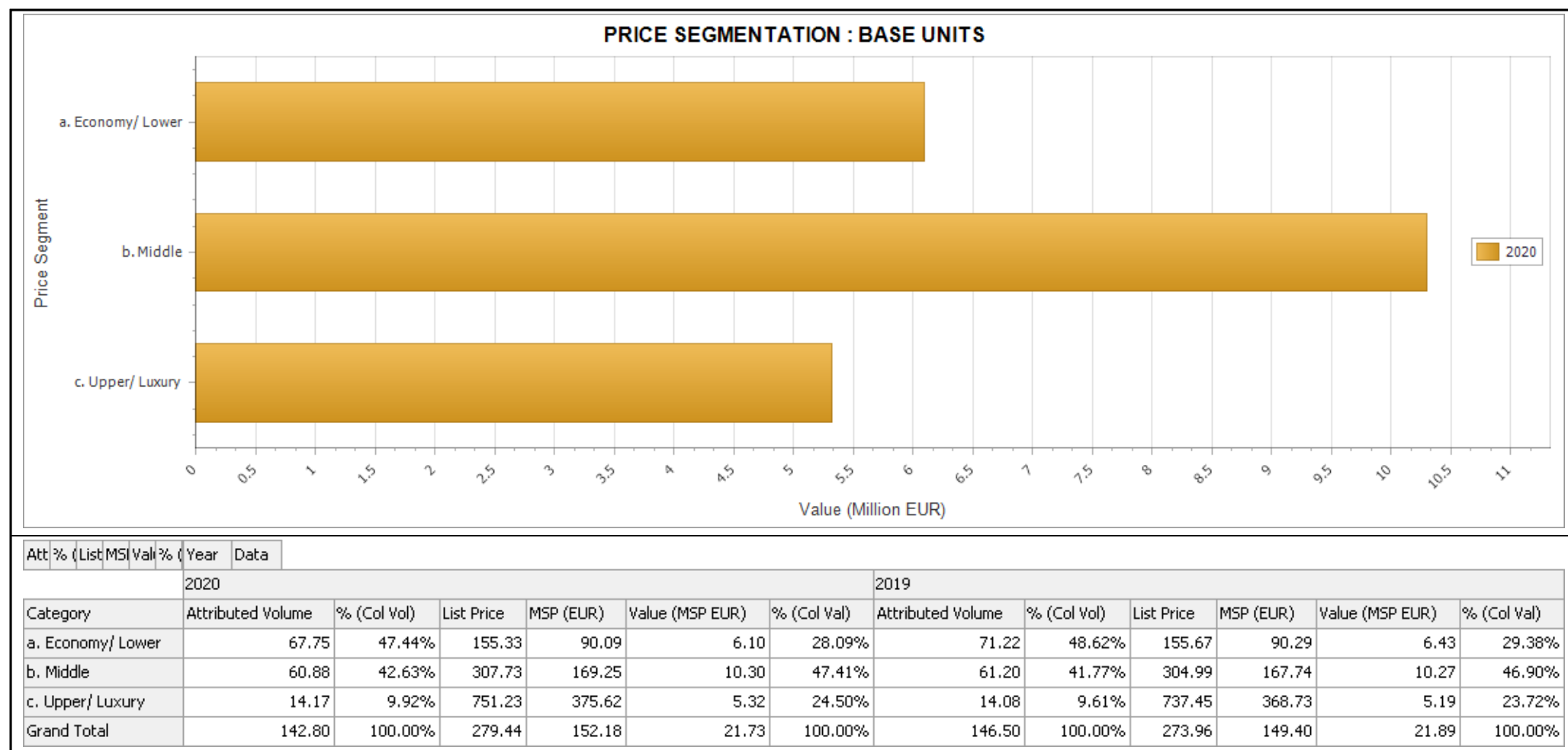
CZ - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Local Prices Shown in CZK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

CZ - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

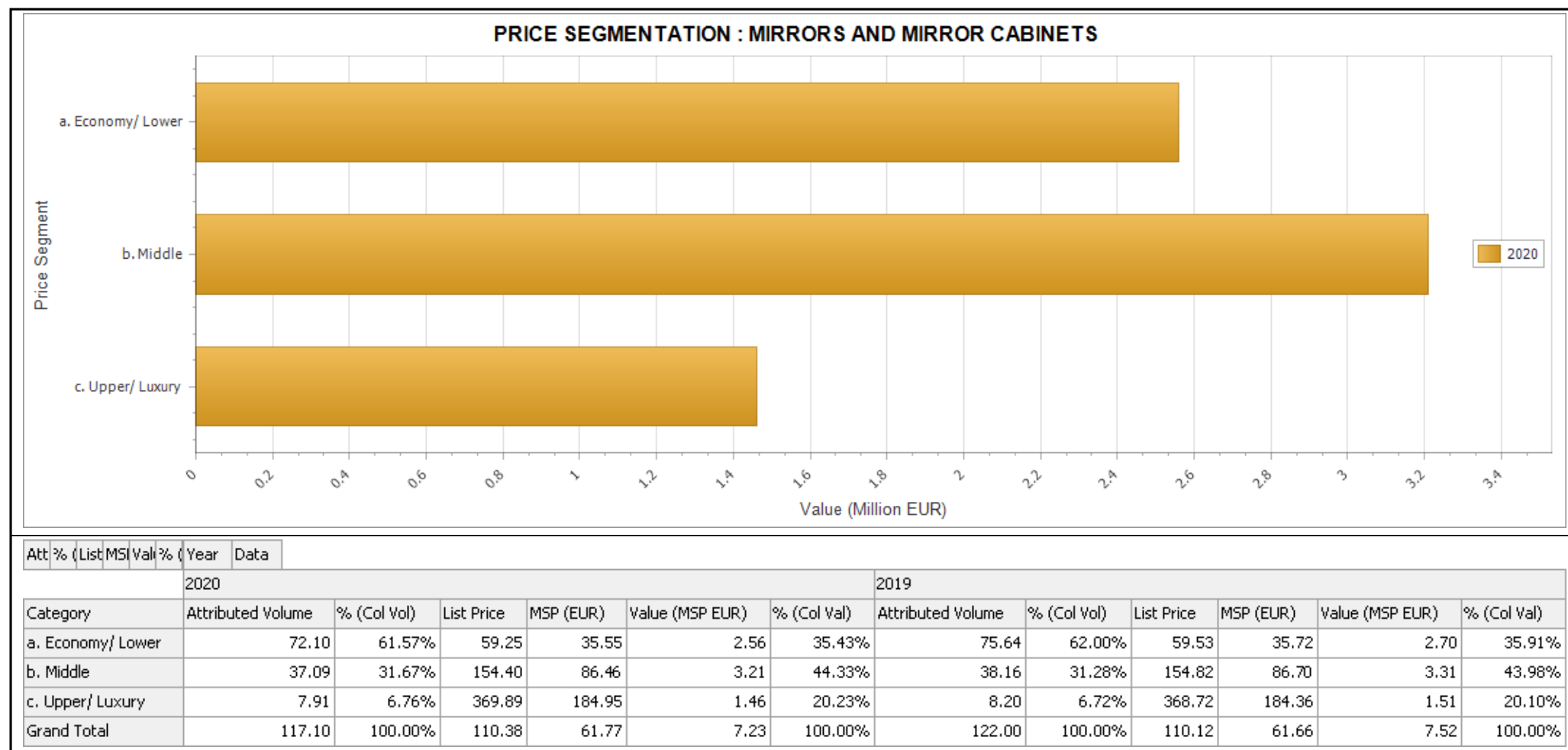


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€250, Upper/ Luxury >€250

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

CZ - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

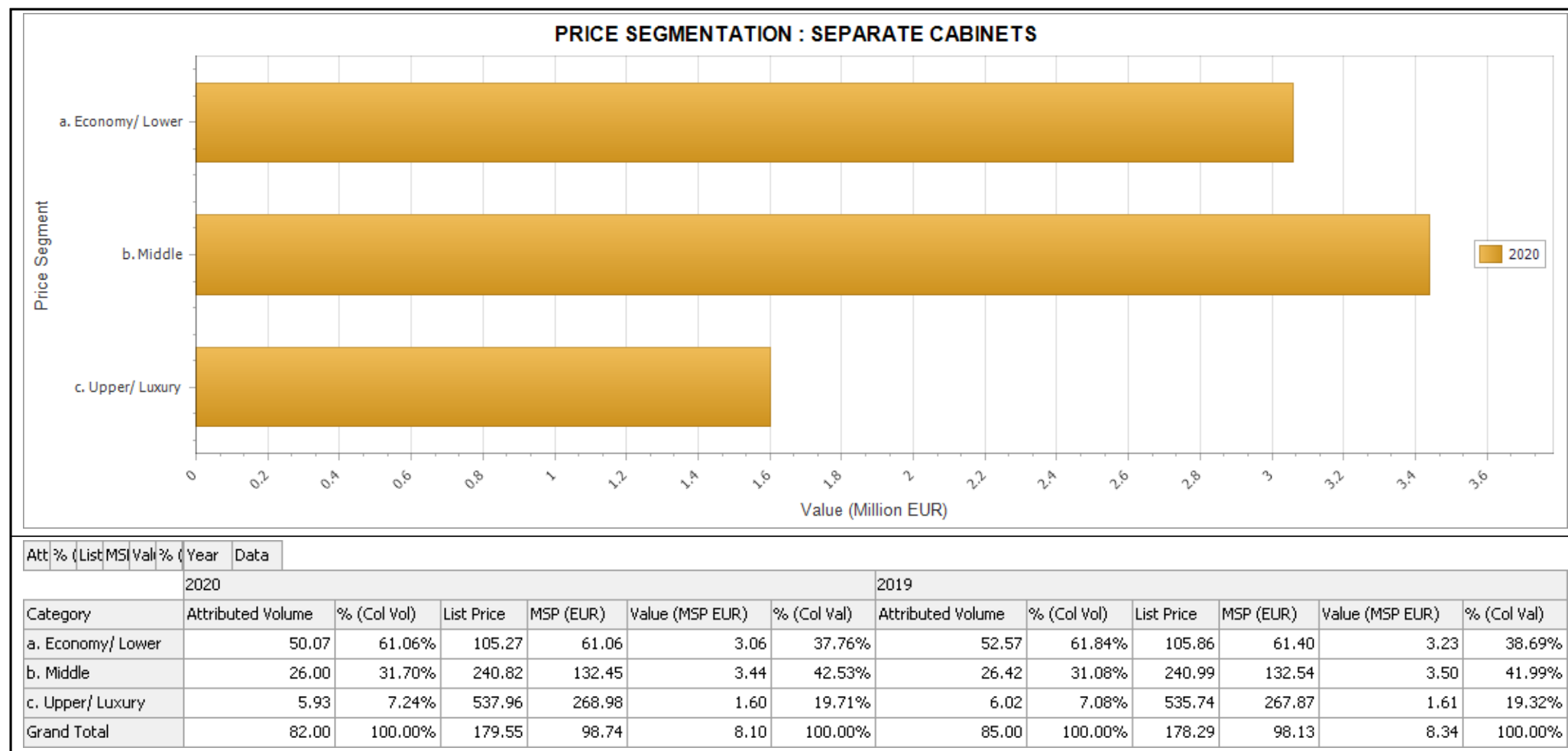


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

5.3.4 Price Segmentation : Separate Cabinets

CZ - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

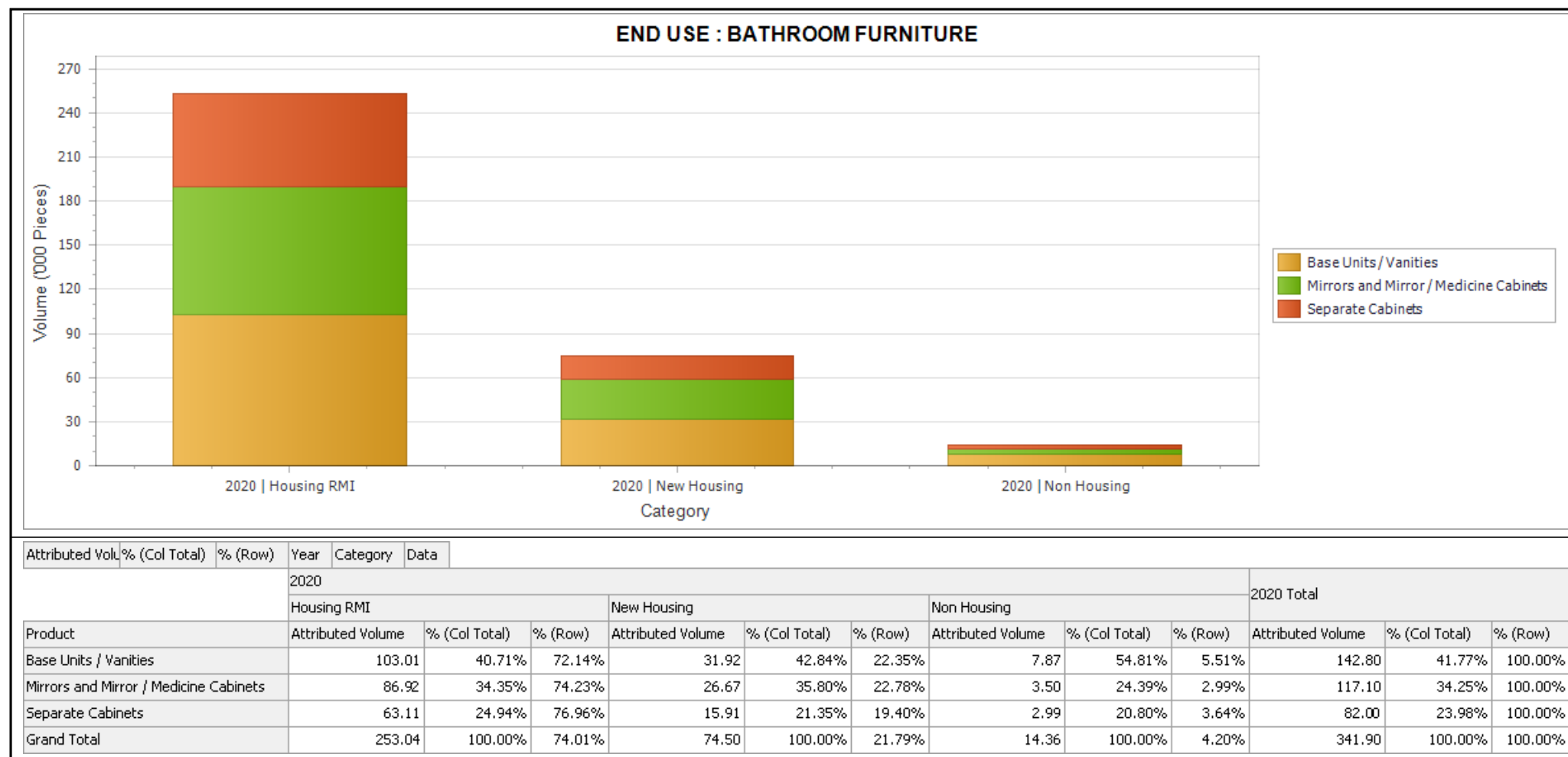


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.4.1 End Use : Base Year

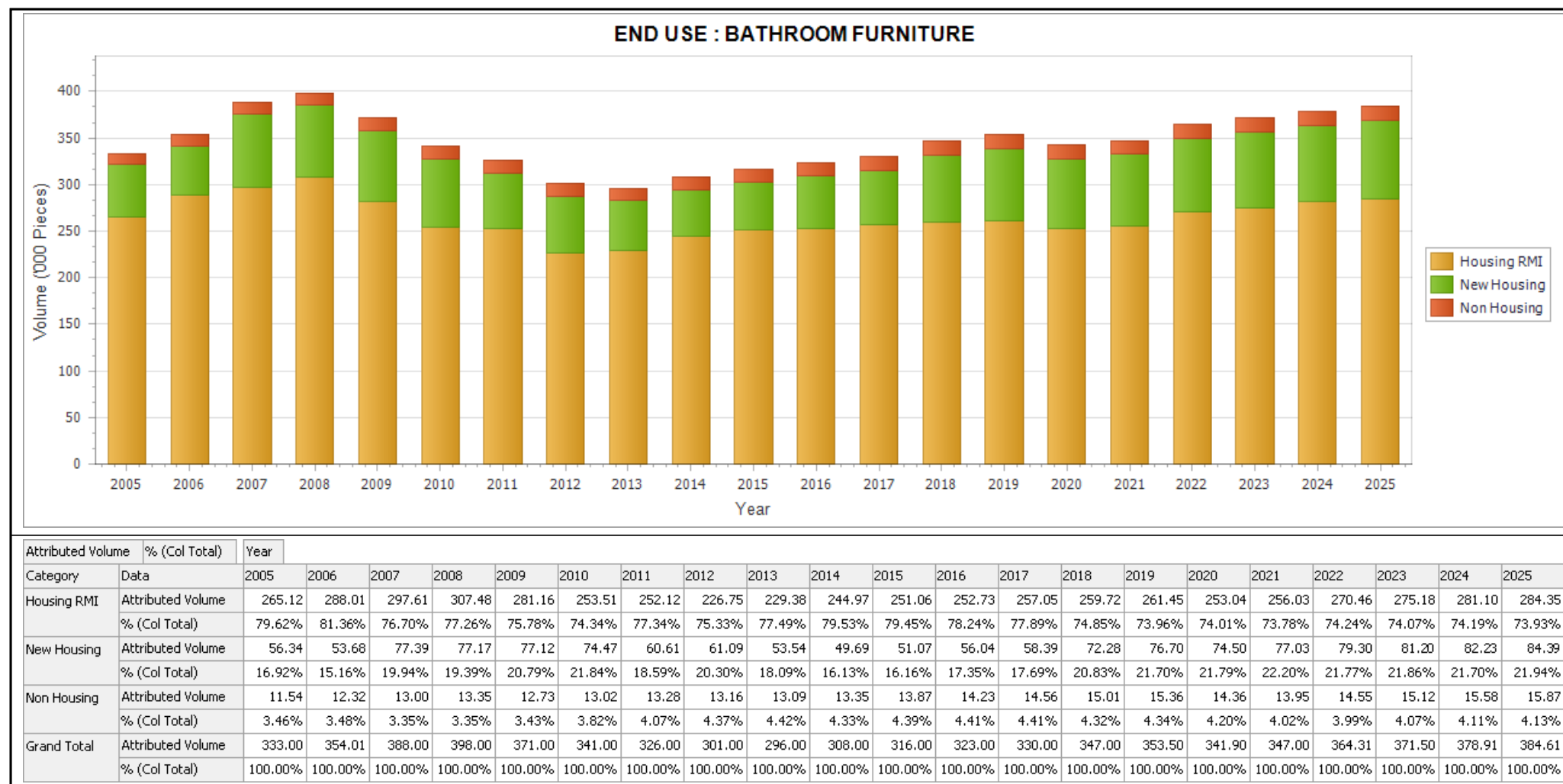
CZ - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

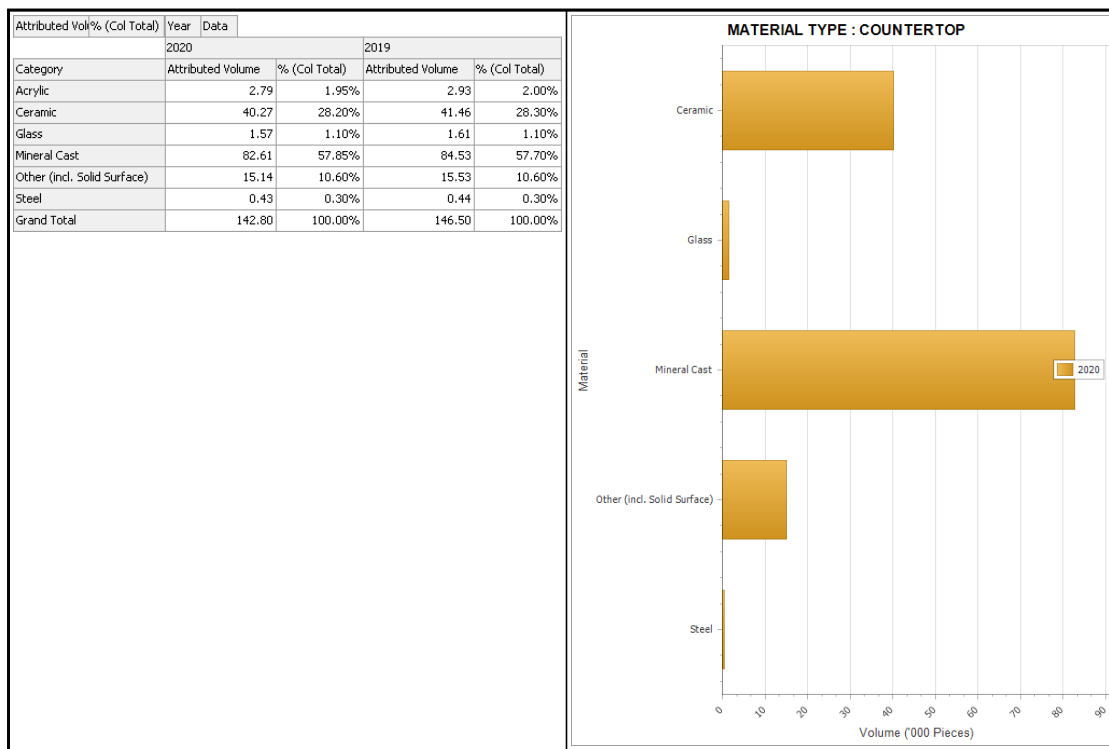
CZ - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

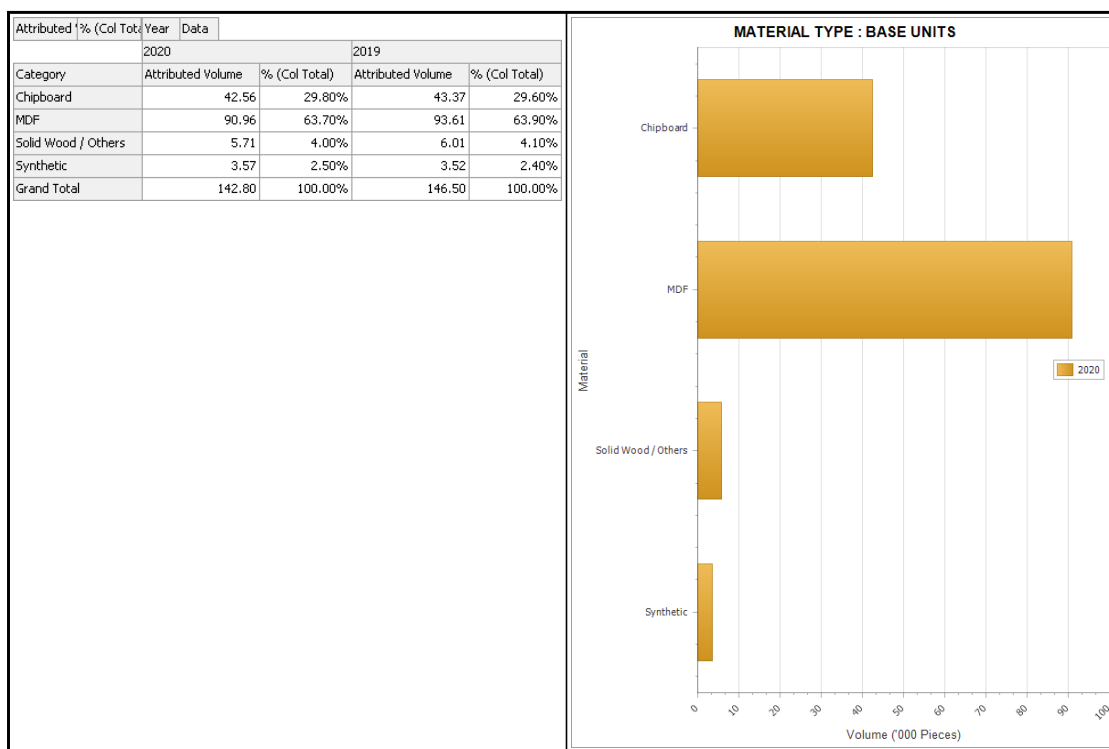
CZ - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

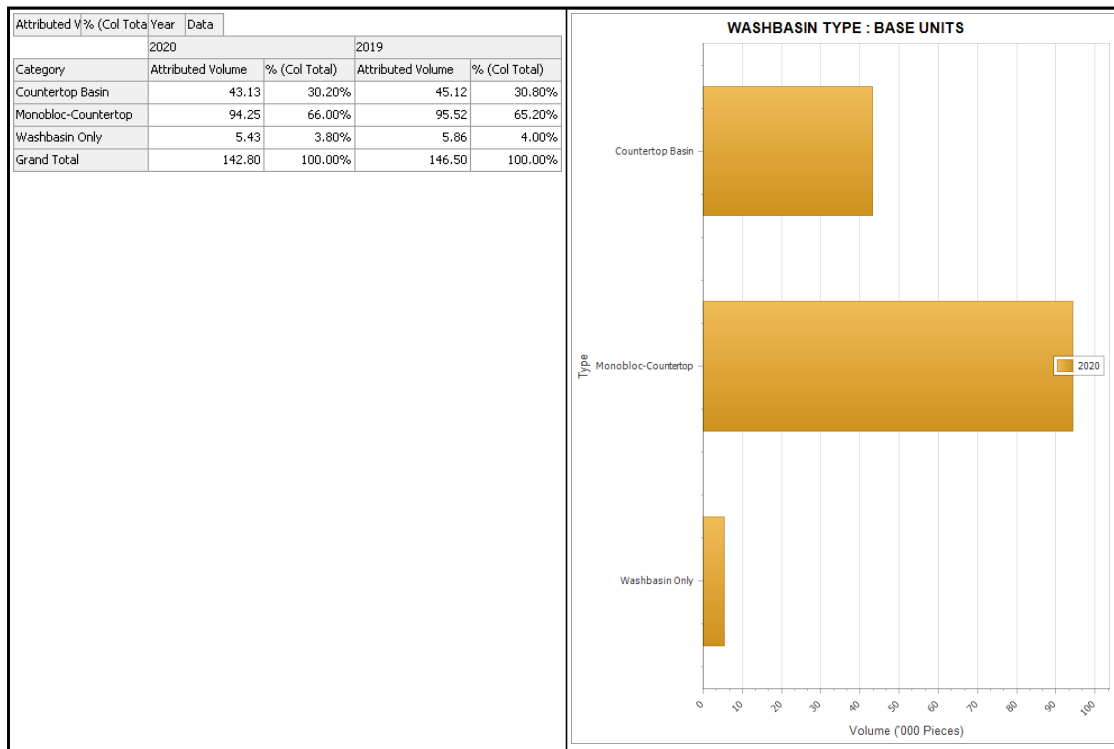
CZ - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

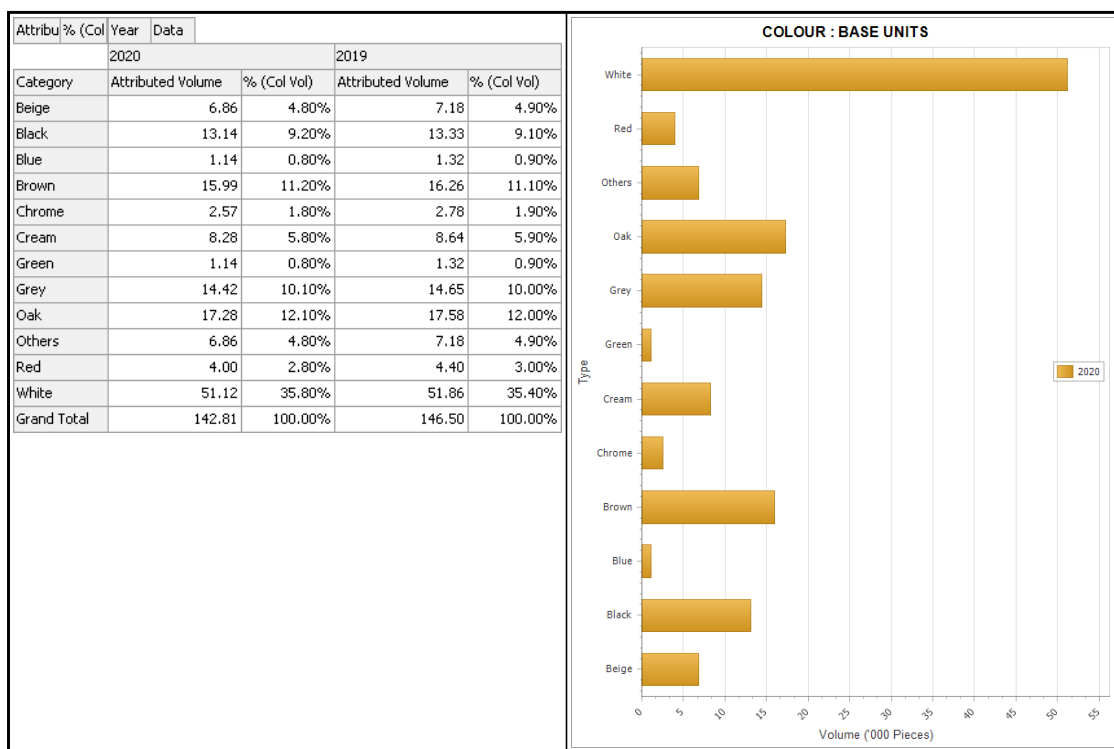
CZ - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

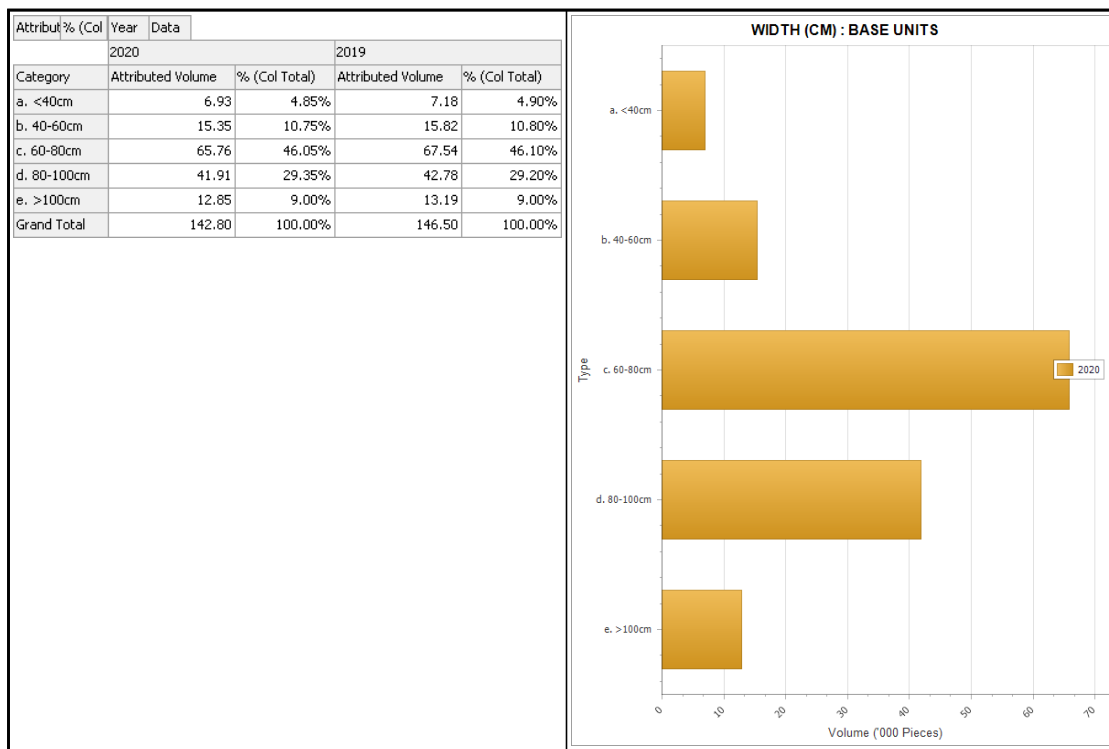
CZ - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Width : Base Units

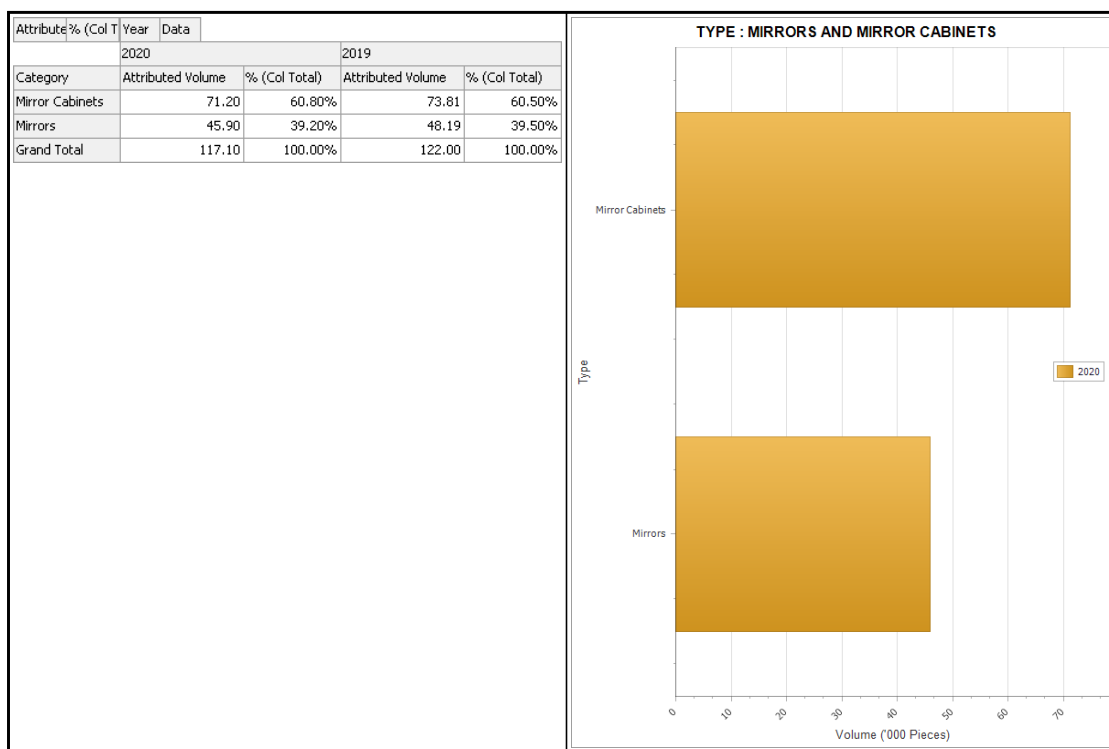
CZ - BASE UNIT SALES BY WIDTH ('000 PIECES)



Source: BRG based on industry interviews

5.4.8 Sales by Type : Mirror and Mirror Cabinets

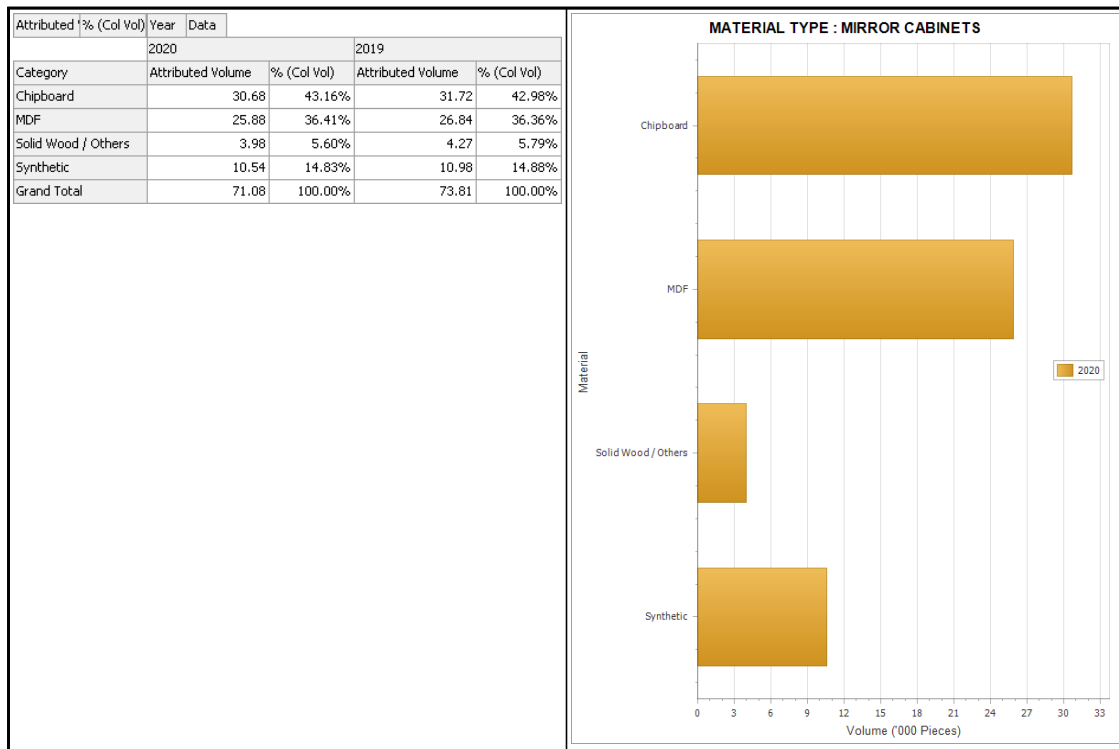
CZ - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Material : Mirror Cabinets

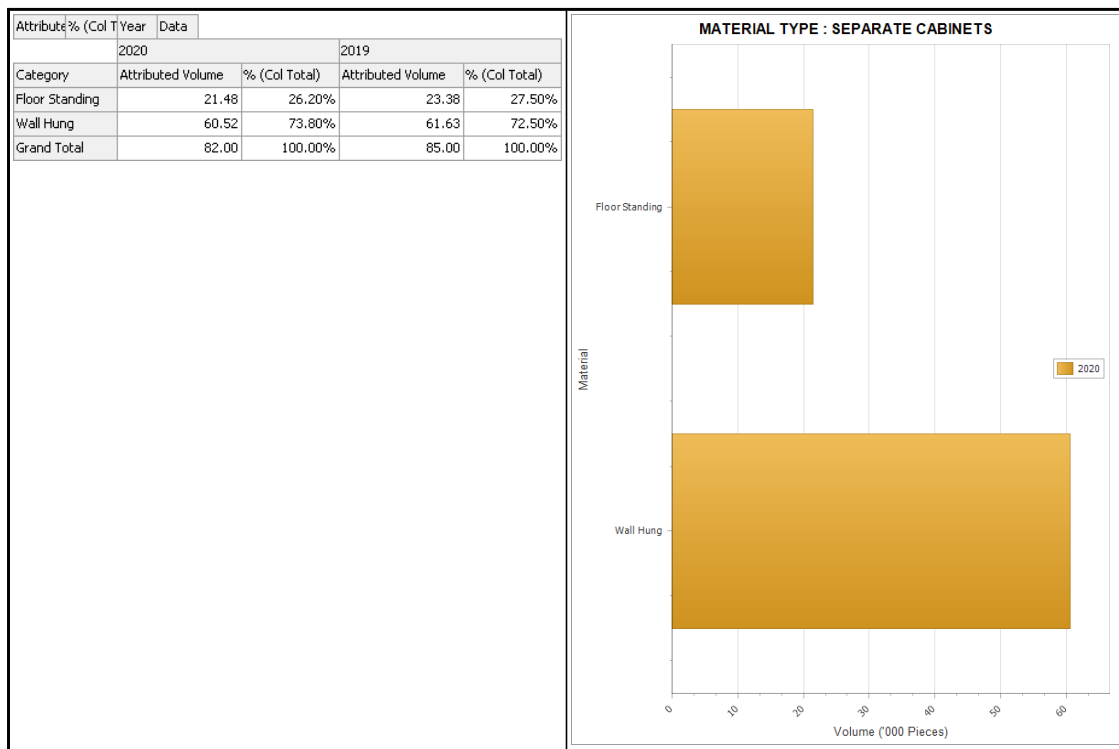
CZ - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.10 Sales by Type of Material : Separate Cabinets

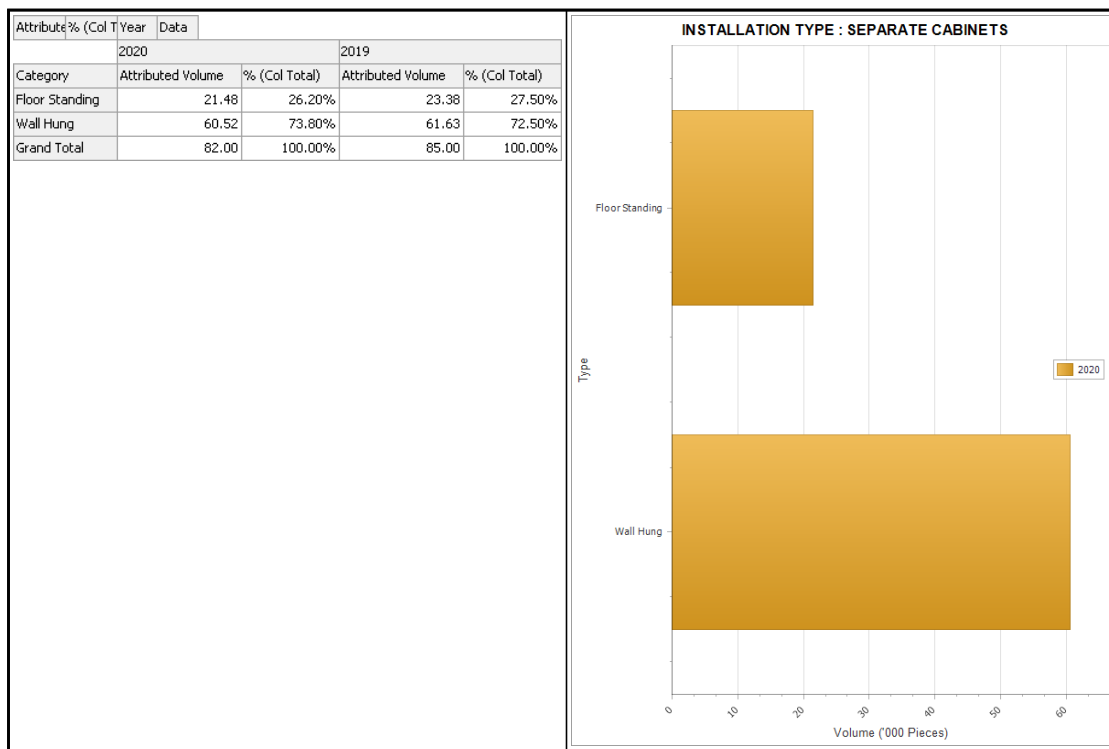
CZ - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales by Type of Installation : Separate Cabinets

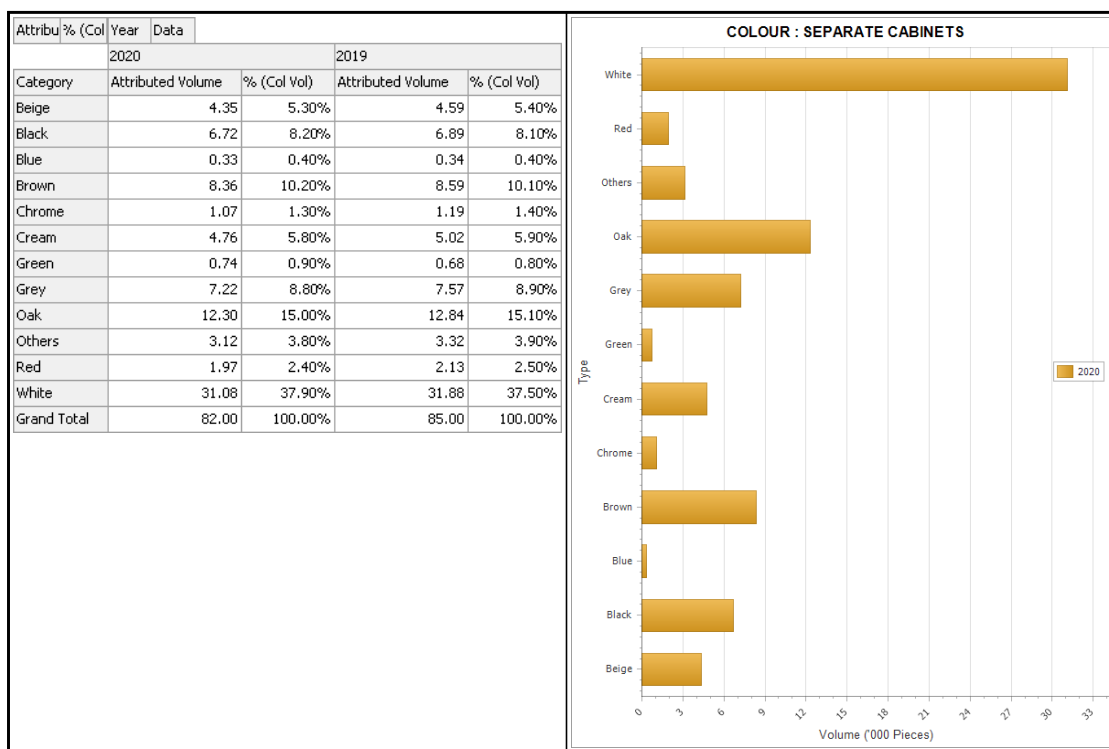
CZ - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.12 Sales by Type of Colour : Separate Cabinets

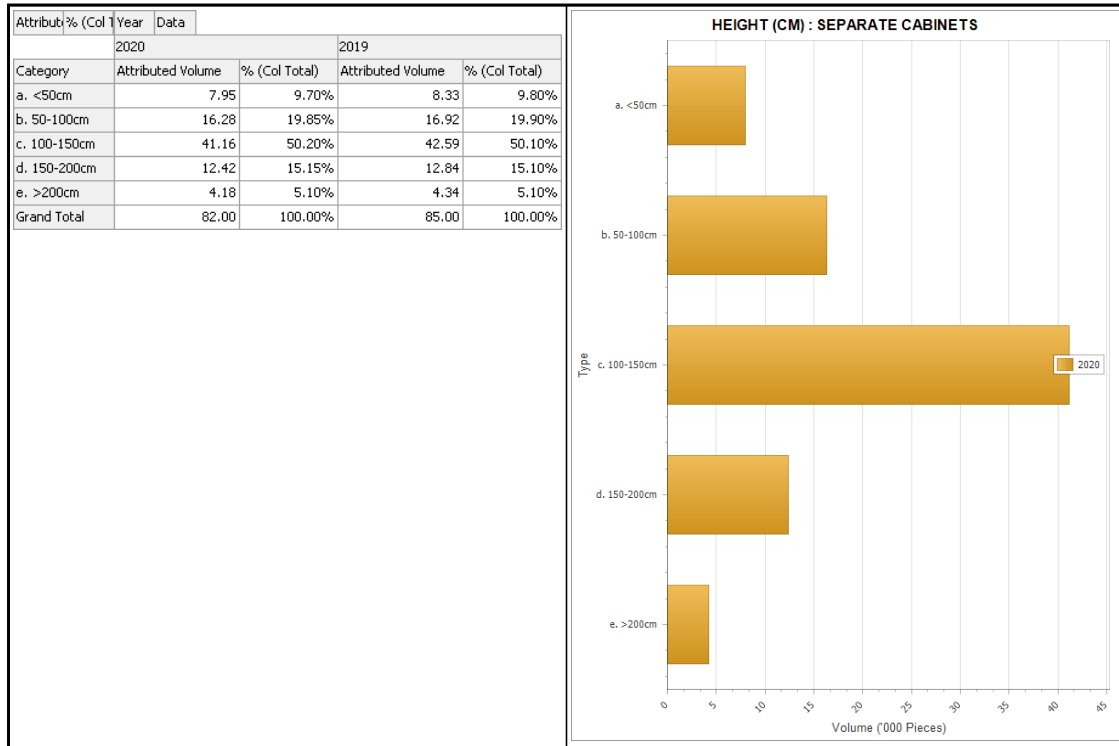
CZ - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

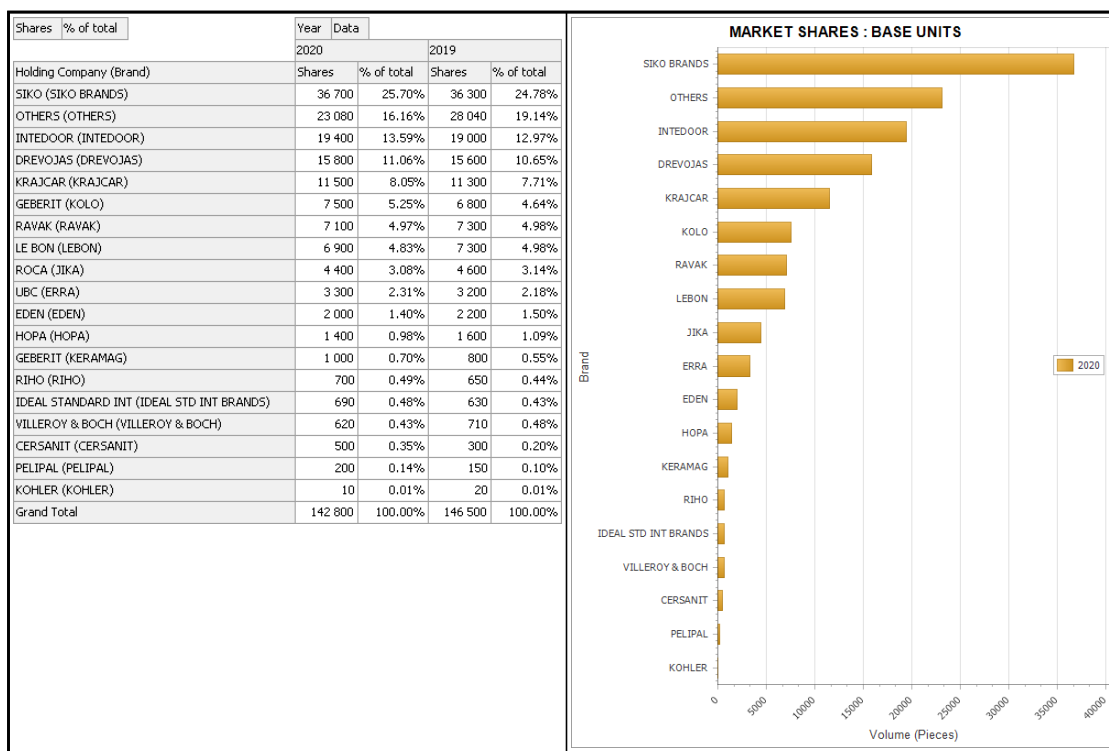
CZ - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

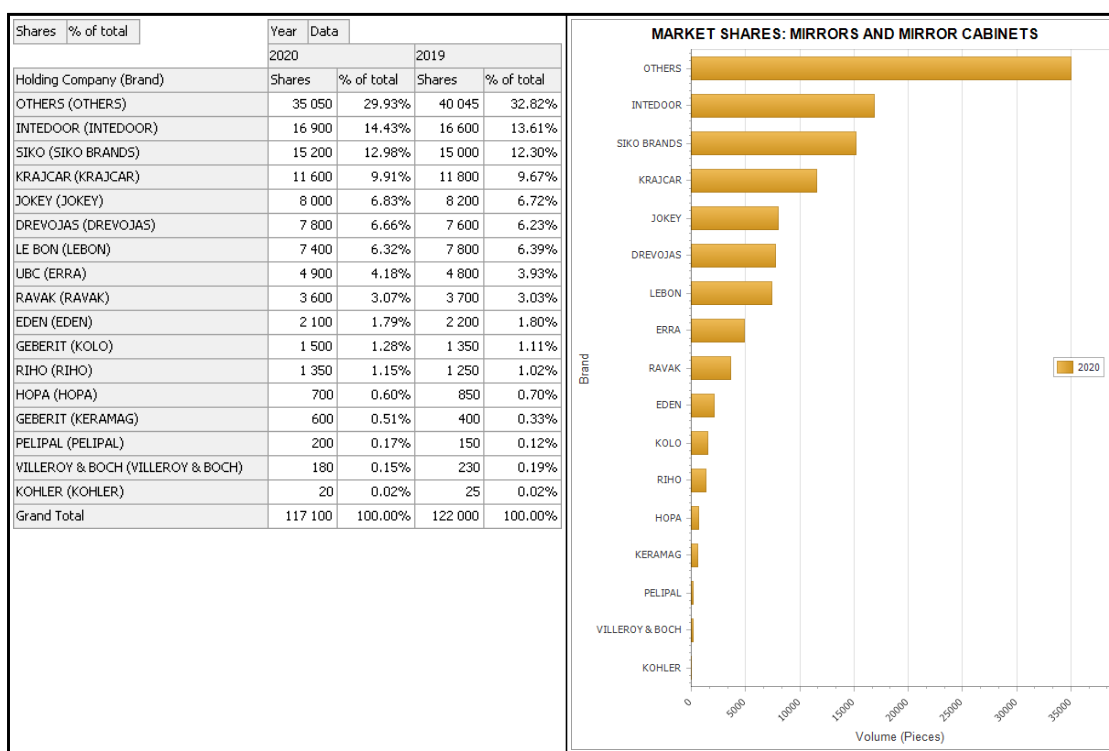
CZ - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

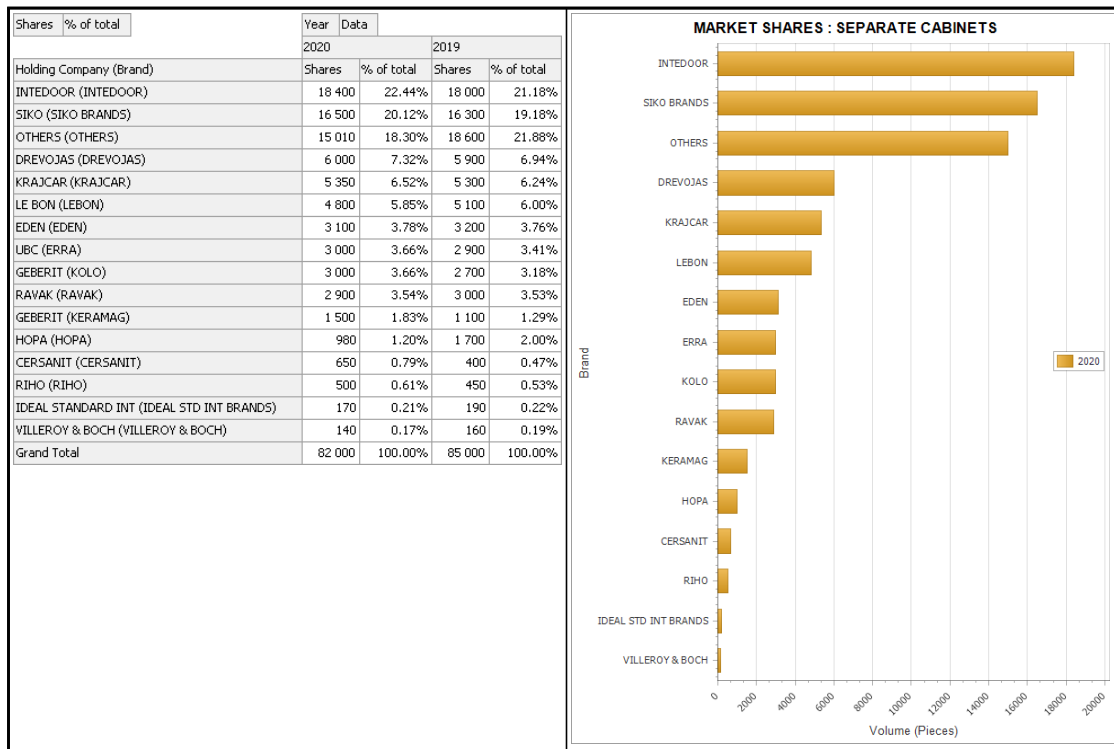
CZ - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

CZ - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1

Route to Market: Bathroom Furniture
CZ - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

65.5%
Wholesalers / Merchants
65.5%

Retail Level

Manufacturer	Wholesaler
5.4%	6.0%
Internet Retailers	
11.4%	

Manufacturer	Wholesaler
12.2%	9.3%
DIY Retailers	
21.5%	

Manufacturer	Wholesaler
13.8%	17.0%
Specialist Retailers	
30.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	20.0%	1.9%	9.5%	5.6%
Installers				
39.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	12.2%	9.0%	11.7%	24.5%	38.4%
Residential					
95.8%					

New Build			Residential RMI		
21.8%			74.0%		
Project	Non-Project		Project	Non-Project	
21.0%	0.8%		18.0%	56.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.0%	1.0%	0.5%	0.3%	0.7%	0.7%
Non-Residential					
4.2%					

New Build			Non-Residential RMI		
1.6%			2.6%		
Project	Non-Project		Project	Non-Project	
1.6%	0.0%		1.7%	0.9%	

5.6.2

Route to Market: Bathroom Furniture
CZ - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

67.0%
Wholesalers / Merchants
67.0%

Retail Level

Manufacturer	Wholesaler
6.0%	7.1%
Internet Retailers	
13.1%	

Manufacturer	Wholesaler
11.5%	10.5%
DIY Retailers	
22.0%	

Manufacturer	Wholesaler
13.5%	17.0%
Specialist Retailers	
30.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.9%	20.0%	2.0%	9.6%	5.6%
Installers				
39.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	11.3%	10.4%	12.1%	24.3%	37.7%
Residential					
95.9%					

New Build			Residential RMI		
21.9%			73.9%		
Project	Non-Project		Project	Non-Project	
20.7%	1.2%		17.5%	56.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	1.1%	0.7%	0.3%	0.6%	1.4%
Non-Residential					
4.1%					

New Build			Non-Residential RMI		
1.8%			2.3%		
Project	Non-Project		Project	Non-Project	
1.8%	0.0%		1.6%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

CZ - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

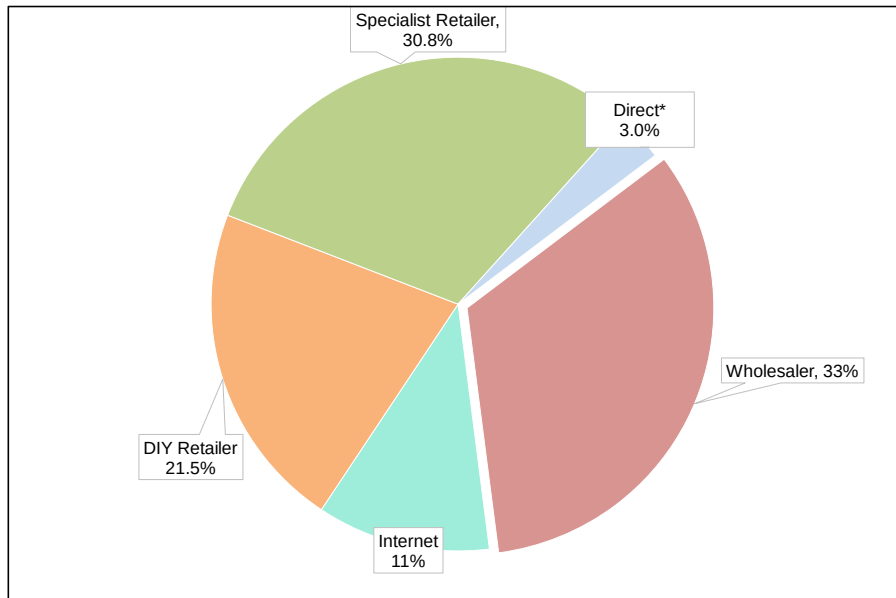
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
33.2%	11.4%	21.5%	30.8%	3.0%	39.0%	3.3%	56.8%	0.9%
100%					42.3%		57.7%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

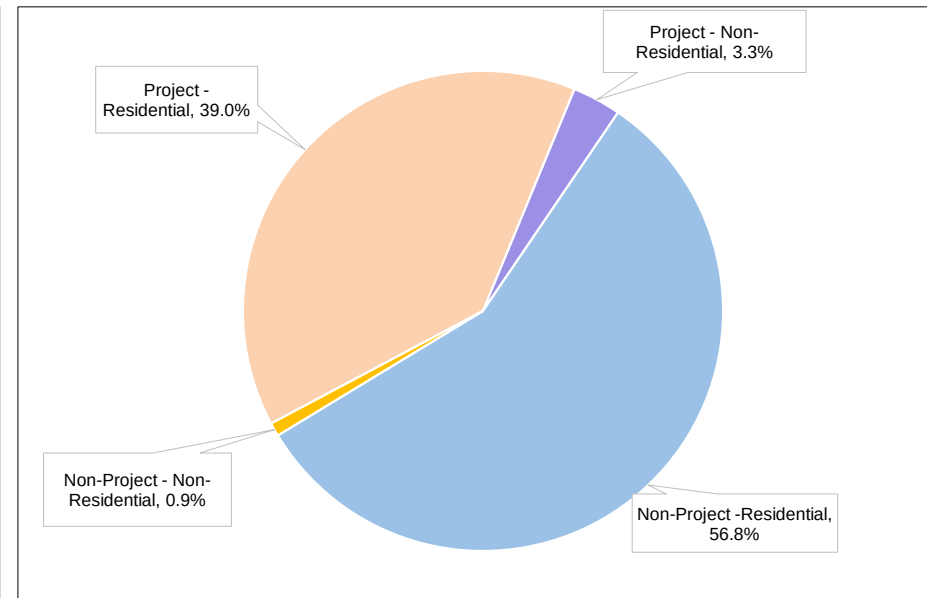
CZ - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.4%	13.1%	22.0%	30.5%	2.0%	38.2%	3.4%	57.7%	0.7%
100%					41.6%		58.4%	

CZ - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



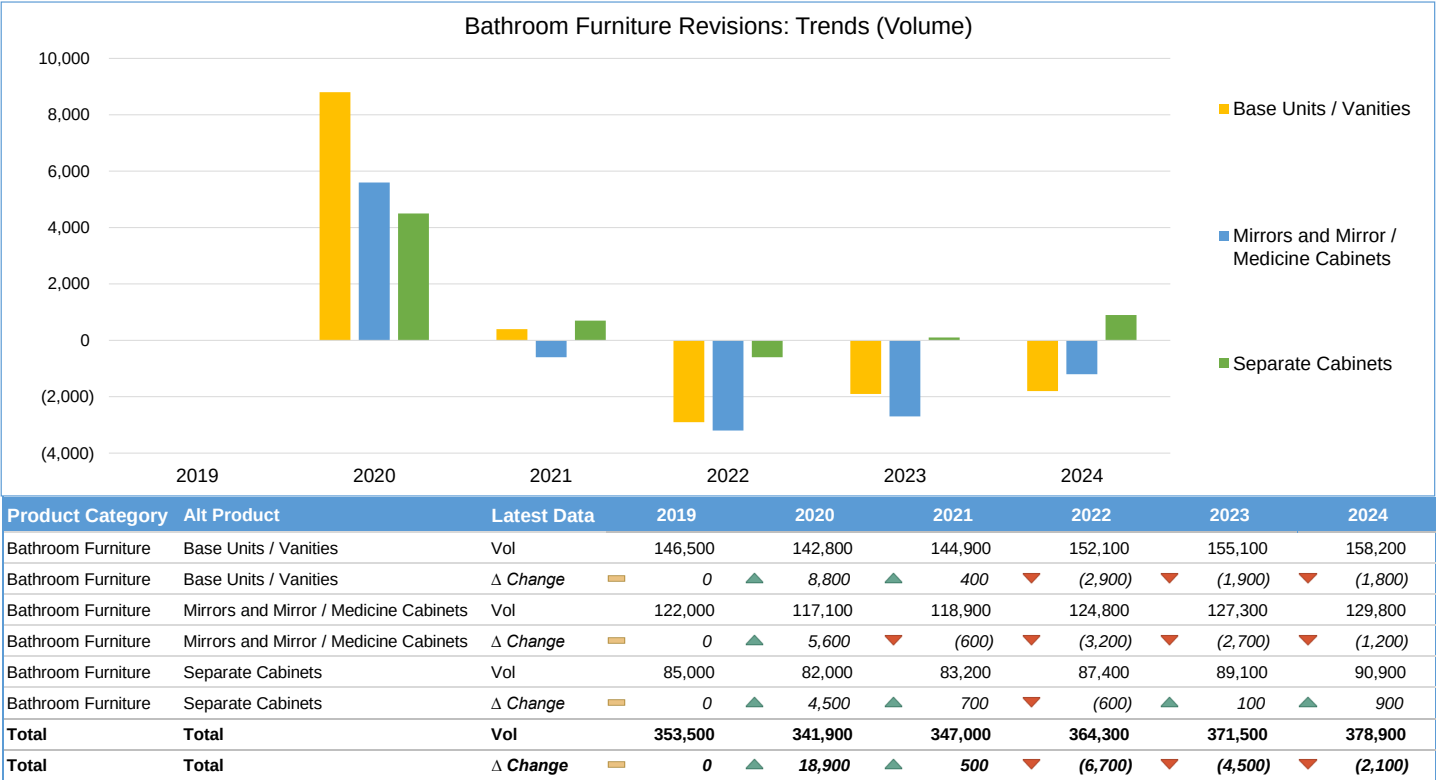
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Czech Bathroom Furniture Market (April 2021)

CZ - REVISIONS IN THE CZECH BATHROOM FURNITURE MARKET

Data Comparison: April 2020



No changes have been made to historical volumes for this market.

Only relatively minor changes were made to the values of bathroom furniture, largely stemming from updated price segmentation share between products. As such overall MSPs for base units and mirrors were revised upwards while MSPs for separate cabinets were revised up.

CZECH REPUBLIC

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

BRG measures the Czech bathroom accessories market in euros.

The Czech bathroom accessories market saw steady growth between 2002 and 2008. The main reasons behind this were high levels of construction and renovation activity, consumers' desire for designer products, and the growing number of cheap imports available, stimulating the overall market by offering a broad selection of better-quality products across a range of price categories.

However, the bathroom accessories market subsequently shrank between 2008 and 2013, following the wider trend on the Czech bathroom market. The demand for luxury and middle-price segment products saw an especially strong decrease and, due to the diminished purchasing power of consumers, the majority of demand continues to come from the economy segment. In 2014, following several years of decline, the bathroom accessories market bounced back; this recovery continued into 2015, although sales remain well below pre-recession levels. The market grew continuously ever since until 2020.

Toilet paper holders are the most popular product category within total bathroom accessories' sales. This product is available in three different versions: complete cover, partial cover or no cover with the most popular being partial cover. The markets for tissue holders and shower storage units are marginal in the Czech Republic. Towel holders remain popular and the bestselling options are fixed bars and rings. Waste paper bins are considered to be common equipment in Czech bathrooms, and the most popular materials used for waste paper bins are synthetic and metal. The market for toilet brushes and holders is relatively small, but there is significantly higher demand for separate toilet brushes.

Recent Market Trends

After an extended period of growth, the market for bathroom accessories declined in 2020. This was largely caused by the COVID-19 crisis and subsequent decline in new housing and non-housing completions. Unlike other bathroom products, the decrease in sales for bathroom accessories was largely offset by relatively stable housing RMI sales and decline could be considered only minor. This is partially due to the fact that housing RMI captures the vast majority of the market and proved to be quite resilient as investments for such products are minor.

In terms of product mix, more 'essential' bathroom products such as soap dispensers, towel hooks and holders, toilet brushes and toilet paper covers continued to represent the bulk of the market in 2020. In the case of shower storage units, the consumers tend to prefer a sleek, minimalist look and shelving is increasingly substituted for bathroom furniture, base units and mirror cabinets – in particular.

Prices and Market Values

Despite the high share of cheaper products imported mainly from East Asia, the prices in the bathroom accessories market increased slightly in 2020. This was caused partly by the increasing share of the middle and high price segments, but also due to the general growth of prices across manufacturers that adjusted their fiscal policies based on higher inflation, rises in wages and commodity prices. The development of the Internet as a purchase channel, with low margins and a high number of competitors, has contributed to the heightened levels of competition in the market – and further pressure on prices in this segment is expected over the forecast years.

New Housing

The proportion of bathroom accessories installed in new housing has declined in recent years, not only due to diminished construction output during the global crisis but also because of the shrinking size of new build dwellings – which has ensured that the average number of bathroom accessories installed per new build bathroom has also dropped. The main bathroom accessories sold into the new build segment are ‘structural’ items such as shelving, fixed towel holders and hooks, as well as ‘essential’ items such as toilet paper holders and toilet brushes.

The new housing segment in the Czech Republic reversed its trend from previous years and declined in 2020, largely due to the decline in number of apartments built.

Housing RMI

The housing RMI segment remains the main end-use segment for bathroom accessories and, as in many other bathroom market product segments, it sees a diverse product mix. As with the new build segment, the best-selling accessories include ‘essential’ items such as toilet paper holders and toilet brushes. The popularity of these products in 2020 ensured that the share of metal accessories on the market increased, as many toilet paper covers are made from stainless steel. Although the number of accessories sold into existing homes is not believed to have increased dramatically over the past decade, the amount consumers spent on accessories (such as towel rails and shelving in particular) is believed to have increased slightly.

Non-Housing

Demand from hotels and accommodation sectors accounts for the bulk of total sales, while office construction provides only limited scope for uptake. The non-housing segment is also the main market for more commercially-oriented accessories such as ceramic soap holders, tissue boxes and liquid soap dispensers. Sales into this segment are anticipated to grow post 2021 but might be somewhat constrained by the lower level of public non-housing construction.

Supply Structure

The Czech bathroom accessories market is mainly led by domestic manufacturers, followed by imports, mainly from the Far East. Plastic bathroom accessories are supplied mainly by IKEA or are unbranded imports from China. The metal bathroom accessories segment is dominated by domestic manufacturers such as NOVASERVIS, BEMETA and GOZMETAL. The share of internet sales is expected to grow further, due to the increased popularity of this shopping method. ELLUX, which once was one of the top market players in the Czech Republic, entered insolvency proceedings in 2015 and is no longer present in the country. This development favoured other market players such as NOVASERVIS and IKEA, and also cheap Chinese imports.

The most important foreign players on the market are: the Swedish furniture giant IKEA, which offers a wide range of bathroom accessories such as hooks, shelves, towel holders, soap holders, shower storage units and toilet brushes; NIMCO, which is an assembler of bathroom accessories imported mainly from China – with these products being sold under the NIMCO brand; and MADAL BAL, which is a trading company that is also focused on imports from China.

Forecasts

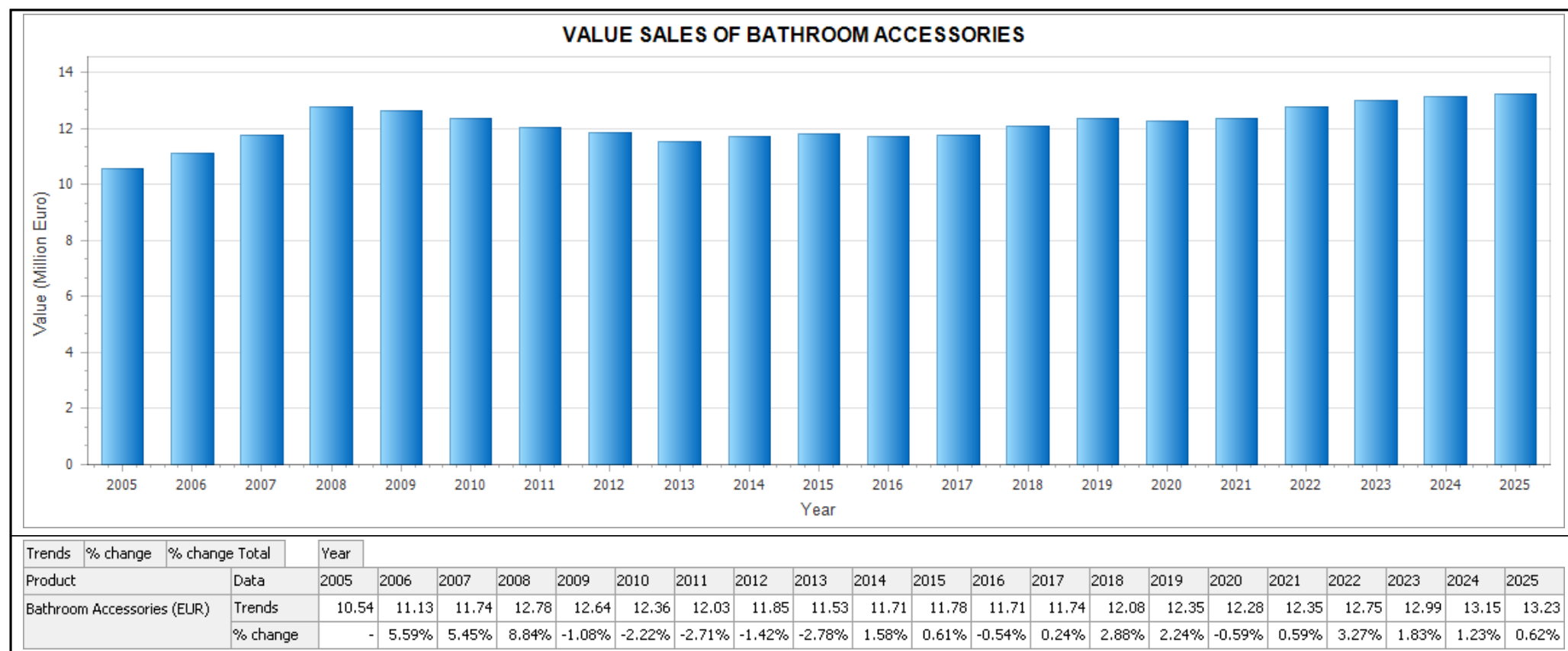
Sales of bathroom accessories are projected to return to growth in 2021 as uptake from housing RMI and new housing recovers. It is expected that the number of completions, especially for flats, will increase further boosting demand. Non-housing activity should remain constrained this year as investments in the hotel industry are likely to be still subdued, given the slow easing of travelling restrictions.

The strengthening of the economy and a consequent increase in discretionary spending is anticipated to ensure healthy growth of the overall bathroom accessories market over the forecast period, both in value and volume. Non-housing sales are expected to return to growth in 2022 and should enjoy a prosperous rest of the forecast.

Internet distribution is likely to enable consumers to purchase higher-quality bathroom accessories at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY outlets. The mix of bathroom accessories is not expected to change dramatically, although the number of accessories per bathroom may continue to decline as Czech bathrooms continue to become smaller, due to the increasing share of flats being built.

6.2 Historical Trends and Forecasts

CZ - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

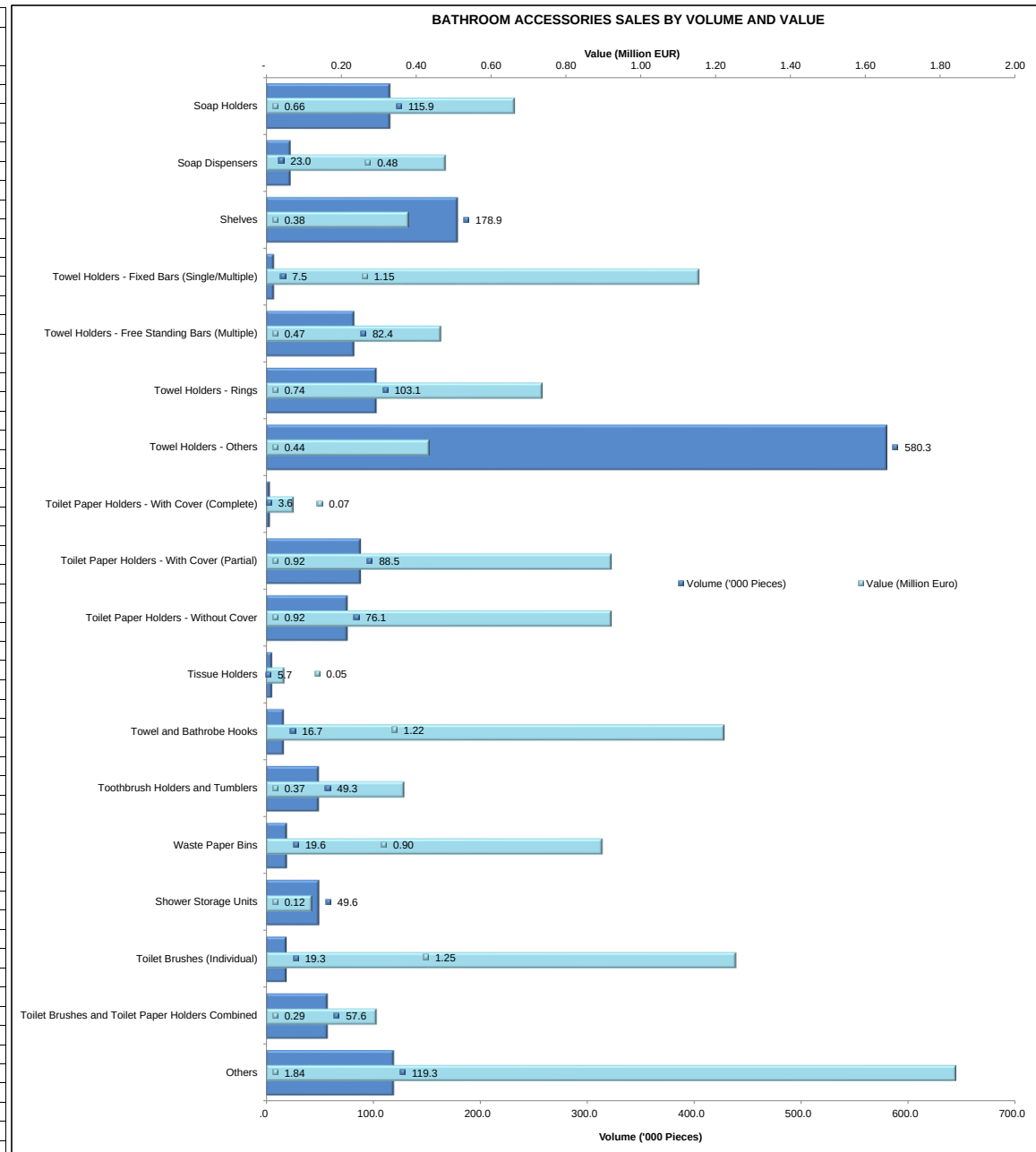
6.3 Prices and Market Values : Bathroom Accessories

CZ - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2020		
		Volume ('000 Pieces)	Value (Million CZK)	Value (Million EUR)
Soap Holders	Volume / Value	119.3	17.5	0.7
	Share	7.5%	5.4%	5.4%
	Average Price (CZK/EUR)		147.0	5.6
Soap Dispensers	Volume / Value	57.6	12.7	0.5
	Share	3.6%	3.9%	3.9%
	Average Price (CZK/EUR)		220.1	8.3
Shelves	Volume / Value	19.3	10.1	0.4
	Share	1.2%	3.1%	3.1%
	Average Price (CZK/EUR)		521.5	19.7
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	49.6	30.5	1.2
	Share	3.1%	9.4%	9.4%
	Average Price (CZK/EUR)		615.3	23.3
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	19.6	12.3	0.5
	Share	1.2%	3.8%	3.8%
	Average Price (CZK/EUR)		630.2	23.8
Towel Holders: Rings	Volume / Value	49.3	19.5	0.7
	Share	3.1%	6.0%	6.0%
	Average Price (CZK/EUR)		395.2	14.9
Towel Holders: Others	Volume / Value	16.7	11.5	0.4
	Share	1.0%	3.6%	3.6%
	Average Price (CZK/EUR)		692.3	26.2
Toilet Paper Holders: With Cover (Complete)	Volume / Value	5.7	1.9	0.1
	Share	0.4%	0.6%	0.6%
	Average Price (CZK/EUR)		340.2	12.9
Toilet Paper Holders: With Cover (Partial)	Volume / Value	76.1	24.4	0.9
	Share	4.8%	7.5%	7.5%
	Average Price (CZK/EUR)		320.0	12.1
Toilet Paper Holders: Without Cover	Volume / Value	88.5	24.4	0.9
	Share	5.5%	7.5%	7.5%
	Average Price (CZK/EUR)		275.2	10.4
Tissue Holders	Volume / Value	3.6	1.3	0.0
	Share	0.2%	0.4%	0.4%
	Average Price (CZK/EUR)		362.5	13.7
Towel and Bathrobe Hooks	Volume / Value	580.3	32.3	1.2
	Share	36.3%	10.0%	10.0%
	Average Price (CZK/EUR)		55.7	2.1
Toothbrush Holders and Tumblers	Volume / Value	103.1	9.7	0.4
	Share	6.5%	3.0%	3.0%
	Average Price (CZK/EUR)		94.5	3.6
Waste Paper Bins	Volume / Value	82.4	23.7	0.9
	Share	5.2%	7.3%	7.3%
	Average Price (CZK/EUR)		287.8	10.9
Shower Storage Units	Volume / Value	7.5	3.2	0.1
	Share	0.5%	1.0%	1.0%
	Average Price (CZK/EUR)		435.3	16.4
Toilet Brushes (Individual)	Volume / Value	178.9	33.1	1.3
	Share	11.2%	10.2%	10.2%
	Average Price (CZK/EUR)		185.2	7.0
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	23.0	7.8	0.3
	Share	1.4%	2.4%	2.4%
	Average Price (CZK/EUR)		338.9	12.8
Others	Volume / Value	115.9	48.7	1.8
	Share	7.3%	15.0%	15.0%
	Average Price (CZK/EUR)		420.4	15.9
TOTAL	Volume in '000/Value in Million	1596.4	324.8	12.3
	Share	100.0%	100.0%	100.0%
	Average Price (CZK/EUR)		203.5	7.7

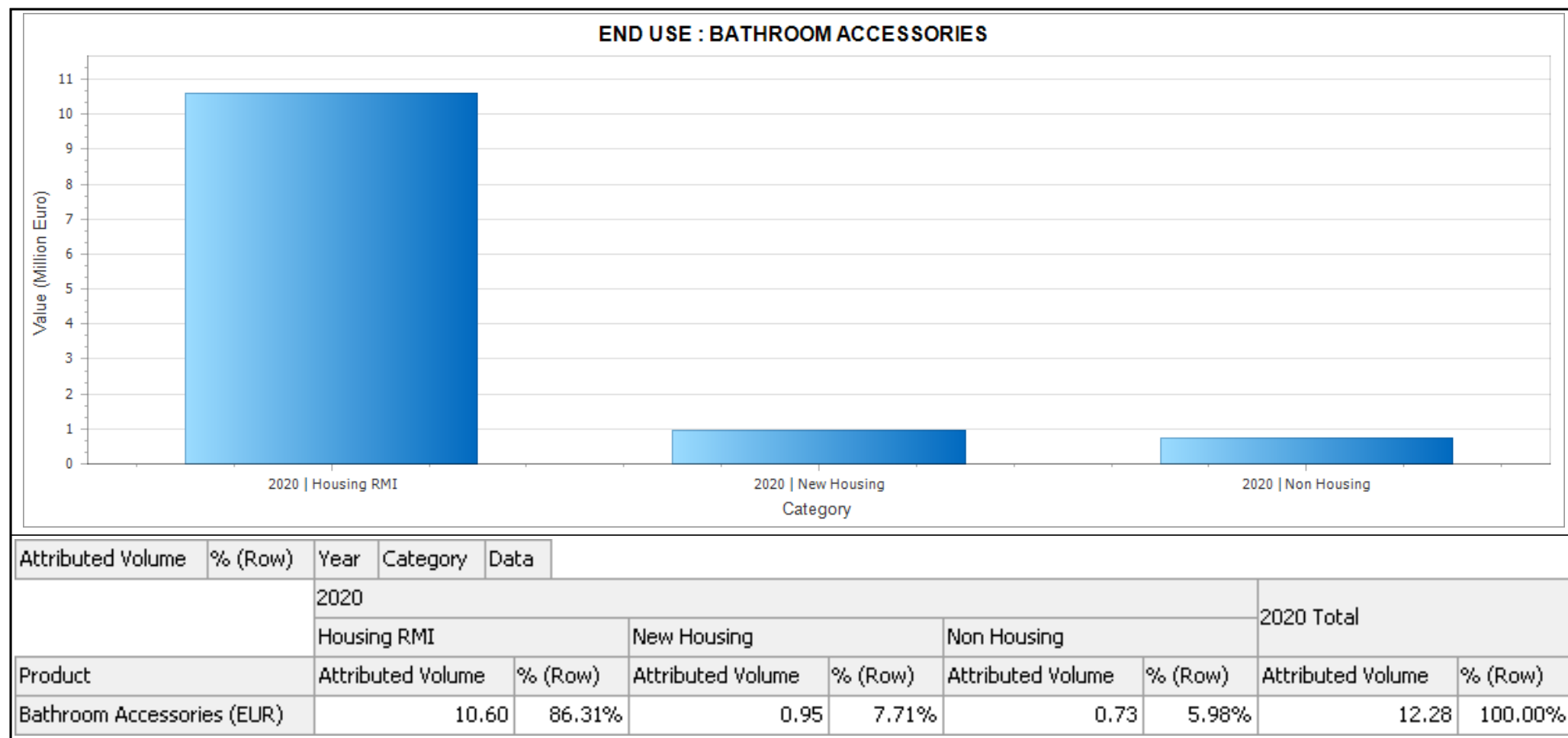
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

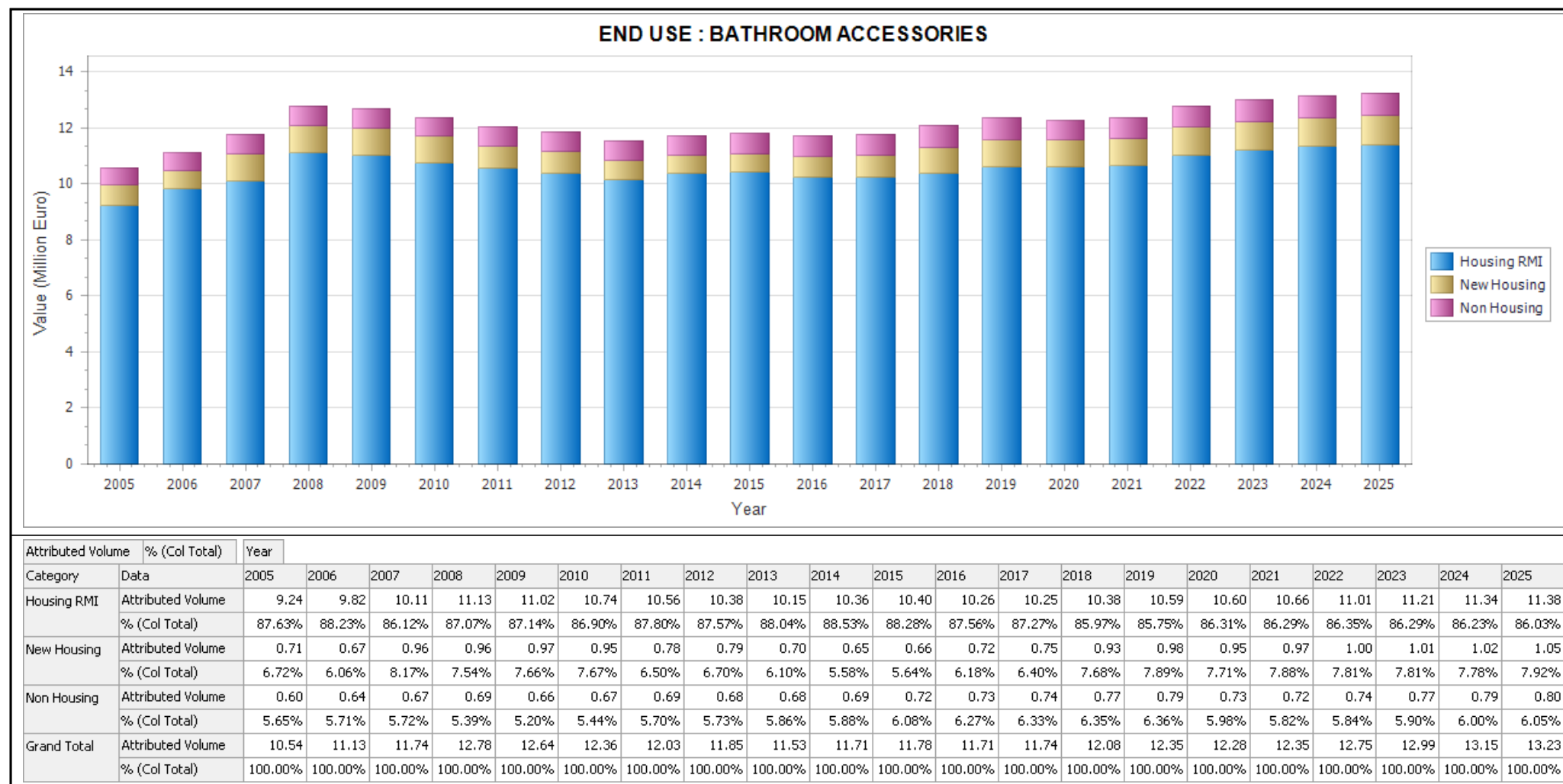
CZ - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

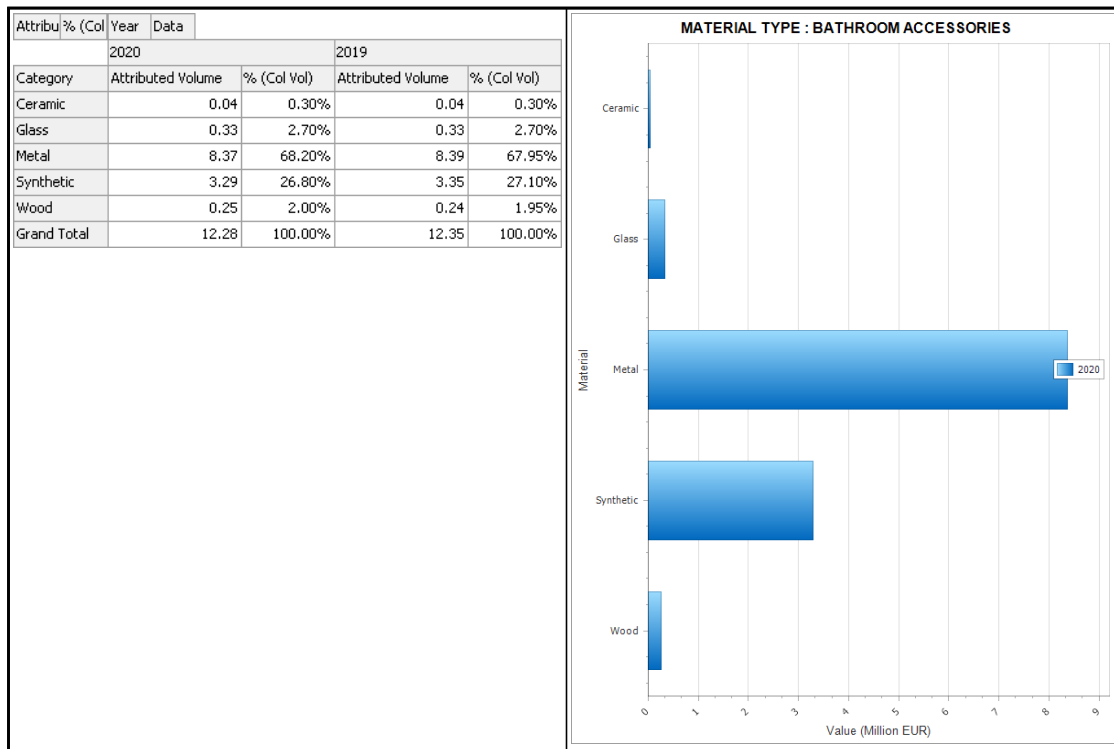
CZ - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

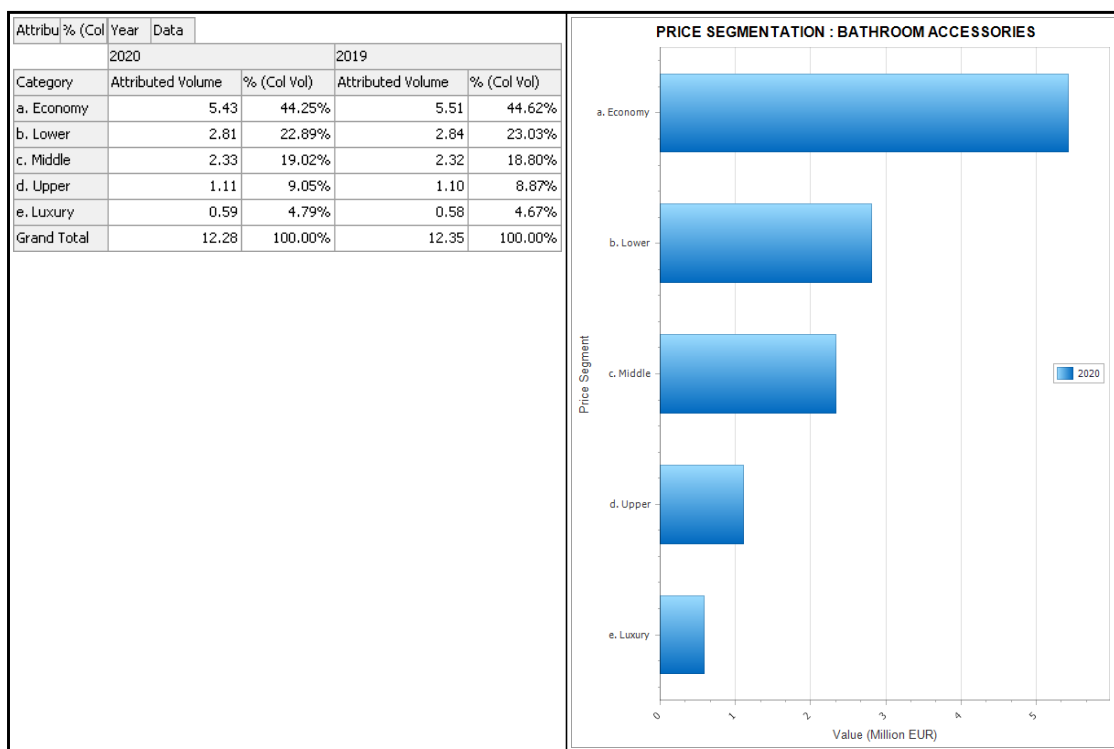
CZ - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

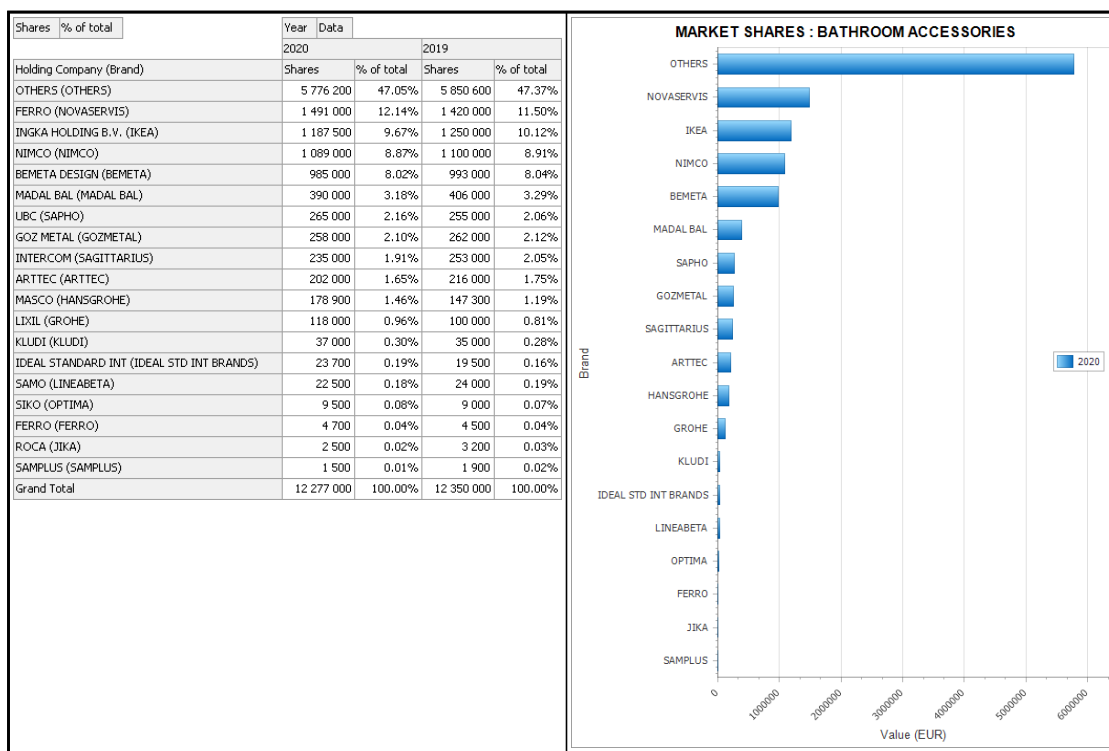
CZ - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

CZ - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
CZ - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2020

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																										
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6.6.2 Route to Market: Bathroom Accessories (EUR)
CZ - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2025

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																										
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Retail Level	<table><tr><td colspan="2"><table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>6.0%</td><td>11.5%</td></tr></table></td><td colspan="2"><table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>35.0%</td><td>12.5%</td></tr></table></td><td><table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>22.5%</td><td>3.8%</td></tr></table></td></tr><tr><td colspan="2">Internet Retailers</td><td colspan="2">DIY Retailers</td><td>Specialist Retailers</td></tr><tr><td colspan="2">17.5%</td><td colspan="2">47.5%</td><td>26.3%</td></tr></table>					<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>6.0%</td><td>11.5%</td></tr></table>		Manufacturer	Wholesaler	6.0%	11.5%	<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>35.0%</td><td>12.5%</td></tr></table>		Manufacturer	Wholesaler	35.0%	12.5%	<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>22.5%</td><td>3.8%</td></tr></table>	Manufacturer	Wholesaler	22.5%	3.8%	Internet Retailers		DIY Retailers		Specialist Retailers	17.5%		47.5%		26.3%																					
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End Use Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.0%</td><td>4.8%</td><td>14.4%</td><td>35.4%</td><td>10.5%</td><td>28.9%</td></tr><tr><td colspan="6">Residential</td></tr><tr><td colspan="6">94.0%</td></tr><tr><td colspan="3">New Build</td><td colspan="3">Residential RMI</td></tr><tr><td colspan="3">7.9%</td><td colspan="3">86.0%</td></tr><tr><td>Project</td><td colspan="2">Non-Project</td><td>Project</td><td colspan="2">Non-Project</td></tr><tr><td>7.0%</td><td colspan="2">0.9%</td><td>4.1%</td><td colspan="2">81.9%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.0%	4.8%	14.4%	35.4%	10.5%	28.9%	Residential						94.0%						New Build			Residential RMI			7.9%			86.0%			Project	Non-Project		Project	Non-Project		7.0%	0.9%		4.1%	81.9%	
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																
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Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

CZ - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2020

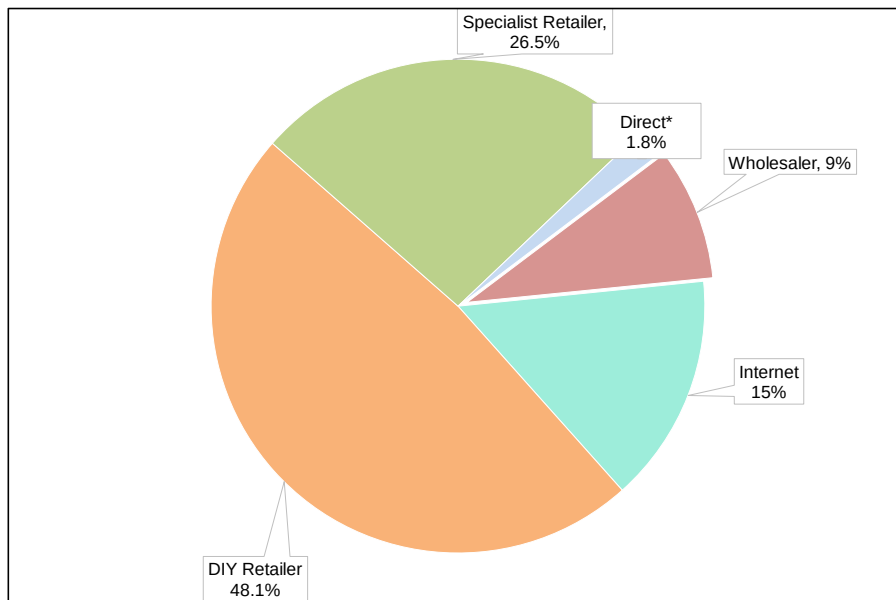
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
8.7%	15.0%	48.1%	26.5%	1.8%	11.2%	3.2%	82.8%	2.8%
100%					14.4%		85.6%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

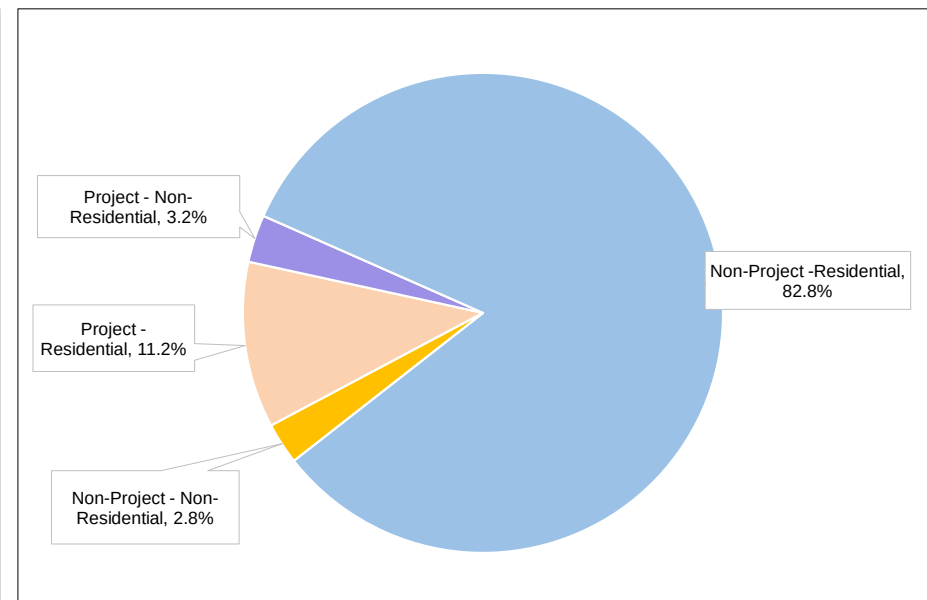
CZ - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
7.2%	17.5%	47.5%	26.3%	1.5%	11.1%	2.6%	82.9%	3.4%
100%					13.7%		86.3%	

CZ - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



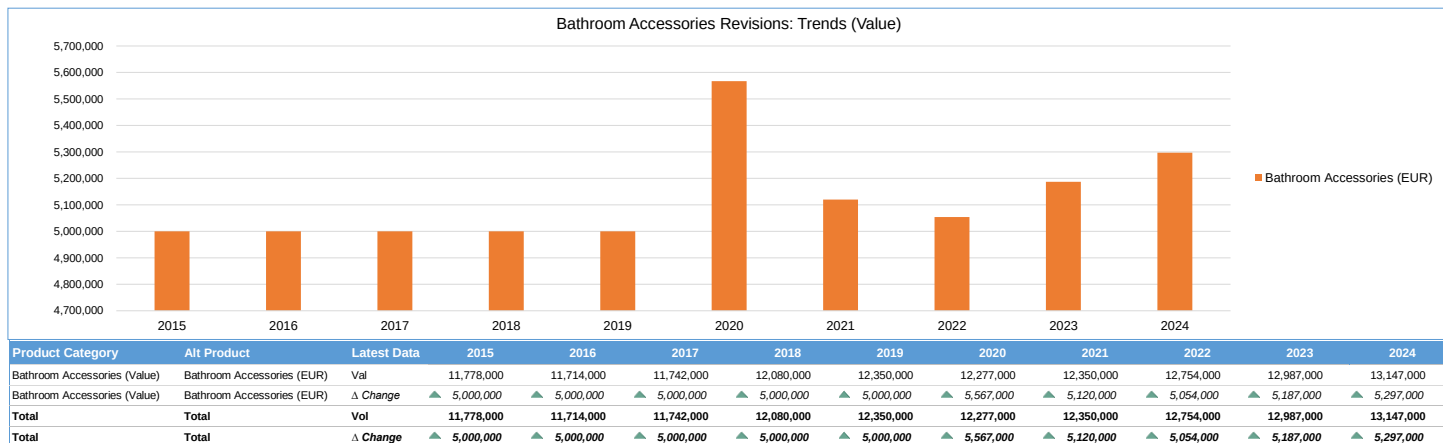
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Czech Bathroom Accessories Market (April 2021)

CZ - REVISIONS IN THE CZECH BATHROOM ACCESSORIES MARKET

Data Comparison: April 2020



The overall values of the bathroom accessories market have been revised upwards for all years. This was largely based on further research and data obtained from manufacturers. The overall share of cheaper products, largely imported from the Far East, was underestimated. Indeed, it is believed that these products account for almost half of value sold in the market with DIY and supermarkets being the main distribution channels where these products can be found.

CZECH REPUBLIC

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower accessories market in the Czech Republic has generally followed the trends of other bathroom products, with strong RMI activity and the emergence of DIY stores as the main distribution channel having helped to maintain general upward trends in sales. The shower accessories market, dominated by flexible hoses, really started picking up during the late 1990s, boosted by the appearance of DIY stores. In the period between 2001 and 2007, the market grew steadily at around 5% every year. Shower accessory sales in 2009 saw a significant drop, after more than a decade of healthy growth, being negatively affected by the weak economic situation and less disposable income – as well as a slowdown in construction activity.

The single function shower heads have the most dominant position. Sales of adjustable shower heads gained share in the market over the years and are expected to gradually replace the old-fashioned single function handsets. The Czech population seems to prefer bars over holders; almost all bars have a length of under 90 cm. Fixed shower heads are not very common in the Czech Republic, and can mainly be found in public sector facilities such as sport centres and hospitals. The luxury 'rain shower' shower head is also classified as a fixed shower head and is becoming increasingly popular; it is expected, therefore, that the volume of fixed shower heads should increase over the forecast period. Fixed side jets make up a niche market and are expected to remain as such over the next five years.

The market for shower panels was virtually non-existent before growing from a very small base in the late 1990s and early 2000s. Up to 2008, sales of shower panels continued to grow as a result of manufacturers' marketing efforts, especially in the lower price range. Following the recession, the market for shower panels decreased significantly and did not recover until 2015. While there are some domestic manufacturers in the country, the market is mainly in the hands of imports coming from Asia and sold through DIY shops.

Shower sets with a shower head, flexible hose and holders have proved to be the most popular type in the Czech Republic. The great majority of shower sets are sold via DIY chains and hypermarkets/supermarkets. Shower sets comprising a shower head, hose and bar are also popular. The penetration of shower pipes has risen considerably in the last ten years and these are now also commonly sold in DIYs and internet retailers. As more and more companies offer this product, the average price also went down, further boosting uptake of these products.

Recent Market Trends

The overall market for shower accessories continued to increase in 2020, despite the COVID-19 crisis and ensuing constraints in public and private investments within the new housing and non-housing construction sector. Indeed, while sales in

new housing and commercial setting recorded a decrease, the uptake in housing RMI managed to offset these losses. This was in line with the trend seen for shower trays and shower enclosures as they took up share from baths. This shift towards showering has been present on the market for a number of years and the recessions seemed to somewhat accelerate this. As travelling restrictions were imposed, many homeowners decided to invest in bathroom renovations, particularly in conversions from baths to shower trays and/or wet rooms, positively boosting sales for shower accessories. This was true across all products, with the sole exception of shower panels. Sales of shower panels decreased as their popularity in the country continues to wane. Penetration of shower pipes continues to rise, especially within new build. Still, these products are relatively expensive and are facing competition from shower sets.

Prices and Market Values

The market for shower accessories continued to increase in value in 2020, mainly thanks to the increase in volume sales that year but also due to the rise in prices across all product segments. This increase of prices was attributable to the stability of the market and low-level inflation, and further boosted by the growth in sales in the middle and upper segments of the market. The popularity of cheap products from China and Eastern Europe is still prevalent on the Czech shower accessories market; however, there has been a slight shift away from cheap products due to concerns of their lifespan, consumers are willing to opt for more upmarket products, such as 'rain showers', shower heads with different spray functions, and shower pipes.

New Housing

Shower accessories installed in this segment tend to be simple, inexpensive and utilitarian, as contractors seeking to add perceived value to a bathroom (to entice prospective buyers) will typically instead invest in higher-value sanitary ware or bathroom furniture. However, it is worth noting that the rising popularity of shower pipes in the residential market has resulted in a higher installation rate of these products in new housing as well. Only a marginal number of shower panels went to the new housing end-use sector in 2020; however, it is expected that the demand for these products should increase over the forecast years, in line with the growth of dwelling completions.

The total number of shower accessories installed in new housing declined in 2020, as completions of apartments fell. Over the forecast, new dwellings should return to growth which in turn will boost sales of accessories.

Housing RMI

Housing RMI accounts for the vast majority of annual sales of shower accessories. This is because most sets are sold to consumers for the distress replacement of old shower heads and hoses. Since the replacement of shower systems is not solely discretionary, demand for shower sets has been supported by this trend

during the recession as well as by consumer demand for remodelling and aesthetic purposes. Many consumers now also buy new adjustable and volume-increasing shower heads, which offer greater comfort whilst reducing water usage. The housing RMI segment, therefore, also generates the highest value on the Czech shower accessories market. The replacement segment has also continued to account for the clear majority of sales of shower panels.

Non-Housing

The non-housing sector represents only a marginal share of the overall sales of shower accessories; however, foreign investment in commercial construction should positively stimulate demand from the non-housing sector over the forecast period. Most products sold are expected to end up in hotels, water parks and wellness centres. The non-housing segment has also become an increasingly important source of demand for shower panels in recent years, thanks to the slight rise of installations in hotels, spas and other wellness facilities.

Supply Structure

The Czech NOVASERVIS dominates the shower accessories market, followed by HANSGROHE, MADAL BAL and SAGITTARIUS. This supply segment is focused on shower head manufacturers and importers.

The supply structure for flexible hoses and shower supports is very fragmented and a large proportion of sales are of unbranded products, sold mainly via DIY chains. The overall shower heads market is led by domestic manufacturers, followed by imports that come mainly from Germany and Italy.

The Czech shower panels market has gained only limited traction in the country, and uptake remains quite marginal. ROTH (previously ROLTECHNIK with SANIPRO and ROLTECHNIK brands) has the highest share of the shower panels market, followed by SANIPRO and TEIKO.

Forecasts

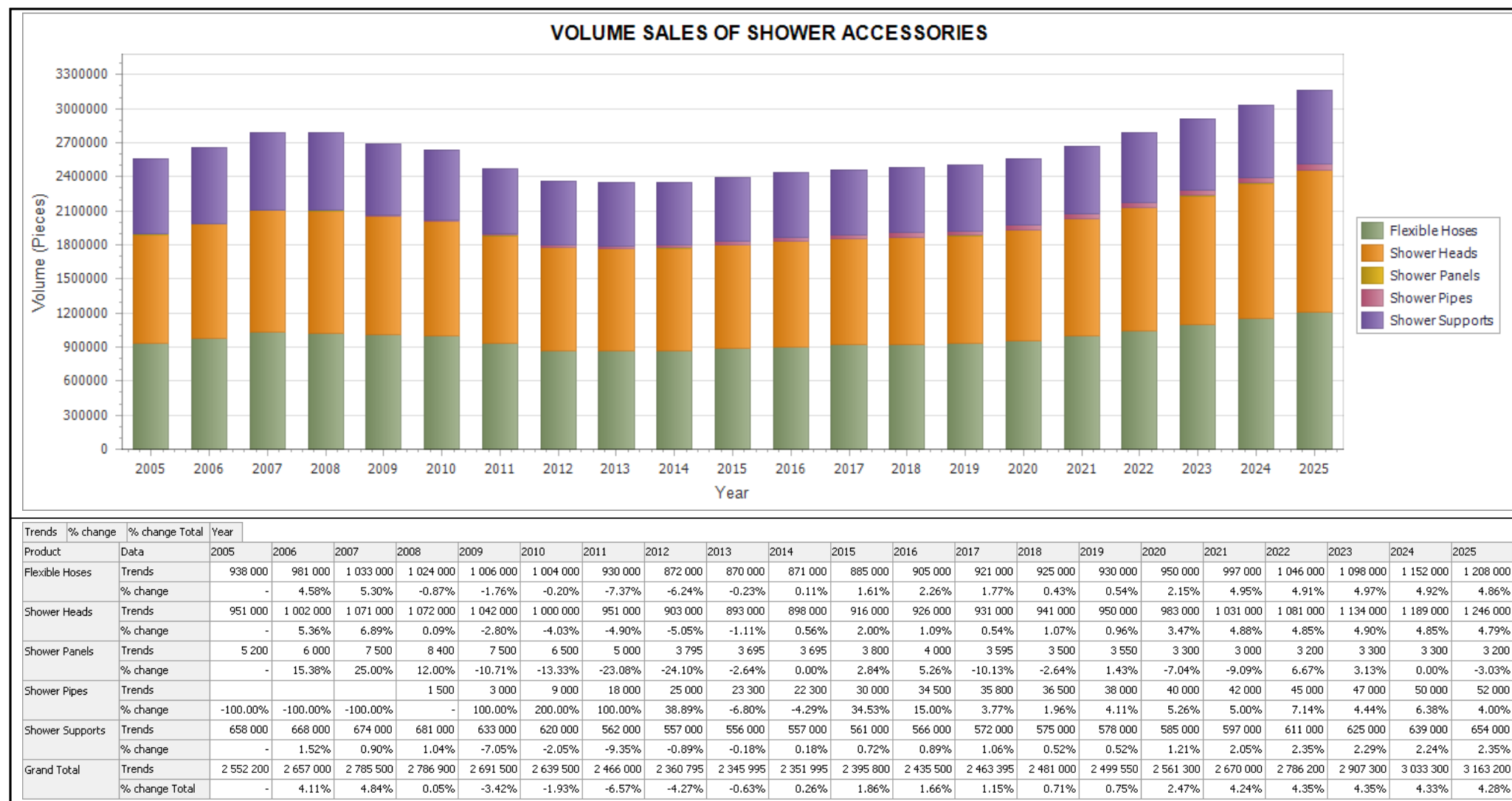
The trend towards showering in the Czech Republic is expected to continue over the next few years, before stabilising after the end of the forecast. This in turn should ensure steady growth for shower accessories not only for 2021 but also over the next few years. Penetration of showers (and therefore shower accessories) is projected to occur across end-uses with new housing especially gaining share. After the decline in new housing and non-housing activity in 2020, these sectors should start to recover further boosting sales of shower accessories. Although distress replacements should account for the majority of sales, economic conditions in the country are likely to incite consumers to invest in higher quality products – as levels of discretionary bathroom remodelling rise.

The increase in internet distribution is likely to enable consumers to obtain higher-quality products, which should put pressure on traditional distribution channels

such as independent merchants and DIY retailers. The demand for shower panels is also likely to resume growth, although this will probably be short-lived.

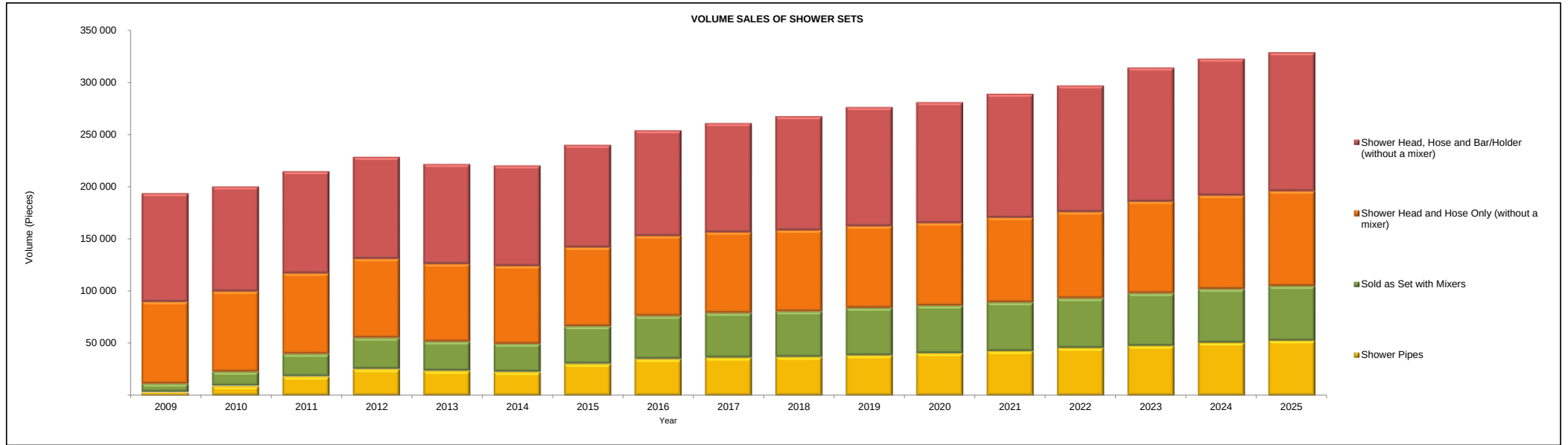
7.2.1 Historical Trends & Forecasts : Shower Accessories

CZ - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

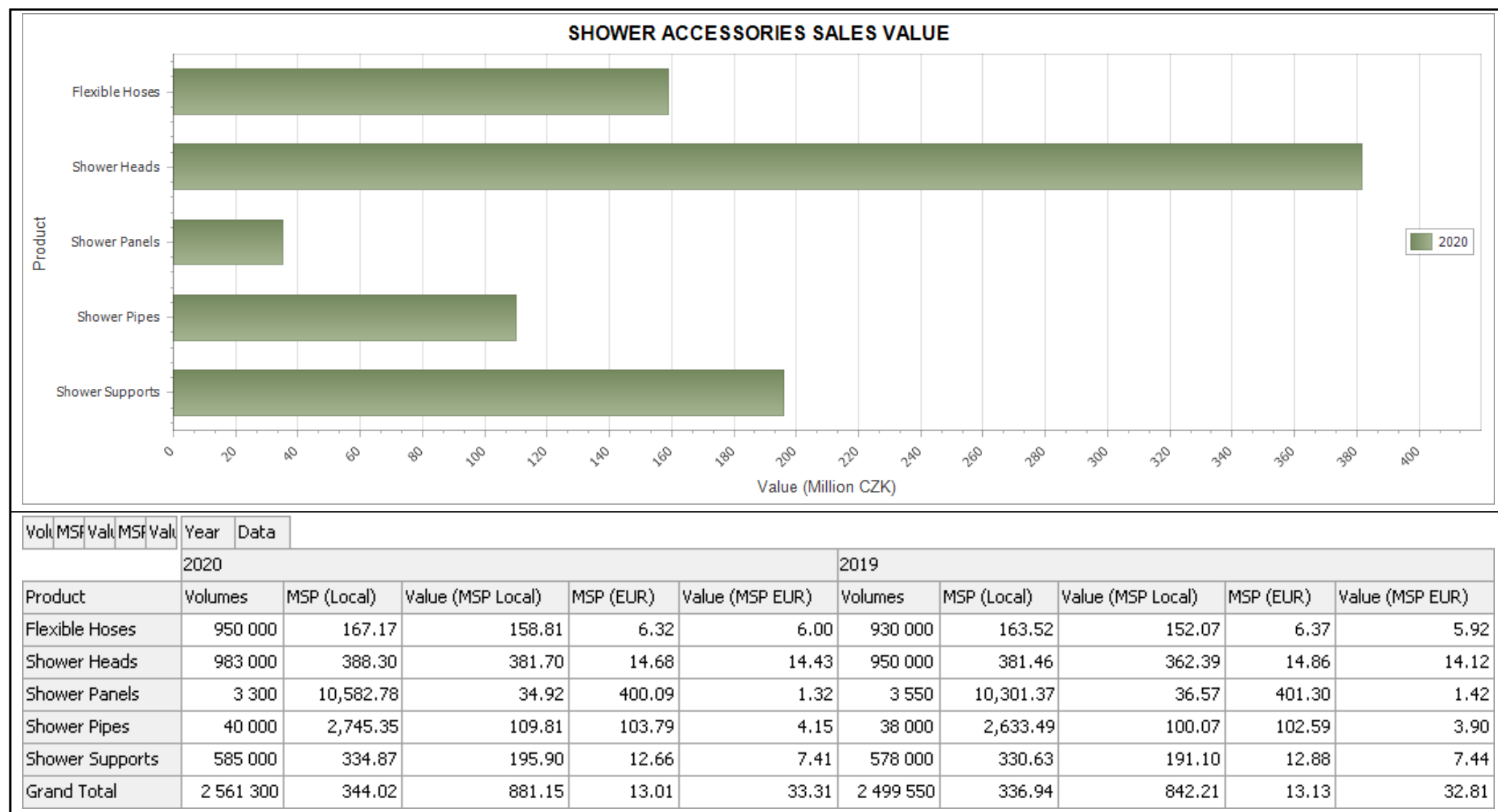
7.2.2 Historical Trends and Forecasts : Shower Sets
CZ - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS



Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	104 400	100 800	98 000	97 800	95 900	96 500	98 300	101 200	104 600	109 300	114 000	115 700	118 600	121 000	128 300	130 900	132 900
	% Change	-	-3.45%	-2.78%	-0.20%	-1.94%	0.63%	1.87%	2.95%	3.36%	4.49%	4.30%	1.49%	2.51%	2.02%	6.03%	2.03%	1.53%
	Shower Head and Hose Only (without a mixer)	79 000	77 500	77 700	76 300	75 000	75 300	76 200	77 300	77 900	78 300	79 000	79 800	81 800	83 400	88 400	90 200	91 600
	% Change	-	-1.90%	0.26%	-1.80%	-1.70%	0.40%	1.20%	1.44%	0.78%	0.51%	0.89%	1.01%	2.51%	1.96%	6.00%	2.04%	1.55%
	Sold as Set with Mixers	8 000	13 500	21 600	30 000	28 000	26 800	36 000	41 400	43 000	43 800	45 600	45 800	46 900	47 800	50 700	51 700	52 500
	% Change	-	68.75%	60.00%	38.89%	-6.67%	-4.29%	34.33%	15.00%	3.86%	1.86%	4.11%	0.44%	2.40%	1.92%	6.07%	1.97%	1.55%
	Shower Pipes	3 000	9 000	18 000	25 000	23 300	22 300	30 000	34 500	35 800	36 500	38 000	40 000	42 000	45 000	47 000	50 000	52 000
	% Change	-	200.00%	100.00%	38.89%	-6.80%	-4.29%	34.53%	15.00%	3.77%	1.96%	4.11%	5.26%	5.00%	7.14%	4.44%	6.38%	4.00%
Grand Total		194 400	200 800	215 300	229 100	222 200	220 900	240 500	254 400	261 300	267 900	276 600	281 300	289 300	297 200	314 400	322 800	329 000
% Change Total		-	3.29%	7.22%	6.41%	-3.01%	-0.59%	8.87%	5.78%	2.71%	2.53%	3.25%	1.70%	2.84%	2.73%	5.79%	2.67%	1.92%

Source: BRG based on Industry Interviews.

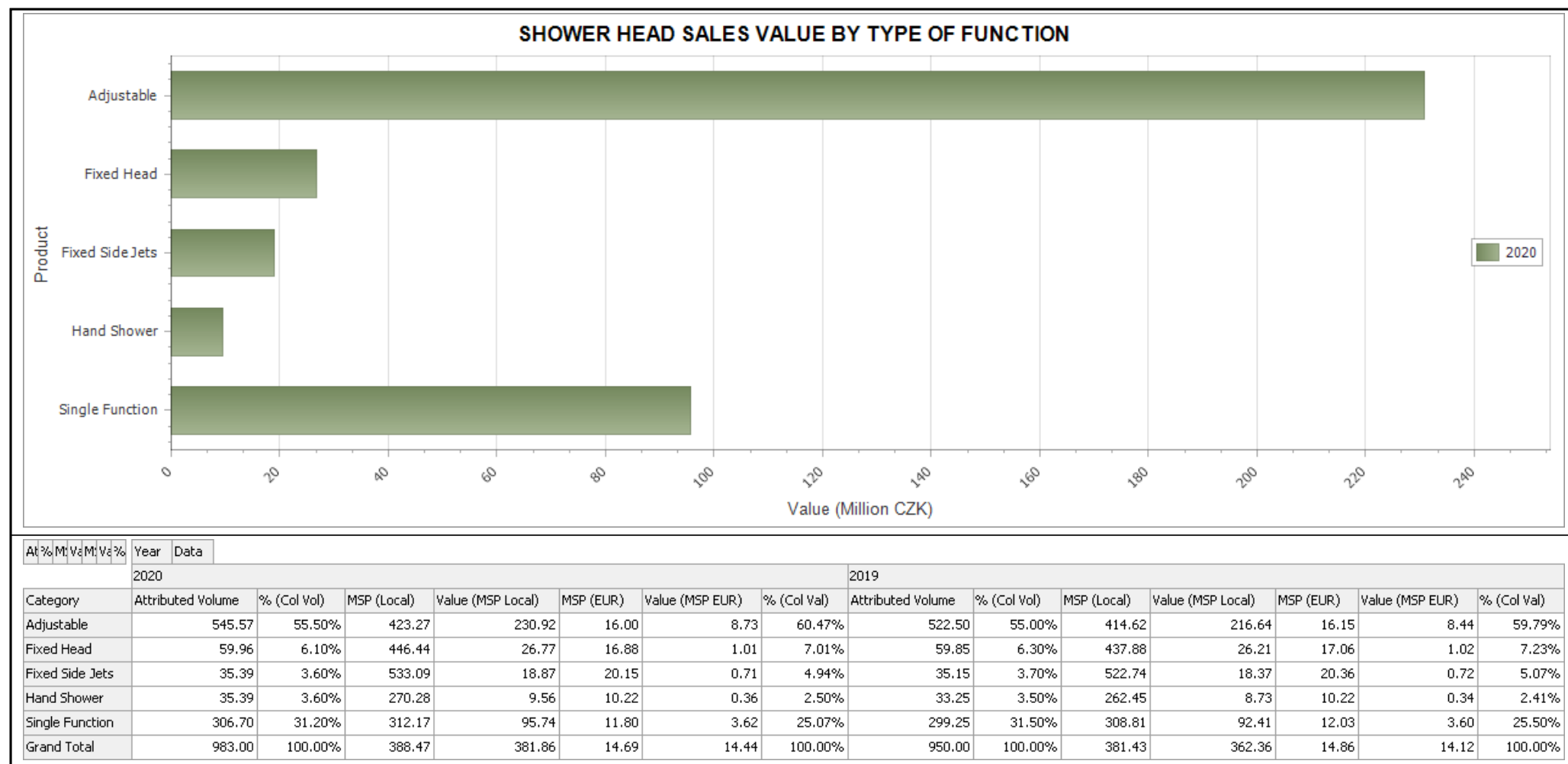
7.3.1 Prices and Market Values : Shower Accessories
CZ - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Local Prices Shown in CZK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

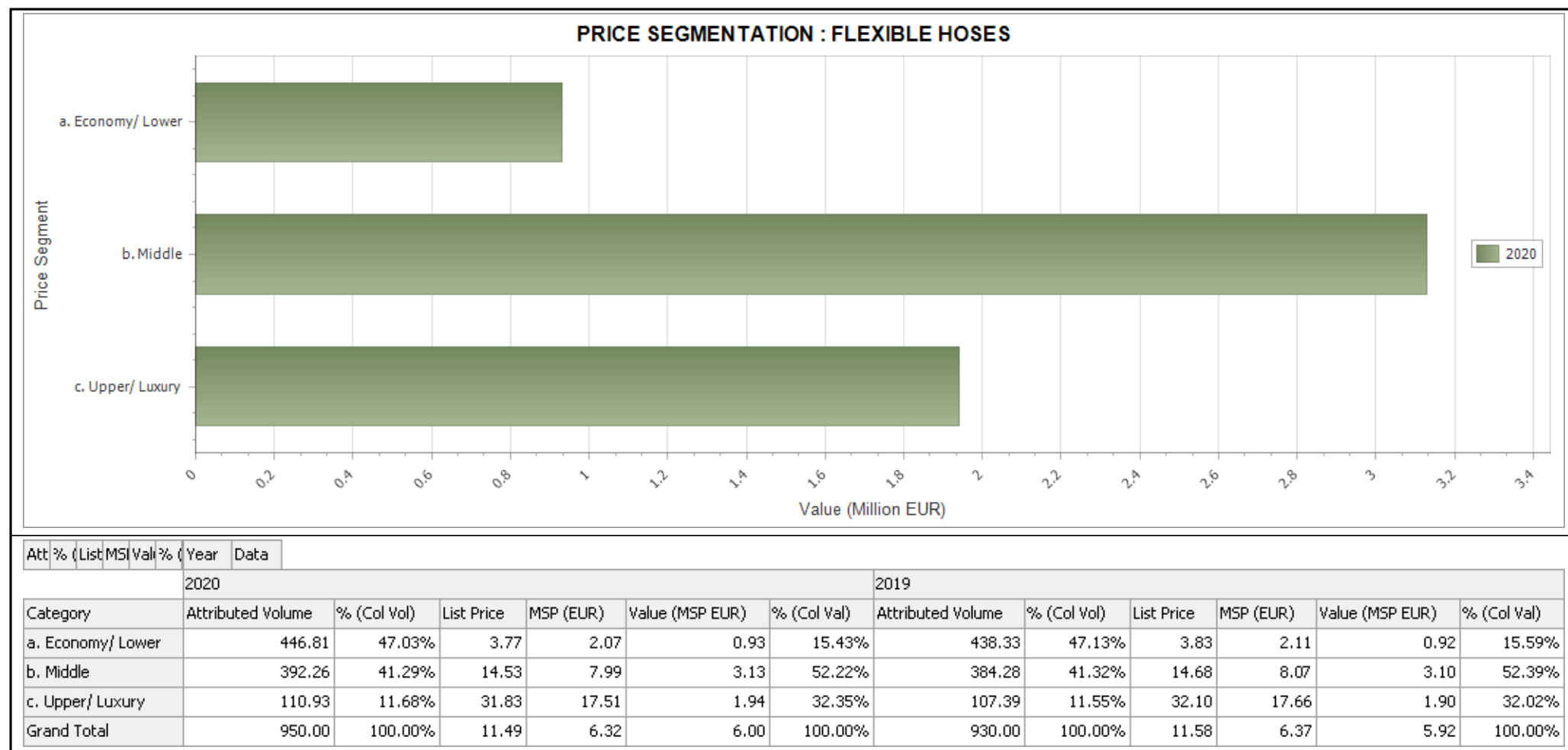
CZ - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CZK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

CZ - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

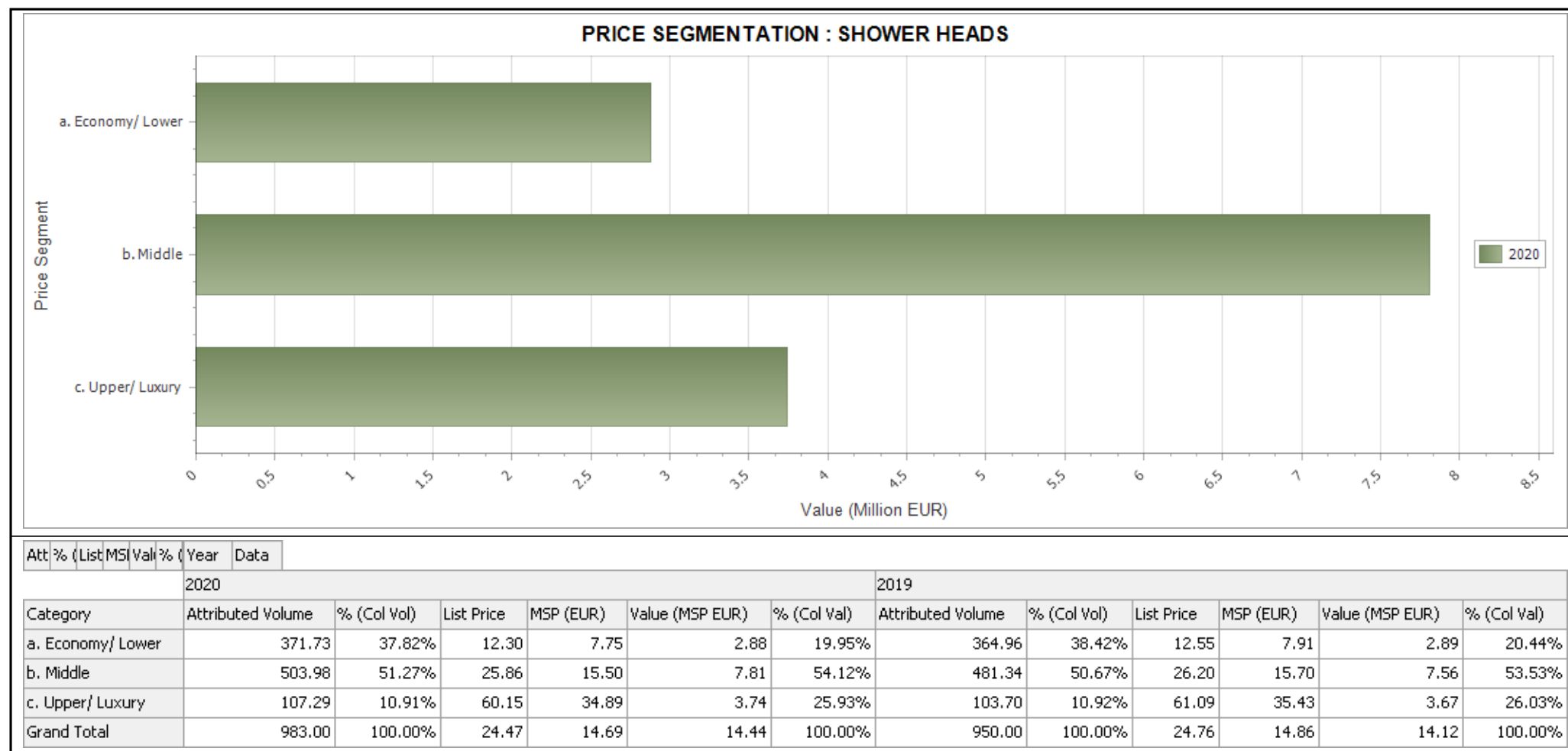


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€10, Upper/ Luxury >€10

7.3.4 Price Segmentation : Shower Heads

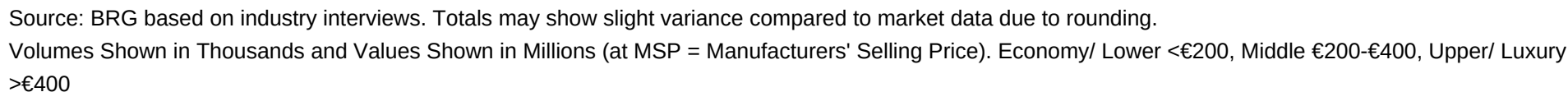
CZ - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

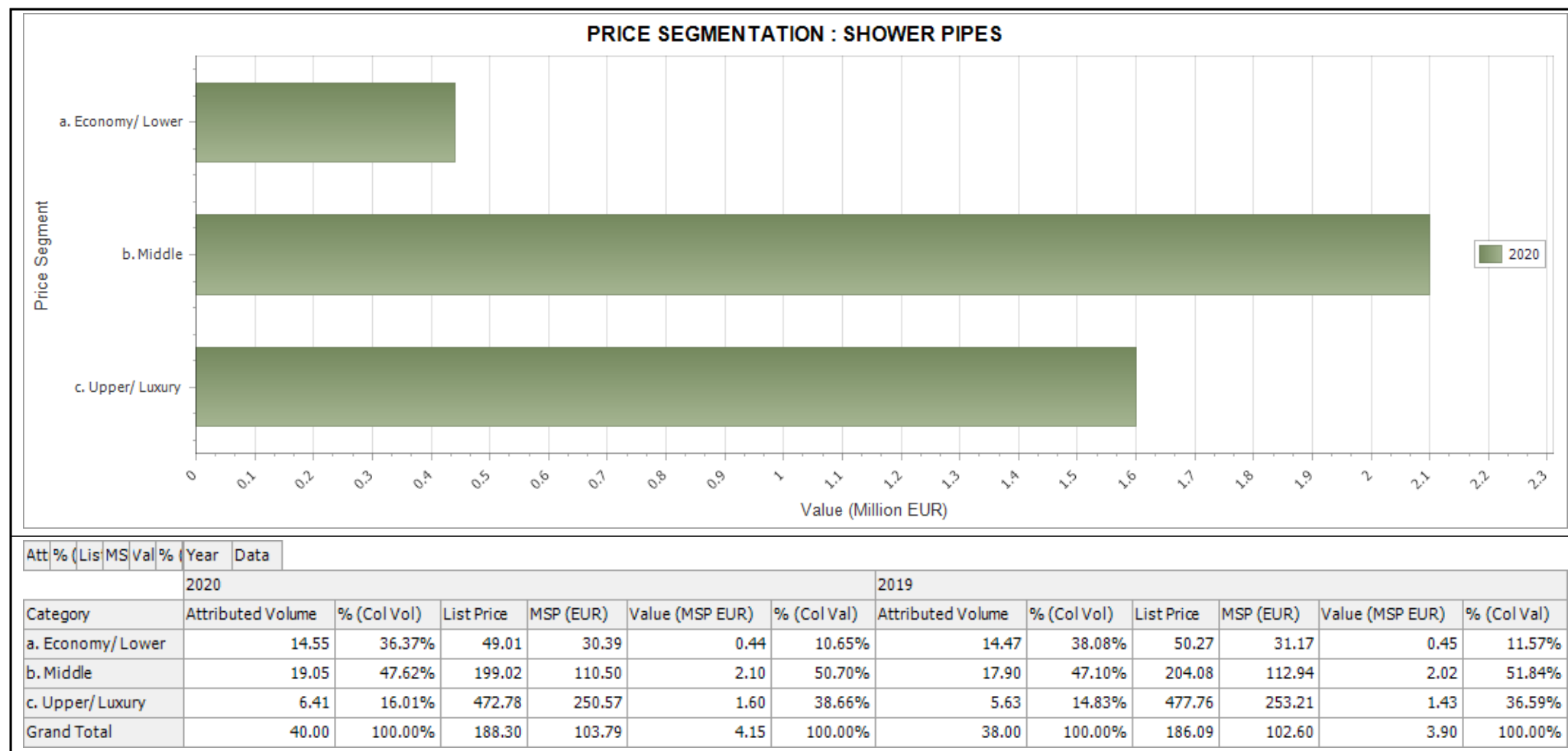
Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

CZ - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS



7.3.6 Price Segmentation : Shower Pipes

CZ - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

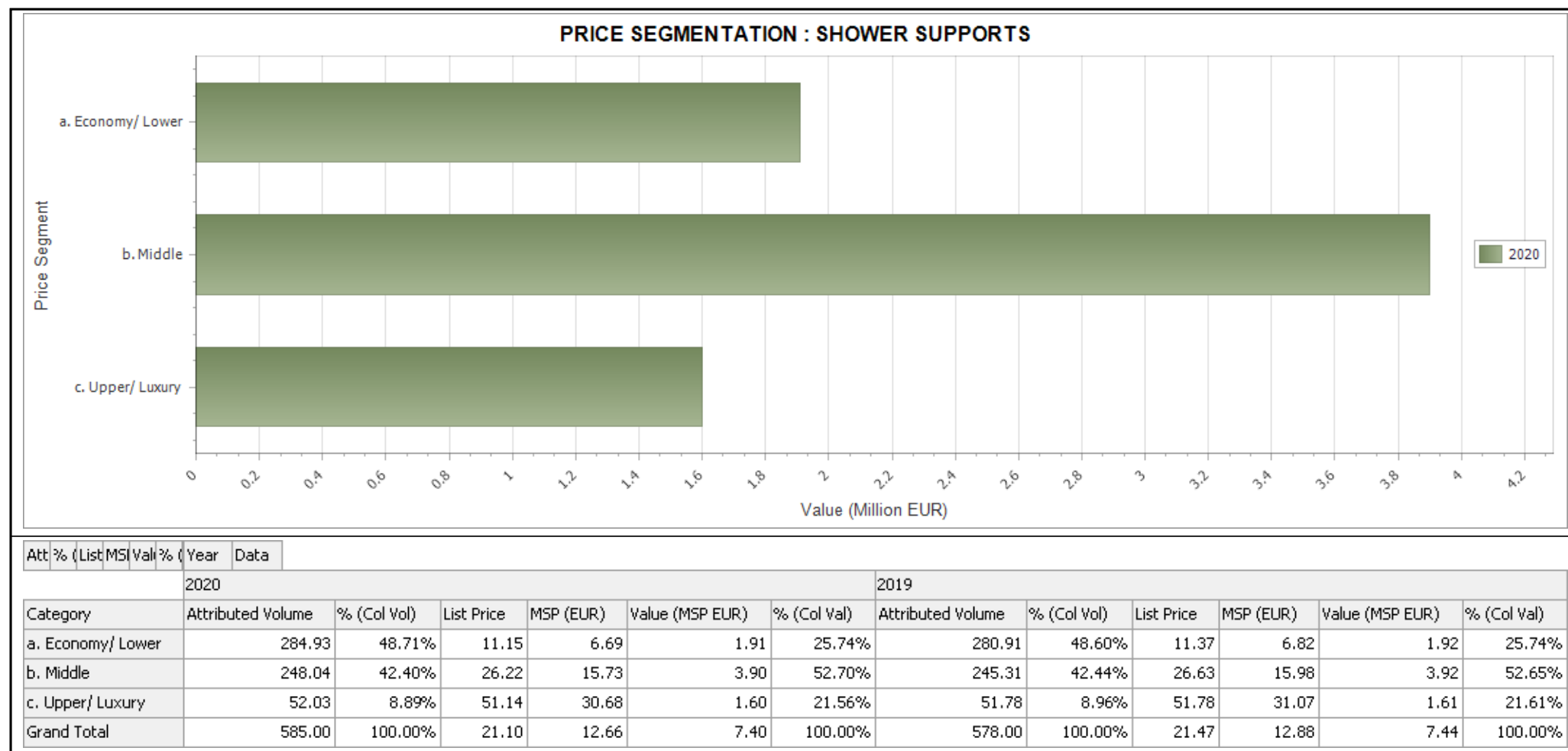


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

7.3.7 Price Segmentation : Shower Supports

CZ - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

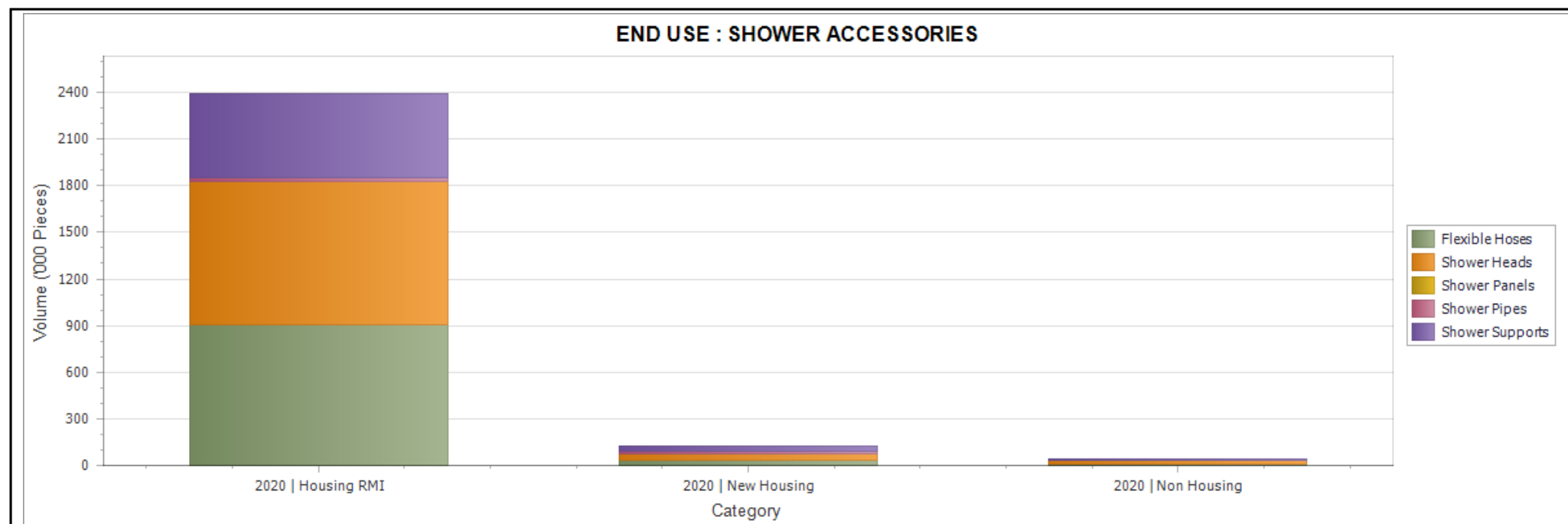


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

7.4.1 End Use : Base Year

CZ - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

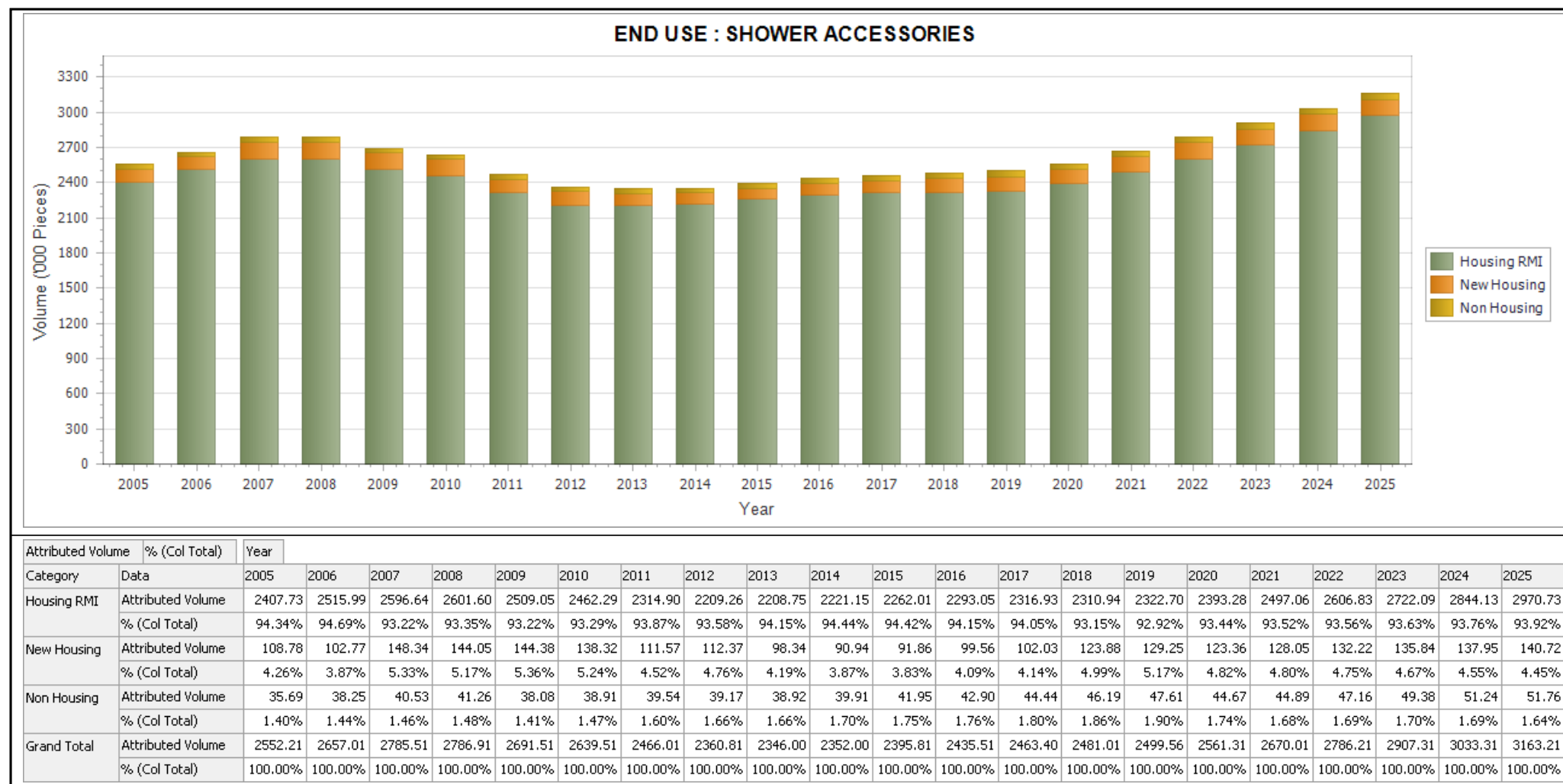


Attribu	% (Co	% (Ro	Year	Category	Data											
			2020							2020 Total						
			Housing RMI			New Housing			Non Housing							
Product	Attributed Volume		% (Col Total)	% (Row)	Attributed Volume		% (Col Total)	% (Row)	Attributed Volume		% (Col Total)	% (Row)	Attributed Volume		% (Col Total)	% (Row)
Flexible Hoses	908.13		37.94%	95.59%	32.29		26.18%	3.40%	9.58		21.44%	1.01%	950.00		37.09%	100.00%
Shower Heads	919.05		38.40%	93.49%	42.57		34.51%	4.33%	21.39		47.88%	2.18%	983.00		38.38%	100.00%
Shower Panels	2.73		0.11%	82.55%	0.52		0.42%	15.81%	0.05		0.12%	1.64%	3.30		0.13%	100.00%
Shower Pipes	24.34		1.02%	60.84%	14.27		11.57%	35.67%	1.40		3.13%	3.49%	40.00		1.56%	100.00%
Shower Supports	539.04		22.52%	92.14%	33.71		27.32%	5.76%	12.25		27.43%	2.09%	585.00		22.84%	100.00%
Grand Total	2393.28		100.00%	93.44%	123.36		100.00%	4.82%	44.67		100.00%	1.74%	2561.31		100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

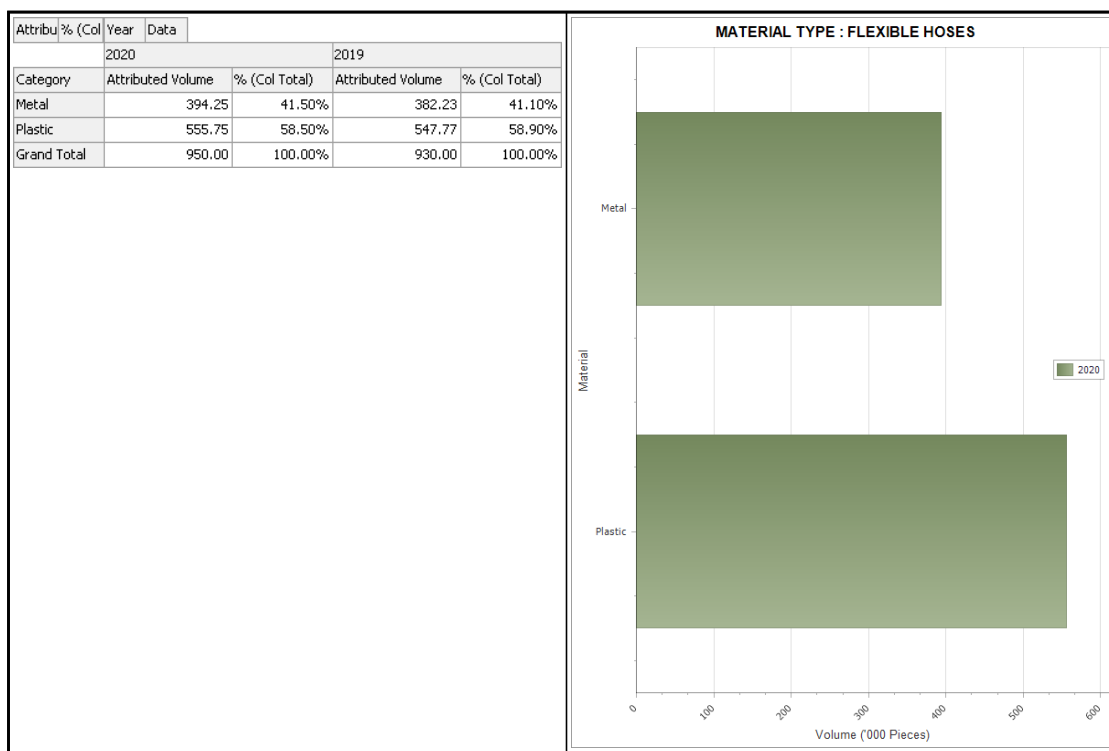
CZ - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

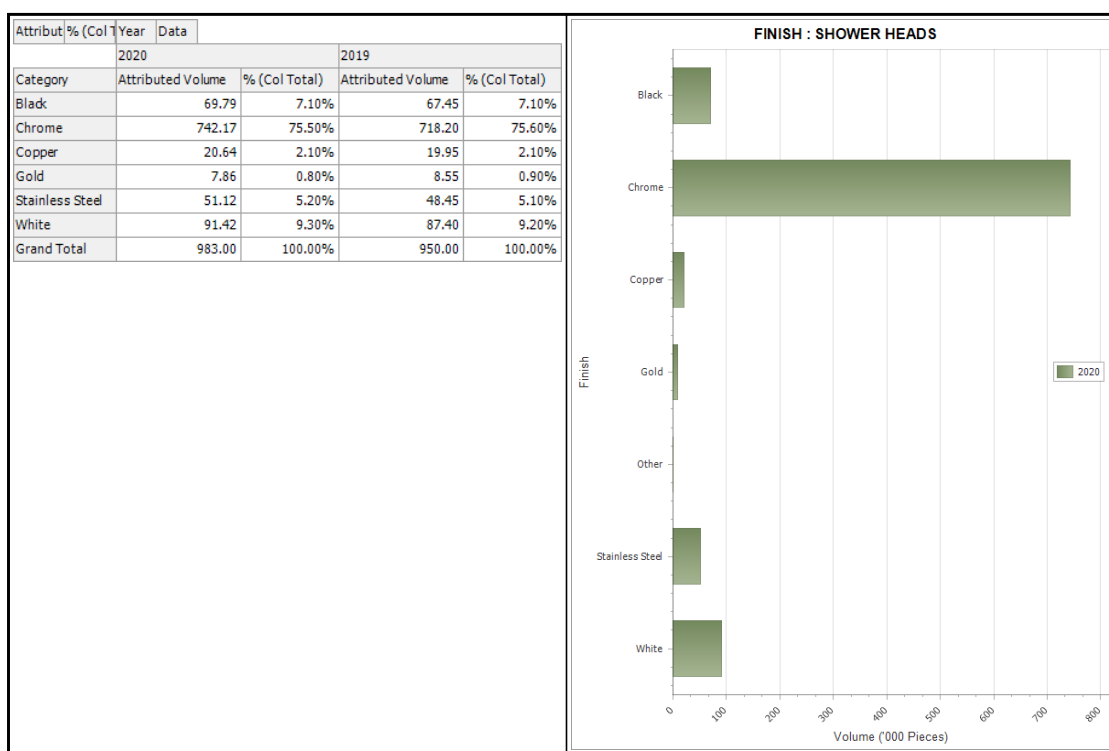
CZ - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

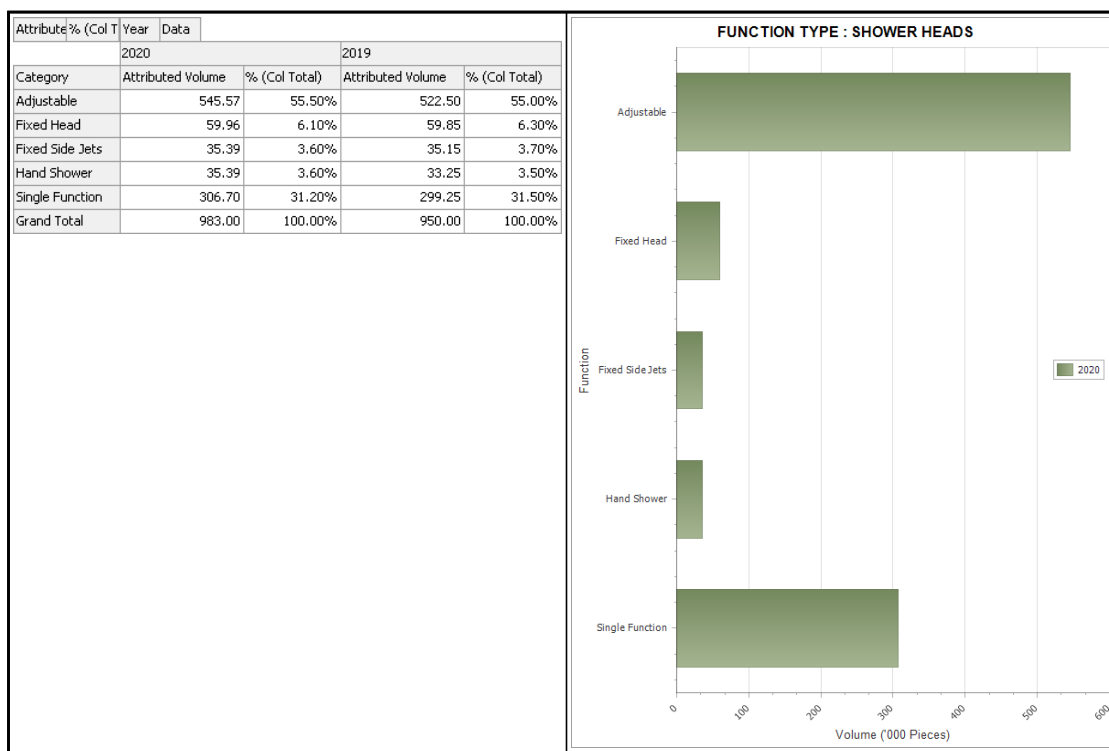
CZ - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

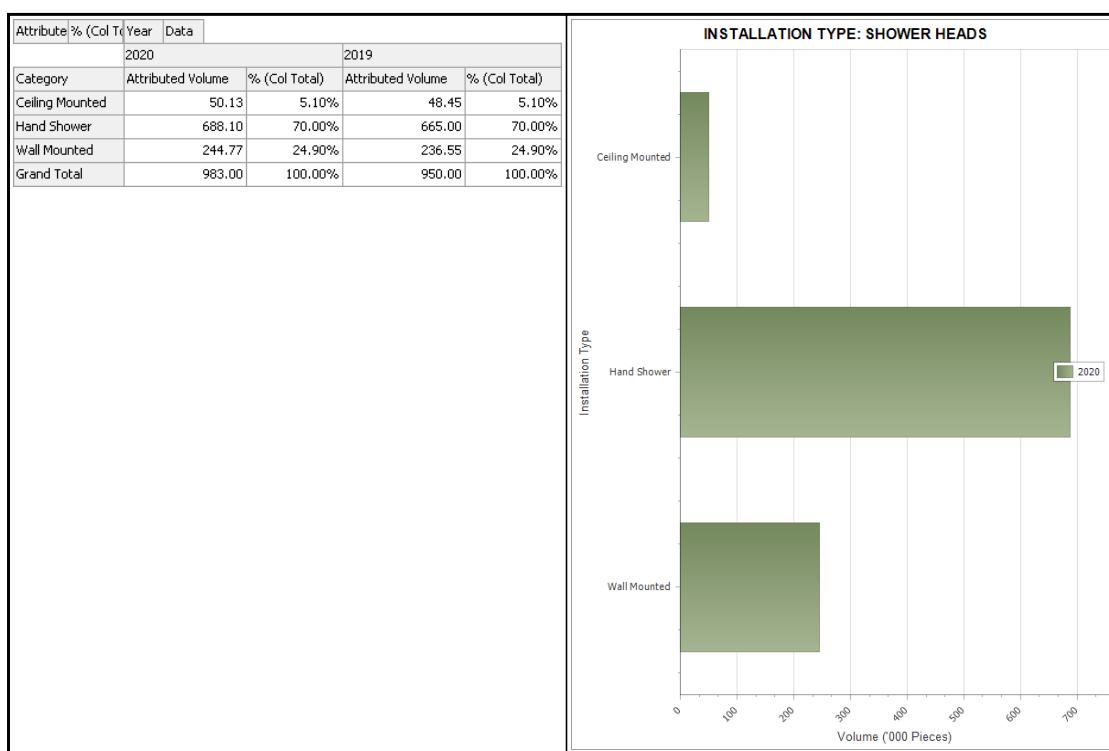
CZ - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

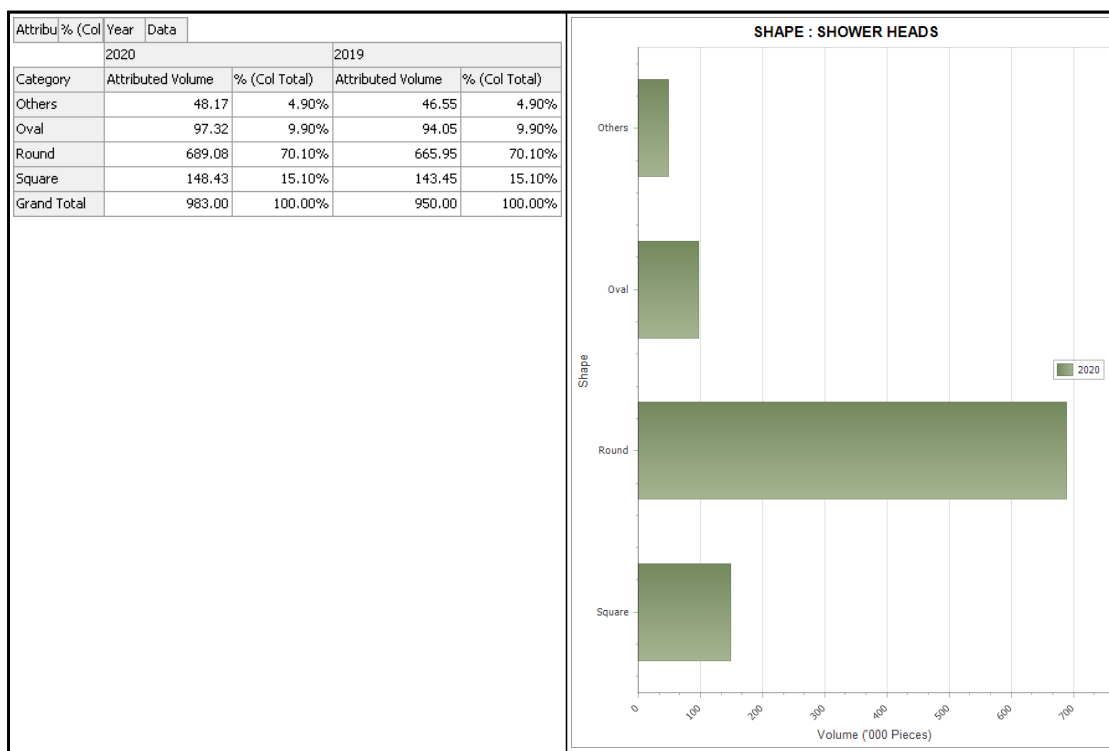
CZ - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

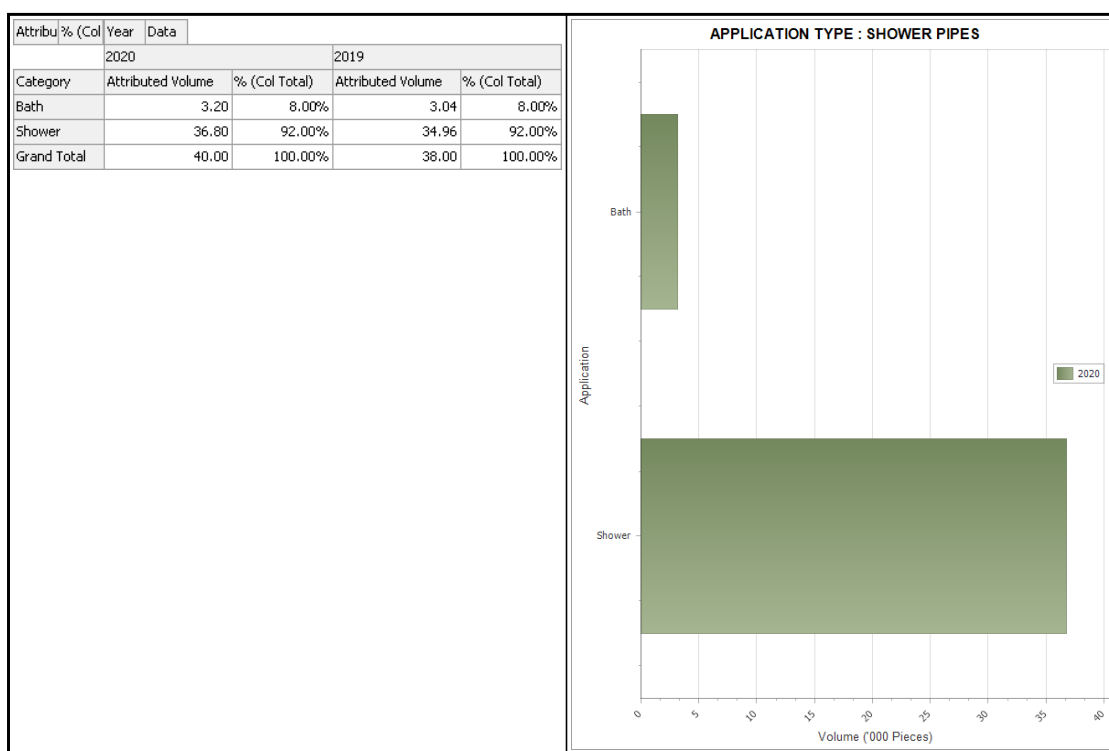
CZ - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

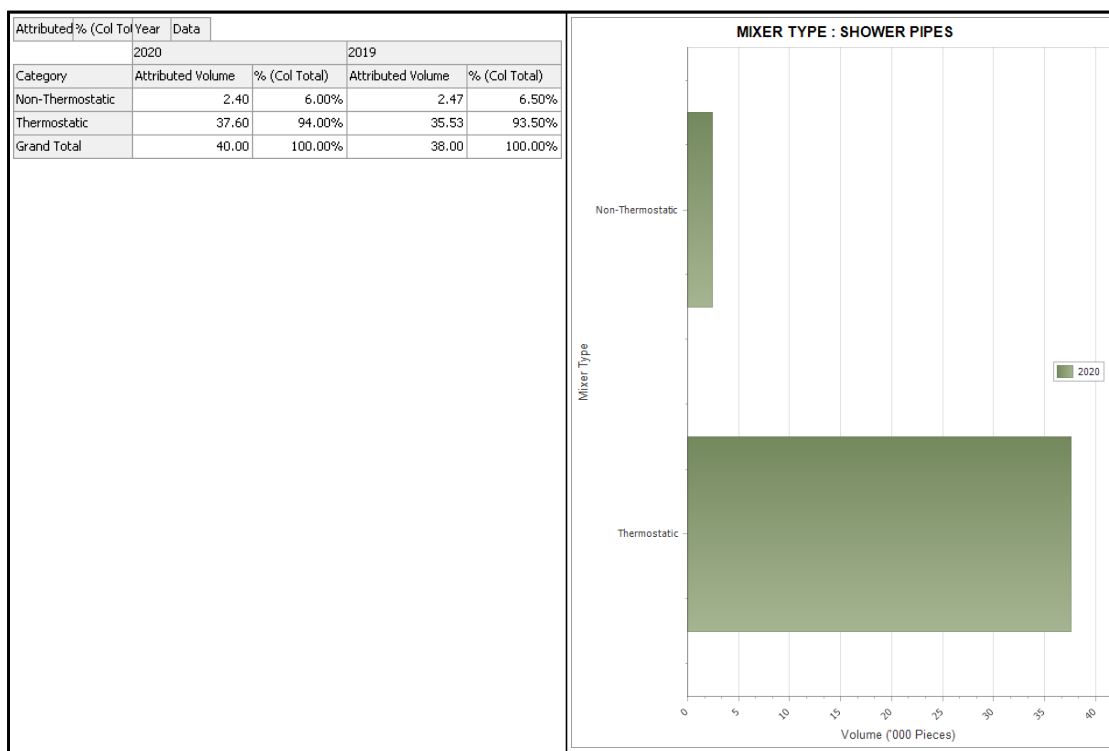
CZ - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

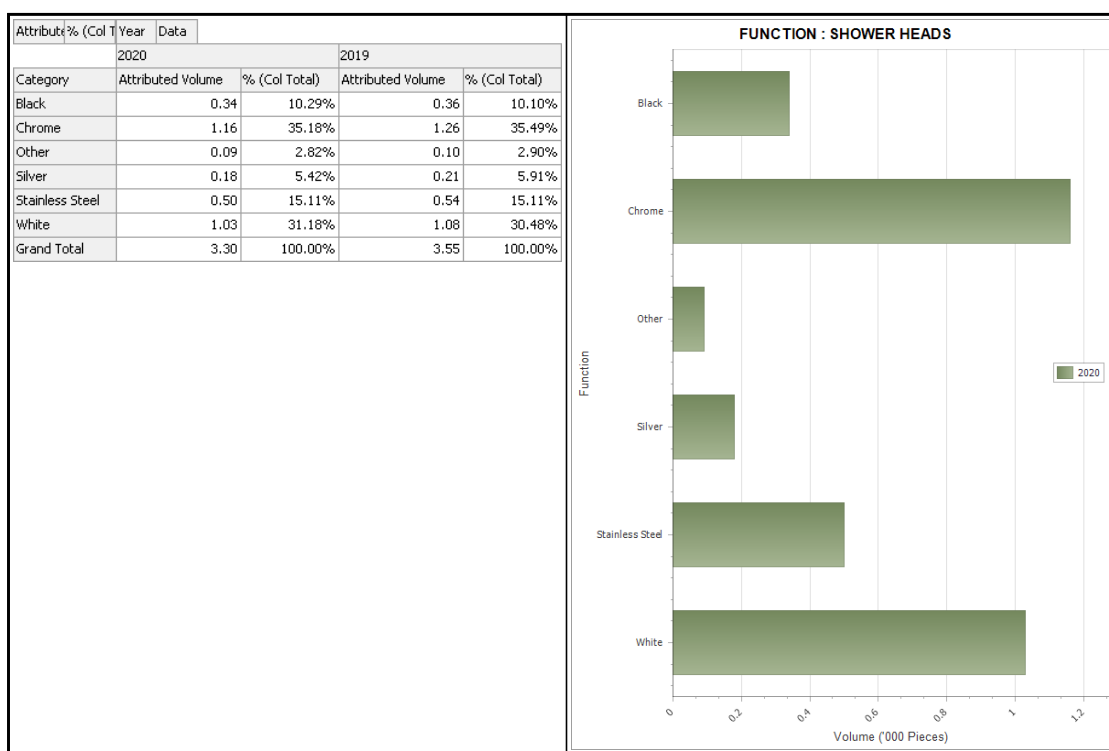
CZ - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish: Shower Panels

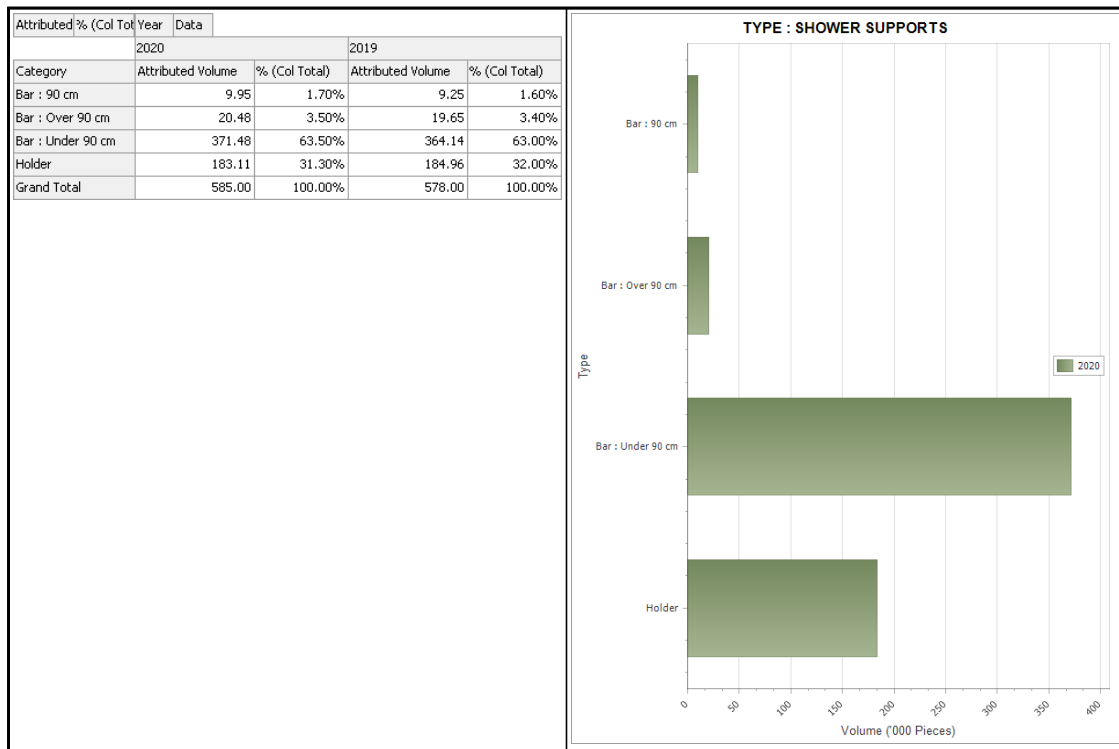
CZ - SHOWER PANEL SALES BY TYPE OF FINISH ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

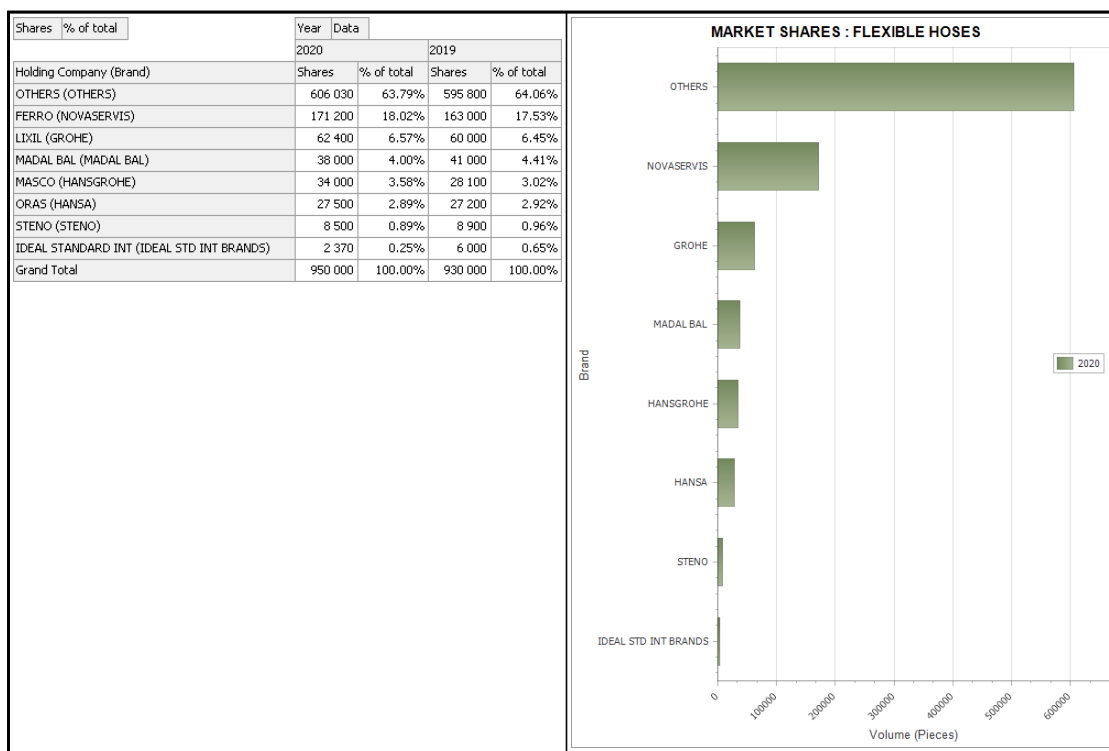
CZ - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.5.1 Market Shares : Flexible Hoses

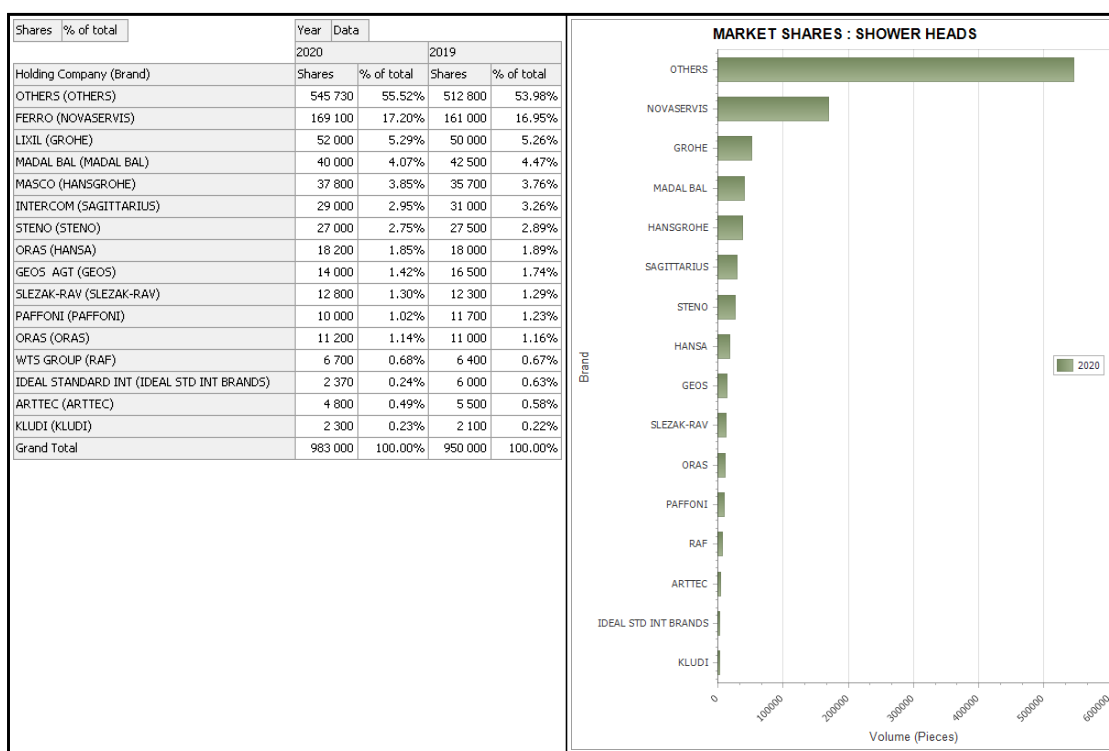
CZ - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

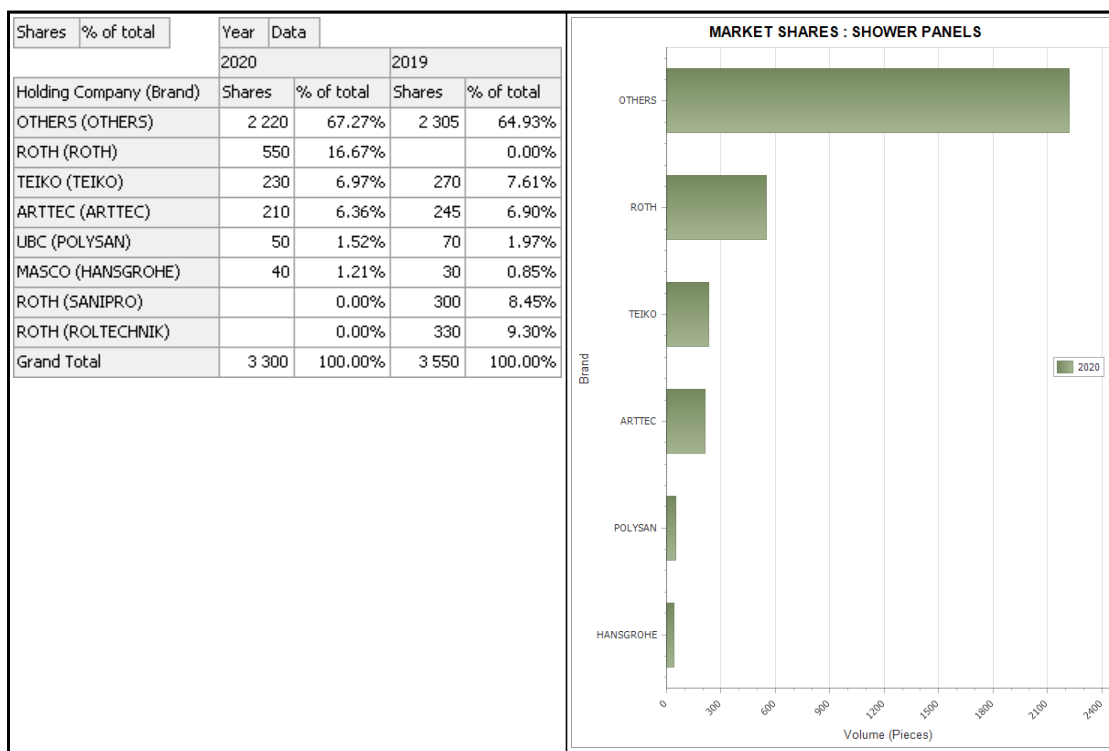
CZ - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

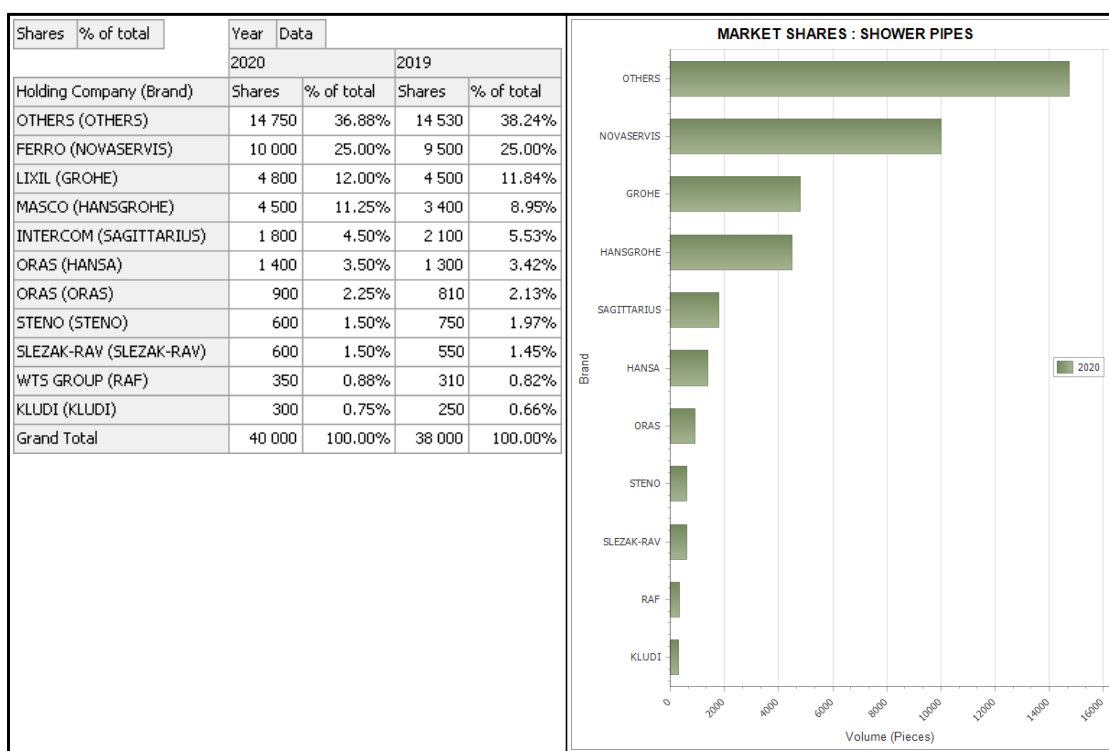
CZ - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

CZ - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
CZ - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

45.5%
Wholesalers / Merchants
45.5%

Retail Level

Manufacturer	Wholesaler
7.2%	10.0%
Internet Retailers	
17.2%	

Manufacturer	Wholesaler
34.6%	11.5%
DIY Retailers	
46.1%	

Manufacturer	Wholesaler
7.9%	10.0%
Specialist Retailers	
17.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.5%	10.0%	1.3%	1.8%	6.7%
Installers				
24.3%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.6%	15.6%	44.1%	11.0%	23.9%
Residential					
98.3%					
New Build			Residential RMI		
4.8%			93.4%		
Project	Non-Project		Project	Non-Project	
4.0%	0.8%		18.0%	75.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.4%	0.3%	0.2%	0.2%	0.3%
Non-Residential					
1.7%					
New Build			Non-Residential RMI		
0.7%			1.0%		
Project	Non-Project		Project	Non-Project	
0.7%	0.0%		0.6%	0.4%	

7.6.2

Route to Market: Shower Accessories
CZ - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

46.0%
Wholesalers / Merchants
46.0%

Retail Level

Manufacturer	Wholesaler
6.2%	10.5%
Internet Retailers	
16.7%	

Manufacturer	Wholesaler
35.5%	12.0%
DIY Retailers	
47.5%	

Manufacturer	Wholesaler
7.7%	10.0%
Specialist Retailers	
17.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.4%	10.0%	1.5%	1.7%	6.8%
Installers				
24.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.2%	14.8%	45.5%	10.8%	24.1%
Residential					
98.4%					
New Build			Residential RMI		
4.4%			93.9%		
Project	Non-Project		Project	Non-Project	
4.0%	0.4%		17.0%	76.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.3%	0.4%	0.3%	0.1%	0.3%
Non-Residential					
1.6%					
New Build			Non-Residential RMI		
0.6%			1.0%		
Project	Non-Project		Project	Non-Project	
0.6%	0.0%		0.6%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

CZ - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2020

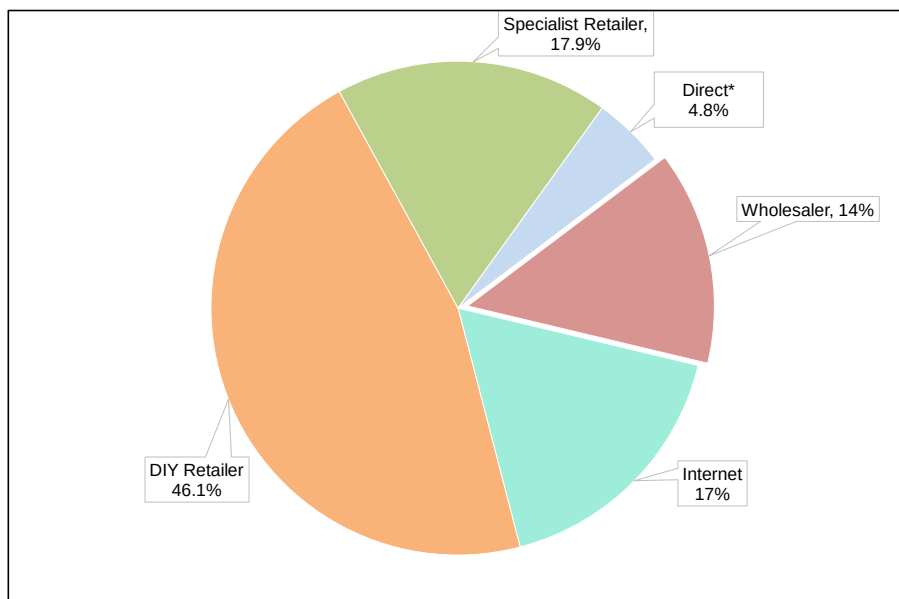
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.0%	17.2%	46.1%	17.9%	4.8%	22.0%	1.3%	76.3%	0.4%
100%					23.3%		76.7%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

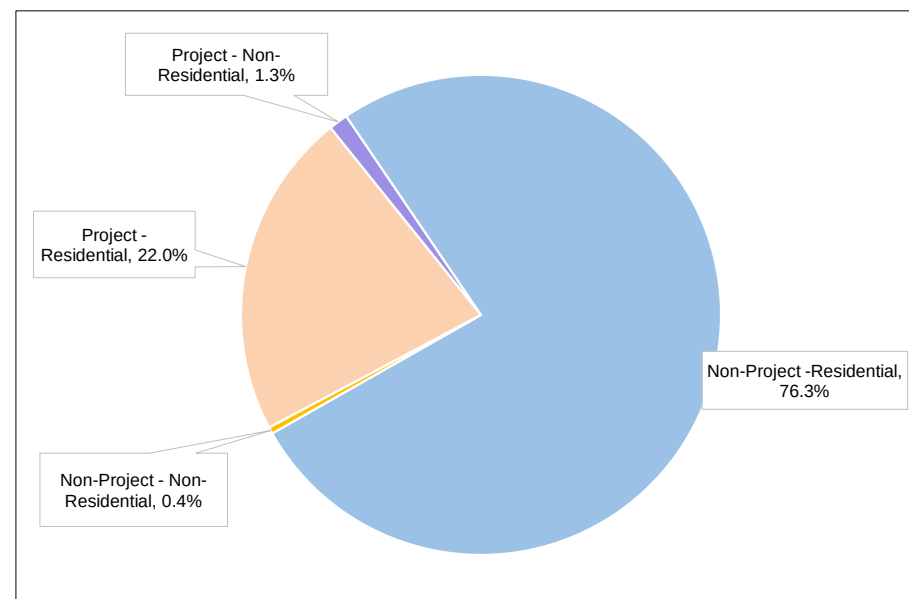
CZ - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.5%	16.7%	47.5%	17.7%	4.6%	21.0%	1.2%	77.4%	0.4%
100%					22.2%		77.8%	

CZ - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



CZ - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



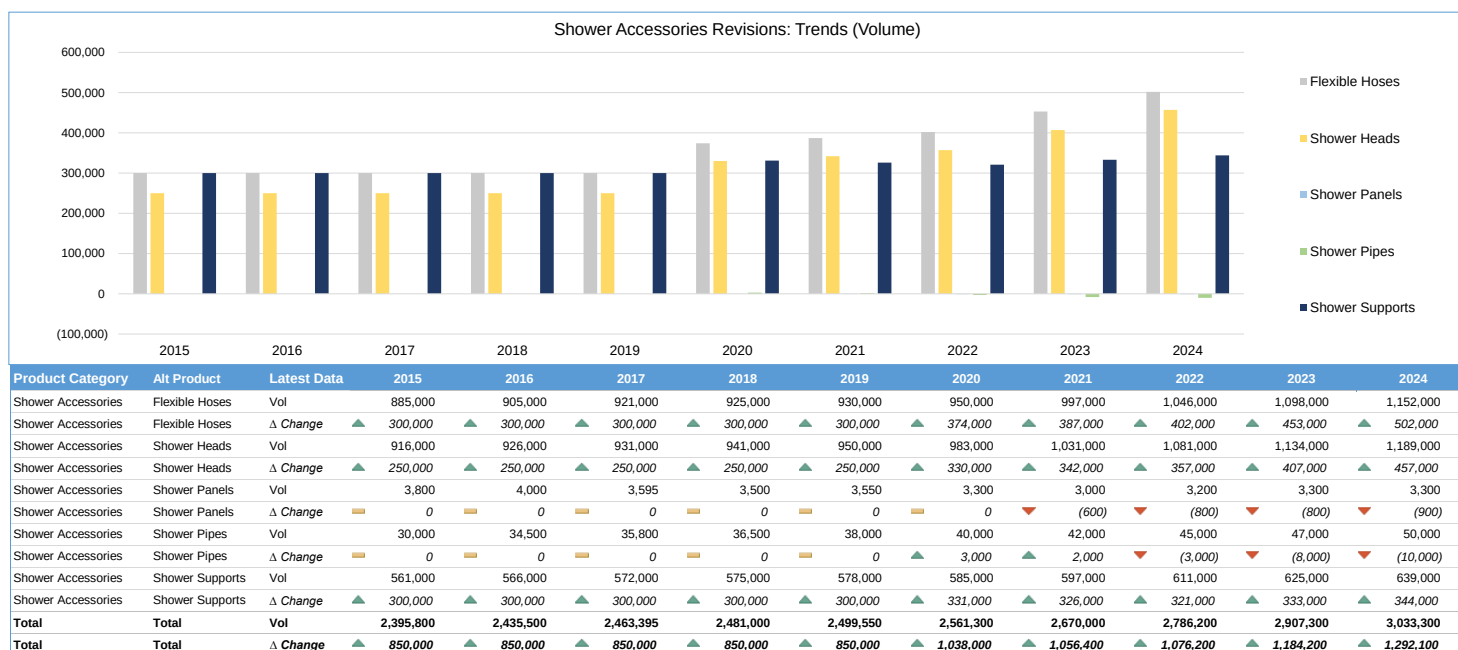
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Czech Shower Accessories Market (April 2021)

CZ - REVISIONS IN THE CZECH SHOWER ACCESSORIES MARKET

Data Comparison: April 2020



The historical volumes for flexible hoses, shower heads and shower supports were revised significantly upwards for all years. Further feedback from manufacturers and closer examination of import data suggested that previously our data did not account for a large portion of cheaper imports from China. This is especially true for products sold and channelled through DIY stores and specialist retailers such as OBI, HORNBACH and IKEA. In addition, important share of sales is also channelled through hypermarket chains such as GLOBUS or KAUF LAND. Products sold in these hypermarkets are usually very cheap and their lifespan is quite low, mostly serving as distress replacement products.

Overall MSP for shower pipes was revised downwards as previously average prices for thermostatic and non-thermostatic types were overestimated. This was largely due to the underestimation of relatively cheap OEM products that are being sold increasingly in DIY stores and would fit within the economy price segment.

Only minor changes were made to the values of other shower accessories products, largely due to minor changes made to the split between price segmentations.